

Before the
Federal Communications Commission
Washington, D.C. 20554

In the Matter of	)	
	)	
Review of Submarine Cable Landing License Rules	)	OI Docket No. 24-523
and Procedures to Assess Evolving National	)	
Security, Law Enforcement, Foreign Policy, and	)	
Trade Policy Risks	)	
	)	
Amendment of the Schedule of Application Fees	)	MD Docket No. 24-524
Set Forth in Sections 1.1102 through 1.1109 of the	)	
Commission’s Rules	)	

SECOND REPORT AND ORDER AND
SECOND FURTHER NOTICE OF PROPOSED RULEMAKING

Adopted: June 25, 2026Released: June 30, 2026

Comment Date: [30 days after date of publication in the Federal Register]
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By the Commission: Chairman Carr and Commissioner Trusty issuing separate statements.

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I. INTRODUCTION

1. Today's action builds upon the rules adopted in the *2025 Submarine Cable First Report and Order*¹ and represents another milestone in the Commission's ongoing effort to facilitate faster and more efficient deployment of submarine cables, while strengthening our national security. Submarine cables are the most consequential and critical communications infrastructure serving the United States.² They have been called "invisible highways" under the ocean and carry the vast majority of global Internet and communications traffic.³ Notably, submarine cables are the backbone for ultra-low latency global connections⁴ and serve as critical infrastructure for artificial intelligence (AI), which "is fast becoming the defining technology of our time."⁵ However, this growth and continuing demand for bandwidth for communications, including at a global level,⁶ comes with significant risks that requires us to recalibrate our national security approach to submarine cable systems.⁷ As President Trump's America First Investment Policy Memorandum puts it, "[i]nvestment at all costs is not always in the national interest."⁸ The rules we adopt today further improve the Commission's oversight over submarine cables to protect national security while streamlining our licensing process. Our efforts will ensure the United States remains the unrivaled world leader in critical and emerging technologies such as AI.⁹ These key

¹ *Review of Submarine Cable Landing License Rules and Procedures to Assess Evolving National Security, Law Enforcement, Foreign Policy, and Trade Policy Risks*, OI Docket No. 24-523, MD Docket No. 24-524, Report and Order and Further Notice of Proposed Rulemaking, 40 FCC Rcd 6481 (2025) (*2025 Submarine Cable First Report and Order* and *FNPRM*); corrected by Erratum, <https://docs.fcc.gov/public/attachments/DOC-414544A1.pdf> (OIA and OMD Sept. 16, 2025); corrected by Second Erratum, <https://docs.fcc.gov/public/attachments/DOC-415107A1.pdf> (OIA and OMD Oct. 24, 2025). We also refer to the *2025 Submarine Cable First Report and Order* or to the *2025 Submarine Cable Further Notice*, accordingly throughout this *Second Report and Order*.

² *Review of Submarine Cable Landing License Rules and Procedures to Assess Evolving National Security, Law Enforcement, Foreign Policy, and Trade Policy Risks; et al.*, OI Docket No. 24-523, MD Docket No. 24-524, Notice of Proposed Rulemaking, 39 FCC Rcd 12730, 12763-64, para. 45 (2024) (*2024 Submarine Cable NPRM*); See Mary Jander, *Internet Growth Fuels Undersea Cable Race*, Futuriom (Feb. 23, 2021), <https://www.futuriom.com/articles/news/whats-happening-in-submarine-cable/2021/02>; Jill C. Gallagher, Cong. Research Serv., R47237, *Undersea Telecommunication Cables: Technology Overview and Issues for Congress* at 1 (Sept. 13, 2022), <https://crsreports.congress.gov/product/pdf/R/R47237>.

³ Sachin Gaur, *Invisible highways: The vast network of undersea cables powering our connectivity*, United Nations UN News (Feb. 2, 2026), <https://news.un.org/en/story/2026/02/1166867> (*Invisible Highways*).

⁴ South Research Networks, *From Shoreline to Server Rack: How Subsea Cables Fuel the Future of AI and Cloud* (Oct. 14, 2025), <https://srnetworks.net/blog/from-shoreline-to-server-rack-how-subsea-cables-fuel-the-future-of-ai-and-cloud/>.

⁵ UN Trade and Development, *AI market projected to hit \$4.8 trillion by 2033, emerging as dominant frontier technology* (Apr. 7, 2025), <https://unctad.org/news/ai-market-projected-hit-48-trillion-2033-emerging-dominant-frontier-technology>.

⁶ Paul Brodsky, *International Internet Bandwidth Now Sits at 1,835 Tbps*, Telegeography (Sept. 23, 2025), <https://resources.telegeography.com/international-internet-bandwidth> ("Total international bandwidth now stands at an impressive 1,835 Tbps, representing a four-year compound annual growth rate (CAGR) of 24%.").

⁷ See Letter from Anthropic to Marlene H. Dortch, Secretary, FCC, OI Docket No. 24-523 (filed Jan. 22, 2026) (*Anthropic Ex Parte*).

⁸ Memorandum on America First Investment Policy, 2025 Daily Comp. Pres. Doc. 292 § 1 (Feb. 21, 2025) (*America First Investment Policy*).

⁹ *2025 Submarine Cable First Report and Order* and *FNPRM*, 40 FCC Rcd at 6481, para. 1 (citing The White House, *A Letter to Michael Kratsios, Director of the White House Office of Science and Technology Policy* (Mar. 26, 2025), <https://www.whitehouse.gov/briefings-statements/2025/03/a-letter-to-michael-kratsios-director-of-the-white-house-office-of-science-and-technology-policy>); see Exec. Order No. 14365 of December 11, 2025, *Ensuring* (continued....)

objectives are aligned with Executive Order 14365, as “United States leadership in [AI] will promote United States national and economic security and dominance across many domains.”¹⁰ As in the *2025 Submarine Cable First Report and Order*, we “‘maintain[] the strong, open investment environment that benefits our economy and our people, while enhancing our ability to protect the United States from new and evolving threats’ in the submarine cable ecosystem.”¹¹

2. In this *Second Report and Order*, we adopt rules that promote the deployment of submarine cables while strengthening national security interests in connection with their modern capabilities. Our actions recognize that a significant gap exists in our rules concerning the submarine line terminal equipment (SLTE).¹² We find it imperative to adopt a licensing requirement concerning SLTE owners and/or operators. In today’s *Second Report and Order*, we establish a regulatory regime for licensing owners and/or operators of SLTE, including granting a blanket license to any current and future SLTE owners and/or operators that are not currently a licensee and are not otherwise subject to the exceptions discussed below.¹³ In adopting a regulatory regime, we adopt certain routine conditions and outline reporting requirements for SLTE owners and operators. We then build on our security efforts made in the *2025 Submarine Cable First Report and Order* by adopting further national security-related routine conditions and certification requirements. Finally, we adopt an approach to expedite submarine cable deployment by presumptively exempting applications that meet ten national security standards from Commission referral to the Executive Branch agencies, in order to unleash investment in submarine cable infrastructure.¹⁴ These national security standards in combination will ensure continued oversight by the Committee and ensure that our fast-track approach does not undermine national security, law enforcement, foreign policy, and/or trade policy objectives. These immediate steps reaffirm our commitment to accelerating the deployment of submarine cable infrastructure, without jeopardizing national security. In this *Second Further Notice of Proposed Rulemaking*, we seek comment on the routine conditions that we should consider to improve our oversight of cable landing licensees, including

a *National Policy Framework for Artificial Intelligence*, 90 Fed. Reg. 58499 (Dec. 16, 2025) (Executive Order 14365).

¹⁰ Executive Order 14365, §1.

¹¹ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6486, para. 10 (quoting America First Investment Policy § 1).

¹² The Commission has explained that “[t]he SLTE is among the most important equipment associated with the submarine cable system.” *Id.* at 6590-91, para. 238.

¹³ In this *Second Report and Order*, we use the term “SLTE owners and operators” to refer to any entity that owns and/or operates SLTE on a submarine cable landing in the United States and is not a licensee under our current submarine cable licensing requirement in section 1.767(h) or section 1.70003(a) and/or (b) as amended. 47 CFR § 1.767(h); *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6637, Appx. A (§ 1.70003(a) and (b)).

¹⁴ See generally *Process Reform for Executive Branch Review of Certain FCC Applications and Petitions Involving Foreign Ownership*, IB Docket No. 16-155, Report and Order, 35 FCC Rcd 10927, 10929-30, 10935, paras. 5-6, 18-21 (2020) (*Executive Branch Process Reform Report and Order*); Exec. Order No. 13,913, 85 Fed. Reg. 19643, 19643, sec. 1 (Apr. 8, 2020) (Executive Order 13913) (stating that “[t]he security, integrity, and availability of United States telecommunications networks are vital to United States national security and law enforcement interests”); *id.* § 3 (stating that “[t]he function of the Committee shall be . . . to review applications and licenses for risks to national security and law enforcement interests posed by such applications or licenses. . . .”); *id.* at 19643-44 (establishing the “Committee,” composed of the Secretary of Defense (DOD), the Secretary of Homeland Security (DHS), and the Attorney General of the Department of Justice (DOJ), who serves as the Chair, and the head of any other executive department or agency, or any Assistant to the President, as the President determines appropriate (Members), and also providing for Advisors, including the Secretary of State, the Secretary of Commerce, and the United States Trade Representative (USTR)); see also FCC, *Requirements for Applications and Petitions Subject to Executive Branch Review* (Oct. 1, 2024), <https://www.fcc.gov/international-affairs/requirements-applications-and-petitions-subject-executive-branch-review>. DOJ, DHS, and DOD also are known informally as “Team Telecom.” *Executive Branch Process Reform Report and Order*, 35 FCC Rcd at 10929-30, para. 5.

SLTE owners and operators. At this time, we defer consideration or decline adoption of additional proposals made in the *2025 Submarine Cable First Report and Order and Further Notice*, as discussed below, and we expect to conduct the one-time information collection adopted in that Report and Order in the near future to gain further information into the SLTE landscape.¹⁵

II. BACKGROUND

3. In the *2025 Submarine Cable First Report and Order*, we undertook the first comprehensive update to the Commission's submarine cable rules in 25 years. The Commission modernized the submarine cable rules by adopting a definition of the term "submarine cable system," adopting a range of measures to protect critical submarine cable infrastructure from foreign adversary threats, and streamlining the Commission's submarine cable licensing process.¹⁶ We adopted, among other things, (1) a presumption that will preclude the grant of certain applications filed by entities owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, as defined in a new rule, 47 CFR § 1.70001(g), unless the applicant overcomes the adverse presumption;¹⁷ (2) a condition prohibiting cable landing licensees from entering into certain arrangements for indefeasible rights of use (IRUs) or leases for capacity;¹⁸ (3) certification requirements concerning the use of "covered" equipment and services on submarine cable systems;¹⁹ and (4) cybersecurity and physical security risk management plan certifications.²⁰ For current licensees that meet the presumptive disqualifying criteria or whose cable lands in a foreign adversary country, we adopted a tool for increased oversight by requiring these licensees to file an annual report (Foreign Adversary Annual Report) containing information about the licensee, submarine cable system ownership, and submarine cable operations.²¹ More generally, we modernized our submarine cable rules by adopting a definition of the term, "submarine cable system," that acknowledges the range of technological advancement in existing submarine cable systems.²² This

¹⁵ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6582-84, paras. 214-22 (adopting a one-time information collection applicable to cable landing licensees, including providing information concerning the SLTE owners and operators on licensed submarine cables).

¹⁶ *Id.* at 6484-86, paras. 2-7.

¹⁷ *Id.* at 6497-99, paras. 30-32; 47 CFR § 1.70001(g). In this *Second Report and Order*, we also use the term "foreign adversary-controlled entities" to refer to any entity that is "[o]wned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary," as defined in section 1.70001(g). *See* 47 CFR § 1.70001(g).

¹⁸ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6506-08, paras. 46-49.

¹⁹ *Id.* at 6548-6553, paras. 125-35. Pursuant to sections 2(a) and (d) of the Secure and Trusted Communications Networks Act, and sections 1.50002 and 1.50003 of the Commission's rules, the Public Safety and Homeland Security Bureau (PSHSB) publishes a list of communications equipment and services that have been determined by one of the sources specified in that statute to pose an unacceptable risk to the national security of the United States or the security and safety of United States persons ("covered" equipment and services). *See* Secure and Trusted Communications Networks Act of 2019, Pub. L. No. 116-124, 133 Stat. 158 (2020) (codified as amended at 47 U.S.C. §§ 1601-1609) (Secure Networks Act); *see also* 47 CFR §§ 1.50002-1.50003; Federal Communications Commission, *List of Equipment and Services Covered by Section 2 of the Secure Networks Act*, <https://www.fcc.gov/supplychain/coveredlist> (last updated June 22, 2026) (*List of Covered Equipment and Services*). For purposes of this *Second Report and Order*, we use the term "Covered List entities" or "entities identified on the Covered List" to include producers or providers of equipment or services identified on the Covered List and the current and future affiliates and subsidiaries of such entities. *See id.* (noting that "[t]he inclusion of producers or providers of equipment or services identified on this list should be read to include the subsidiaries and affiliates of such entities"); *see, e.g., Protecting Against National Security Threats to the Communications Supply Chain Through FCC Programs – Huawei Designation*, PS Docket No. 19-351, Order, 35 FCC Rcd 6604 (PSHSB 2020).

²⁰ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6540-48, paras 105-24.

²¹ *Id.* at 6569-72, paras. 179-88.

²² *Id.* at 6523-25, paras. 70-72. With respect to the circuit capacity data collection and rules, in the *2025 Submarine Cable First Report and Order*, we eliminated the requirement for licensees to file a Cable Operator Report about the

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definition incorporates the future technological evolution of submarine cable systems, all of which include SLTE as a significant component of the system itself.²³ We adopted a one-time information collection in the *2025 Submarine Cable First Report and Order* that, among other things, will provide information about the identities of entities that currently own or operate SLTEs on existing licensed submarine cable systems, along with information about cable landing licensees' use of equipment or services identified on the Commission's Covered List and of third-party foreign adversary service providers.²⁴ As stated above, we still expect to conduct the one-time information collection in the near future to inform whether further rulemaking concerning SLTEs is in the public interest.

4. In the *2025 Submarine Cable Further Notice*, we sought to build on the *2025 Submarine Cable First Report and Order* by proposing and seeking comment on a number of reforms to streamline and expedite review of applications, to protect the security, integrity, and resilience of submarine cables and promote national security.²⁵ In the *2025 Submarine Cable Further Notice*: (1) we proposed to incorporate SLTE owners and operators into the Commission's licensing framework by adopting a blanket license for SLTE owners and operators, subject to certain exclusions and routine conditions;²⁶ (2) we proposed routine conditions on the grant of the blanket license, including a condition requiring existing SLTE owners and operators that are owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary,²⁷ or other relevant criteria, to submit a tailored annual report (SLTE Foreign Adversary Annual Report) to ensure that the Commission maintains consistent oversight over their operations;²⁸ (3) we proposed new certification requirements and routine conditions related to foreign adversaries, including whether to require applicants to certify that they will not use equipment that is produced by any entity "owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary," as defined in section 1.70001(g), in the operation of the submarine cable system;²⁹ (4) we sought comment on requiring existing licensees to remove covered equipment and services from their submarine cable systems;³⁰ (5) we proposed to presumptively exclude certain applications from referral to the relevant Executive Branch agencies if they meet certain standards;³¹ (6) we sought comment on whether, under certain circumstances, to streamline approval of domestic cables;³² and (7) we sought comment on how the Commission can incentivize and encourage the adoption and the use of trusted technologies produced and provided by the United States and its foreign allies.³³

capacity on a cable and clarified the types of capacity that need to be reported on an annual basis. *Id.* at 6573-74, paras. 190-95. Instead, we require licensees and common carriers to report their capacity on domestic and international cables in a single report, the Capacity Holder Reports—a report filed by each Filing Entity on an individual basis—where we require cable landing licensees and common carriers to provide certain information about their SLTEs in the Capacity Holder Report. *Id.* at 6573, paras. 190-92.

²³ *Id.* at 6524, para. 71.

²⁴ *Id.* at 6582-84, paras. 214-22.

²⁵ *Id.* at 6590, para. 237; Exec. Order No. 10530, 19 Fed. Reg. 2709, § 5(a) (May 12, 1954), reprinted as amended in 3 U.S.C. § 301 (Executive Order 10530).

²⁶ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6594-95, paras. 245-49.

²⁷ 47 CFR § 1.70001(g).

²⁸ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6598-99, paras. 257-61.

²⁹ *Id.* at 6600-01, paras. 263-64; 47 CFR § 1.70001(g).

³⁰ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6600-07, paras. 263-73, 277-78.

³¹ *Id.* at 6608-16, paras. 283-300.

³² *Id.* at 6618-19, paras. 308-10.

³³ *Id.* at 6617, para. 306.

5. Our actions in the *2025 Submarine Cable First Report and Order* and in this *Second Report and Order* reflect the Commission's consistent leadership in strengthening the security of U.S. communications networks and critical infrastructure against foreign adversary threats. This commitment continues today, for example, with the Commission's strategic requirements adopted in a separate proceeding, in the *Foreign Adversary Control Report and Order*, to enhance our ability to assess and respond to emerging threats from foreign adversaries.³⁴ Specifically, in the *Foreign Adversary Control Report and Order*, we adopted new attestation and disclosure requirements for licenses, authorizations, and other Commission approvals, including cable landing licenses, that will improve our situational awareness and allow the Commission to develop approaches to eliminate or mitigate national security threats from foreign adversaries.³⁵ The Commission has also protected U.S. national security interests through other actions such as prohibiting FCC recognition of any telecommunication certification bodies (TCBs), measurement facilities (test labs), and laboratory accreditation bodies that are owned by, controlled by, or subject to the direction of a prohibited entity.³⁶

6. In response to the *2025 Submarine Cable Further Notice*, the Commission received 12 comments, 7 replies, and 22 *ex partes*.³⁷ Several commenters supported proposals to streamline the application review process by establishing exemptions from referral to the Executive Branch agencies for applications that meet certain standards.³⁸ We received several comments on the adoption of a licensing

³⁴ *Protecting Our Communications Networks by Promoting Transparency Regarding Foreign Adversary Control*, GN Docket No. 25-166, Report and Order, FCC 26-2, 2026 WL 297882 (January 30, 2026) (*Foreign Adversary Control Report and Order*).

³⁵ *Id.* at *20, paras. 45-46.

³⁶ See generally *Promoting the Integrity and Security of Telecommunications Certification Bodies, Measurement Facilities, and the Equipment Authorization Program*, ET Docket No. 24-136, Report and Order and Further Notice of Proposed Rulemaking, 40 FCC Rcd 3616 (2025) (*Equipment Authorization Integrity Order* or *Equipment Authorization Integrity Further Notice*); *Equipment Authorization Integrity Order and Further Notice*; Press Release, FCC, FCC Takes Action on "Bad Labs" Apparently Controlled By China (Sept. 8, 2025), <https://docs.fcc.gov/public/attachments/DOC-414369A1.pdf>; Press Release, FCC Denies Second Batch of "Bad Labs" Controlled By China (Sept. 26, 2025), <https://docs.fcc.gov/public/attachments/DOC-414863A1.pdf>; Press Release, FCC, FCC Approves New Safeguards Against Untrustworthy Gear (Oct. 28, 2025), <https://docs.fcc.gov/public/attachments/DOC-415131A1.pdf>.

³⁷ See Appx. D (List of Commenters, Replies, and Ex Partes). Commenters included Anthropic (an AI company), Crosslake Fiber USA, LP ("Crosslake Fiber USA LP ('CF USA') is the owner and operator of the Crosslake Fibre submarine cable system."), Lockheed Martin Corporation (a company holding two mineral exploration licenses in the Pacific Ocean), and Hornbeck Offshore Services, LLC, (a U.S.-owned submarine cable repair and maintenance provider), along with trade associations, other U.S. federal government agencies, and think tanks. See *Anthropic Ex Parte*; Crosslake Fiber USA, LP, Reply Comment, OI Docket No. 24-523, MD Docket No. 24-524 (rec. Dec. 26, 2025) (CF USA Reply); Lockheed Martin Corporation, Reply Comment, OI Docket No. 24-523, MD Docket No. 24-524 (rec. Dec. 23, 2025) (Lockheed Martin Reply); Hornbeck Offshore Services, LLC, Comment, OI Docket No. 24-523, MD Docket No. 24-524 (rec. Nov. 25, 2025) (Hornbeck Comments).

³⁸ See, e.g., Information Technology Industry Council, Comment, OI Docket No. 24-523, MD Docket No. 24-524, at 3 (rec. Nov. 25, 2025) (ITI Comments); International Connectivity Coalition, Comment, OI Docket No. 24-523, MD Docket No. 24-524, at 5-11 (rec. Nov. 26, 2025) (ICC Comments); Alaska Telecom Association, Comment, OI Docket No. 24-523, MD Docket No. 24-524, at 3-6 (rec. Nov. 26, 2025) (ATA Comments) (advocating automatic licensing for qualifying domestic submarine cable systems); Center for Internet Security, Inc., Comment, OI Docket No. 24-523, MD Docket No. 24-524, at 2-4 (rec. Nov. 26, 2025) (CIS Comments); CTIA, Comment, OI Docket No. 24-523, MD Docket No. 24-524, at 3-7 (rec. Nov. 28, 2025) (CTIA Comments); Microsoft, Comment, OI Docket No. 24-523, MD Docket No. 24-524, at 16-19 (rec. Nov. 26, 2025) (Microsoft Comments); North American Submarine Cable Association, Comment, OI Docket No. 24-523, MD Docket No. 24-524, at 23-26 (rec. Nov. 2025) (NASCA Comments); NCTA – The Internet & Television Association, Comment, OI Docket No. 24-523, MD Docket No. 24-524, at 6-7 (rec. Nov. 25, 2025) (advocating for streamlined review of entirely domestic cable systems) (NCTA Comments); Submarine Cable Coalition, Comment, OI Docket No. 24-523, MD Docket No. 24-

(continued....)

requirement for SLTE owners and operators, with some opposed,³⁹ some in support,⁴⁰ and others supportive with exemptions for certain categories of SLTE, such as domestic owners and operators or SLTE owners and operators who already have a submarine cable license.⁴¹ Some commenters offered alternative proposals such as registration or notification requirements in lieu of establishing a licensing framework with routine conditions for SLTE owners and operators.⁴² Commenters offered feedback on additional routine conditions that we proposed to adopt for cable landing licenses.⁴³ Several commenters expressed support for our proposal to create a rule-based regulatory framework for mitigating national security concerns and even suggested that the Commission reassess its earlier grants of cable landing licenses that were conditioned on mitigation agreements.⁴⁴ The discussion below considers these and other comments and proposals received in the record.

III. SECOND REPORT AND ORDER

A. Discussion

1. SLTE Licensing Framework

524, at 10-17 (rec. Nov. 26, 2025) (Submarine Cable Coalition Comments); Telecommunications Industry Association, Comment, OI Docket No. 24-523, MD Docket No. 24-524, at 2-4, 6-7 (rec. Nov. 28, 2025) (TIA Comments).

³⁹ See e.g., TIA Comments at 7-10; ICC Comments at 22-24; ITI Comments at 2 (opposing SLTE licensing as “overly broad”); Microsoft Comments at 2, 7-8 (opposing SLTE licensing, proposing in the alternative notification and certification requirements); NASCA Comments at 7-14; Crosslake Fiber USA LP, Reply, OI Docket No. 24-523, MD Docket No. 24-524, at 1-7 (rec. Dec. 26, 2025) (CF USA Reply); Letter from Kent Bressie and Colleen Sechrest, Counsel for the North American Submarine Cable Association (NASCA), to Marlene H. Dortch, Secretary, FCC, OI Docket No. 24-523, MD Docket NO. 24-524, at 1-2 (filed Jan. 16, 2026) (NASCA *Ex Parte*).

⁴⁰ Letter from U.S. Department of Homeland Security, Office of Strategy, Policy, and Plans, to FCC, OI Docket No. 24-523, at 2-3 (filed Jan. 7, 2026) (DHS *Ex Parte*); Foundation for Defense of Democracies (FDD), Comments, OI Docket No. 24-523, MD Docket No. 24-524, at 3 (rec. Nov. 20, 2025); Anthropic *Ex Parte* at 9.

⁴¹ Submarine Cable Coalition Comments at 3-5 (supporting blanket licensing and also supporting an exemption for holders of submarine cable landing licenses); ATA Comments at 10-11 (proposing the Commission exempt SLTE attached to qualifying domestic cables from licensing); NCTA Comments at 1-5 (encouraging the Commission to direct its efforts towards SLTE owners and operators that are vulnerable to foreign access or influence and exempting trusted SLTE owners and operators from licensing and/or reporting requirements); Letter from Pamela Arluk, Vice President and Associate General Counsel, NCTA – The Internet & Television Association, to Marlene H. Dortch, Secretary, FCC, OIA Docket No. 24-523, MD Docket No. 24-524 at 1-2 (filed Aug. 1, 2025) (NCTA *Ex Parte*).

⁴² See e.g., ICC Comments at 28-29; Submarine Cable Coalition Comments at 5-7; Microsoft Comments at 11-12; NCTA Comments at 5-6 (supporting exemption of trusted domestic SLTE owner and operators from ongoing reporting or certification requirements, minimizing reporting burdens); INCOMPAS Reply at 3, 7-10; Letter from National Telecommunications and Information Administration (NTIA), to FCC, OI Docket No 24-523, at 3-7 (filed Feb. 27, 2026) (NTIA *Ex Parte*).

⁴³ See, e.g., ITI Comments at 3; ICC Comments at 15-18; Center for Cybersecurity Policy & Law (CCPL), Reply, OI Docket No. 24-523, MD Docket No. 24-524, at 5 (rec. Dec. 26, 2025) (CCPL Reply); TIA Comments at 5-6; Lockheed Martin Reply at 1 (supporting Commission sharing submarine cable landing license information with other federal agencies that authorize use of the deep seabed); International Connectivity Coalition (ICC), Reply, OI Docket No. 24-523, MD Docket No. 24-524, at 5-11 (rec. Dec. 24, 2025) at 8-9 (ICC Reply); DHS *Ex Parte* at 1-3; NTIA *Ex Parte* at 2-3.

⁴⁴ See, e.g., NASCA Comments at 27-28 (supporting standard, rule-based mitigation); Microsoft Comments at 20-22; ICC Comments at 11-12; CTIA Comments at 6-7; ICC Reply at 10; INCOMPAS Reply at 18-19.

7. We adopt a regulatory framework for SLTE owners and operators to execute our duties to protect national security under the Cable Landing License Act and Executive Order 10530.⁴⁵ As discussed below, we find it critical to include SLTE owners and operators as licensed entities on submarine cables landing in the United States. First, we find that the Cable Landing License Act and Executive Order 10530 authorize the Commission to regulate entities that own and/or operate SLTE on a submarine cable connecting to the United States. Second, we adopt a blanket license for SLTE owners and operators not otherwise currently licensed under our submarine cable rules. This blanket license approach combined with tailored routine conditions avoids imposing requirements comparable to current cable landing licensee rule requirements prior to the one-time information collection. Third, to protect national security and law enforcement interests, we exclude from the grant of this blanket license any entity that would not be qualified to hold a cable landing license under our presumptive disqualifying conditions.⁴⁶ Fourth, we require SLTE owners and operators to adhere to a subset of routine conditions for cable landing licensees, among other requirements, to comply with Commission rules and regulations, file annual section 43.82 circuit capacity reports,⁴⁷ and create, implement, and update cybersecurity and physical security risk management plans. Finally, for situations where submarine cables contain SLTEs that are owned and/or operated by foreign adversary-controlled entities and/or Covered List entities at the time the rules become effective, SLTE owners and operators must file an SLTE Foreign Adversary Annual Report. This annual reporting requirement will structure transparency tools to help the Commission maintain consistent oversight over submarine cable operations, including those SLTEs associated with foreign adversary interests. Our actions today are the initial steps in our application of the submarine cable licensing regime to SLTE owners and operators given the technological advancements in today's modern submarine cable systems. We anticipate conducting the one-time information collection adopted in the *2025 Submarine Cable First Report and Order*⁴⁸ in the future to further inform any future regulatory changes regarding SLTE.⁴⁹

a. Legal Authority to Regulate SLTEs

8. We adopt our tentative conclusion that the Cable Landing License Act and Executive Order 10530 authorize the Commission to regulate entities that own and/or operate SLTE on a submarine cable connecting to the United States⁵⁰ and such regulation is necessary to execute the Commission's duty to protect national security.⁵¹ As we recognized in the *2025 Submarine Cable First Report and Order*, SLTE is the necessary technical equipment that converts optical signals that traverse the submarine cable system into electrical signals to enter into the terrestrial networks in the United States and vice-versa.⁵² The SLTE thus performs the most critical function of a submarine cable system, turning a fiber optic cable into a communications facility. The SLTE locations define the beginning and endpoints of a

⁴⁵ Cable Landing License Act of May 27, 1921, Pub. L. No. 8, 67th Cong., ch. 12, § 1, 42 Stat. 8 (1921) (codified as amended at 47 U.S.C. §§ 34-39) (Cable Landing License Act); Executive Order 10530, sec. 5(a).

⁴⁶ 47 CFR §§ 1.70002(c), 1.70004(a).

⁴⁷ 47 CFR § 43.82.

⁴⁸ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6582-84, paras. 214-222.

⁴⁹ In section III.B, we further discuss the need for the regulatory action we take today. See *infra* section III.B. (Regulatory Impact Analysis).

⁵⁰ 47 U.S.C. §§ 34-39; see also *Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6591-93, paras. 241-244.

⁵¹ 47 U.S.C. §§ 35 (providing that licenses to land or operate submarine cables may be withheld or revoked when doing so “will promote the security of the United States”), 151 (stating that the FCC was created for purposes that include “the national defense” and “promoting safety of life and property through the use of wire and radio communications”); Executive Order 10530, sec. 5(a); see *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6591-92, paras. 241-244.

⁵² *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6530, n.298.

submarine cable system, identifying the international facility that connects to a terrestrial facility for purposes of the Cable Landing License Act. For this reason, we conclude that operation of SLTE is the operation of the submarine cable itself and implicates the Cable Landing License Act. As discussed above, we use the term “SLTE owners and operators” to refer to any entity that owns and/or operates SLTE on a submarine cable landing in the United States and is not a licensee under our current submarine cable licensing requirement.⁵³

9. In the *2025 Submarine Cable First Report and Order*, we took the first step and adopted a definition of a submarine cable system that recognizes SLTE as part of the submarine cable system.⁵⁴ Specifically, we defined the term “submarine cable system” as “a cable system that carries bidirectional data and voice telecommunications traffic consisting of one or more submarine cable(s) laid beneath the water, and all associated components that support the operation of the submarine cable system end-to-end, including the segments up to the system’s terrestrial terminations at one or more Submarine Line Terminal Equipment (SLTEs) as well as the transponders that convert optical signals to electrical signals and vice versa.”⁵⁵ As we explained in the *2025 Submarine Cable First Report and Order*, our definition ensures that a submarine cable system extends to and includes the SLTE.⁵⁶ Furthermore, the SLTE can be physically located in a cable landing station near the initial beach landing, or further inland within a data center. Thus, the SLTE can now be located beyond the point at which it was conventionally capable in the past, as we discuss further below.⁵⁷

10. In the *2025 Submarine Cable Further Notice*, we sought comment on our tentative conclusion that the Cable Landing License Act authorizes the Commission to regulate entities that own and/or operate SLTE, and explained that this interpretation is consistent with the statute, which requires a license to “land or operate” any “submarine cable” connecting to the United States.⁵⁸ We determined that an entity that owns or operates SLTE “operates” a significant component of the submarine cable system.⁵⁹ We noted that “[t]he ability to convert the telecommunications traffic optical signals to electrical signals and vice versa is simply not possible without equipment that performs that function.”⁶⁰ Further, we explained that SLTE allows an entity to exercise control over its own fiber, capacity, or spectrum on the

⁵³ See *supra* note 13. We use the term “SLTE owners and operators” to refer to any entity that owns and/or operates SLTE on a submarine cable system landing in the United States and that is not otherwise subject to our licensing requirement in section 1.767(h) or section 1.70003(a) and/or (b) as amended. 47 CFR § 1.767(h); *2025 Submarine Cable First Report and Order*, 40 FCC Rcd at 6637, Appx. A (§ 1.70003(a) and (b)). In the *2025 Submarine Cable First Report and Order*, we revised the Commission’s licensing requirement to require that, except as otherwise required by the Commission, the following entities, at a minimum, shall be applicants for, and licensees on, a cable landing license: (a) any entity that controls a cable landing station in the United States; and (b) all other entities owning or controlling a five percent (5%) or greater interest in the cable system and using the U.S. points of the cable system. *2025 Submarine Cable First Report and Order*, 40 FCC Rcd at 6529-30, 6637, paras. 82-83, Appx. A (§ 1.70003(a) and (b)). The new rule will be codified in 47 CFR § 1.70003(a) and (b) and is not yet effective. Here, we revise section 1.70003 by including in subsection (b) to require those entities that own and/or operate SLTE on a submarine cable landing in the United States and are not otherwise subject to the licensing requirement in section 1.70003(a) and/or (b), to become licensees. See *infra* Appx. A (§ 1.70003).

⁵⁴ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6524, para. 71; 47 CFR § 1.70001.

⁵⁵ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6524, para. 71; 47 CFR § 1.70001.

⁵⁶ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6524, para. 71.

⁵⁷ *Id.*

⁵⁸ 47 U.S.C. § 34; *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6591-92, para. 241.

⁵⁹ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6591-92, para. 241.

⁶⁰ *Id.* at 6592, para. 242.

submarine cable system—and, with the advent of open cable systems,⁶¹ submarine cable owners and operators now have the ability to pass on an important responsibility of “lighting the fiber” to certain customers who wish to control their traffic and technology, i.e. dark fiber IRU or lease holders.⁶² We stated that, given submarine cable systems are only functional with SLTE, regulating SLTE owners and operators is necessary to execute the Commission’s duties under the Cable Landing License Act and Executive Order 10530, including withholding or revoking a cable landing license where such action would “promote the security of the United States.”⁶³

11. Today, we conclude that entities that own and/or operate SLTE “land or operate” submarine cables within the meaning of the Cable Landing License Act, and thus, our adoption of a licensing requirement for SLTE owners and operators is consistent with the Commission’s licensing authority.⁶⁴ The Cable Landing License Act does not define the terms “land,” “operate,” or “submarine cable.” At the time 47 U.S.C. § 34 was enacted in 1921,⁶⁵ the ordinary meaning of the term “land” was defined as “to set on shore; capture and bring on shore.”⁶⁶ The ordinary meaning of the term “operate” was broadly defined as “to cause to perform certain work: as, to operate a machine.”⁶⁷ Thus, based on the plain language of the statute, and in light of the ordinary meaning of the terms at the time of enactment in 1921, it is clear that Congress did not intend to limit the reach of the Cable Landing License Act to those entities that “land” (i.e., “set on shore”) the submarine cable. By also using the term “operate” (i.e., “to cause to perform certain work”), the Cable Landing License Act also plainly applies to an entity that operates any part of the submarine cable infrastructure or operates any specified function, material or otherwise,⁶⁸ relating to a submarine cable.⁶⁹ Indeed, while Congress may have drafted the

⁶¹ *Id.* at 6592, para. 242 & n.769 (quoting Ciena, *Standardizing Open Submarine Cables* (Oct. 26, 2020), <https://www.ciena.com/insights/articles/standardizing-open-submarine-cables.html>) (*Standardizing Open Submarine Cables*); *Standardizing Open Submarine Cables* (“Open Cables provide operators with greater freedom of choice via a broader and more secure Submarine Line Terminal Equipment (SLTE) supply chain and the ability to select the very latest in modem technology, when and where it’s required.”).

⁶² *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6592, para. 242.

⁶³ *Id.* at 6593, para. 244 (quoting 47 U.S.C. § 35).

⁶⁴ 47 U.S.C. § 34.

⁶⁵ See *Food Mktg. Inst. v. Argus Leader Media*, 588 U.S. 427, 433-34 (2019); *Johnson v. Aljian*, 490 F.3d 778, 780 (9th Cir. 2007) (“[W]e follow the common practice of consulting dictionary definitions to clarify their ordinary meaning [] and look to how the terms were defined at the time [the statute] was adopted”).

⁶⁶ *Webster’s Home, School, and Office Dictionary* at 295 (1921), available at <https://archive.org/details/webstershomescho00webs/page/294/mode/2up>.

⁶⁷ *Webster’s Home, School, and Office Dictionary* at 351-352 (1921) (“to work; produce a certain effect; perform surgical operation: *v.t.* to cause to perform certain work: as, to *operate* a machine”), available at <https://archive.org/details/webstershomescho00webs/page/350/mode/2up>. See *FTC v. Tarriff*, 584 F.3d 1088, 1090 (D.C. Cir. 2009) (“It is fixed law that words of statutes or regulations must be given their ‘ordinary, contemporary, common meaning.’”). Black’s Law Dictionary defines “operate” as “[t]o direct, put into action, or maintain the functioning of, esp. by direct personal effort; to engage, use, and control (a machine, computer, equipment, etc.).”

⁶⁸ See also ITI Comments at 3 (“ITI recommends the Commission limit licensing obligations to entities with material operational control or system management authority, not passive investors, capacity users, co-located terminal equipment hosts, or customers who do not ‘land or operate’ cables within the meaning of the Cable Landing License Act.”).

⁶⁹ Prior to the statute’s enactment, federal law focused on protection of cables from harm but not on otherwise regulating their operation. See, e.g., 47 U.S.C. §§ 21-33; Convention for the Protection of Submarine Cables, Articles I and III, 24 Stat. 989, 1885 WL 17935 (May 22, 1885) (treaty applying “outside of the territorial waters, to all legally established submarine cables *landed* in the territories, colonies or possessions of one or more of the High Contracting Parties” with “High Contracting Parties agree[ing] to insist, as far as possible, when they shall authorize the *landing* of a submarine cable, upon suitable conditions of safety, both as regards the track of the cable and its

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statute back in 1921 with certain technology in mind, it crafted the statutory language more generally and in broad terms to address situations that might arise in the future. We thus apply the statute's requirements to the modern submarine cable system to effectuate congressional objectives, as plainly stated in the Cable Landing License Act.⁷⁰

12. To apply the Cable Landing License Act to today's modern submarine cables, it is fundamental to understand the submarine cable system and market. Modern submarine cables have evolved significantly since the Commission first issued rules in 2001, and technology will continue to evolve.⁷¹ As such, our regulations will need to keep pace to ensure that this critical infrastructure continues to "promote the security of the United States."⁷² In fact, the rapid technology changes have even continued to advance since the *2025 Submarine Cable First Report and Order*.⁷³ In light of the technological advancements of modern submarine cable systems, an entity that owns and/or operates SLTE can connect the United States with a foreign country or another portion of the United States, without having to build the underlying submarine cable infrastructure.⁷⁴ While some cable landing licensees may use the cable capacity themselves, licensees also sell or lease out capacity to other entities through two main contract types—short-term leases (1-5 years) or IRUs that can last 10 to 20 years to provide price certainty.⁷⁵ Licensees can offer "lit" wavelength services, where buyers purchase only the capacity, or sell "dark fiber," where the buyer can install its own SLTE to light the fiber and operate completely independently of the licensee.⁷⁶ In these arrangements, the buyer obtains the exclusive use of a portion of the fiber optic network (dark fiber IRU holders).⁷⁷ In exchange for an upfront payment for

dimensions") (emphasis added). In the 1921 Act, however, Congress decided to regulate those who "land" or "operate" the cable. 47 U.S.C. §§ 34-39.

⁷⁰ 47 U.S.C. § 35 (providing that a submarine cable landing license may be withheld or revoked after due notice and hearing when such action will assist in "securing rights for the landing or operation of cables in foreign countries, or in maintaining the rights or interests of the United States or of its citizens in foreign countries, or will promote the security of the United States") (emphasis added).

⁷¹ We observe that since we adopted the *2025 Submarine Cable First Report and Order*, subsequent reports acknowledge that the "bandwidth demand doubles every three years" and that "planned spending in submarine cable investment may reach \$4 billion annually through the late 2020s"—a 200 percent increase of the "current pace of \$2 billion annually." Lane Burdette, TeleGeography, *The Economics of Submarine Cables*, (Sept. 4, 2025) <https://resources.telegeography.com/the-economics-of-submarine-cables> (*Economics of Submarine Cables*)

⁷² 47 U.S.C. § 35.

⁷³ Since August 2025, for example, industry reports have announced plans for unprecedented levels of investment in new submarine cable infrastructure in response to the global surge in AI. See, e.g., Brian Quigley, Google, *Announcing America-India Connect and new investments to advance global AI access* (Feb. 18, 2026), <https://blog.google/intl/en-in/company-news/announcing-america-india-connect-and-new-investments-to-advance-global-ai-access/>; Magdalena Petrova, CNBC, *Amazon's new subsea internet cable Fastnet will have the capacity to stream 12.5 million HD movies simultaneously* (Nov. 4 2025), <https://www.cnbc.com/2025/11/04/amazon-building-fastnet-its-first-solo-subsea-cable-project.html>; Reuters, *Big Tech to invest about \$650 billion in AI in 2026, Bridgewater says* (Feb. 23, 2026), <https://www.reuters.com/business/big-tech-invest-about-650-billion-ai-2026-bridgewater-says-2026-02-23/>; Goldman Sachs, *Why AI Companies May Invest More than \$500 Billion in 2026* (Dec. 18, 2025), <https://www.goldmansachs.com/insights/articles/why-ai-companies-may-invest-more-than-500-billion-in-2026>.

⁷⁴ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6592-93, paras. 242-243 & n.773.

⁷⁵ *Economics of Submarine Cables*.

⁷⁶ *Id.*

⁷⁷ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6592-93, para. 243 & n.773; see National Telecommunications and Information Administration Reply, OI Docket No. 24-523, MD Docket No. 24-524 at 18-19 & n.65 (May 19, 2025) (Executive Branch Reply) ("Dark fiber is optical fiber not currently in use, called 'dark' because there is no light passing through it transmitting data. A licensee owner who does not need to

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the right to use the fiber and for ongoing costs for maintenance, repair, and operation of the submarine cable system itself, such dark fiber IRU holders have full responsibility for providing their own SLTE to light the dark fiber and operate their own fiber optic network,⁷⁸ including monitoring and routing the traffic.⁷⁹ Dark fiber IRU holders not only have the capacity but install their own SLTE that gives them the ability to operate their own submarine cable communications network to transit traffic in the U.S. and globally.

13. This is significant because with the advent of open cables, there can be multiple SLTEs deployed on one fiber alone. Dark fiber arrangements allow multiple entities other than the licensee(s) that own the underlying submarine cable infrastructure to own, control, and use specific SLTE at the ends of the submarine cable system. These entities can physically or logically access and control the SLTE to interconnect with their terrestrial networks to carry bidirectional data and voice telecommunications traffic.⁸⁰ Ciena states that “[m]any recent new cables have been built with a per-fiber pair ownership model allowing multiple cable systems owners to use different SLTE (including management systems) on their own fiber pairs.”⁸¹ Ciena adds that “[s]pectrum sharing within a fiber pair can also be supported [and] when the different owners want to upgrade, they can do so independently from the other owners.”⁸² An entity that owns and/or operates SLTE has the ability to control a core component of a submarine cable—i.e., its own fiber, capacity, or spectrum—through deployment of SLTE, and thus control its traffic and technology on the submarine cable system whether the purpose is to carry its own private communications or the communications of third parties.

14. Additionally, these dark fiber IRU holders also have the right to then resell this fiber or a portion of the fiber, capacity, or spectrum to other entities. The downstream customers can then lease existing SLTE or deploy their own SLTE for such operation.⁸³ Similarly, in the modern day, cable landing licensees may partition optical spectrum on a submarine cable fiber among different end-users such that each end-user may lease or deploy SLTE and operate its own “virtual fiber pair” on that physical fiber.⁸⁴ Consequently, such dark fiber, capacity, and/or spectrum sharing arrangements allow a

use its entire interest in the submarine cable for their own purposes may lease, swap, or grant a dark fiber IRU to another company allowing them to light, operate, and control SLTE or equivalent equipment on the unused ‘dark’ fiber.”).

⁷⁸ 2025 Submarine Cable First Report and Order and FNPRM, 40 FCC Rcd at 6592-93, para. 243 & n.773.

⁷⁹ See Executive Branch Reply at 18-19 (“Accordingly, this unlicensed entity may have access to the submarine cable and attach its own SLTE, or equivalent equipment, to the fiber, in its own facility to route its own U.S. communications traffic, all operated, monitored, and secured by its own Network Operations Center (NOC) and its own employees and service providers.”); *id.* at 19 & n.66 (citing *Coresite: Dark Fiber vs. Lit Fiber Networks Pros and Cons*, <https://www.coresite.com/blog/dark-fiber-vs-lit-fiber-networks-pros-and-cons> (*Dark Fiber vs. Lit Fiber Networks*)); *Dark Fiber vs. Lit Fiber Networks* (“In a dark fiber scenario, the organization acts as its own ISP. The business assumes all responsibility for purchasing, installing the equipment necessary to light the fiber at each end of the network, and for monitoring, managing and servicing all components of the network.”).

⁸⁰ 2025 Submarine Cable First Report and Order and FNPRM, 40 FCC Rcd at 6530, para. 84; Ciena, Open Submarine Cables Handbook, at 4, https://www.ciena.com/_data/assets/pdf_file/0013/29011/Open_Submarine_Cables_Ebook.pdf [<https://perma.cc/2DSL-HLFQ>] (Ciena Open Submarine Cables Handbook) (“Apart from increased competition for the SLTE supply and deployment of the latest SLTE technology, the open cable model is also more adapted to new business models by providing multiple system owners more independence.”).

⁸¹ Ciena Open Submarine Cables Handbook at 4.

⁸² *Id.*

⁸³ See 2025 Submarine Cable First Report and Order and FNPRM, 40 FCC Rcd at 6592-93, para. 243 & n.773.

⁸⁴ See Executive Branch Reply at 18-19 & n.65 (“Similarly, spectrum sharing is the logical partitioning of optical spectrum on a submarine cable fiber for different interest holders, such that each end-user may operate its own

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number of entities to own and/or operate SLTE in order to operate its own submarine cable communications network connecting the United States with a foreign country or another portion of the United States, without directly building or owning the underlying infrastructure.⁸⁵

15. To effectuate Congress’s objectives, we apply the plain language of the statute and apply the dictionary definition of each term to determine how best to regulate the landing and operation of submarine cables as technology has evolved over time. Based on the SLTE function, we find that entities that own and/or operate SLTE “land or operate” a submarine cable within the meaning of 47 U.S.C. § 34. We note that our interpretation of “operate” is consistent with other analogous contexts where the Commission has applied this term. One federal court has found that competitive local exchange carriers “operate” a fiber-optic cable or comparable transmission by activating dark fiber with its own equipment as that term is used in section 51.5 of the Commission’s rules.⁸⁶ In that case, the Third Circuit agreed with the Commission’s determination that those entities’ control over the dark fiber strands’ activation constitutes “operation” of a fiber-optic cable or comparable transmission facility.⁸⁷ In another case, a federal court interpreted the term “operate” as used to define a fiber-based collocator in section 51.5 of the Commission’s rules⁸⁸ as requiring “some level of control or management over the fiber-optic cable or facility in question.”⁸⁹ Here, we find that entities that own or control SLTE, or do both, have the ability to control their own fiber, capacity, or spectrum on a submarine cable system through deployment of SLTE, and thus to that extent, “land or operate” a submarine cable within the meaning of 47 U.S.C. § 34.⁹⁰

16. We also make this determination both where an entity owns the SLTE and owns or leases the underlying fiber, capacity, or spectrum, as well as where an entity may own an SLTE and leases it to an entity that has underlying fiber, capacity, or spectrum. In such cases, the SLTE owner may retain the ability to access, monitor, and control the communications traffic that is routed by its SLTE on the specific fiber-optic network.⁹¹ In an analogous context with respect to facilities-based carriers, the

‘virtual fiber pair’ and SLTE or equivalent equipment.”) (citing Harry Newton, Newton’s Telecom Dictionary 32nd Updated and Expanded Edition (2021), 384; Ciena, *What is spectrum sharing?*, <https://www.ciena.com/insights/what-is/What-Is-Spectrum-Sharing.html> (*What is spectrum sharing?*)); Trans Americas Fiber, *Optimizing Network Capacity Through Shared Spectrum Solutions* (Mar. 5, 2025), <https://transamericasfiber.com/2025/03/05/the-future-of-undersea-connectivity-optimizing-network-capacity-through-shared-spectrum-solutions/>; *What is spectrum sharing?* (“In addition to enabling greater Submarine Line Terminating Equipment (SLTE) choice to end-users, a key benefit of Spectrum Sharing is the ability to take advantage of rapid advancements in SLTE modem technology. With Spectrum Sharing, end-users can enjoy the flexibility to increase the capacity of their optical spectrum partition with upgraded SLTE technology at any point in the future.”).

⁸⁵ 2025 Submarine Cable First Report and Order and FNPRM, 40 FCC Rcd at 6592-93, paras. 242-243 & n.773.

⁸⁶ See *Verizon Pennsylvania Inc. v. Pennsylvania Pub. Util. Com’n*, 484 Fed. Appx. 735, 742 (3rd Cir. 2012).

⁸⁷ *Id.* at 741-742.

⁸⁸ 47 CFR § 51.5 (defining a “fiber-based collocator” as “any carrier, unaffiliated with the incumbent LEC, that maintains a collocation arrangement in an incumbent LEC wire center, with active electrical power supply, and operates a fiber-optic cable or comparable transmission facility” that meets criteria under subsections (1) through (3)).

⁸⁹ See *Indiana Bell Telephone Co. v. Hardy*, 618 F. Supp. 2d 936, 939-40 (S.D. Ind. 2009) (noting that the ordinary definition of “operate” includes the phrases “to cause or direct the functioning of; to control the working of” and “to manage, to direct the operation of.”) (citing The Oxford English Dictionary).

⁹⁰ 47 U.S.C. § 34.

⁹¹ See Executive Branch Reply at 18-19 (“[T]his unlicensed entity may have access to the submarine cable and attach its own SLTE, or equivalent equipment, to the fiber, in its own facility to route its own U.S. communications traffic, all operated, monitored, and secured by its own Network Operations Center (NOC) and its own employees and service providers . . . A foreign adversary-controlled non-licensee entity that owns, controls, or operates its own SLTE, or equivalent equipment, on a submarine cable landing in the United States may have connectivity

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Commission recognized that a switch-based reseller lacking its own facilities does not have the ability to track calls to completion on the underlying facilities-based carrier's network and thus required the facilities-based carrier to have responsibilities and track or arrange for tracking of compensable calls.⁹² The Commission recognized, for instance, that the facilities-based carrier "is reasonably certain to have access to the information necessary for per-call tracking."⁹³ The SLTE owner that leases out the SLTE still has responsibility over the equipment and underlying facility that is connected to the underlying fiber and its capacity and optical spectrum. For example, the SLTE owner can upgrade the SLTE that could give access to foreign adversary-controlled entities, and in times of emergencies, can view, control, or even stop communications traffic. Similar to a facilities-based carrier, the owner of the SLTE retains administrative, physical, or remote control functions over the SLTE and the communications traffic that traverses the facility. The SLTE owner thus retains control over the operation of this significant facility that must remain secure for the safety of the United States, notwithstanding the contractual limits of the SLTE owner's relationship and agreement with the lessee whereby the lessee (or further downstream, the lessor) may deploy the SLTE.⁹⁴

17. We assert our authority under the Cable Landing License Act and find that owners and operators of SLTE, the equipment that converts optical signals to electrical signals and vice versa, have the ability to control the performance of one of the most essential functions of a submarine cable and therefore should be included among those who "operate" the cable. We acknowledge that this function is currently achieved by owners and/or operators of SLTE, whether or not they are currently also submarine cable landing licensees. Given today's modern submarine cable systems and their capabilities, in order to fulfill our legal mandate under the Cable Landing License Act and Executive Order 10530, it is essential that we assert jurisdiction over SLTE owners and operators to protect the integrity and resilience of this critical infrastructure and promote national security.

18. As discussed above, where the submarine cable begins and ends is from the SLTE to the SLTE. One report states that SLTE "terminates the optical fiber" and is "the first step in extending data traffic from the intercontinental subsea network to the domestic terrestrial network."⁹⁵ The demarcation point is where the SLTE converts "the telecommunications traffic optical signals to electrical signals."⁹⁶ The SLTE is the equipment that moves bidirectional data and voice telecommunications traffic from the submarine cable to the terrestrial system on both ends.⁹⁷ While the concept of a submarine cable that

comparable to operating their own communications cable to the United States without a license, or any regulatory review, mitigation, or monitoring for national security or law enforcement risk.") (emphasis added). In contrast to an entity that merely owns the cable landing station or data center that hosts the SLTE, for example, the SLTE owner has the capability as the owner of the technology to physically or logically access the SLTE and the communications traffic.

⁹² *The Pay Telephone Reclassification and Compensation Provisions of the Telecommunications Act of 1996 et al.*, CC Docket No. 96-128 and NSD File No. L-99-34, Third Order on Reconsideration and Order on Clarification, 16 FCC Rcd 20922 (2001).

⁹³ *Id.* at 20925, para. 10 ("In making the first [interexchange carrier (IXC)] responsible for compensating the [payphone service provider], the Commission determined that the first IXC is reasonably certain to have access to the information necessary for per-call tracking or to be able to arrange for per-call tracking in its arrangements with [switch-based resellers] that complete the calls.").

⁹⁴ SLTE is also identified as principal equipment for purposes of the routine conditions we adopt in section III.B. As discussed below, licensees whose application for a cable landing license is filed and granted after the effective date of the new rules must ensure that no principal equipment that is produced by a foreign adversary-controlled entity is used or added on their licensed submarine cable system. See *infra* section III.A.2.a.i.

⁹⁵ Andy Castle and Niles Nawale, *What is a Cable Landing Station?*, Equinix (Oct. 15, 2024), <https://blog.equinix.com/blog/2024/10/15/what-is-a-cable-landing-station/>.

⁹⁶ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6592, para. 242.

⁹⁷ *Id.*

physically begins and lands on the beach landing may have been appropriate in 1921, in light of today's technology, the beach landing is no longer the sole physical connection to the terrestrial network. In fact, the SLTE may be physically located in data centers further inland in the United States, and the evolution in technology has allowed for this transformation.

19. In response to the *2025 Submarine Cable Further Notice*, commenters offered their interpretation of the statutory language in 47 U.S.C. § 34.⁹⁸ Some commenters argue that SLTE owners and operators do not operate the submarine cable system.⁹⁹ Several commenters argue that entities that own or operate SLTE are typically unlicensed third-party entities that do not operate the underlying submarine cable system as a whole.¹⁰⁰ For example, ICC states that “[t]hird-party SLTEs are physically and logically separated from the cable system, such that they can only affect their own traffic that flows over the fiber pair.”¹⁰¹ INCOMPAS asserts that a “customer’s terminal equipment” is “an independent transmission facility” and that “the mere ability to operate SLTE and exercise control over capacity on a subsea cable does not enable operation or control over any other portion of the system.”¹⁰² TIA states that SLTE owners and operators “are often independent entities” and that “[m]any of these SLTEs have no ownership interest or maintain no operational control over the subsea cable systems that they are integrated into.”¹⁰³

20. Some commenters argue that the operations of SLTE owners and operators are constrained to their respective fiber pair or wavelength and thus cannot affect other SLTE owners and operators or the underlying submarine cable system.¹⁰⁴ Still other commenters interpret that the Commission’s authority does not extend to operating terminal equipment such as SLTE.¹⁰⁵ TIA adds that “[n]othing in the text of the Act suggests Congress intended to extend licensing obligations to cable system components that do not involve landing or operating the system.”¹⁰⁶ ITI states that the Commission should “limit licensing obligations to entities with material operational control or system

⁹⁸ See 47 U.S.C. § 34.

⁹⁹ See, e.g., ICC Comments at 23 (“[I]n no sense do third-party SLTE arrangements with cable operators ‘land’ or ‘operate’ submarine cables.”); TIA Comments at 8 (“Nothing in the text of the Act suggests Congress intended to extend licensing obligations to cable system components that do not involve landing or operating the system.”); ITI Comments at 2 (“We disagree with the Commission’s assertion that ‘an entity that owns or operates SLTE operates a significant component of the submarine cable system,’ thus subjecting such entities to the licensing requirements of the Cable Landing License Act for entities that ‘land or operate’ a cable system.”); INCOMPAS Reply at 4 (“A blanket license regime on SLTE owners and operators exceeds the Commission’s statutory authority because owning an SLTE is not the equivalent of owning and operating a submarine cable system.”); Microsoft Comments at 2 (“[T]he Cable Landing License Act and Executive Order 10530 do not grant the Commission jurisdiction over SLTE ownership and operation independent of a submarine cable system. Ownership and operation of SLTE is not the equivalent of ownership and operation of the submarine cable itself.”); NASCA Comments at 2-3 (“SLTE ownership and operation is not the equivalent of ownership and operation of the submarine cable itself, irrespective of how the Commission chose to define a system.”).

¹⁰⁰ See, e.g., ICC Comments at 23; TIA Comments at 8; ITI Comments at 2; INCOMPAS Reply at 4-5; Microsoft Comments at 3, 8; NASCA Comments at 2-3.

¹⁰¹ ICC Comments at 23.

¹⁰² INCOMPAS Reply at 4-5.

¹⁰³ TIA Comments at 8.

¹⁰⁴ Microsoft Comments at 9; INCOMPAS Reply at 4-5.

¹⁰⁵ TIA Comments at 8; INCOMPAS Reply at 4-5.

¹⁰⁶ TIA Comments at 8.

management authority.”¹⁰⁷ On the other hand, the U.S. Department of Homeland Security (DHS) explains that “SLTE owners, regardless of their interest in the larger cable system, are fundamentally involved in the operation of the cable and can install equipment that may affect a cable’s operation.”¹⁰⁸ In comments responding to the Commission’s *Submarine Cable NPRM*, the Committee for the Assessment of Foreign Participation in the United States Telecommunications Services Sector (Team Telecom or Committee)¹⁰⁹ encouraged the Commission to impose a range of requirements on SLTE owners and operators, noting that an “entity that owns, controls, or operates its own SLTE, or equivalent equipment, on a submarine cable landing in the United States may have connectivity comparable to operating their own communications cable to the United States.”¹¹⁰

21. We reject interpretations of the statute that would exclude entities that are fundamentally involved in the operation of a submarine cable or that are operating a core component of the submarine cable and land the submarine cable from end to end. As discussed above, neither the plain language of 47 U.S.C. § 34 nor the ordinary and common meaning of the term “operate” supports the narrow reading of the statute proposed by commenters. There is no basis in the plain text of 47 U.S.C. § 34 to read “operate in the United States any submarine cable” as inclusive of *only* those operational functions that “manage the cable system as a whole,”¹¹¹ or “provide or consume infrastructure through . . . telecom operations” as opposed to “commercial arrangements,”¹¹² or “enable operation or control over any other portion of the system” or “the broader operations of a cable.”¹¹³ No such limiting language is contained in the statutory text. The text of the Cable Landing License Act of 1921 reflects that Congress made no distinction

¹⁰⁷ ITI Comments at 3 (“ITI recommends the Commission limit licensing obligations to entities with material operational control or system management authority, not passive investors, capacity users, co-located terminal equipment hosts, or customers who do not ‘land or operate’ cables within the meaning of the Cable Landing License Act.”).

¹⁰⁸ DHS *Ex Parte* at 2; *see also* Executive Branch Reply at 15.

¹⁰⁹ *See supra* note 14.

¹¹⁰ Executive Branch Reply at 19.

¹¹¹ ITI Comments at 2.

¹¹² *Id.* Moreover, contrary to ITI’s suggestion that the applicability of 47 U.S.C. § 34 is limited to telecommunications operations, the Commission has determined that the provisions of the Cable Landing License Act “do not distinguish between common carriage and non-common carriage of services over licensed cables.” *Reporting Requirements for U.S. Providers of International Telecommunications Services; Amendment of Part 43 of the Commission’s Rules*, IB Docket No. 04-112, Second Report and Order, 28 FCC Rcd 575, 606, para. 104 (2013); *Reporting Requirements for U.S. Providers of International Telecommunications Services; Amendment of Part 43 of the Commission’s Rules*, IB Docket No. 04-112, First Report and Order and Further Notice of Proposed Rulemaking, 26 FCC Rcd 7274, 7317, para. 124 (2011). Further, TeleGeography reports that, “[a]s recently as 2016, internet backbone providers accounted for the majority of demand.” Alan Mauldin, *Used International Bandwidth Reaches New Heights*, Blog, TeleGeography (May 12, 2024), <https://blog.telegeography.com/used-international-bandwidth-reaches-new-heights>; 2024 *Submarine Cable NPRM*, 39 FCC Rcd at 12764, n.195. In addition, TeleGeography reports that, “a handful of major content and cloud service providers—namely Google, Facebook, Amazon, and Microsoft—have become the primary sources of demand. As of 2020, these companies are the dominant users of international bandwidth, accounting for two-thirds of all used international capacity.” TeleGeography, *The State of the Network* at 4 (2022 ed.), <https://www2.telegeography.com/hubfs/LP-Assets/Ebooks/state-of-the-network-2022.pdf>; *see* Vish Iyer, CISCO, *The Subsea Cables Powering AI, Cloud, and the Digital Economy* (Dec. 2, 2025), <https://news-blogs.cisco.com/apjc/2025/12/02/the-subsea-cables-powering-ai-cloud-and-the-digital-economy/> (“A decade ago, telecom consortiums were the primary owners of this infrastructure. Today, hyperscale cloud providers have taken the helm, spending billions to directly link their global compute facilities.”).

¹¹³ INCOMPAS Reply at 4-5.

between landing and operation of a submarine cable for purposes of when a license is required.¹¹⁴ Nor did Congress inquire into operation of only portions of a submarine cable, and instead, viewed all operation of a submarine cable holistically.¹¹⁵ We thus find that SLTEs are fundamentally involved in and a core component of the operation of a submarine cable.

22. Moreover, we are unpersuaded by arguments that the Commission lacks jurisdiction because “[o]wnership and operation of SLTE is not the equivalent of ownership and operation of the submarine cable itself.”¹¹⁶ As discussed, the SLTE allows a submarine cable to interconnect to terrestrial facilities in the United States,¹¹⁷ and as such, enables entities that own and/or operate this core component of the submarine cable system to operate their own fiber-optic network within the system. For this reason we also disagree with arguments that “third-party SLTEs” are independent or separate from the submarine cable system¹¹⁸ and have “no operational control” over the “cable systems that they are integrated into.”¹¹⁹ Our finding is also consistent with our definition of a submarine cable system in section 1.70001(h), which recognizes that the system itself consists of one or more submarine cables laid beneath the water and all associated components that support the operation of the submarine cable system end-to-end.¹²⁰ In light of the rapidly evolving spike in demand for new uses that the submarine cable can support, our current view is that it is essential for the Commission to regulate SLTEs to appropriately protect national security interests and to further refine our rules after the one-time information collection. SLTEs could be compromised through access by foreign adversaries or through consistently evolving technology. Today, access to the submarine cable system is no longer limited to traditional submarine cable landing licensees but can also be accessed by additional and distinct entities.

¹¹⁴ 47 U.S.C. § 34 (Licenses for “landing or operating” cables); *see also* Staff of H. Comm. on Interstate and Foreign Commerce, 67th Congress, Rep. on S.535, *Unauthorized Landing of Submarine Cables in the United States*, at 1, 4 (May 16, 1921) (House Committee Report) (recommending amendments to the draft bill to change “To prevent the unauthorized landing” to “Relating to the landing and operation.”).

¹¹⁵ *See* House Committee Report at 1 (“Speaking broadly, the purpose of the bill is to grant to the President of the United States the power to prevent the unauthorized landing of high seas submarine cables on the shores of the United States, to issue written licenses to land or operate such cables, to withhold or revoke such licenses, and to cause the removal of any such cables which are being operated in violation of the provisions of the bill.”); Cable-Landing Licenses: Hearing on S.535 Before the H. Comm. on Interstate and Foreign Commerce, 67th Cong. 17-20 (1921). The same sponsor of the Cable Landing License Act introduced a very similar bill in the previous Congress, except this earlier iteration of the concept omitted the language “land or operate,” instead proposing to only require a license to “land” a submarine cable, which suggests that Congress’ approach evolved to treat landing and operation of a submarine cable similarly for the statutory purpose with respect to when a license is necessary. S. 4301, 66th Cong. § 1 (1920) (as introduced to the Senate by Sen. Kellogg, future sponsor of the Senate version of the Cable Landing License Act).

¹¹⁶ Microsoft Comments at 2; NASCA Comments at 2-3; *see* TIA Comments at 8. *But see* DHS *Ex Parte* at 2 (“SLTE owners, regardless of their interest in the larger cable system, are fundamentally involved in the operation of the cable and can install equipment that may affect a cable’s operation.”); Executive Branch Reply at 19 (“A foreign adversary-controlled non-licensee entity that owns, controls, or operates its own SLTE, or equivalent equipment, on a submarine cable landing in the United States may have connectivity comparable to operating their own communications cable to the United States without a license, or any regulatory review, mitigation, or monitoring for national security or law enforcement risk.”).

¹¹⁷ 2024 *Submarine Cable NPRM*, 39 FCC Rcd at 12750, para. 25.

¹¹⁸ ICC Comments at 23; Microsoft Comments at 9; INCOMPAS Reply at 4-5.

¹¹⁹ TIA Comments at 8.

¹²⁰ 47 CFR § 1.70001(h).

23. Rather, we believe that our interpretation of the term “operate” best effectuates the statutory purpose as reflected in the plain language,¹²¹ which includes the ability to “promote the security of the United States, or . . . to assure just and reasonable rates and service in the operation and use of cables so licensed.”¹²² Commenters’ arguments fail to refute our tentative conclusion in the *2025 Submarine Cable Further Notice* concerning the ability of an entity that owns and/or operates SLTE to operate a submarine cable in light of the range of technological advancements of submarine cable systems in the present day. For example, as we stated in the *2025 Submarine Cable Further Notice*, the Committee explained that entities with dark fiber IRUs that deploy their own SLTE could be foreign adversary-controlled landing parties, telecommunications companies, and governments with interest, access, and control over the fiber, capacity, or spectrum for the “entire life of the cable.”¹²³ The Committee has explained that entities that own or operate their own SLTE on a submarine cable landing in the United States “may have connectivity comparable to operating their own communications cable to the United States,”¹²⁴ as those entities can route their own traffic on the submarine cable.¹²⁵ Based on the SLTE function, SLTE owners and operators have the ability to operate a significant component of the submarine cable system and thus to that extent “operate” a submarine cable within the meaning of 47 U.S.C. § 34. The ability to own or operate the *entire* submarine cable infrastructure is not necessary to be deemed an operator of a submarine cable within the meaning of the statute. As such, we find that SLTE owners and operators fit within the Cable Landing License Act as operators of a submarine cable system.

24. Thus, if we were not to assume authority over SLTE owners and operators, any entity that owns and/or operates SLTE would be able to operate its own communications service and lease capacity to other entities over a submarine cable without Commission review and without having obtained a cable landing license, which is a significant national security risk. We recognize there are and could be multiple entities that, through the resale market, currently pose a significant risk to the United States. This lack of review prior to operating leaves a national security gap where foreign adversary-controlled entities may operate undetected for a considerable length of time, if detected at all. One commenter explains that ownership or control of SLTEs by foreign adversary-controlled entities present

¹²¹ See, e.g., *John Hancock Mut. Life Ins. Co. v. Harris Tr. & Sav. Bank*, 510 U.S. 86, 94-95 (1993) (examining “first the language of the governing statute,” guided by “‘look[ing] to the provisions of the whole law, and to its object and policy’” to interpret meaning of statutory term) (citation omitted).

¹²² 47 U.S.C. § 35.

¹²³ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6592-93, para. 243 (quoting Executive Branch Reply at 19).

¹²⁴ Executive Branch Reply at 19.

¹²⁵ Letter from Devin A. DeBacker, Chief, Department of Justice, National Security Division, Foreign Investment Review Section, to Marlene H. Dortch, Secretary, FCC, OI Docket No. 24-523, MD Docket No. 24-524, at 2 (filed July 14, 2025) (Committee *Ex Parte*).

vulnerabilities and threats, including physical disruption,¹²⁶ service manipulation,¹²⁷ active attacks,¹²⁸ and access to and interception of unencrypted traffic.¹²⁹

25. From a national security standpoint, licensing SLTE owners and operators directly is superior to more indirect or streamlined options described in the record given what an integral role SLTE has within the submarine cable ecosystem, the different types of equipment that are necessary to operate the submarine cable and avoid disruptions or other harms to the cable, and the accelerated pace at which both the technology relating to the equipment and its potential uses, such as AI applications, are evolving. For example, NTIA recommends, for economic policy reasons, that the Commission consider “limiting principles in any new requirements on SLTE owners,” while still achieving security objectives, including grandfather clauses, a notification regime, or developing a “trusted vendor” safe harbor.¹³⁰ We find, however, that imposing a notification requirement for all SLTE owners and operators would be impractical to enforce, would have limited efficacy absent a licensing requirement that subjects the entities to compliance with Commission rules. Moreover, we are concerned with the national security risks presented by allowing foreign adversary-controlled SLTE owners and operators to operate a submarine cable connecting to the United States and exclude such entities from our grant of a blanket license in prescribed circumstances as set forth below. Importantly, granting a blanket license to SLTE owners and operators and not prescribing substantial reporting requirements results in a less burdensome regulatory environment than requiring notification. A grandfather clause or notification regime by itself would not allow us to accomplish these critical national security objectives that we find is required by our statutory obligation to “promote the security of the United States.”¹³¹ Additionally, as we discuss below, we also find it premature to adopt a “trusted vendor” safe harbor and differing licensing obligations for differing SLTE owners and operators, but reserve the opportunity to consider options after the benefit of the one-time information collection. Overall, we find that our licensing approach for SLTE owners and operators allows a more efficient and streamlined process for authorizing their ownership and operation of SLTE than these alternative options.

¹²⁶ Anthropic *Ex Parte* at 3 (“Adversarial SLTE or fiber owners could selectively deny service, degrade performance, or power down infrastructure supporting AI workloads.”). In contrast, ICC argues that “[t]his assertion is incorrect as a technical and operational matter.” Letter from Elaine Albrich and Maria Browne, International Connectivity Coalition, to Marlene H. Dortch, Secretary, FCC, OI Docket No. 24-523, MD Docket 24-524, at 2 (filed May 27, 2026) (ICC May 27, 2026 *Ex Parte* Letter); *id.* (stating, “the functions Anthropic describes occur at higher network layers beyond the control of the submarine cable system itself. Routing, traffic prioritization, and throttling decisions are executed within terrestrial networks and service provider routing infrastructure, not within submerged cable systems or their terminal equipment.”). We agree these features can be done at higher layers in terrestrial networks. However, the vulnerabilities and risks generally described by Anthropic can also apply to SLTEs that operate at layers 1 and 2. We note that ROADM-based SLTEs can “facilitate . . . traffic rerouting through terrestrial networks” through lower layers, and thus can be potentially exploited in malicious ways by foreign adversaries. See Infinity, *Transforming Global Connectivity With Nokia’s Subsea Solutions* (Jan. 15, 2025), <https://infinitytdc.com/global-connectivity-nokia-subsea/>.

¹²⁷ Anthropic *Ex Parte* at 3 (“Prioritization, throttling, or routing changes could degrade performance below workload requirements without complete service denial.”).

¹²⁸ *Id.* (“Operational control of SLTE infrastructure, in particular, by entities of countries identified at 15 C.F.R. 791.4 may create opportunities for active attacks that encryption alone cannot fully mitigate.”).

¹²⁹ *Id.* (stating that “[o]wnership or operation can provide entities direct access to unencrypted traffic—and potential access to encryption keys or decrypted traffic even when link-layer encryption is deployed (as link-layer encryption, commonly deployed for data center interconnects, only protects data between SLTE endpoints),” and also noting that fiber ownership facilitates physical access to fiber pairs which in turn “enables passive interception” of unencrypted traffic).

¹³⁰ NTIA *Ex Parte* at 3-4.

¹³¹ 47 U.S.C. § 35.

26. Even if we were not to conclude that SLTE owners and operators must be submarine cable landing licensees by virtue of their ability to operate the submarine cable, we would choose to require cable landing licensees to track and seek approval for allowing ownership and operation of SLTE in substantively equivalent ways.¹³² For all of the reasons discussed above, doing so would be consistent with our authority “to issue, withhold, or revoke licenses to land or operate submarine cables in the United States”¹³³ because doing so “will assist in securing rights for the landing or operation of cables in foreign countries, or in maintaining the rights or interests of the United States or of its citizens in foreign countries, or will promote the security of the United States.”¹³⁴

27. Therefore, we find that the Cable Landing License Act authorizes the Commission to regulate SLTE owners and operators through a licensing requirement. Although the statutory framework remains the same as 20 years ago, we consider that technological advancement in the submarine cable and SLTE markets, as well as additional use cases for submarine cables, give SLTE owners and/or operators an integral role in the landing and operation of submarine cables, as contemplated by the Cable Landing License Act. Our framework is consistent with the Commission’s statutory authority that allows us to apply the statute to modern-day business models, industry developments, and technological advancements.

b. Licensing and Blanket Authority for SLTE Owners and Operators

28. We adopt our proposal and require any entity that owns and/or operates SLTE on a submarine cable landing in the United States to have a license under the Cable Landing License Act.¹³⁵ To tailor our rules to balance national security concerns with the burden on licensees, we grant a blanket license to any current and future SLTE owner and operator that is not otherwise subject to the exceptions discussed below.¹³⁶ In the *2025 Submarine Cable Further Notice*, we proposed to adopt a rule that would require any entity that owns or operates SLTE to become a licensee, specifically by grant of a blanket license subject to exceptions and certain conditions.¹³⁷ We proposed to grant a blanket license to SLTE owners and operators and recognized that SLTE owners and operators *may be different entities* from the cable owners and operators that are required to be applicants/licensees under our rules.¹³⁸ The record reflects that SLTE owners and operators may also be distinct from one another and from the owners and operators of the fiber portion. To account for the potentially distinct classes of entities that may “operate” a submarine cable, whether directly, indirectly, or by being so functionally integrated with the submarine cable as to be indispensable to its operation, we revise section 1.70003 to require all entities that own or operate SLTE shall be licensees on a cable landing license, that are not already required to be an applicant for a license or are already a licensee under license under section 1.767(h) or section 1.70003(a)(1) or (a)(2) as amended.¹³⁹

¹³² As described in greater detail below, we adopt an SLTE Foreign Adversary Annual Report requirement for certain circumstances but defer consideration and adoption of a requirement to obtain prior approval for transfers of control and assignments and reserve the option to adopt such a requirement after the one-time information collection.

¹³³ Executive Order 10530, sec. 5(a).

¹³⁴ 47 U.S.C. § 35.

¹³⁵ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6591, para. 240.

¹³⁶ *Id.* at 6594, para. 245; *see infra* Appx. A (§ 1.70003(a)-(b)).

¹³⁷ *See 2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6591-99, paras. 240-261.

¹³⁸ *See id.* at 6594, para. 245 (emphasis added) (citing 47 CFR § 1.767(h), and referring to the amended 47 CFR § 1.70003).

¹³⁹ *See supra* note 53; 47 CFR § 1.767(h); *see infra* Appx. A (§ 1.70003(a)(1)-(2)); *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6659, Appx. B (§ 1.70003).

29. Commenters expressed strong concerns related to national security that support adopting a licensing requirement for SLTE owners and operators. As we noted in the *2025 Submarine Cable Further Notice*, the Committee previously explained that an unlicensed entity with dark fiber IRUs and its own SLTE could be foreign adversary-controlled landing parties, telecommunications companies, and governments with interest, access, and control over the fiber, capacity, or spectrum for the “entire life of the cable.”¹⁴⁰ The Committee adds that foreign adversary-controlled entities “may effectively operate a cable but escape from all licensing, regulatory review, mitigation, and monitoring requirements” which thereby “allow[s] an adversary to intercept or misroute U.S. persons’ communications and sensitive data transiting the cable, posing a serious counterintelligence risk.”¹⁴¹ Further, Anthropic states that ownership or control of SLTEs and fibers by foreign adversary-controlled entities present vulnerabilities and threats, including physical disruption,¹⁴² service manipulation,¹⁴³ active attacks,¹⁴⁴ and access to and interception of unencrypted traffic.¹⁴⁵ Anthropic supports licensing and proposes certain additional requirements of “SLTE licensees” to further address risks associated with ownership or control of third-party service providers.¹⁴⁶ FDD states that any entity that owns or operates SLTE should be required to become a licensee to “ensure that any entity that has a significant stake in the construction, operation, maintenance, and continuity of submarine cables falls under the Commission’s jurisdiction and becomes subject to critical national security regulations.”¹⁴⁷ Though NTIA recommends a different approach, NTIA “recognizes the security benefits the Commission would gain by including SLTE owners and operators as licensees.”¹⁴⁸

30. However, other commenters argue that adopting a licensing requirement for SLTE owners and operators is unnecessary to address national security risks presented by SLTEs in light of the Commission’s regulatory actions in the *2025 Submarine Cable First Report and Order*. INCOMPAS, CF USA, and Microsoft assert that the Commission has already addressed the risks by adopting a routine

¹⁴⁰ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6592-93, para. 243 (citing Executive Branch Reply at 19). The Committee explained that an entity with a dark fiber interest in a submarine cable “typically is responsible for ‘lighting’ its own dark fiber or spectrum” and may “attach its own SLTE, or equivalent equipment, to the fiber, in its own facility to route its own U.S. communications traffic, all operated, monitored, and secured by its own network operations center (NOC) and its own employees and service providers.” *Id.* at 6577, para. 201 (citing Executive Branch Reply at 18-19).

¹⁴¹ Committee *Ex Parte* at 2 (“The Committee had this threat in mind when it recommended that the FCC deny a proposed expansion of the ARCOS-1 cable system to add a segment between the United States and Cuba due to concerns it would advance the Cuban government’s intelligence objectives through the state-owned entity that would be an IRU customer on the new segment.”); see Recommendation of the Committee for the Assessment of Foreign Participation in the U.S. Telecommunications Services Sector to Deny the Application, ICFS File No. SCL-MOD-20210928-00039, at 14-15 (filed Nov. 29, 2022) (ARCOS-1 Recommendation).

¹⁴² Anthropic *Ex Parte* at 3 (“Adversarial SLTE or fiber owners could selectively deny service, degrade performance, or power down infrastructure supporting AI workloads.”).

¹⁴³ *Id.* (“Prioritization, throttling, or routing changes could degrade performance below workload requirements without complete service denial.”).

¹⁴⁴ *Id.* (“Operational control of SLTE infrastructure, in particular, by entities of countries identified at 15 C.F.R. 791.4 may create opportunities for active attacks that encryption alone cannot fully mitigate.”).

¹⁴⁵ *Id.* (stating that “[o]wnership or operation can provide entities direct access to unencrypted traffic—and potential access to encryption keys or decrypted traffic even when link-layer encryption is deployed (as link-layer encryption, commonly deployed for data center interconnects, only protects data between SLTE endpoints),” and noting that fiber ownership facilitates physical access to fiber pairs which in turn “enables passive interception” of unencrypted traffic).

¹⁴⁶ *Id.* at 9; see *supra* note 126.

¹⁴⁷ FDD Comments at 3.

¹⁴⁸ NTIA *Ex Parte* at 3.

condition prohibiting cable landing licensees from entering into arrangements for IRUs or leases for capacity on submarine cable systems landing in the United States, where such arrangement would give an entity that is owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, as defined in 1.70001(g),¹⁴⁹ the ability to install, own, or manage SLTE on a submarine cable landing in the United States.¹⁵⁰ INCOMPAS states that a licensing regime would “impose a significantly new regulatory burden without any corresponding efficiencies or national security benefit.”¹⁵¹ TIA states that the Commission’s recent adoption of a rule requiring submarine cable applicants to disclose third-party foreign adversary service providers “provid[es] the Commission with the ability to review the potential risks posed by SLTEs through the normal application process.”¹⁵² CF USA adds that a licensing requirement is unnecessary because the risk presented by existing arrangements for IRUs or leases for capacity with foreign adversary-controlled entities, which are not subject to section 1.70007(w),¹⁵³ “is isolated and will continue to diminish as those arrangements terminate or expire.”¹⁵⁴

31. We agree with those commenters asserting that we have a national security gap that should be addressed through additional protections. As we determined in the *2025 Submarine Cable First Report and Order*, and as explained above, SLTE is a significant component of the submarine cable system that may be owned separately by entities other than those licensees that are required to comply with routine conditions and oversight under the Cable Landing License Act and thus will be subject to the new rules adopted herein.¹⁵⁵ For instance, an example of a routine condition that does not apply to SLTE owners and operators despite their critical role in submarine cables, is section 1.70007(w),¹⁵⁶ which was originally adopted to prohibit licensees, but not their customers, from entering into arrangements for IRUs or leases for capacity with a foreign adversary-controlled entity where such an arrangement gives the foreign adversary-controlled entity the ability to install, own, or manage its own SLTE on the submarine cable system.¹⁵⁷ But, we are aware that not all SLTEs are owned or operated by the entities that are

¹⁴⁹ 47 CFR § 1.70001(g).

¹⁵⁰ CF USA Reply at 1-2, 6 (“The absence of such potential control of SLTE precludes customers from misusing SLTE.”); INCOMPAS Reply at 6, 9; Microsoft Comments at 3, 9 (“The FNPRM does not acknowledge the relevance of this new rule to accomplishing the stated security objective, nor has there been an opportunity to assess its effectiveness.”); ITI Comments at 2 (stating, “the Commission and other federal agencies maintain several rules and processes that allow them to address foreign adversary risks in telecommunications networks without needing to directly target SLTE owners and operators”); see *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6506-07, para. 46; 47 CFR § 1.70007(w).

¹⁵¹ INCOMPAS Reply at 6 (“Even in its more streamlined form, such a regime would impose a significantly new regulatory burden without any corresponding efficiencies or national security benefit because the Commission’s existing framework already addresses the core national security concerns associated with foreign ownership, control, and operation of submarine cable infrastructure.”); see also ICC Comments at 25 (stating, “the Commission would impose a regulatory burden without any corresponding efficiencies or national security benefit”).

¹⁵² TIA Comments at 8-9 (“The FNPRM’s proposal to add a licensing and regulatory requirements for SLTEs relies largely on comments from Team Telecom expressing concern about unlicensed SLTEs operated by foreign governments. TIA is not in a position to refute these claims, though the Commission seems to already possess the tools to address Team Telecom’s concerns.”); see *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6639, Appx. A (§ 1.70005(g)).

¹⁵³ 47 CFR § 1.70007(w).

¹⁵⁴ CF USA Reply at 6.

¹⁵⁵ See *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6592, para. 242.

¹⁵⁶ 47 CFR § 1.70007(w).

¹⁵⁷ As discussed below, we extend the routine condition to also prohibit licensees from entering into arrangements for IRUs or leases for capacity with any entity on the Covered List and require licensees to prohibit their customers, or any further downstream customers, from entering into such arrangements. See *infra* section III.A.2.a.iii. However, we do not modify the current prohibition relating to arrangements for IRUs or leases for capacity with

(continued....)

currently required to be licensees under our submarine cable licensing rules. We take significant steps in this *Second Report and Order* to further protect this critical submarine cable infrastructure, but we cannot effectively discharge our duty to protect national security without accounting for SLTE owners and operators that are neither subject to nor may be the subject of our existing and new routine conditions. At this time, given the ability of SLTE owners and operators to operate a submarine cable system, we revise our licensing rules to require them to become licensees subject to certain conditions, while deferring on consideration and application of the routine condition at § 1.70007(w), as amended herein, to those entities as discussed below.¹⁵⁸

32. We disagree with arguments that a licensing requirement for SLTE owners and operators is unnecessary or that the national security benefits would be negligible. First, while we took important steps in the *2025 Submarine Cable First Report and Order* to preclude foreign adversary-controlled entities from accessing this critical submarine cable infrastructure and sensitive information that traverse such infrastructure,¹⁵⁹ our action today addresses the critical gap in our oversight of SLTE owners and operators and their role in submarine cable operation that would remain outstanding. Second, as explained above, in the modern day, certain arrangements give an entity the ability to control its capacity through deployment of SLTE, thereby allowing the entity to operate its own fiber optic network, or submarine cable, connecting the United States with a foreign country or another portion of the United States, without having to build the underlying infrastructure.¹⁶⁰ We find that the SLTE has created a national security risk where SLTE can be used by any entity to operate a submarine cable without first obtaining the Commission's approval for this operation and undergoing thorough review. This was not the case over 20 years ago when we last comprehensively considered the submarine cable regulatory framework. Although the statutory framework remains the same at that juncture, the technology has evolved to give SLTE a more critical role with respect to submarine cable operation.

33. While we disagree with commenters that adopting a licensing requirement for SLTE owners and operators is unnecessary, we adopt a tailored blanket license approach to ensure low burdens on SLTE owners and operators. Several commenters support our approach to grant a blanket license to SLTE owners and operators. DHS supports a blanket license for SLTE owners and operators as “a good step to foster the resiliency of this critical infrastructure.”¹⁶¹ The Coalition states that a blanket license approach “appropriately ‘threads the needle’” among proposals ranging “from a no licensing regime to requiring SLTE owners to become co-licensees on the pertinent cable system.”¹⁶² The Coalition agrees that a blanket license approach “balance[s] the need for national security oversight and protection of U.S. networks with the need to ensure regulatory hurdles do not decelerate innovation and deployment of submarine cable systems.”¹⁶³

foreign adversary-controlled entities that may install, own, or manage its own SLTE on the submarine cable system by imposing a similar requirement with respect to the licensee's customers and further downstream customers.

¹⁵⁸ See *infra* section III.A.2.

¹⁵⁹ See *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6506-08, paras. 46-49.

¹⁶⁰ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6592-93, para. 243 & n.773. This arrangement also gives the entity the right to resell this fiber or a portion of the fiber or capacity to other entities, which may also deploy their own SLTE.

¹⁶¹ DHS *Ex Parte* at 2.

¹⁶² Submarine Cable Coalition Comments at 3.

¹⁶³ *Id.*

34. Several commenters raise concerns that a licensing requirement would create delays in deployment and operations,¹⁶⁴ disrupt commercial arrangements,¹⁶⁵ and impose burdens.¹⁶⁶ NTIA recommends that the Commission consider less burdensome alternatives while still achieving security objectives, or “limiting principles” in adopting any new requirements for SLTE owners, such as “grandfather clauses.”¹⁶⁷ We agree with NTIA that economic costs are an important consideration in submarine cable regulation. As we elaborate below in our section regarding Regulatory Impact Analysis, we find that adopting a blanket license appropriately balances potential costs and administrative burdens for SLTE owners and operators with the benefits: protection of U.S. national security interests, which is among the Commission’s statutory purposes.¹⁶⁸ Importantly, our grant of a blanket license will obviate the need for SLTE owners and operators to file an initial application for a cable landing license, and thus streamline the licensing process for these entities.¹⁶⁹ We find that granting a blanket license to SLTE owners and operators, rather than requiring license applications and extensive reporting, will effectively limit the economic costs that NTIA encourages the Commission to consider. Though this expediency is calibrated to account for certain scenarios that pose risk as described below.

35. Separate from the exclusion we discuss below, we decline commenters’ requests to exempt other entities that own and/or operate SLTE from the requirement to become a cable landing licensee, including any entity that owns or operates SLTE on a domestic submarine cable¹⁷⁰ or any “class of ‘trusted’ U.S.-based SLTE owners and operators.”¹⁷¹ SLTE owners and operators of domestic submarine cables can present national security concerns even if a domestic cable would only connect points within the United States and would not have foreign landing points.¹⁷² Importantly, SLTE owners and operators on domestic cables may be owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, or use third-party foreign adversary service providers in the operation of the domestic submarine cable. For this reason, we decline to exempt SLTE owners and operators on domestic cables and instead apply routine conditions, as explained below, to mitigate the risks posed by foreign adversary interests in SLTE owners and operators on domestic cables. In light of these national security considerations, we are thus unpersuaded by NCTA’s argument that “completely domestic [SLTE] poses no meaningful risk to national security.”¹⁷³ For these reasons, we also decline to adopt the proposal to streamline the approval process for applications for domestic submarine cables.¹⁷⁴ At this

¹⁶⁴ ICC Comments at 22-23; TIA Comments at 9-10.

¹⁶⁵ ICC Comments at 22-23; ICC Reply at 14-15.

¹⁶⁶ See, e.g., CF USA Reply at 2-4; ICC Comments at 22-23; TIA Comments at 8-10; NCTA Reply at 4; Microsoft Comments at 10.

¹⁶⁷ NTIA *Ex Parte* at 4.

¹⁶⁸ See 47 U.S.C. § 35.

¹⁶⁹ 2025 *Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6594, para. 246.

¹⁷⁰ ATA Comments at 10-11.

¹⁷¹ NCTA Comments at 1-2.

¹⁷² 2025 *Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6618, para. 309.

¹⁷³ NCTA Reply at 1; NCTA Comments at 3-4 (“Some SLTEs are operated by U.S.-based providers and only connect points within the U.S. (e.g., mainland to Hawaii) with no nexus to foreign adversaries. These SLTE owners and operators do not have reportable foreign ownership interests or influences that would pose any meaningful risk to U.S. networks or national security.”); see ATA Comments at 10-11 (“In response to the FNPRM’s proposal for the Commission to separately license entities that own or operate SLTE, ATA urges the Commission to narrowly tailor this requirement and exempt SLTE attached to domestic submarine cables that only connect points within the United States without any nexus to foreign adversaries . . .”).

¹⁷⁴ 2025 *Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6618-19, paras. 308-310 (seeking comment on whether under certain circumstances to streamline approval of domestic cables).

time, we also find it premature to adopt NCTA's proposal for different licensing obligations for SLTE owners and operators that are "wholly-trusted actors" or "potentially trusted actors,"¹⁷⁵ but reserve the opportunity to consider options after the benefit of the one-time information collection. Moreover, we find that our grant of a blanket license to any such entities allows a more efficient and streamlined process for authorizing their ownership and operation of SLTE.

36. We decline the Coalition's request to adopt a separate SLTE blanket license that is distinct from a cable landing license and "tied to the ownership and/or control of SLTE infrastructure itself."¹⁷⁶ The Coalition recommends that the Commission clarify that "its proposed SLTE licenses are considered to be a separate class of license," and states that this distinction is necessary to limit regulatory complexities and to avoid redundant reviews.¹⁷⁷ The blanket license we adopt shall constitute a cable landing license required under section 1.70003, as opposed to a standalone or separate category of license other than a cable landing license under our new rules. We find our approach is consistent with the Commission's licensing authority under the Cable Landing License Act to require SLTE owners and operators to become cable landing licensees as owners and operators of a submarine cable.¹⁷⁸ Our blanket license framework for SLTE owners and operators will ensure that the Commission is aware of all entities that install their own SLTE to use fiber, capacity, or spectrum on the submarine cable system, while also not impacting existing cable landing licensees or those entities that are required to apply for a cable landing license pursuant to section 1.70003(a)(1) and (a)(2) of our newly adopted rule.¹⁷⁹

37. *Approval of Blanket License by U.S. State Department (State Department).* The State Department has approved the Commission's grant of a blanket license to SLTE owners and operators "[t]o support the Commission's modernized and streamlined submarine cable landing license procedures."¹⁸⁰ Executive Order 10530 requires the Commission to obtain the approval of the State Department, and, "as the Commission may deem necessary," to seek advice from other Executive Branch agencies, before granting or revoking or terminating a cable landing license.¹⁸¹ On May 6, 2026, the State Department filed a letter notifying the Commission that it has reviewed the procedures it applies to the Secretary of State's consideration and approval, if appropriate, of submarine cable landing license applications filed with the Commission, pursuant to the Cable Landing License Act as delegated in

¹⁷⁵ NCTA Reply at 2-3.

¹⁷⁶ See Submarine Cable Coalition Comments at 4.

¹⁷⁷ *Id.* ("The Coalition suggests clarifying that the SLTE blanket license is one that is separate and apart from a SCL license tied to a specific cable. Rather than SLTE owners and controllers becoming 'licensees on a cable landing license,' there should exist a standalone class of 'blanket' license that is tied to the ownership and/or control of SLTE infrastructure itself.").

¹⁷⁸ 47 U.S.C. § 34.

¹⁷⁹ See Appx. A (§ 1.70003(a)(1)-(2)); *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6659, Appx. B (§ 1.70003). Section 1.70003 was adopted in the *2025 Submarine Cable First Report and Order* and is not yet effective.

¹⁸⁰ See Letter from Jacob S. Helberg, Under Secretary for Economic Affairs, United States Department of State, to Brendan Carr, Chairman, FCC, OI Docket No. 24-523, MD Docket No. 24-524 at 1 (filed May 6, 2026) (State Department *Ex Parte* Letter).

¹⁸¹ Executive Order 10530, sec. 5(a) (setting forth that "no such license shall be granted or revoked by the Commission except after obtaining approval of the Secretary of State *and such advice from any executive department or establishment of the Government as the Commission may deem necessary*") (emphasis added); see *Rules and Policies on Foreign Participation in the U.S. Telecommunications Market; Market Entry and Regulation of Foreign-Affiliated Entities*, IB Docket Nos. 97-142 and 95-22, Report and Order and Order on Reconsideration, 12 FCC Rcd 23891, 23932, para. 87 (1997) (*Foreign Participation Order*) (citing Executive Order 10530 and Cable Landing License Act, 47 U.S.C. §§ 34-39), *recon. denied*, *Rules and Policies on Foreign Participation in the U.S. Telecommunications Market*, IB Docket 97-142, Order on Reconsideration, 15 FCC Rcd 18158 (2000).

Executive Order 10530.¹⁸² Specifically, the State Department states that, “under the updated policy, the Department approves the Commission’s grant of a blanket license to current and future SLTE owners and operators on a submarine cable landing in the United States subject to the exceptions noted in the Commission’s revised rules, as materially described in the Rulemaking.”¹⁸³ The State Department adds that this “revised approval process will be effective immediately upon the Commission’s adoption of a blanket license through the rulemaking proceeding and applies to any licenses that the Commission may approve when it takes final action in the proceeding.”¹⁸⁴ Consistent with the State Department’s approval, our grant of the blanket license to SLTE owners and operators will be effective upon the effective date of our amendments to section 1.70003, following Office of Management and Budget (OMB) review.¹⁸⁵ We direct the Office of International Affairs (OIA) to announce the effective date of the new rules by notice in the Federal Register and by subsequent Public Notice.¹⁸⁶

(i) Exclusion from Blanket License Grant for Entities that Meet the Foreign Adversary and/or Character Presumptive Disqualifying Conditions

38. The blanket license that we grant to SLTE owners and operators is subject to the Commission’s reserved power to revoke, consistent with the Cable Landing License Act and Executive Order 10530.¹⁸⁷ To protect national security and law enforcement interests, we exclude from this grant of a blanket license any entity seeking to own or operate new SLTE after the effective date of the new rules that would be subject to our presumptive disqualifying conditions in sections 1.70002(c) and/or 1.70004(a).¹⁸⁸ In the *2025 Submarine Cable Further Notice*, we proposed to exclude from the grant of the blanket license any entity that would be subject to the foreign adversary and/or character presumptive disqualifying conditions.¹⁸⁹ We sought comment on whether we should exclude a larger or smaller category from the grant of the blanket license.¹⁹⁰ We further sought comment on how this would impact existing licensees’ operations and interfere with investment-backed reliance interests.¹⁹¹ We adopt revisions to section 1.70003 to exclude entities that meet the foreign adversary and/or character presumptive disqualifying conditions from the grant of a blanket license where they seek to own or operate new SLTE on a submarine cable after the effective date of the new rules.¹⁹²

39. No commenter opposes the proposal to exclude these entities from the grant of the blanket license as specified, nor do commenters address the impact to existing licensees. In fact, ICC argues that “[e]ven under a blanket license regime, the Commission would still need to root out bad actors

¹⁸² State Department *Ex Parte* Letter at 1-2.

¹⁸³ *Id.* at 2; *id.* at n.2 (“The Department approves the grant subject to exceptions and decisions adopted by the Commission in the aforementioned rulemaking proceeding.”).

¹⁸⁴ *Id.* at 2 (“We note that the existing procedures established in our 2001 and 2022 Letters to the Commission remain in place without modification for all other review and processing of submarine cable landing license applications.”).

¹⁸⁵ *See infra* para. 253, Appx. A (§ 1.70003).

¹⁸⁶ *See infra* para. 253.

¹⁸⁷ 47 U.S.C. §§ 34, 35; Executive Order 10530, sec. 5(a); *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6508-14, paras. 50-55.

¹⁸⁸ 47 CFR §§ 1.70002(c) (character presumptive disqualifying condition), 1.70004(a) (foreign adversary presumptive disqualifying condition).

¹⁸⁹ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6594, para. 247.

¹⁹⁰ *Id.* at 6594, paras. 247-248.

¹⁹¹ *Id.* at 6594-95, para. 249.

¹⁹² *See* Appx. A (§ 1.70003(c)).

in order to exclude them from the blanket license.”¹⁹³ We adopt a clear standard that is consistent with our proposal and by which we exclude such entities from our grant of a blanket license. We find it unnecessary to identify each “specific bad actor[]” as a prerequisite for excluding these categories of entities from our grant of a blanket license where they seek to own and operate new SLTE on a submarine cable landing in the United States.¹⁹⁴ To the extent the excluded entities seek a license, we have established procedures for those that are presumptively disqualified.

40. We exclude from the grant of this blanket license any entity that is subject to any of the criteria in our foreign adversary and/or character presumptive disqualifying conditions to the extent such entity seeks to own or operate a new SLTE on any current or future submarine cables landing in the United States. Our exclusion of “new” SLTE is inclusive of any SLTE that these entities did not previously own and/or operate on a submarine cable prior to the effective date of this *Report and Order*. Our action today further protects submarine cable infrastructure from these threats by ensuring that foreign adversaries are precluded from exploiting this critical infrastructure. Our action also promotes greater regulatory certainty and efficiency in the submarine cable ecosystem by providing a clear standard by which we exclude entities from the grant of this blanket license rather than requiring all SLTE owners and operators to submit to a licensing process.

41. *Foreign Adversary Presumptive Disqualifying Condition.* In accordance with section 1.70004(a), we exclude from the grant of this blanket license any of the following entities seeking to own or operate new SLTE after the effective date of the new rules:¹⁹⁵

- (1) That is owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, as defined in section 1.70001(g);¹⁹⁶
- (2) That is identified on the Covered List that the Commission maintains pursuant to the Secure Networks Act;¹⁹⁷ and/or
- (3) Whose authorization, license, or other Commission approval, whether or not related to operation of a submarine cable, was denied or revoked and/or terminated or is denied or revoked and/or terminated in the future on national security and law enforcement grounds, as well as the current and future affiliates or subsidiaries of any such entity.¹⁹⁸

To the extent the Commission denies any application for an authorization, license, or other approval that is filed by an owner or operator of SLTE holding the blanket license, on national security and law enforcement grounds, such action would constitute grounds for revoking the blanket license. Similarly, to

¹⁹³ ICC Comments at 25.

¹⁹⁴ See also *id.*

¹⁹⁵ 47 CFR § 1.70004(a).

¹⁹⁶ 47 CFR § 1.70001(g). As the Commission has previously explained, for purposes of section 1.70001(g)(4) of the Commission’s rules, we treat a holder of 10% or greater of the total outstanding voting and/or equity interest in an entity as “possess[ing] the power . . . to determine, direct, or decide important matters affecting an entity.” 47 CFR § 1.70001(g)(4); *Foreign Adversary Control Report and Order* at *6, para. 16. Accordingly, to the extent that any individual or entity identified in section 1.70001(g)(1)-(3) possesses such an interest in an owner or operator of an SLTE, such owner or operator is covered by section 1.70001(g)(4).

¹⁹⁷ *List of Covered Equipment and Services*; 47 U.S.C. §§ 1601–09; 47 CFR § 1.50000 *et seq.*

¹⁹⁸ In the *2025 Submarine Cable First Report and Order and FNPRM*, for purposes of 1.70004(a), we adopted the definitions of “affiliate” and “subsidiary” in 47 CFR § 2.903(c) (recodified as amended in 47 CFR § 2.903(e)). See 47 CFR § 2.903(e) (defining the term “affiliate” as “an entity that (directly or indirectly) owns or controls, is owned or controlled by, or is under common ownership or control with, another entity; for purposes of this definition, the term ‘own’ means to have, possess, or otherwise control an equity interest (or the equivalent thereof) of 10 percent or more,” and defining the term “subsidiary” as “any entity in which another entity directly or indirectly: (i) Holds de facto control; or (ii) Owns or controls more than 50 percent of the outstanding voting stock”); *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6498, para. 31 & n.84.

the extent the Commission revokes and/or terminates any other authorization, license, or other Commission approval of an owner or operator of SLTE holding the blanket license, on national security and law enforcement grounds, such action would constitute grounds for revoking the blanket license. In either circumstance, we would apply the process that is due in a case of revocation, consistent with the procedural framework we adopted in the *2025 Submarine Cable First Report and Order*.¹⁹⁹ Moreover, the entity would no longer be authorized to own and/or operate new SLTE on a submarine cable landing in the United States.

42. *Character Presumptive Disqualifying Condition.* In accordance with section 1.70002(c), we exclude from the grant of this blanket license any of the following entities seeking to own or operate new SLTE after the effective date of the new rules, if the entity has within the last 20 years:²⁰⁰

- (1) materially violated the Cable Landing License Act where the violation (a) was not remediated with an adjudication involving a consent decree and/or compliance plan, (b) resulted in a loss of Commission license or authorization, or (c) was found by the Commission to be intentional;²⁰¹
- (2) committed national security-related violations of the Communications Act²⁰² or Commission rules as identified in Commission orders, including but not limited to violations of rules concerning the Covered List²⁰³ that the Commission maintains pursuant to the Secure Networks Act;²⁰⁴
- (3) made materially false statements or engaged in fraudulent conduct concerning national security or the Cable Landing License Act;
- (4) been subject to an adjudicated finding of making false statements or engaging in fraudulent conduct concerning national security before another U.S. government agency; or
- (5) materially failed to comply with the terms of a cable landing license, including but not limited to a condition requiring compliance with a mitigation agreement with the Executive Branch agencies, including the Committee, where the violation (a) was not remediated with an adjudication involving a consent decree and/or compliance plan, (b) resulted in a loss of Commission license or authorization, or (c) was found by the Commission to be intentional.²⁰⁵

43. *Foreign Adversary and/or Character Presumptive Disqualifying Conditions for SLTE Applications.* Any entity affected by this exclusion remains free to petition the Commission for a license under the statute and demonstrate how grant of the license is warranted. Such entity may file an application seeking to own and/or operate new SLTE on a particular submarine cable landing in the United States, but will be subject to the presumptive disqualifying conditions in sections 1.70004(a) and 1.70002(c), which we reserve the discretion to apply on a cable-by-cable basis where warranted.²⁰⁶ We will presume that denial of the application is warranted unless the applicant overcomes the adverse

¹⁹⁹ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6508-16, section III.B (Cable Landing License Processes to Withhold or Revoke and/or Terminate a License).

²⁰⁰ 47 CFR § 1.70002(c).

²⁰¹ 47 U.S.C. §§ 34-39.

²⁰² 47 U.S.C. § 151 *et seq.*

²⁰³ *List of Covered Equipment and Services*; see, e.g., 47 CFR § 1.50000 *et seq.*

²⁰⁴ 47 U.S.C. §§ 1601-1609; 47 CFR § 1.50000 *et seq.*

²⁰⁵ See generally Executive Order 13913; 47 CFR § 1.40001 *et seq.* (addressing Executive Branch review of applications with reportable foreign ownership, including mitigation measures); *Policy Regarding Character Qualifications in Broadcast Licensing*, 102 FCC 2d 1179 (1986), *modified*, 5 FCC Rcd 3252 (1990).

²⁰⁶ 47 CFR §§ 1.70004(a), 1.70002(c).

presumption, consistent with our presumptive disqualifying conditions.²⁰⁷ In the *2025 Submarine Cable Further Notice*, we sought comment on whether we should allow these entities to file an application in accordance with our application rules or to provide an alternative showing that they can overcome the adverse presumption set out in the disqualifying condition.²⁰⁸ No commenter opposes the Commission's proposals. FDD supports the exclusion of "any entity subject to or controlled by a foreign adversary from owning or operating any current or new SLTEs that land on the United States" from the grant of a blanket license.²⁰⁹ Anthropic also supports restricting ownership or control of SLTEs by foreign adversary-controlled entities, and states that such restrictions "would address availability risks by denying such entities the opportunity to degrade or throttle service, including to critical AI workloads" and "substantially reduce risks to workload confidentiality by limiting these entities' access to SLTE facilities, the locus of greatest vulnerability to workloads that traverse cables."²¹⁰ We delegate authority to OIA to develop, in consultation with the Committee, application forms or provide alternative instructions and guidelines as necessary with regard to those SLTE owners and operators excluded from the grant of the blanket license that seek to own and/or operate new SLTE on a submarine cable landing in the United States. Moreover, we direct OIA to notify the Committee of any applications submitted by those seeking a license under this process.

(ii) SLTE Routine Conditions

44. As a requirement for holding a blanket license, we require SLTE owners and operators to comply with certain licensee routine conditions. Specifically, an owner or operator of SLTE that is not otherwise subject to the licensing requirements in section 1.70003(a)(1) and (a)(2), as amended,²¹¹ will be required to comply with a subset of the routine conditions for licensees in section 1.70007.²¹² Below, we describe each routine condition that applies. However, at this time, we defer consideration and adoption of the proposal to require SLTE owners and operators to comply with additional routine conditions and reserve the option to consider doing so after the benefit of the one-time information collection. We do not expect to modify or eliminate the routine conditions that we adopt herein for these owners or operators of SLTE, notwithstanding any new routine conditions that the Commission may adopt at such future time.²¹³

45. To tailor the regulatory obligations of SLTE owners and operators at this time, we adopt a narrower version of the proposed routine conditions,²¹⁴ though we may revise this in the future. In the *2025 Submarine Cable Further Notice*, we proposed to adopt a set of eight routine conditions on the grant

²⁰⁷ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6497-98, 6501, paras. 30, 36. Any such applicant that is subject to the foreign adversary presumptive disqualifying condition under section 1.70004(a) can overcome this adverse presumption only by establishing through clear and convincing evidence that the applicant does not fall within the scope of the adverse presumption, or that grant of the application would not pose risks to national security or that the national security benefits of granting the application would substantially outweigh any risks. 47 CFR § 1.70004(a)(3); *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6498-99, para. 32. Any such applicant that is subject to the character presumptive disqualifying condition under section 1.70002(c) can overcome this adverse presumption only by establishing that the applicant has the requisite character, despite its past conduct. 47 CFR § 1.70002(c)(3); *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6503, para. 40.

²⁰⁸ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6594-95, para. 249.

²⁰⁹ FDD Comments at 3.

²¹⁰ Anthropic *Ex Parte* at 3-4.

²¹¹ See *infra* Appx. A (§ 1.70003).

²¹² 47 CFR § 1.70007; *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6632-35, 6642-43, Appx. A (§ 1.70007).

²¹³ However, we of course retain our underlying legal discretion to do so should the results of the one-time information condition strongly suggest that such conditions should be modified or eliminated.

²¹⁴ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6595-96, paras. 250-252.

of a blanket license for SLTE owners and operators and sought comment on whether to adopt other routine conditions.²¹⁵ We adopt the proposed set of routine conditions with the exception of a requirement to file a foreign carrier affiliation notification as discussed below.²¹⁶ These routine conditions are identical to corresponding provisions of section 1.70007 of our rules that apply to cable landing licenses.²¹⁷ We therefore adopt a requirement that SLTE owners and operators will be subject to section 1.70007(a)(1)-(3), (d), (m), and (n) of the routine conditions with which cable landing licensees must comply and additional routine conditions discussed below.²¹⁸ As we considered in the *2025 Submarine Cable Further Notice*, these routine conditions will ensure that the Commission may retain oversight of SLTE owners and operators and their compliance with the Cable Landing License Act and Commission rules.

46. We find that these routine conditions will promote the statutory purpose under the Cable Landing License Act, particularly the protection of U.S. national security interests, and will better enable the Commission to carry out its licensing duties in furtherance of those purposes. At the same time, our approach appropriately tailors the regulatory obligations of SLTE owners and operators until the results of the one-time information collection further inform our regulatory approach.²¹⁹ Specifically, the SLTE owners and operators granted a blanket license must comply with these routine conditions:

- (1) compliance with all rules and regulations of the Commission;²²⁰
- (2) compliance with any treaties or conventions relating to communications to which the United States is or may hereafter become a party;²²¹
- (3) compliance with any action by the Commission or the Congress of the United States rescinding, changing, modifying or amending any rights accruing to any person by grant of the license;²²²
- (4) the licensee, or any person or company controlling it, controlled by it, or under direct or indirect common control with it, does not enjoy and shall not acquire any right to handle telecommunications to or from the United States, its territories or its possessions unless such service is authorized by the Commission pursuant to section 214 of the Communications Act, as amended;²²³
- (5) the licensee shall file SLTE Foreign Adversary Annual Reports if required by section 1.70018;²²⁴

²¹⁵ *Id.* at 6595-97, paras. 250-256.

²¹⁶ *See infra* para. 58.

²¹⁷ 47 CFR § 1.70007; *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6632-35, 6642-43, Appx. A (§ 1.70007).

²¹⁸ 47 CFR § 1.70007; *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6632-34, 6642, Appx. A (§ 1.70007(a)(1)-(3), (d), (m), and (n)); *see infra* Appx. A (§ 1.70007(gg)-(hh)).

²¹⁹ *See also* INCOMPAS Reply at 3 (“Routine conditions should not be imported wholesale from the submarine cable licensing regime but should be adopted only to address specific risks associated with the owner and operators of SLTE, if any.”).

²²⁰ 47 CFR § 1.70007(a)(1).

²²¹ 47 CFR § 1.70007(a)(2).

²²² 47 CFR § 1.70007(a)(3).

²²³ 47 CFR § 1.70007(d).

²²⁴ *See infra* section III.A.1.b.iii.

- (6) the licensee shall file annual circuit capacity reports as required by section 43.82;²²⁵
- (7) the cable landing license is revocable or subject to termination by the Commission after due notice and opportunity for hearing pursuant to section 2 of the Cable Landing License Act, 47 U.S.C. § 35, or for failure to comply with the terms of the license or with the Commission's rules;²²⁶ and
- (8) the licensee must implement a cybersecurity and physical security risk management plan with respect to its SLTE operations, consistent with the analogous requirements in section 1.70006(c).²²⁷

47. A few commenters state that the routine conditions proposed in the *2025 Submarine Cable Further Notice* are duplicative of existing requirements for licensees.²²⁸ TIA asserts that the Commission proposes to impose routine conditions on SLTE owners and operators that are already required of cable landing licensees, and therefore, routine conditions for SLTE owners and operators are duplicative, an unnecessary burden, and do not improve submarine cable system security.²²⁹ NCTA expresses concern that SLTE owners and operators would be required to produce duplicative reporting to the Commission and to the cable landing licensee.²³⁰ Microsoft states that the proposals “duplicate[] the regulatory obligations of system licensees who own and operate their own SLTE.”²³¹

48. We reject arguments that adopting routine conditions for SLTE owners and operators creates duplicative requirements. As discussed above, we use the term “SLTE owners and operators” to refer to those entities that are not subject to our existing licensing requirements.²³² Contrary to these commenters' arguments, we apply these routine conditions to SLTE owners and operators that are not otherwise subject to the licensing requirements in section 1.70003(a)(1) and (a)(2),²³³ and therefore, are not currently required to comply with the routine conditions in section 1.70007.²³⁴ Thus, we reject arguments that our approach would create duplicative burdens for SLTE owners and operators and other cable landing licensees.²³⁵

49. *Compliance with Rules and Regulations, Treaties, and Statutes.* To protect national security and law enforcement interests, and consistent with our overall regulatory framework for the

²²⁵ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6642, Appx. A (§§ 1.70007(m), 43.82).

²²⁶ 47 CFR § 1.70007(n).

²²⁷ See *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6641-43, Appx. A (§§ 1.70007(q), 1.70006(c)).

²²⁸ TIA Comments at 9; NCTA Comments at 6.

²²⁹ TIA Comments at 9.

²³⁰ NCTA Comments at 6 (“The current proposed structure would require an SLTE owner or operator to produce documentation for the routine conditions proposed by the Commission, and to provide documentation to the submarine cable system owner for the maintenance of the owner's license. Requiring both types of documentation would be unnecessary and duplicative.”).

²³¹ Microsoft Comments at 10.

²³² See *supra* note 53; *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6637 (Appx. A (§ 1.70003(a)-(b))).

²³³ See *infra* Appx. A (§ 1.70003(a)(1)-(a)(2)); *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6659, Appx. B (§ 1.70003).

²³⁴ 47 CFR § 1.70007.

²³⁵ See also NCTA Comments at 6 (suggesting that requirements related to a blanket license “function as a subset of an SLTE operator's requirements under a broader submarine cable license, rather than as a discrete and duplicative requirement”).

blanket license in this *Second Report and Order*, we require SLTE owners and operators to comply with all rules and regulations of the Commission;²³⁶ any treaties or conventions relating to communications to which the United States is or may hereafter become a party;²³⁷ and any action by the Commission or the Congress of the United States rescinding, changing, modifying or amending any rights accruing to any person by grant of the license.²³⁸ Consistent with section 214 of the Communications Act, we require SLTE owners and operators to comply with a routine condition that a licensee, or any person or company controlling it, controlled by it, or under direct or indirect common control with it, does not enjoy and shall not acquire any right to handle telecommunications to or from the United States, its territories or its possessions unless such service is authorized by the Commission pursuant to section 214 of the Communications Act, as amended.²³⁹ Consistent with the Cable Landing License Act and Executive Order 10530, we also apply to SLTE owners and operators a routine condition that the license is revocable or subject to termination by the Commission after due notice and opportunity for hearing pursuant to section 2 of the Cable Landing License Act, 47 U.S.C. § 35, or for failure to comply with the terms of the license or with the Commission's rules.²⁴⁰ We find that applying these routine conditions to SLTE owners and operators is warranted as these are fundamental requirements that apply broadly to entities regulated by the Commission and/or are consistent with statutory directives under the Communications Act and the Cable Landing License Act. We find that adopting these routine conditions will better enable the Commission to carry out its licensing duties with respect to SLTE owners and operators in furtherance of those statutory purposes. No commenter opposed adopting these specific conditions.

50. *Circuit Capacity Reports.* To protect national security and law enforcement interests, we require SLTE owners and operators to comply with the annual circuit capacity reporting requirement under section 43.82 as a condition of the blanket license.²⁴¹ Consistent with section 43.82, as amended, the Commission may share with the Committee, DHS, and the State Department the capacity data filed on a confidential basis without the pre-notification requirements of section 0.442(d).²⁴² The Commission has found that the data from the circuit capacity reports are necessary for the Commission to fulfill its statutory obligations and serve a vital role by sharing this information with other federal agencies.²⁴³ In the *2025 Submarine Cable First Report and Order*, we modified section 43.82 to enhance the quality and usefulness of the data for national security and other purposes.²⁴⁴ These modifications include, for example, requiring cable landing licensees and common carriers to file Capacity Holder Reports for their capacity holdings on domestic submarine cables;²⁴⁵ identify whether they sold or leased out and/or purchased or leased a fiber pair and/or spectrum on any submarine cable landing in the United States as of

²³⁶ 47 CFR § 1.70007(a)(1).

²³⁷ 47 CFR § 1.70007(a)(2).

²³⁸ 47 CFR § 1.70007(a)(3).

²³⁹ 47 U.S.C. § 214; 47 CFR § 1.70007(d).

²⁴⁰ 47 U.S.C. § 35; Executive Order 10530, sec. 5(a); 47 CFR § 1.70007(n); *see supra* para. 37.

²⁴¹ *2025 Submarine Cable First Report and Order and FNPRM*, at 6642, 6655-56, Appx A. (47 CFR §§ 43.82, 1.70007(m)).

²⁴² In the *2025 Submarine Cable First Report and Order*, we modified section 43.82 of the rules to allow the Commission to share with the Committee, DHS, and the State Department the capacity data filed on a confidential basis without the pre-notification requirements of section 0.442(d). *Id.* at 6580-82, 6655-56, paras. 209-213, Appx. A (47 CFR § 43.82).

²⁴³ *2017 Section 43.62 Report and Order*, 32 FCC Rcd at 8127, para. 24; *id.* at 8128-29, para. 28; *id.* at 8118, para. 5 (“The [circuit capacity] data also provide information on ownership of submarine cable capacity that is used for national security and public safety purposes.”).

²⁴⁴ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6572-73, para. 189.

²⁴⁵ *Id.* at 6574, paras. 193-195.

the reporting date;²⁴⁶ identify, with respect to each sale, lease, or purchase of a fiber pair and/or spectrum, the submarine cable, the U.S. and foreign landing points of the fiber pair and/or spectrum, and the entity that manages the fiber pair and/or spectrum, if different from the entity that owns it;²⁴⁷ and identify whether they own or control an SLTE on the U.S. and/or foreign ends of each submarine cable landing in the United States.²⁴⁸

51. While we took these important steps to strengthen our ability and that of the Committee to identify and assess risks to national security and law enforcement interests within U.S. communications infrastructure, we believe there will remain a critical information gap if we were to exclude those entities that are subject to the blanket license. As discussed above, dark fiber arrangements allow multiple entities other than the licensee(s) that own the underlying submarine cable infrastructure to own, control, and use specific SLTE at the ends of the submarine cable system.²⁴⁹ We recognize there are and could be multiple entities that, through the resale market, currently pose a significant risk to the United States, yet they may operate undetected for a considerable length of time, if detected at all. We therefore find that applying this routine condition to SLTE owners and operators will ensure the Commission has comprehensive and current information on SLTEs in furtherance of its national security objectives. Furthermore, these annual circuit capacity reports will strengthen the Commission's insight into the ownership and use of capacity on submarine cables regulated by the Commission and enable the Commission to identify foreign adversary-controlled entities and assess compliance with the exclusions we adopt for the blanket license.²⁵⁰ No commenter opposed adopting these specific conditions.

52. *Cybersecurity and Physical Security Risk Management Plan.* To further protect submarine cable infrastructure from cybersecurity and physical security threats, we adopt an analogous cybersecurity and physical security routine condition for SLTE owner and operators as we did for cable landing licensees in the *2025 Submarine Cable First Report and Order*.²⁵¹ Specifically, we require SLTE owners and operators to create, implement, and update cybersecurity and physical security risk management plans applicable to their SLTE operations and require these plans to meet basic requirements. At this time, we do not require that SLTE owners and operators certify or submit these plans to the Commission, but we will require them to submit the plans to the Commission upon request. We delegate authority to OIA, in coordination with PSHSB, to request, at their discretion, submission of such plans and to evaluate them for compliance with the rules adopted in this proceeding, just as we do with respect to cable landing licensees.²⁵²

53. In the *2025 Submarine Cable Further Notice*, we sought comment on whether to adopt routine conditions requiring SLTE owners and operators to certify that they have created, updated, and implemented a cybersecurity and physical security risk management plan.²⁵³ As with other cable landing licensees, the cybersecurity and physical security risk management plans of SLTE owners and operators must meet the following three requirements: (1) the plan must describe how the entity takes or will take reasonable measures to employ its organizational resources and processes to ensure the confidentiality, integrity, and availability of its systems and services that could affect its provision of communications services through the SLTE portion of the submarine cable system; (2) the plan must identify the cyber

²⁴⁶ *Id.* at 6576-77, para. 200.

²⁴⁷ *Id.* at 6577, para. 202.

²⁴⁸ *Id.* at 6578, para. 205.

²⁴⁹ *See supra* para. 13.

²⁵⁰ *See infra* section III.A.2.a.

²⁵¹ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6540, 6641-6643, para. 105, Appx A (47 CFR §§ 1.70007(q), 1.70006(c)).

²⁵² *Id.* at 6642, Appx. A (47 CFR § 1.70007(q)(3)).

²⁵³ *Id.* at 6596-97, paras. 254.

risks that the entity faces, the controls it uses or plans to use to mitigate those risks, and how it ensures that these controls are applied or will be applied effectively to its operations; and (3) the plan must address both logical and physical access risk, as well as supply chain risks. As with other cable landing licensees, we do not require that these plans use any particular framework, and SLTE owners and operators will retain flexibility to tailor their cybersecurity and physical security risk management plans to the risks they face and their organizational needs.²⁵⁴ The requirements we adopt herein largely mirror the cybersecurity and physical security risk management requirements adopted in the *2025 Submarine Cable First Report and Order*.²⁵⁵ However, in contrast to those rules, we do not adopt at this time the proposal to require SLTE owners and operators to certify to the Commission that they have created, updated, and implemented such plans.²⁵⁶ We may decide to require such certifications for SLTE owners and operators after we obtain results from the one-time information collection.

54. Few commenters address these routine conditions. We are unpersuaded by arguments that the Commission should refrain from taking any further action with respect to cybersecurity, such as those by ITI that oppose “additional cybersecurity requirements” as duplicative and argue that existing interagency processes “are better positioned to assess evolving threats and enforce risk-based mitigation measures.”²⁵⁷ We find that requiring SLTE owners and operators to develop and implement cybersecurity and physical security risk management plans is necessary to safeguard U.S. communications infrastructure from national security threats. As we explained in the *2025 Submarine Cable First Report and Order*, malicious cyber activity threatens all submarine cable infrastructure.²⁵⁸ Malicious actors may seek to disrupt data flows, divert traffic, or delete or decrypt data transmitted through the submarine cables, thereby threatening both the submarine cable system and the confidentiality, availability, and integrity of the data that transit the system.²⁵⁹ These concerns are especially acute with respect to SLTE, which performs critical functions at the intersection between submarine cable systems and terrestrial networks, including traffic routing, signal processing, and network management.²⁶⁰ A logical attack on SLTE could disable these functions and cause significant national security harm. Unlike the “wet”

²⁵⁴ As with the cybersecurity and physical security risk management plans of other cable landing licensees, a plan will presumptively satisfy our requirements if it is structured according to an established risk management framework, such as the National Institute of Standards and Technology (NIST) Cybersecurity Framework (CSF), and incorporates best practices, such as the standards and controls set forth in the Cybersecurity and Infrastructure Security Agency’s (CISA) Cybersecurity Cross-Sector Performance Goals and Objectives (CISA CPGs), or the Center for Internet Security’s Critical Security Controls (CIS Controls). *Id.* at 6542, para. 108.

²⁵⁵ *Id.* at 6540-46, paras. 105-117.

²⁵⁶ *Id.* at 6596-6597, para. 254.

²⁵⁷ ITI Comments at 2-3 (“Sector-specific agencies such as the FCC should collaborate with entities like the Cybersecurity and Infrastructure Security Agency (CISA), the Department of Commerce’s Bureau of Industry and Security (BIS), and the Office of the National Cyber Director (ONCD), rather than creating standalone frameworks that could fragment oversight.”).

²⁵⁸ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6545, para. 114.

²⁵⁹ *Id.*; see also, e.g., James Coker, *Submarine Cables at Growing Risk of Cyber-Attacks*, Infosecurity Magazine (June 27, 2023), <https://www.infosecurity-magazine.com/news/submarine-cables-risk-cyber-attacks/>; FDD Comments at 3 (arguing that licensing SLTE is necessary to “ensure that any entity that has a significant stake in the construction, operation, maintenance, and continuity of submarine cables falls under the Commission’s jurisdiction and becomes subject to critical national security regulations,” and discussing the importance of “detering adversarial nation-states, such as China, from accessing or damaging submarine cable infrastructure using a range of physical or cyber-related measures”).

²⁶⁰ See *2024 Submarine Cable NPRM*, 39 FCC Rcd at 12735-35, 12750, paras. 2-4, 25 (“At the terminal, equipment such as Submarine Line Terminal Equipment (SLTE), converts cable signals to terrestrial signals allowing the cable to interconnect to terrestrial facilities in the United States.”).

components of a submarine cable system, SLTE is also accessible on land and thus more vulnerable to physical attack.²⁶¹

55. Moreover, as noted above, submarine cables support and facilitate AI, and the ever increasing demand for bandwidth for communications in the U.S. and globally and cable landing station components, including SLTE, are increasingly co-located with data centers that requires a focus on the physical security of the submarine cable systems.²⁶² Cable landing station components are increasingly located in data centers for reasons of network efficiency,²⁶³ further enmeshing this critical equipment with sensitive data that is a high-value target for foreign adversaries and increasing risk of unauthorized access, data breaches, or service disruptions.²⁶⁴ This expansion of the attack surface makes SLTE especially vulnerable to physical and logical attack, and warrants a requirement that SLTE owners and operators consider and implement appropriate controls to mitigate such risks.²⁶⁵ Accordingly, consistent with the flexible approach adopted in the *2025 Submarine Cable First Report and Order*, we require that the cybersecurity and physical security risk management plans of SLTE owners and operators must address logical, physical, and supply chain risks, while allowing discretion for SLTE owners and operators to tailor their plans to their specific risk profiles and operational needs. We reject ITI's argument that a cybersecurity and physical security risk management plan requirement creates duplicative burdens as we reject similar arguments above.²⁶⁶

56. We reject NCTA's argument that requiring submission of cybersecurity and physical security risk management plans to the Commission, "even confidentially," would undermine national security by exposing sensitive information.²⁶⁷ As an initial matter, NCTA makes no attempt to substantiate its concern by pointing to any evidence that the Commission could not maintain the confidentiality of such plans. To the contrary, the Commission receives tens of thousands of confidential submissions from communications service providers every year, including cybersecurity risk management

²⁶¹ Zelig Petit, *Beneath NATO's Radars: Unaddressed Threats to Subsea Cables*, Center for Strategic and International Studies (Dec. 2, 2024), <https://www.csis.org/blogs/strategic-technologies-blog/beneath-natos-radars-unaddressed-threats-subsea-cables> ("On land, the CLS [cable landing station that house SLTE] constitutes a low-cost high-reward target for both state and non-state malicious actors. Despite their relevance in the cable infrastructure, CLSs are often non-descript buildings with minimal physical security, geographically concentrated, and chosen primarily due to their proximity to a carrier, data center, or point of presence, which magnifies the risk that a single natural or man-made event could damage multiple cables.").

²⁶² See *supra* paras. 9, 18.

²⁶³ See, e.g., Andy Castle & Nilesh Nawale, *What Is a Cable Landing Station?*, Equinix (Oct. 15, 2024), <https://blog.equinix.com/blog/2024/10/15/what-is-a-cable-landing-station/> ("Some facilities are built to serve as both cable landing stations and data centers. This means the backhaul is removed altogether, avoiding the latency and inefficiency that would otherwise occur."); Brian Lavallée, *Connecting Data Centers Under the Sea*, Ciena (Apr. 27, 2016), https://www.ciena.com/insights/articles/Connecting-Data-Centers-Under-the-Sea_prx.html ("For submarine cables targeted primarily at [Data Center Interconnect] applications, it makes sense to consider moving Submarine Line Terminating Equipment (SLTE) out of traditional Cable Landing Stations (CLS) and directly into the data center.").

²⁶⁴ Submarine Cable Networks, *Stations*, <https://www.submarinenetworks.com/en/stations> (last visited June 17, 2026). See also Executive Branch Reply at 15-19 (The Committee emphasizes the national security risks presented by foreign adversary entities with this type of access, including serious counterintelligence risks where an adversary could intercept or misroute U.S. persons' communications and sensitive data transiting the submarine cable.).

²⁶⁵ See Seungmin (Helen) Lee, *Securing the Backbone of Artificial Intelligence: Protecting Data Centers*, New America, at 16 (Sept. 4, 2025), https://d1y8sb8igg2f8e.cloudfront.net/documents/Securing_the_Backbone_of_Artificial_Intelligence_Protecting_Data_Centers_2025-bycpgid.pdf ("Data centers are high-value targets because they can store important data, provide critical services, and run networks, applications, security, and virtual machines.").

²⁶⁶ See *supra* para. 48.

²⁶⁷ NCTA Comments at 7-9.

plans from Universal Service Fund (USF) recipients, and protects those plans from disclosure.²⁶⁸ Moreover, it is not clear how the Commission could ensure compliance with the requirement that licensees create cybersecurity and physical security risk management plans absent the ability to review at least some licensees' plans. The Commission's power to review plans will help ensure that appropriate cybersecurity protections are in place against the physical, logical, and supply chain threats to licensees' systems, which is especially important for licensees who are not referred to the Executive Branch agencies and will thus not have any mitigation agreement in place governing cybersecurity and physical security controls that the licensee must implement as a condition of the Commission's grant of a blanket license.²⁶⁹

57. NCTA also suggests that the Commission exempt "trusted" domestic SLTE owners and operators from cybersecurity or physical security reporting requirements or, in the alternative, limit any requirement to a certification that cybersecurity and physical security plans are being established and maintained.²⁷⁰ While the Commission limits its cybersecurity and physical security requirements for SLTE owners and operators to the maintenance and implementation of risk management plans, we decline at this time to adopt different requirements generally, including cybersecurity or physical security requirements, for different types of SLTE owners and operators. The Commission believes this approach will ensure a baseline of security across STLE operations and avoid unnecessary compliance complexity.

58. *Deferral of Other Routine Conditions.*²⁷¹ At this time, we defer consideration and adoption of other routine conditions proposed in the *2025 Submarine Cable Further Notice*, but reserve the option to consider doing so after the benefit of the one-time information collection.²⁷² Specifically, we defer considering adoption of a requirement to file a notification for prior approval to become affiliated with a foreign carrier or other notifications or certifications until after the one-time information collection.²⁷³ We also defer considering adoption of a requirement to file an application for a transfer of control or assignment of the blanket license, and a requirement that SLTE owners and operators maintain *de jure* and *de facto* control of the U.S. portion of the cable system, including the cable landing stations in the United States, sufficient to comply with the requirements of the Commission's rules and any specific conditions of the license, until after the one-time information collection.²⁷⁴ However, our exclusion of certain entities from our grant of the blanket license prohibits those entities from owning and/or operating

²⁶⁸ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6547, para 121; see 47 CFR §§ 0.442, 0.457, 0.459, and 0.461. The Commission's regulations provide that confidential proprietary and commercially sensitive information will be withheld from public disclosure, subject to the public's right to seek disclosure under the Freedom of Information Act and implementing regulations. 5 U.S.C. § 552; 47 CFR §§ 0.457(d), 0.459(d).

²⁶⁹ See *infra* section III.A.3 (describing how qualified applications will not be referred to the Executive Branch agencies).

²⁷⁰ NCTA Comments at 2.

²⁷¹ In the *Foreign Adversary Control Report and Order*, the Commission adopted new attestation and disclosure requirements that will enhance our ability to assess and respond to emerging threats from foreign adversaries. *Foreign Adversary Control Report and Order* at *1, para. 1. The Commission delegated authority to the respective Bureau or Office issuing the Covered Authorization (including those not addressed in that *Report and Order*) to modify the list of Covered Authorizations within each Schedule to add a new Covered Authorization, reassign an existing Covered Authorization from one Schedule to another, or remove a Covered Authorization, subject to the analysis set forth in the *Report and Order*. *Id.* at *12, para. 28. The Commission also delegated to OEA and PSHSB, and the relevant Licensing Bureaus and Offices authority to provide rule clarifications, among other things. *Id.* at *34, para. 76. We direct OIA to determine, address, or clarify as appropriate the obligations of SLTE owners and operators pursuant to the *Foreign Adversary Control Report and Order*.

²⁷² *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6595-97, section IV.A.3.

²⁷³ *Id.* at 6595-96, paras. 252.

²⁷⁴ *Id.* at 6596, para. 253.

new SLTE—that is, SLTE that these specific entities did not previously own and/or operate prior to the effective date of the new rules—on a submarine cable landing in the United States. This prohibition includes any new SLTE that those entities would own and/or operate through an assignment or transfer of control. While we defer considering adoption of rules for assignments or transfers of control of SLTE, we expect all cable landing licensees to abide by our prohibition on those entities and accordingly shall not assign or transfer control of SLTE to any such entity on a Commission-licensed submarine cable.

59. Some commenters propose that the Commission adopt notification and certification requirements for SLTE owners and operators as a less burdensome alternative to a licensing framework.²⁷⁵ We reject proposals to adopt a “notification regime” in lieu of the blanket license, given the importance of this licensing framework in protecting national security interests and given the fact that a notification regime would impose additional burdens on SLTE owners and operators. We also sought comment on whether to adopt routine conditions requiring SLTE owners and operators to certify that they will not add to the submarine cable systems, covered equipment and services currently or newly identified in the future; to disclose whether or not their submarine cable system uses covered equipment and services; or to certify that they will not use equipment that is produced or provided by foreign adversary-controlled entities to operate the submarine cable system.²⁷⁶ No commenter addressed these proposals. We defer consideration and adoption of these routine conditions at this time. We recognize, however, that as the record develops, including with the one-time information collection adopted in the *2025 Submarine Cable First Report and Order*, we may revisit the routine conditions applicable to SLTE owners and operators, including those routine conditions of which we have deferred consideration and adoption at this time.

(iii) SLTE Foreign Adversary Annual Report

60. We adopt an annual reporting requirement for SLTE owners and operators and all other cable landing licensees that meet certain criteria below. We adopt this SLTE Foreign Adversary Annual Report requirement to ensure that the Commission has the information it needs to timely monitor and continually assess evolving national security or other risks. The SLTE Foreign Adversary Report will be required if any licensee that owns or operates SLTE meets any of the criteria below, including any such entity that meets any of the criteria at the time the rules become effective and continues to meet the criteria any time after that date. We recognize that significant national security concerns are raised if SLTE on a submarine cable landing in the United States is owned and/or operated by an entity that meets any of the criteria below, including foreign adversary-controlled entities, Covered List entities, and other entities of concern. As discussed above, our grant of the blanket license excludes their ownership and/or operation of new SLTE—that is, SLTE that they did not previously own and/or operate prior to the effective date of the new rules—but does not exclude their ownership or operation of current SLTE on a submarine cable.²⁷⁷

61. In the *2025 Submarine Cable Further Notice*, we proposed to adopt an annual reporting requirement for existing SLTE owners and operators that meet our foreign adversary criteria and thus present potential national security and law enforcement concerns.²⁷⁸ We proposed to require those entities to file the SLTE Foreign Adversary Annual Report that includes information that is current as of thirty (30) days prior to the date of the submission, and to provide a copy of the report to the Committee at the time of filing with the Commission.²⁷⁹ We sought comment on whether an entity that meets one or more of the criteria to file a Foreign Adversary Annual Report and an SLTE Foreign Adversary Annual Report

²⁷⁵ CF USA Reply at 6-7; ICC Comments at 28; ICC Reply at 14; INCOMPAS Reply at 3, 8-9, Microsoft Comments at 2; NASCA Comments at 3-4.

²⁷⁶ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6596-97, paras. 254.

²⁷⁷ See *supra* para. 40.

²⁷⁸ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6598, para. 257.

²⁷⁹ *Id.* at 6599, para. 260.

(as both a licensee under section 1.70003(a) or (b) and an SLTE owner and operator) should file both reports every year.²⁸⁰ We sought comment on whether such entities should be permitted to seek a waiver of a requirement to file the SLTE Foreign Adversary Annual Report if they incorporate necessary information about their SLTE ownership and location in the Foreign Adversary Annual Report, or whether the Commission should instead use a single form for both reports.²⁸¹

62. We adopt our proposal to require an annual SLTE Foreign Adversary Report. Specifically, we require any licensee that owns or operates SLTE and meets any of the following criteria to submit an SLTE Foreign Adversary Annual Report to the Commission on an annual basis:

- (1) That is owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, as defined in section 1.70001(g) of the rules;²⁸²
- (2) That is identified on the Covered List that the Commission maintains pursuant to the Secure Networks Act;²⁸³
- (3) That has purchased, rented, leased, or otherwise obtained or utilized equipment and/or services on the Commission's Covered List and/or is using those in the submarine cable infrastructure;
- (4) Whose authorization, license, or other Commission approval, whether or not related to operation of a submarine cable, was denied or revoked and/or terminated or is denied or revoked and/or terminated in the future on national security and law enforcement grounds, as well as the current and future affiliates or subsidiaries of any such entity; and/or
- (5) The submarine cable system for which the entity is licensed to operate in the United States pursuant to section 1.70003,²⁸⁴ lands in a foreign adversary country, or the licensee's SLTE on the submarine cable landing in the United States is owned in or operated from a foreign adversary country, as defined in section 1.70001(f),²⁸⁵ such that the operation "directly or indirectly connect[s] the United States with any foreign country."²⁸⁶

63. FDD argues that the Commission should require all licensees to file an SLTE Foreign Adversary Annual Report.²⁸⁷ A few commenters disagree with FDD's proposal²⁸⁸ or raise concerns about duplicative filing requirements.²⁸⁹ INCOMPAS states that the Commission's national security concern with preventing foreign adversaries from owning, managing, or operating SLTE was addressed by the *2025 Submarine Cable First Report and Order*, and therefore additional reporting obligations are redundant.²⁹⁰ ICC and TIA argue that the SLTE Foreign Adversary Annual Report is duplicative of the

²⁸⁰ *Id.* at 6599, para. 261.

²⁸¹ *Id.* at 6599, para. 261.

²⁸² 47 CFR § 1.70001(g).

²⁸³ *List of Covered Equipment and Services*.

²⁸⁴ *See infra* Appx. A (§ 1.70003).

²⁸⁵ 47 CFR § 1.70001(f).

²⁸⁶ 47 U.S.C. § 34.

²⁸⁷ FDD Comments at 3.

²⁸⁸ INCOMPAS Reply at 9.

²⁸⁹ ICC Comments at 27; TIA Comments at 9.

²⁹⁰ INCOMPAS Reply at 9-10 ("Licensees are already subject to the prohibition on entering into new or extending existing leases/IRUs with foreign adversary entities, preventing the types of arrangements that could give rise to adversarial access, rendering additional reporting obligations redundant and inconsistent with the Commission's commitment to targeted regulation.").

Foreign Adversary Annual Report,²⁹¹ while ICC adds that it is unnecessary given the Commission's prohibition on "capacity/SLTE arrangements with foreign adversary entities."²⁹²

64. We disagree that the SLTE Foreign Adversary Annual Report creates unnecessary burdens for licensees. We find that any burdens on foreign adversary-controlled entities or Covered List entities associated with submitting the annual reports is substantially outweighed by the importance of these reports in promoting U.S. national security interests and closing the national security gap with respect to SLTE owners and operators that are not currently subject to a licensing requirement. As discussed below, we also expect there will be minimal overlap of information between the SLTE Foreign Adversary Annual Report and Foreign Adversary Annual Report.²⁹³ As we stated in the *2025 Submarine Cable First Report and Order*, the Commission must monitor and receive on a regular basis information necessary to ascertain foreign adversary control or ownership of SLTE owners and operators, which is directly relevant to the Commission's oversight role of cable landing licensees.²⁹⁴ For example, FDD supports the adoption of the SLTE Foreign Adversary Annual Report requirement to "enhance the Commission's oversight over the nation's submarine cable system and assist in identifying potential adversarial intrusions or interference."²⁹⁵ Accordingly, we require licensees to self-identify and fulfill the reporting requirements for the SLTE Foreign Adversary Annual Report. We find that requiring the SLTE Foreign Adversary Annual Report will improve the Commission's oversight of cable landing licenses and ensure that the license continues to serve the public interest.

65. *Information Content of SLTE Foreign Adversary Annual Report.* We tailor the information requirements proposed in the *2025 Submarine Cable Further Notice*, by requiring the following information in the SLTE Foreign Adversary Annual Report: (1) the information of the licensee as required in section 1.70005(a) through (d), and (g) and section 63.18(h) of the rules;²⁹⁶ (2) the location(s) of the SLTE(s) that the licensee owns and/or operates; (3) identify and describe whether the SLTE(s) is managed or operated by a third party; (4) identify and describe whether the licensee leases, sells, shares, or swaps fiber, capacity, or spectrum on a Commission-licensed submarine cable system, including the name of each submarine cable system; (5) certifications as set forth under section 1.70006(b);²⁹⁷ and (6) certification that the licensee accepts and will abide by the routine conditions in section 1.70007 upon which its cable landing license (such as the blanket license, if applicable) is conditioned.²⁹⁸ Consistent with our decisions in this *Second Report and Order*, we do not require other certifications set forth under section 1.70006.²⁹⁹ The SLTE Foreign Adversary Annual Report must

²⁹¹ ICC Comments at 27; TIA Comments at 9.

²⁹² ICC Comments at 27.

²⁹³ See *infra* paras. 66-67; *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6570, para. 182.

²⁹⁴ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6598, para. 258.

²⁹⁵ FDD Comments at 3 ("This report should include information about the SLTE owner and operator, the location of the SLTE, and whether the SLTE owner or operator sells, shares, or swaps fiber or spectrum on a licensed submarine cable system.").

²⁹⁶ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6638-39, Appx. A (§§ 1.70005(a)-(d), (g), (j)(1)); 47 CFR § 63.18(h).

²⁹⁷ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6638-39, Appx. A (§ 1.70006(b) (requiring a certification as to "[w]hether or not it exhibits any of the criteria set out in the presumptive disqualifying conditions per §§ 1.70002(c) and 1.70004(a) and (b)")).

²⁹⁸ 47 CFR § 1.70007; *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6632-34, 6642, Appx. A (§ 1.70007(a)(1)-(3), (d), (m), and (n)); see *infra* Appx. A (§ 1.70007(gg)-(hh)).

²⁹⁹ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6641-42, Appx. A (§ 1.70006(a), (c)-(d)); see *infra* Appx. A (§ 1.70006(e)-(k)).

include information that is current as of thirty (30) days prior to the filing deadline.³⁰⁰ Additionally, licensees must provide a copy of the SLTE Foreign Adversary Annual Report directly to the Committee at the time of filing with the Commission.³⁰¹

66. *Foreign Adversary Annual Report and SLTE Foreign Adversary Annual Report.* We require all cable landing licensees that own and/or operate SLTE, including but not limited to those subject to the blanket license, to submit both the Foreign Adversary Annual Report and the SLTE Foreign Adversary Annual Report if they meet any of the criteria set out in section 1.70017(b) and in section 1.70018(b).³⁰² Our approach is tailored to require these annual reports from a limited subset of licensees that present heightened national security and law enforcement concerns warranting submission of relevant information to the Commission on a consistent and timely basis. We find that any burdens imposed by requiring this subset of entities to submit both annual reports are outweighed by the national security benefits. We delegate authority to OIA to determine the technical implementation of the Foreign Adversary Annual Report and the SLTE Foreign Adversary Annual Report, including developing and modifying forms and instructions and administering the filing of these reports, as appropriate. We direct OIA, in consultation with the Committee if needed, to develop, implement, and modify the SLTE Foreign Adversary Annual Report as necessary.

67. We require that an entity that is a licensee under section 1.70003(a) or (b) and owns and/or operates SLTE shall file both the SLTE Foreign Adversary Annual Report and the Foreign Adversary Annual Report if it meets any of the criteria in section 1.70017(b) and in section 1.70018(b).³⁰³ We expect to collect different information in each type of report with minimal overlap of information.³⁰⁴ Importantly, the SLTE Foreign Adversary Annual Report will require information about the entity's ownership, management and operation of the SLTE, and whether the entity leases, sells, shares, or swaps fiber, capacity, or spectrum on a Commission-licensed submarine cable system.³⁰⁵

68. *Reporting Deadlines.* We delegate authority to the OIA to establish and modify, as appropriate, the filing deadlines for the SLTE Foreign Adversary Annual Reports. OIA shall consult with the Committee, and if needed, other relevant Executive Branch agencies concerning the filing deadlines for the SLTE Foreign Adversary Annual Reports.

69. *Filing Method.* Cable landing licensees that meet the criteria under section 1.70018(b) shall submit an SLTE Foreign Adversary Annual Report each year in the relevant license file number(s) in the Commission's International Communications Filing System (ICFS), or any successor system. Licensee shall also file a copy of the SLTE Foreign Adversary Annual Report directly with the Committee.³⁰⁶ We delegate authority to OIA to establish and modify filing guidance and instructions, as appropriate.

³⁰⁰ 2025 Submarine Cable First Report and Order and FNPRM, 40 FCC Rcd at 6662-63, Appx. B (§ 1.70018).

³⁰¹ *Id.* at 6599, para. 260.

³⁰² *Id.* at 6653, 6662, Appx. A (§ 1.70017(b)-(c)), Appx. B (§ 1.70018(b)-(c)).

³⁰³ *Id.* at 6653, Appx. A (§ 1.70017(b)); *see infra* at Appx. A (§ 1.70018(b)).

³⁰⁴ *See supra* paras. 65-66; 2025 Submarine Cable First Report and Order and FNPRM, 40 FCC Rcd at 6570, para. 182.

³⁰⁵ *See supra* paras. 65-66.

³⁰⁶ *See infra* Appx. A (§ 1.70018(e)).

70. *Application Fees.* The Commission will address in a future rulemaking proceeding whether a fee must be assessed for the filing of the SLTE Foreign Adversary Annual Report, and if so, the fee amount.³⁰⁷

2. New Certifications and Routine Conditions

71. We build on the Commission's submarine cable modernization effort started in the *2025 Submarine Cable First Report and Order*, by adopting updated certifications and routine conditions for applicants and existing licensees on a cable landing license subject to section 1.70003(a)(1) or (a)(2).³⁰⁸ These targeted updates continue to improve upon the Commission's ability to safeguard national security.

72. We adopt the proposals from the *2025 Submarine Cable Further Notice* and add new certification requirements for submarine cable applicants and existing licensees,³⁰⁹ adopt new routine conditions for licensees that hold a cable landing license under section 1.70003(a)(1) and (a)(2),³¹⁰ with exceptions, and facilitate information sharing with other federal agencies to protect national security.³¹¹

73. Here, as discussed below, we adopt certifications and routine conditions that will prohibit the following: (1) the use of principal equipment that is produced (including any major stage of the process through which the device is made, including manufacturing, assembly, design, and development) by foreign adversary-controlled entities in a submarine cable system;³¹² (2) the use of third-party service providers that are foreign adversary-controlled entities, entities identified on the Covered List, or entities that can access the submarine cable from a foreign adversary country, and (3) licensees, their customers, and further downstream customers from entering into IRUs and capacity lease arrangements with entities identified on the Covered List, where such arrangement would give such entity (i.e., the IRU holder or lessee) the ability to install, own, or manage SLTE on a submarine cable landing in the United States.³¹³ We also adopt certifications and routine conditions that will require licensees to notify the Commission when there are ownership changes or changes to the Commission's Covered List. Our action today will also protect national security by requiring licensees to notify the Commission of changes to the address or geographic coordinates, intention to not renew the license for the submarine cable system, and the retirement of submarine cables. Lastly, we adopt a rule that allows the Commission to share with the Committee and relevant federal government agencies information that is filed with the Commission

³⁰⁷ See 47 U.S.C. § 158. Section 8(c) of the Communications Act of 1934, as amended, requires the Commission to, by rule, amend the application fee schedule if the Commission determines that the schedule requires amendment so that: (1) such fees reflect increases or decreases in the costs of processing applications at the Commission or (2) such schedule reflects the consolidation or addition of new categories of applications. *Id.* § 158(c). Section 8(c) of the Act does not mandate a timeframe for making any such amendments under section 8(c). *Id.* The Commission previously explained that when the application fee schedule may require an amendment pursuant to section 8(c), the Commission will initiate a rulemaking to seek comment on any proposed amendment(s) to the application fee schedule. *Amendment of the Schedule of Application Fees Set Forth in Sections 1.1102 through 1.1109 of the Commission's Rules*, MD Docket No. 20-270, Order, 37 FCC Rcd 14994, 14994, para. 1 n.2 (2022).

³⁰⁸ See *infra* Appx. A (1.70003(a)(1)-(2)).

³⁰⁹ In this *Second Report and Order*, we use the term "existing licensees" to refer to a cable landing licensee whose license was or is granted prior to the effective date of the *Second Report and Order* or the new rules, as applicable and discussed herein.

³¹⁰ See *infra* Appx. A (§ 1.70003(a)(1)-(2)).

³¹¹ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6599, para. 262.

³¹² See *infra* section III.A.2.a.i (Prohibit the Use of Principal Equipment Produced by Foreign Adversary-Controlled Entities).

³¹³ *List of Covered Equipment and Services*; 47 U.S.C. §§ 1601–1609; 47 CFR § 1.50000 *et seq.*

pursuant to section 1.40001³¹⁴ and subpart FF,³¹⁵ as amended, on a confidential basis, without the pre-notification requirements of section 0.442(d) of the Commission's rules.³¹⁶

74. *Application to SLTE Owners and Operators.* Above, we grant a blanket license to any entity that owns and/or operates SLTE on a submarine cable landing in the United States and is not otherwise required to be an applicant for and licensee on a cable landing license under section 1.70003(a)(1) or (a)(2).³¹⁷ We require these SLTE owners and operators to comply with certain routine conditions set forth in section 1.70007(a)(1)-(3), (d), (m), (n), and (gg)-(hh).³¹⁸ We therefore defer at this time on consideration of a requirement that any owner or operator of SLTE adhere to the new routine conditions that we adopt in this section, including: (1) those SLTE owners and operators that hold a blanket license under section 1.70003(b),³¹⁹ and (2) other licensees that own and/or operate SLTE on their licensed submarine cable and hold a cable landing license under section 1.70003(a)(1) or (a)(2).³²⁰ As noted above, we anticipate considering any new certifications and routine conditions in the future for SLTE owners and operators after the completion of the one-time information collection. To reduce regulatory uncertainty and potential conflict, we also defer the application of the new routine conditions to all other owners and operators of SLTE until such time as the Commission decides how to proceed regarding this issue.

a. National Security Certifications and Routine Conditions

75. We adopt new certification requirements and routine conditions to protect national security. These new requirements build on the protections adopted in the *2025 Submarine Cable First Report and Order*. Accordingly, the new requirements will provide the Commission with additional tools to reduce and mitigate the presence of foreign adversary-controlled entities that are directly or indirectly involved in critical submarine cable infrastructure that carries U.S. communications traffic. For these reasons, the rules we adopt today consider different perspectives and take a comprehensive approach to protect national security as it relates to submarine cables. Moreover, the rules will allow the Commission to rely on timely updates involving foreign adversary determinations that the Commission or other federal government sources will make in the future. We delegate authority to OIA to develop the questions and certifications for the applications and update application forms as necessary. We direct OIA, to the extent consistent with this *Second Report and Order*, to minimize the additional burdens from these form changes.

(i) Prohibit the Use of Principal Equipment Produced by Foreign Adversary-Controlled Entities

76. We adopt a certification for applicants for a cable landing license or modification to add a new segment for a submarine cable system and a routine condition that prohibits the use or addition of

³¹⁴ 47 CFR § 1.40001; *see infra* section III.A.3, Appx. A (§ 1.40001).

³¹⁵ *See infra* Appx. A; *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6626-6655, Appx. A.

³¹⁶ 47 CFR § 0.442(d).

³¹⁷ *See infra* Appx. A (§ 1.70003(a)(1)-(2)).

³¹⁸ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6632-34, 6642, Appx. A (§ 1.70007(a)(1)-(3), (d), (m), and (n)); *see infra* Appx. A (§ 1.70007(gg)-(hh)).

³¹⁹ *See infra* Appx. A (§ 1.70003(b)).

³²⁰ *See infra* Appx. A (§ 1.70003(a)(1)-(2)). This also includes those licensees that hold a cable landing license under section 1.767 prior to our amendment of the rule in the *2025 Submarine Cable First Report and Order*. 47 CFR § 1.767; *2025 Submarine Cable First Report and Order*, 40 FCC Rcd at 6529, para. 82 (“[W]e revise our license requirement with respect to cable landing stations and require entities that control cable landing stations to be licensees. Entities that merely own a cable landing station are no longer required to become licensees.”).

any principal equipment on the submarine cable system that is produced³²¹ (including any major stage of the process through which the device is made, including manufacturing, assembly, design, and development) by any entity owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, as defined in section 1.70001(g).³²² Licensees whose application for a cable landing license is filed and granted after the effective date of the new rules must ensure that no such principal equipment is used or added, whether by the licensee or any other entity, on their licensed submarine cable system. Existing licensees must ensure that no such principal equipment is added, whether by the licensee or any other entity, on their licensed submarine cable system. In the *2025 Submarine Cable First Report and Order*, we adopted rules requiring applicants for a cable landing license to certify that they will not use equipment or services on the Commission's Covered List, and existing licensees to certify that they will not add such equipment or services to their submarine cable system.³²³ In this *Second Report and Order*, we extend this prohibition to the use or addition of principal equipment that is produced by foreign adversary-controlled entities. Finally, we conclude that we have the legal authority to apply a routine condition to all licensees prohibiting the addition of such principal equipment, including those licensees whose cable landing license is or was granted prior to the effective date of the new rules.

77. *Definition of Foreign Adversaries.* For purposes of these rules, we rely on the definition of “owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary” in section 1.70001(g) of our rules.³²⁴ In the *2025 Submarine Cable Further Notice*, we sought comment on whether to require an applicant for a cable landing license to certify, as a condition of the potential grant of an application, that it will not use any equipment in the operation of the submarine cable system that is produced by any entity “owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary,” as defined in section 1.70001(g).³²⁵ We noted that the Committee suggested this approach in response to the *2024 Submarine Cable NPRM*.³²⁶ Specifically, the Committee stated that, in its “experience, foreign adversaries use a host of seemingly innocuous corporate entities to advance their strategic goals,” while “[t]he FCC’s ‘Covered List’ is limited and identifies only a handful of those entities.”³²⁷ The Committee recommended that the Commission adopt an even broader approach and instead require “licensees to certify that they will not use vendors for equipment or services who meet certain qualifications found in other existing national security related regulations,”³²⁸ including the Department of Commerce’s “definition of a ‘person owned by, controlled by, or subject to the jurisdiction

³²¹ We understand this term broadly, as we do in contexts involving equipment on the Covered List. *See, e.g., Protecting Against National Security Threats to the Communications Supply Chain through the Equipment Authorization Program*, ET Docket No. 21-232, Second Report and Order and Second Further Notice of Proposed Rulemaking, 40 FCC Rcd 8430, 8456-57, paras. 51-53 & n.203 (2025) (stating, “a broad interpretation” of “produced by” an entity “likely includes substantial responsibility for or control over any major stage of the process by which a device comes into existence. Accordingly, ‘produced by’ is not limited to the manufacture or assembly of a device. For example, a device would generally be considered to have been ‘produced by’ an entity if that entity “designed, manufactured, assembled, or developed the device.”). *See also* Federal Communications Commission, National Security Determination on the Threat Posed by Routers Produced in Foreign Countries at 2 (Mar. 20, 2026), <https://www.fcc.gov/sites/default/files/NSD-Routers0326.pdf> (“Production generally includes any major stage of the process through which the device is made, including manufacturing, assembly, design, and development.”).

³²² *See infra* Appx. A (§§ 1.70006(e), 1.70007(u), and 1.70025); 47 CFR § 1.70001(g).

³²³ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6548-49, para. 125.

³²⁴ 47 CFR § 1.70001(g).

³²⁵ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6600, para. 263.

³²⁶ *Id.* at 6600, para. 263, n.817 (citing to Committee *Ex Parte* at 3).

³²⁷ Committee *Ex Parte* at 3.

³²⁸ *Id.*

or direction of a foreign adversary’ found in . . . 15 CFR § 791.2.”³²⁹ Some commenters oppose our proposal in the *2025 Submarine Cable Further Notice*,³³⁰ while several others support the overall approach, including DHS.³³¹ We will rely on our previously-used definition of “owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary” in section 1.70001(g)³³² for purposes of these rules. We relied on this definition for purposes of the rules adopted in the *2025 Submarine Cable First Report and Order* and we see no reason to depart from this approach.³³³ By using standard definitions, we are promoting regulatory harmonization.³³⁴

78. We note that since we adopted the *2025 Submarine Cable First Report and Order* in August 2025, the Commission adopted the *Foreign Adversary Control Report and Order*.³³⁵ To strengthen the security of U.S. communications networks, we adopted new attestation and disclosure requirements that will enhance our ability to assess and respond to emerging threats from foreign adversaries.³³⁶ To the extent there are additional changes to our requirements for submarine cable applicants and licensees as a result of the *Foreign Adversary Control Report and Order*, we will adopt necessary policies and procedures or address in a future rulemaking proceeding, where appropriate, to conform the rules adopted in this *Second Report and Order*, including rule clarifications and further guidance.

79. *Principal Equipment.* We adopt a certification for applicants and a routine condition for licensees to prohibit principal equipment that is produced (including any major stage of the process through which the device is made, including manufacturing, assembly, design, and development) by any entity owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, as defined in section 1.70001(g).³³⁷ In the *2025 Submarine Cable Further Notice*, we sought comment on whether we should apply the certification requirement to: “(1) all equipment; (2) only logic-bearing hardware or software; or (3) only ‘communications equipment’ as defined in section 1.50001(d) of the Communication’s rules[.]”³³⁸ DHS concurs with the proposed rule to prohibit the use of foreign adversary affiliated “principal equipment” as a routine condition for submarine cable applicants and licensees,

³²⁹ *Id.* at 3-4.

³³⁰ CTIA Comments at 13-14 (“[T]he FNPRM proposes to move from a group of known entities (the Covered List) to a group of unknown and potentially unknowable entities (those sufficiently linked to a foreign adversary).”); INCOMPAS Reply at 12 (“As a practical and legal matter, submarine cable systems cannot land or operate in a foreign adversary country without engaging entities that are licensed or authorized under that jurisdiction’s laws.”).

³³¹ TIA Comments at 6; NASCA Comments at 19; Microsoft Comments at 13; FDD Comment at 4; DHS *Ex Parte* at 1.

³³² 47 CFR § 1.70001(g). In the *2025 Submarine Cable First Report and Order* and *FNPRM*, we defined an individual or entity “owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary” consistent with Department of Commerce’s rule, 15 CFR § 791.2, with certain narrow modifications. See *2025 Submarine Cable First Report and Order* and *FNPRM*, 40 FCC Rcd at 6492-97, paras. 23-29; see *Committee Ex Parte* at 3-4.

³³³ *2025 Submarine Cable First Report and Order* and *FNPRM*, 40 FCC Rcd at 6484, para. 4; *Foreign Adversary Control Report and Order*, at *6, para. 15 (adopting the same definition for the term “owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary” as set forth under 47 CFR § 1.70001(g)).

³³⁴ ICC Comments at 22 (“The definition in the Order, which is based on the Department of Commerce’s definition [(for Foreign Adversary)],^[1] appropriately places the burden on a national security agency to make determinations regarding what constitutes a ‘foreign adversary,’ while also encouraging certainty and predictability across regulatory regimes.”).

³³⁵ See generally *Foreign Adversary Control Report and Order*.

³³⁶ See *id.*

³³⁷ 47 CFR § 1.70001(g).

³³⁸ *2025 Submarine Cable First Report and Order* and *FNPRM*, 40 FCC Rcd at 6600, para. 264.

although DHS did not specifically define “principal equipment.”³³⁹ One commenter supports the third option limited to “communications equipment,”³⁴⁰ while other commenters urge the Commission to tailor the rules to ensure there is no harm to existing infrastructure.³⁴¹ We agree with commenters that we should tailor this certification and routine condition and, therefore, we adopt a narrower approach than originally proposed. We adopt a certification for applicants and a routine condition for licensees to prohibit only the type of principal equipment, as further explained below, that could be harmful to national security if produced by entities that are owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, as defined in section 1.70001(g).³⁴²

80. We adopt a definition of “principal equipment” based on the definitions found in recent mitigation agreements between submarine cable licensees and the Committee for submarine cable systems landing in the United States. We do this for a few reasons. To date, many applicants have undergone review by the Committee and are familiar with principal equipment as it is a defined term in every recent Committee mitigation agreement, all of which are documents in the public record.³⁴³ By adopting the definition as part of a certification and routine condition, it places the submarine cable systems that are not subject to a recent mitigation agreement on par with those that are subject to a recent mitigation agreement with these terms. By tailoring the certification and routine condition on prohibiting principal equipment, we reduce the burden on licensees so that they are aware of the specific types of equipment that cannot be foreign adversary equipment. Additionally, by relying on the definitions found in recent mitigation agreements, we rely on the Committee’s national security expertise and experience regarding what sort of devices pose national security threats. Below, we identify the most significant parts of the submarine cable system for licensees that could be harmed by foreign adversaries. We believe that by requiring the certification and routine condition, submarine cable systems landing in the United States will be more secure and better protected.

81. For purposes of our rules, principal equipment means the primary electronic components of the submarine cable system that supports it end-to-end and any other such equipment, whether physical or providing logic-bearing service, that performs the functions described in this definition that licensees of a submarine cable system may use in the normal course of business. This includes, but is not limited to the following:

- the Domestic Communications Infrastructure;³⁴⁴

³³⁹ DHS *Ex Parte* at 1; *see also* Anthropic *Ex Parte* at 3-4, 6.

³⁴⁰ ICC Comments at 17; ICC Reply at 8-9.

³⁴¹ TIA Comments at 6; INCOMPAS Reply at 3;

³⁴² 47 CFR § 1.70001(g).

³⁴³ *See, e.g.*, Starfish Infrastructure, Inc. and Google LLC, National Security Agreement with the U.S. Department of Homeland Security, U.S. Department of Justice, and U.S. Department of Defense (Nov. 17, 2025) (on file in File No. SCL-LIC-20241115-00046) (Bulikula NSA); Edge Cable Holdings USA, LLC and Meta Platforms, Inc., National Security Agreement with the U.S. Department of Homeland Security, U.S. Department of Justice, and U.S. Department of Defense (Dec. 11, 2025) (on file in File No. SCL-STA-20251209-00086) (Anjana Provisional NSA).

³⁴⁴ We adopt the definition of “Domestic Communications Infrastructure” or “DCI” to mean: (1) any portion of a submarine cable system that is physically located in the United States or its territories, up to and including the SLTE, including (if any) transmission, switching, bridging, and routing equipment, and any associated software (with the exception of commercial-off-the-shelf (“COTS”) software used for common business functions (e.g., Microsoft Office) used by or on behalf of the licensee(s) to provide, process, direct, control, supervise, or manage Domestic Communications; and (2) any “Network Operations Center” or “NOC,” as defined in section 1.70001(n). *See infra* Appx. A (§ 1.70001(k), (n)). We also adopt the definition of “Domestic Communications” to mean: (1) Wire Communications, as described in 18 U.S.C. § 2510(1), or Electronic Communications (whether stored or not), as described in 18 U.S.C. § 2510(12), from one U.S. location to another U.S. location, and (2) the U.S. portion of a Wire Communication or Electronic Communication (whether stored or not) that originates or terminates in the

(continued....)

- Wet Infrastructure;³⁴⁵
- servers, routers, switches, repeaters;
- SLTE;
- system supervisory equipment (SSE);
- signal modulators and amplifiers;
- power feed equipment (PFE);
- tilt and shape equalizer units (TEQ/SEQ);
- optical distribution frames (ODF);
- branching units (BU);
- optical splitters (OS);
- switches;
- multiplexers;
- optical carrier network (OCx) equipment, as applicable;
- fiber optic cables; and
- all equipment (including hardware, software and firmware) and Network Management Systems used to support, operate, manage, monitor, secure, maintain, analyze, administer, and provision the cable system.

While we include SLTE as principal equipment for purposes of this routine condition, this is simply building upon our exclusion of foreign adversary-controlled entities from submarine cables.³⁴⁶ We find it appropriate to identify SLTE as principal equipment in this routine condition as the SLTE converts the telecommunications traffic optical signals to electrical signals and vice versa,³⁴⁷ and thus “supports” the submarine cable system “end-to-end” as set forth in our definition of “principal equipment.”³⁴⁸ Our approach will ensure that an SLTE that is *produced* by any foreign adversary-controlled entity is not used or added on the submarine cable system of a licensee whose application for the cable landing license is filed and granted after the effective date of the new rules. As explained below, we also require existing licensees to ensure that neither the licensee nor any other entity adds an SLTE produced by a foreign adversary-controlled entity to the licensed submarine cable system. Overall, our actions in this *Second Report and Order* collectively address critical national security vulnerabilities by prohibiting foreign adversary-controlled entities from owning or operating new SLTE on current and future submarine cables

United States or its territories. *See infra* Appx. A (§ 1.70001(j)). In addition, we adopt the definition of “Network Operations Center” or “NOC” to mean “the physical and logical locations, facilities, service providers, and personnel performing network management, supporting, operating, managing, monitoring, securing, maintaining, analyzing, administering, and provisioning the submarine cable system.” *See infra* Appx. A (§ 1.70001(n)). Lastly, we adopt the definition of “sensitive U.S. records” to mean an applicant’s end-user billing records, Subscriber Information, personally identifiable information (PII), sensitive personal data as described in 31 CFR § 800.241, internet protocol detail record (IPDRs), and information subject to disclosure to a U.S. federal or state governmental entity under the procedures set forth in 18 U.S.C. §§ 2703(c)-(d) and 18 U.S.C. § 2709, each as with respect to the submarine cable system. *See infra* Appx. A (§ 1.70001(o)).

³⁴⁵ We adopt the definition of “Wet Infrastructure” to mean hardware components installed and residing on the wet link portion of the submarine cable system, including fiber optic cables, repeaters, branching units (BUs), and routers (if any). Wet Infrastructure includes all the components used to define the topology of the wet link portion of the submarine cable system. *See infra* Appx A (§ 1.70001(p)).

³⁴⁶ *See supra* section III.A.1.b.i.

³⁴⁷ 2025 *Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6592, para. 242.

³⁴⁸ As noted, SLTEs are regularly included in the definition of “principal equipment” in mitigation agreements. *See, e.g.,* Bulikula NSA; Anjana Provisional NSA.

landing in the United States,³⁴⁹ and by prohibiting the use and/or addition of SLTE that is itself produced by foreign adversary-controlled entities on submarine cables as set forth below.

82. We delegate authority to OIA, in consultation with PSHSB and other federal agencies, to adopt necessary policies and procedures to make determinations on specific categories of such equipment, including through clarifications, declaratory rulings, and further guidance. We adopt the principal equipment definition in subpart FF of our rules.³⁵⁰

83. We reject NASCA's suggestion that we limit the prohibition of foreign adversary principal equipment to "logic-bearing equipment connected to a system[.]"³⁵¹ as it could omit the equipment that are passive devices and contain no software (e.g., optical splitters).³⁵² NASCA's suggestion could also omit network management software that operates independently of the principal equipment used to forward traffic. It is important for us to broaden the scope of the applicable principal equipment to be more expansive than only logic-bearing hardware or software. But we want to ensure that the scope is not overly broad such as pertaining to every piece of equipment in the submarine cable system, including basic non-connected inputs like screws. This is why we have specifically identified "principal equipment" to capture and protect the necessary components of the submarine cable system. We further decline to adopt only a prohibition on a broad term "communications equipment," which would not capture all of the submarine cable equipment needed to protect against national security concerns. TIA and ICC support limiting our certification and routine condition only to "communications equipment," but we disagree, as such a rule would not be inclusive enough and it could result in important equipment in the submarine cable system not being subject to oversight by the Commission—such as power feed equipment that could turn off the cable system.³⁵³ In particular, we are concerned that this may result in the introduction of insecure and unsafe equipment to the cable system that may provide foreign adversaries an avenue to disrupt, gain access to, harm, or interfere with submarine cable systems that land in the United States.

84. *Initial Application and Modification Application Certification.* Specifically, we require this certification as part of an initial application for a cable landing license that is filed after the effective date of the new rules.³⁵⁴ Applicants must certify that no principal equipment that is produced (including any major stage of the process through which the device is made, including manufacturing, assembly, design, and development) by any entity owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, as defined in section 1.70001(g),³⁵⁵ will be used or added, whether by the licensee or any other entity, on the submarine cable system. We also require a certification as part of an application for modification of a cable landing license that is filed with the Commission after the effective date of the new rules that no such principal equipment that is produced by any entity owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, as defined in section 1.70001(g), will be used on or added to the new segment(s) and/or landing station(s) of the submarine cable system, whether by the licensee or any other entity.³⁵⁶ For example, if a licensee files a modification application to add a new landing point, the certification would apply to the segment connecting the submarine cable

³⁴⁹ See *supra* section III.A.1.b.i.

³⁵⁰ See *infra* Appx. A (§ 1.70001(m)).

³⁵¹ NASCA Comments at 17.

³⁵² However, we note that this definition is, in some cases, broader than the definition we adopt, given that it would exclude logic-bearing semiconductors.

³⁵³ TIA Comments at 6; ICC Comments at 17; CTIA Reply at 4. Other commenters did not comment on the scope of the equipment types that would be prohibited. Microsoft Comments at 14, 19; INCOMPAS Reply at 12-13.

³⁵⁴ See *infra* Appx. A (§ 1.70006(e)).

³⁵⁵ 47 CFR § 1.70001(g).

³⁵⁶ See *infra* Appx. A (§ 1.700011(a)(2)(i)).

to the new landing point to ensure the protection of the new segment and landing point from any national security threats.

85. *Routine Condition for Licensees.* We adopt a routine condition for cable landing licensees whose application for a license is filed and granted after the effective date of the new rules that prohibits the use or addition of principal equipment that is produced (including any major stage of the process through which the device is made, including manufacturing, assembly, design, and development) by any entity owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, as defined in section 1.70001(g),³⁵⁷ on the submarine cable system.³⁵⁸ These licensees must ensure that no such principal equipment is used or added, whether by the licensee or any other entity, on their licensed submarine cable system. Further, we adopt a routine condition that prohibits the addition of principal equipment that is produced (including any major stage of the process through which the device is made, including manufacturing, assembly, design, and development) by foreign adversary-controlled entities, whether by the licensee or any other entity, to a Commission-licensed submarine cable system.³⁵⁹

86. *Legal Authority.* In the *2025 Submarine Cable Further Notice*, we sought comment on requiring licensees to certify to the routine condition.³⁶⁰ The record shows support for adopting a routine condition for licensees.³⁶¹ We tentatively concluded in the *2025 Submarine Cable Further Notice* that the Commission has the legal authority to apply this routine condition to all licensees, including those licensees whose license is granted prior to the effective date of our new rules in this *Second Report and Order*.³⁶² We conclude that the Commission has this authority under the Cable Landing License Act, which authorizes the Commission to “withhold or revoke” a license or attach terms and conditions as necessary to serve the statutory purposes, which include promoting national security.³⁶³ Furthermore, the Commission may “grant such license upon such terms as shall be necessary to assure just and reasonable rates and service in the operation and use of cables so licensed.”³⁶⁴ We believe that all cable landing licensees granted a license to date have understood the license is subject to the Commission’s regulatory authority, including attaching any new terms and conditions. We conclude this authority also applies to the other routine conditions we adopt in this *Second Report and Order*.

87. *Existing Licensee Certification.* To implement the routine condition for existing cable landing licensees upon the effective date of the rules, we require such cable landing licensees to submit a certification that no principal equipment that is produced (including any major stage of the process through which the device is made, including manufacturing, assembly, design, and development) by foreign adversary-controlled entities will be added, whether by the licensee or any other entity, to their licensed submarine cable system.³⁶⁵ For those licensees with multiple cable landing licenses, the licensee will need to certify for each submarine cable system. Licensees shall submit this certification in ICFS within sixty (60) days of the effective date of the new rules.³⁶⁶

³⁵⁷ 47 CFR § 1.70001(g).

³⁵⁸ See *infra* Appx. A (§ 1.70007(u)).

³⁵⁹ *Id.*

³⁶⁰ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6549, para. 126 (Covered List routine condition adopted); *id.* at 6608-09 at para. 283 (foreign adversary equipment routine condition proposed); see also *id.* at 6550-51, para. 130 (discussing extending the requirement adopted).

³⁶¹ *Id.* at 6600-01, para. 264.

³⁶² *Id.*

³⁶³ See 47 U.S.C. § 35; Executive Order 10530.

³⁶⁴ 47 U.S.C. § 35.

³⁶⁵ See *infra* Appx. A (§§ 1.70007(u), 1.70025).

³⁶⁶ See *id.*

(ii) Prohibit the Use of Third-Party Service Provider that is Foreign Adversary-Controlled Entity, Identified on the Covered List, or Entity that Can Access the Cable from a Foreign Adversary Country

88. We adopt a certification for applicants for a cable landing license and a routine condition for licensees whose application for a cable landing license is filed and granted after the effective date of the new rules that prohibits such licensees from using any third-party service provider, as defined in 1.70001(d),³⁶⁷ to provide services relating to the submarine cable system that is: (1) an entity owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, as defined in section 1.70001(g) of our rules;³⁶⁸ (2) an entity identified on the Covered List;³⁶⁹ and/or (3) an entity that can access the submarine cable system from a foreign adversary country, as defined in section 1.70001(f) of our rules.³⁷⁰ We also adopt two exemptions to this certification requirement and routine condition. First, we exempt licensees that are themselves identified on the Covered List, because the Commission assesses that there are few national security benefits in applying this condition to such licensees, given that such entities have themselves already been determined to produce or provide equipment and services that pose an unacceptable risk to national security. Second, we adopt our proposal to allow an exemption to this routine condition where a third-party foreign adversary service provider, Covered List entity, and/or entity that can access the cable from a foreign adversary country is involved in providing repair and maintenance to the wet segment of a licensed submarine cable. However, we require licensees to file a certified letter with the Commission with information concerning such third-party repair and maintenance services within thirty (30) days after the service is initiated. We adopt this exemption and reporting requirement to ensure the timely restoration of critical communications infrastructure where needed while informing the Commission of the use of such third-party services.

89. We decline to narrow the category of third-party service providers and instead will apply the definition adopted in the *2025 Submarine Cable First Report and Order*, which defines “third-party service provider” as “an entity that is involved in providing, hosting, analyzing, repairing, and maintaining the equipment of a submarine cable system, including third-party owners and operators of [Network Operations Centers (NOCs)].”³⁷¹ We require applicants for a cable landing license to certify in the application that they will not use the aforementioned prohibited third-party service providers to provide services relating to the submarine cable system.³⁷² We also require applicants seeking a modification of a cable landing license to add a new segment and/or landing point to certify that they will not use such third-party service providers to provide services relating to the new segment(s) and/or cable landing station(s).³⁷³ Moreover, we adopt a routine condition that prohibits all cable landing licensees from entering into a new or extension of an existing arrangement with any such third-party service providers for the provision of services relating to the submarine cable system.³⁷⁴ Consistent with our existing application rules, we require that applications for a cable landing license or modification, assignment, transfer of control, or renewal or extension of a license, as well as notifications of a *pro*

³⁶⁷ 47 CFR § 1.70001(d).

³⁶⁸ *Id.* § 1.70001(g).

³⁶⁹ *List of Covered Equipment and Services*.

³⁷⁰ 47 CFR § 1.70001(f); *see infra* Appx. A (§ 1.70006(f)).

³⁷¹ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6537-38, paras. 98-99; 47 CFR § 1.70001(d).

³⁷² *See infra* Appx. A (§ 1.70006(f)).

³⁷³ *See infra* Appx. A (§ 1.70011(a)(2)).

³⁷⁴ *See infra* Appx. A (§ 1.70007(ee)).

forma assignment or transfer of control of a license, must contain a certification that the applicant, or the licensee, accepts and will abide by such routine condition.³⁷⁵

90. Some commenters highlight the risks associated with third-party service providers and their involvement with submarine cable systems. DHS warns that, “[s]hould submarine cable license operators contract with foreign adversary owned or affiliated vendors to provide services or equipment, they may also gain ongoing access to the cable’s physical and logical infrastructure,” which DHS believes “provides for further risk to the submarine cable infrastructure’s resilience.”³⁷⁶ According to FDD, foreign adversaries may interfere with cables by “undermining third-party technologies, such as remote network management systems directly connected to the internet.”³⁷⁷ FDD supports the Commission’s adoption of a “stringent national security standard for submarine cable applications,” which should include, at a minimum, requiring an applicant to report whether it “plans to or currently uses any equipment on the Covered List” and “use of any third-party service providers that maintain remote access.”³⁷⁸

91. Other commenters urge caution regarding our proposals in light of the limited number of service providers in some geographic areas and offer support for certain exceptions. NASCA supports this proposal, provided it is “scoped appropriately,” and recommends that the prohibition should exclude “entities servicing systems that land in foreign adversary jurisdictions.”³⁷⁹ The Submarine Cable Coalition is “generally supportive” of the Commission’s efforts.³⁸⁰ However, it expresses concern about “damaging repercussions on existing systems that may land in or cross through the territorial waters of a foreign adversary country,” where prohibited third party service providers may be the only available providers, and states that the proposed exception for wet segment repair and maintenance only partially addresses the problem.³⁸¹ ICC recommends limiting the prohibitions to only foreign adversary entities or Covered List entities, and excluding entities that can access the cable system from a foreign adversary country.³⁸² ICC supports an exception for repair and maintenance.³⁸³ Hornbeck Offshore Services, LLC (Hornbeck), opposes the wet segment repair and maintenance exception.³⁸⁴ CTIA opposes the proposal on grounds that it objects to use of the Covered List in other frameworks.³⁸⁵ ICC expresses concern about the proposed substantial and reasonable due diligence standard.³⁸⁶ TIA and ICC warn against an overly

³⁷⁵ See *infra* Appx. A (§§ 1.70011(a)(2), 1.70011(b)(4), 1.70012(b)(7), 1.70020(b) (requiring the certification set forth in section 1.70006(a) that the applicant accepts and will abide by the routine conditions specified in section 1.70007); 2025 *Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6652, Appx. A (§ 1.70013(b)(8)).

³⁷⁶ DHS *Ex Parte* at 1-2.

³⁷⁷ FDD Comments at 2.

³⁷⁸ *Id.* at 3-4.

³⁷⁹ NASCA Comments at 18; see Microsoft Comments at 13 (supporting the proposal, “provided it excludes existing licensed submarine cable systems that land in foreign adversary jurisdictions”); INCOMPAS Reply at 12-13.

³⁸⁰ Submarine Cable Coalition Comments at 8.

³⁸¹ *Id.*

³⁸² ICC Comments at 15.

³⁸³ *Id.*

³⁸⁴ Hornbeck Comments at 7.

³⁸⁵ CTIA Comments at 10, 13-16.

³⁸⁶ ICC Comments at 14, 16 (“[T]he Commission should permit licensees to reasonably rely on the representations by third parties in relation to foreign adversary ownership, control, or direction by a foreign adversary in all situations where the Commission applies this standard.”).

broad or insufficiently clear definition of “owned by, controlled by, or subject to the jurisdiction or direction of foreign adversaries” or entities on the Covered List.³⁸⁷

92. We acknowledge, as commenters note, that the third-party service provider prohibition should come with exceptions, and we thus adopt our calibrated approach that keeps in mind the circumstances with which submarine cable systems must operate. We note that Hornbeck recommended several concepts that would incentivize the use of non-foreign adversary ships and repair and maintenance services such as imposing requirements similar to those applied to ships that transport cargo between U.S. ports, via the Jones Act.³⁸⁸ We understand that by imposing the robust requirements set forth under the Jones Act on ships providing repair and maintenance services for submarine cable systems, many fewer vessels would be permitted under the Commission’s rules to provide these necessary services.³⁸⁹ At this time, for some regions, there may be hardly any vessels reasonably located nearby to provide repair and maintenance services for submarine cable systems that would be permitted to provide those services.³⁹⁰ We believe that at this point, this particular approach may frustrate the rapid repair and maintenance of the cable systems that are critical to the resilience of our global communications networks.³⁹¹ We defer consideration and adoption of additional rules at this time.

93. *Exemption for Licensees Identified on the Covered List.* We adopt our proposal to exempt licensees from these certification requirements and routine conditions if they are themselves identified on the Covered List.³⁹² For these entities, we find that there are few national security benefits in applying these certification requirements and routine conditions to such licensees, given that such entities have themselves already been determined to produce or provide equipment or services that pose an unacceptable risk to national security.³⁹³ Although some commenters requested further exemptions to cover entities that service submarine cable systems that land in foreign adversary jurisdictions,³⁹⁴ we do not believe that commenters provided sufficient justification for a broad exemption for such submarine cables.³⁹⁵

³⁸⁷ TIA Comments at 5; ICC Comments at 15; ICC Reply at 8.

³⁸⁸ Hornbeck Comments at 5-7.

³⁸⁹ INCOMPAS Reply at 14-15 (“As other commenters have explained, adopting requirements modeled on domestic cabotage laws, such as those embodied in the Jones Act, would be unworkable and harmful.^[1] There is currently no cable repair vessel that meets Jones Act requirements, and imposing such constraints would delay repairs, increase costs, and ultimately undermine, not enhance, the security and resiliency of submarine cable systems. The Commission should therefore avoid any action that would disrupt the existing market for marine maintenance and repair services or impede licensees’ ability to respond rapidly to cable faults and outages.”).

³⁹⁰ DHS *Ex Parte* at 3 (“DHS recognizes that there are only a finite number of specialized cable repair ships worldwide and that many cable faults and outages occur beyond the territorial waters of the United States. Imposing additional restrictions on the use of available repair ships could inadvertently delay restoration of critical communications infrastructure, which is essential for national security, public safety, and economic continuity.”).

³⁹¹ NASCA, Microsoft, and INCOMPAS oppose the Commission adopting regulations modeled on the Jones Act. NASCA Comments at 5; Microsoft Comments at 16; INCOMPAS Reply at 14-15.

³⁹² *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6601-02, para. 265.

³⁹³ *Id.* We recognize that exempting licensees that are themselves identified on the Covered List from this requirement means those licensees may employ third-party service providers that are an entity owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, as defined in section 1.70001(g) of our rules. *See* 47 CFR § 1.70001(g). We are aware of this vulnerability and at this time assess the level of risk as acceptable.

³⁹⁴ NASCA Comments at 18; Microsoft Comments at 13 (supporting the proposal, “provided it excludes existing licensed submarine cable systems that land in foreign adversary jurisdictions”); INCOMPAS Reply at 12-13.

³⁹⁵ While the Commission does not adopt a broad exemption for submarine cables that land in foreign adversary countries, licensees remain free to petition the Commission for a waiver of its rules “for good cause.” 47 CFR § 1.3.

94. *Exemption for Critical Repair and Maintenance to the Wet Segment of the Cable.* We adopt our proposal³⁹⁶ for an exemption to the above certification requirements and routine conditions where prohibited third party service providers are providing repair and maintenance to the wet segment of submarine cables.³⁹⁷ Many commenters recommended that we provide this exception.³⁹⁸ Importantly, in its *ex parte* filing, DHS supports this exception explaining, “that there are only a finite number of specialized cable repair ships worldwide and that many cable faults and outages occur beyond the territorial waters of the United States.”³⁹⁹ One commenter, Hornbeck, disagreed with the exception arguing that it “would preserve the *status quo* and potentially allow for significant exploitation of these cables, which are particularly susceptible during the repair and maintenance process.”⁴⁰⁰ We agree with commenters that our approach should consider the small amount of specialized cable repair ships available and the reality that problems on the submarine cable systems may occur outside the territorial waters of the United States. We acknowledge the concerns raised by DHS and others that imposing additional restrictions on the use of available repair ships would be detrimental to the timely restoration of critical communications infrastructure.⁴⁰¹ We recognize the national security concerns that Hornbeck, DHS, and others have raised regarding our overreliance on foreign adversary repair and maintenance ships,⁴⁰² but this problem is best solved by other agencies or Congress than a broad regulatory prohibition that could diminish the resilience of submarine cable infrastructure in the near-term.

95. As a balanced approach to protect the cable systems without impeding on timely repair and maintenance, we require that licensees file a letter informing the Commission each time they are subject to the exemption for critical repair and maintenance.⁴⁰³ Specifically, we require such licensees to file a letter within thirty (30) days of initiating a service by a third-party service provider that is a foreign adversary-controlled entity, Covered List entity, or entity that can access the submarine cable from a foreign adversary country, for the repair and maintenance of the wet segment of the submarine cable. The letter must be signed by an officer of the licensee and may be filed on a confidential basis. The licensee should certify in the letter as to the following information:

- (1) the name and address of the third-party service provider and link to the company website, if available;
- (2) the name of the licensed cable system and the segment for which the service was provided;
- (3) identify the location where the service was provided, including if the service was provided at sea or from a certain country or if service was remotely provided;
- (4) the start and end date of the repair and/or maintenance service or estimated end date and a description of the service provided, including whether the service was due to an emergency or routine maintenance;
- (5) whether the third-party service provider is owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, as defined in 1.70001(g),⁴⁰⁴ is an entity

³⁹⁶ 2025 Submarine Cable First Report and Order and FNPRM, 40 FCC Rcd at 6602-03, para. 268.

³⁹⁷ See *infra* Appx. A (§§ 1.70006(f), 1.70007(ee)).

³⁹⁸ ITI Comments at 3; ICC Comments at 15; DHS *Ex Parte* at 3; INCOMPAS Reply at 3.

³⁹⁹ DHS *Ex Parte* at 3.

⁴⁰⁰ Hornbeck Comments at 7.

⁴⁰¹ DHS *Ex Parte* at 3.

⁴⁰² *Id.* (“DHS acknowledges the importance of incentivizing the development and deployment of U.S. and allied repair ships to enhance the resilience and security of the submarine cable network. Building domestic and allied capacity in cable repair is a strategic goal that aligns with national security interests.”); Hornbeck Comments at 7-8.

⁴⁰³ 2025 Submarine Cable First Report and Order and FNPRM, 40 FCC Rcd at 6602, para. 268.

⁴⁰⁴ 47 CFR § 1.70001(g).

- identified on the Covered List,⁴⁰⁵ and/or is an entity that can access the submarine cable from a foreign adversary country, as defined in section 1.70001(f);⁴⁰⁶
- (6) the country of organization of the third-party service provider;
 - (7) identify the foreign adversary country, as defined in section 1.70001(f),⁴⁰⁷ from where the entity can access the submarine cable, if applicable;
 - (8) whether the ship or vessel was produced in a foreign adversary country, as defined in section 1.70001(f);⁴⁰⁸ and
 - (9) whether the crew of the ship or vessel at the time that the service was provided consisted of any national of a foreign adversary country, as defined in section 1.70001(f),⁴⁰⁹ and the number of crew.⁴¹⁰

96. The timing of the notification is intended to occur within thirty (30) days of the initiation of a service for repair or maintenance to avoid interference with a licensee's operational obligations to repair or maintain the submarine cable system.⁴¹¹ We agree with Hornbeck and determine that the notification requirement associated with the exemption must be complied with if the crew of a repair and maintenance ship is owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, as defined in 1.70001(g).⁴¹² While we allow this exemption, this reporting requirement will ensure that the Commission is promptly and fully informed of each circumstance within thirty (30) days of the repair and maintenance of the wet segment of the licensed submarine cable system, including whether the crew consisted of any national of a foreign adversary country. We also direct OIA to publish and update annually a list of all licensees that—in the prior year—report having used a third-party service provider that is a foreign adversary-controlled entity, Covered List entity, or entity that can access the cable from a foreign adversary country, for the repair and maintenance of the wet segment of the submarine cable.

97. We are not persuaded by the proposals of Submarine Cable Coalition to include installation work within this exemption.⁴¹³ Generally, cable operators plan well in advance for the installation of a cable due to seasonal weather patterns and availability of an installation vessel and crew, and have the ability to compare among options. Cable repair and maintenance services provided on a regional basis such as the Pacific region, for example, may only have foreign adversary third-party service providers from which to choose for repair and maintenance of the wet segment of a submarine cable system. We tailor our exemption to apply to extreme situations when licensees must repair a wet segment that has just encountered a cut or some immediate damage. We find that using an otherwise

⁴⁰⁵ *List of Covered Equipment and Services*.

⁴⁰⁶ 47 CFR § 1.70001(f).

⁴⁰⁷ *Id.*

⁴⁰⁸ *Id.*

⁴⁰⁹ *Id.*

⁴¹⁰ *See infra* Appx. A (§ 1.70007(ff)).

⁴¹¹ CCPL Reply at 5.

⁴¹² Hornbeck notes that “even vessels owned by foreign allies may be crewed by individuals from foreign adversaries.” Hornbeck Comments at 10; 47 CFR § 1.70001(g). Hornbeck explains that “a Norwegian flag vessel that it had chartered for U.S. operations was crewed by mariners from Russia, Ukraine, Poland, Malaysia, the Philippines, and other nations (but not Norway).” Hornbeck Comments at 8.

⁴¹³ Submarine Cable Coalition Comments at 8 (“The proposed restrictions would have especially damaging repercussions on existing systems that may land in or cross through the territorial waters of a foreign adversary country. In such instances, third party service providers that meet one of the above categorizations may be the only such service providers available or permitted to undertake both initial installation work or ongoing repair and maintenance.”).

prohibited third-party service provider to repair the submarine cable system, in contrast to installing the system, is necessary to maintain resiliency, reduce latency, and to protect national security interests.

98. Finally, with respect to third-party entities, we do not apply a strict liability standard but expect licensees to conduct substantial due diligence to ensure compliance with the Commission's requirements. For example, as we stated in the *2025 Submarine Cable Further Notice*, to the extent that a licensee conducts substantial due diligence to verify all relevant information and reasonably believes the entity is not owned by, controlled by, or subject to the jurisdiction or direction of foreign adversary, as defined in section 1.70001(g),⁴¹⁴ such licensee would not be subject to enforcement sanctions.⁴¹⁵ We understand "substantial due diligence" to include inquiring about the ownership structure of current and prospective third-party service providers and the locations from which the third-party service provider can access the submarine cable, where applicable, and the licensee conducting its own public records investigation to confirm the accuracy of the third-party service provider's proffered information. We will consider all the facts and circumstances raised in an individual case and take into consideration the licensee's steps taken to conduct the substantial due diligence to comply with the rule.

99. *Initial Application and Modification Application Certification.* Specifically, we require a certification as part of an initial application for a cable landing license that is filed after the effective date of the new rules.⁴¹⁶ Applicants must certify that they will not use any third-party service provider, as defined in 1.70001(d),⁴¹⁷ to provide services relating to the submarine cable system that is: (1) an entity owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, as defined in section 1.70001(g);⁴¹⁸ (2) an entity identified on the Covered List;⁴¹⁹ and/or (3) an entity that can access the submarine cable system from a foreign adversary country, as defined in section 1.70001(f) of our rules.⁴²⁰

100. We also require an additional certification as part of a modification application to add a new segment and/or landing point to the submarine cable system that is filed with the Commission after the effective date of the new rules.⁴²¹ Specifically, the applicant must also certify that no third-party service provider, as defined in 1.70001(d),⁴²² will be used to provide services relating to the new segment(s) and/or cable landing station(s) that is: (1) an entity owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, as defined in section 1.70001(g);⁴²³ (2) an entity identified on the Covered List;⁴²⁴ and/or (3) an entity that can access the submarine cable system from a foreign

⁴¹⁴ 47 CFR § 1.70001(g).

⁴¹⁵ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6601, para. 265, n.826.

⁴¹⁶ See *infra* Appx. A (§ 1.70006(f)).

⁴¹⁷ 47 CFR § 1.70001(d).

⁴¹⁸ 47 CFR § 1.70001(g).

⁴¹⁹ *List of Covered Equipment and Services*.

⁴²⁰ 47 CFR § 1.70001(f).

⁴²¹ See *infra* Appx. A (§§ 1.70011(a)(2)). In addition to certifying that it accepts and will abide by the routine conditions specified in section 1.70007, as amended, the licensee must also certify that no third-party service provider will be used to provide services relating to the new segment(s) and/or cable landing station(s) that is an entity identified in section 1.70007(ee)(1)(i) through (iii), except as otherwise specified. See *infra* Appx. A (§§ 1.70011(a)(2), 1.70007(ee)); *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6641, Appx. A (§ 1.70006(a)).

⁴²² 47 CFR § 1.70001(d).

⁴²³ 47 CFR § 1.70001(g).

⁴²⁴ *List of Covered Equipment and Services*.

adversary country, as defined in section 1.70001(f).⁴²⁵ For example, if an applicant files a modification application to add a new landing point, such certification would apply to the segment connecting the submarine cable to the new landing point to ensure the protection of the new segment and landing point from any national security threats.

101. *Routine Condition for Licensees.* We adopt a routine condition for cable landing licensees whose application for a cable landing license is filed and granted after the effective date of the new rules,⁴²⁶ that prohibits those licensees from using a third-party service provider to provide services relating to the submarine cable system that is: (1) an entity owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, as defined in section 1.70001(g);⁴²⁷ (2) an entity identified on the Covered List;⁴²⁸ and/or (3) an entity that can access the submarine cable system from a foreign adversary country, as defined in section 1.70001(f).⁴²⁹ Further, we adopt a routine condition that prohibits all cable landing licensees, whether the cable landing license is granted prior to or after the effective date of the new rules, from entering into a new or extension of an existing arrangement with any such third-party service providers for the provision of services relating to the submarine cable system.⁴³⁰

102. *Existing Licensee Certification.* To implement the routine condition for existing licensees upon the effective date of the rules, we require cable landing licensees to certify⁴³¹ that they will not enter into a new or extension of an existing arrangement with any third-party service provider, as defined in 1.70001(d),⁴³² for the provision of services relating to the submarine cable system that is: (1) an entity owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, as defined in section 1.70001(g);⁴³³ (2) an entity identified on the Covered List;⁴³⁴ and/or (3) an entity that can access the submarine cable system from a foreign adversary country, as defined in section 1.70001(f).⁴³⁵ Licensees shall submit this certification to the Commission within sixty (60) days of the effective date of the new rules.⁴³⁶ For those licensees with multiple cable landing licenses, the licensee will need to provide this certification for each submarine cable system. We do not require licensees to terminate existing contracts (prior to the effective date of the rules) with such third-party service providers, but we prohibit licensees from extending such existing contracts or entering into new contracts with prohibited third-party service providers as set forth herein.

(iii) Prohibit Licensees and their Customers from Entering into IRU and Leasing Capacity Arrangements with Covered List Entities

103. We adopt a certification for applicants and a routine condition for licensees to prohibit licensees, the licensees' customers, or any further downstream customers from entering into a new

⁴²⁵ See *infra* Appx. A (§ 1.70011(a)(2)).

⁴²⁶ See *infra* Appx. A (§ 1.70007(ee)).

⁴²⁷ 47 CFR § 1.70001(g).

⁴²⁸ *List of Covered Equipment and Services.*

⁴²⁹ 47 CFR § 1.70001(f).

⁴³⁰ See *infra* Appx. A (§ 1.70007(ee)).

⁴³¹ See *infra* Appx. A (§§ 1.70007(ee), 1.70026).

⁴³² 47 CFR § 1.70001(d).

⁴³³ 47 CFR § 1.70001(g).

⁴³⁴ *List of Covered Equipment and Services.*

⁴³⁵ 47 CFR § 1.70001(f).

⁴³⁶ See *infra* Appx. A (§ 1.70026). The certification shall be filed under the relevant license file number(s) in ICFS or any successor system.

arrangement or extending an existing arrangement, such as for IRUs or leases for capacity, on the licensed submarine cable systems with any entity identified on the Commission's Covered List, where such arrangement would give such entity (i.e., the IRU holder or lessee) the ability to install, own, or manage SLTE on a submarine cable landing in the United States.⁴³⁷ In the *2025 Submarine Cable First Report and Order*, we adopted a routine condition that prohibits licensees from "enter[ing] into a new or extension of an existing arrangement for [IRUs] or leases for capacity on submarine cable systems landing in the United States, where such arrangement for IRUs or lease for capacity would give an entity that is owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, as defined in § 1.70001(g), the ability to install, own, or manage SLTE on a submarine cable landing in the United States, unless so authorized by the Commission."⁴³⁸ Here, we extend this logic to entities identified on the Covered List. We therefore adopt a routine condition that prohibits licensees, the licensees' customers, or any further downstream customers from entering into an arrangement, such as for IRUs or leases for capacity, with any entity identified on the Covered List as specified herein. As discussed below, for arrangements such as for IRUs or leases for capacity with entities identified on the Covered List that are already in place upon the effective date of the rules, the prohibition prevents new arrangements or extending existing arrangements.

104. We find that such entities pose a significant risk to national security to allow them access to or any rights to submarine cable capacity in the United States. FDD and Anthropic discuss generally the vulnerabilities posed by access to submarine cable infrastructure.⁴³⁹ Anthropic notes that adversarial fiber owners could physically disrupt or deny service, "degrade performance, or power down infrastructure supporting AI workloads," and have physical access to fiber pairs and fiber ownership that enables passive interception.⁴⁴⁰ NASCA and Microsoft do not oppose the proposal,⁴⁴¹ and ATA describes the idea as "provid[ing] substantial protection against . . . foreign adversary threats."⁴⁴² NASCA objects to the expansion of the rule to ban pure capacity arrangements because they do not grant customers "any rights to install, own, or manage SLTE, [and] do not pose a security risk to the system and are essential to global connectivity."⁴⁴³

105. We take a significant step to prohibit a new or extension of an existing arrangement, such as for IRUs or leases for capacity, with any entity identified on the Covered List where such arrangement would give such entity (i.e., the IRU holder or lessee) the ability to install, own, or manage SLTE on a submarine cable landing in the United States. In coordination with Congress and national security agencies, the Commission has placed entities on the Covered List whose equipment or services "pose an unacceptable risk to the national security of the United States or the security and safety of United States persons."⁴⁴⁴ There would be a substantial risk if we allow such entities to have access to capacity on U.S. submarine cables, and this prohibition will further protect U.S. communications networks from national security, law enforcement, and other threats. This risk is even more obvious than the risk presented by entities owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, which

⁴³⁷ See *supra* note 19.

⁴³⁸ 47 CFR § 1.70007(w); *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6506-08, paras. 46-49.

⁴³⁹ FDD Comments at 2, 5; Anthropic *Ex Parte* at 3.

⁴⁴⁰ Anthropic *Ex Parte* at 3.

⁴⁴¹ NASCA Comments at 16; Microsoft Comments at 13.

⁴⁴² ATA Comments at 11.

⁴⁴³ NASCA Comments at 16.

⁴⁴⁴ *List of Covered Equipment and Services*.

are already prohibited from arrangements for IRUs or leases for capacity,⁴⁴⁵ given that entities identified on the Covered List produce or provide equipment or services that have been found to pose “an unacceptable risk to the national security of the United States or the security and safety of United States persons.”⁴⁴⁶

106. We also take an important step and prohibit the licensee, the licensee’s customers, or any further downstream customers from entering into an arrangement, such as for IRUs or leases for capacity, with any entity identified on the Covered List as specified herein due to national security concerns. Given the Executive Branch agencies rely on downstream contractual agreements, we find that requiring an applicant and, if the license is granted, the licensee to utilize a contractual compliance mechanism that extends to its direct customers and, through the direct customers, to any downstream customers, is a reasonable and practical approach. As discussed above, submarine cables are critical infrastructure and the Commission has held the facilities-based carrier to the highest obligations under the Communications Act.⁴⁴⁷ We similarly find that cable landing licensees with the facilities to sell capacity on the submarine cable must also ensure any agreements on the cable comply with the license terms under the Cable Landing License Act.⁴⁴⁸

107. While we clarify that we do not apply a strict liability standard, we expect licensees to conduct substantial due diligence to ensure compliance with FCC requirements.⁴⁴⁹ We require licensees to ensure that it, its customers, or any downstream customers prohibit arrangements, such as for IRUs or leases for capacity, with Covered List entities as specified herein. ICC suggests that we clarify that we allow licensees to reasonably rely on the representations of third parties regarding foreign adversary ownership, control, or direction.⁴⁵⁰ But mere reliance on third-party representations is not the substantial due diligence that we would permit from entities that hold such vital strategically critical licenses. Instead, regarding a licensee’s implementation of this routine condition, we would consider all of the facts and circumstances raised in an individual case and take into consideration the steps a licensee took in conducting substantial due diligence to ensure compliance with the rule. We will hold licensees ultimately responsible for the submarine cable system infrastructure and services for the licensed submarine cable.

108. *Initial Application and Other Application Certification.* Specifically, we require a certification as part of an initial application for a cable landing license that is filed after the effective date of the new rules.⁴⁵¹ Applicants must certify that they will not enter into a new arrangement or extend an existing arrangement, such as for IRUs or leases for capacity on the licensed submarine cable system, with an entity identified on the Commission’s Covered List, where such arrangement would give such entity (i.e., the IRU holder or lessee) the ability to install, own, or manage SLTE on a submarine cable landing in the United States. Applicants must also certify that the licensee will prohibit its customers and any further downstream customers from entering into such arrangements. We also require this certification as part of an application for modification, assignment, transfer of control, or renewal or

⁴⁴⁵ 47 CFR § 1.70007(w) (“The licensee shall not enter into a new or extension of an existing arrangement for Indefeasible Rights of Use (IRUs) or leases for capacity on submarine cable systems landing in the United States, where such arrangement for IRUs or lease for capacity would give an entity that is owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, as defined in § 1.70001(g), the ability to install, own, or manage SLTE on a submarine cable landing in the United States, unless so authorized by the Commission.”).

⁴⁴⁶ 47 U.S.C. § 1601(b)-(c).

⁴⁴⁷ See *supra* para. 16.

⁴⁴⁸ 47 U.S.C. §§ 34-39.

⁴⁴⁹ 2025 *Submarine Cable First Report and Order and FNPRM* at 6506, para. 46 & n.138; *id.* at 6601, para. 265 & n.826.

⁴⁵⁰ ICC Comments at 16.

⁴⁵¹ See *infra* Appx. A (§ 1.70006(g)).

extension of a cable landing license that is filed with the Commission after the effective date of the new rules.⁴⁵² For example, if a licensee files a modification application to add a new landing point, the certification would also apply to the segment connecting the submarine cable to the new landing point to ensure the protection of the new segment and landing point from any national security threats.

109. *Routine Condition for Licensees.* We adopt a routine condition that prohibits cable landing licensees from entering into a new arrangement or extension of an existing arrangement, such as for IRUs or leases for capacity on the licensed submarine cable system, with an entity identified on the Commission's Covered List, where such arrangement would give such entity (i.e., the IRU holder or lessee) the ability to install, own, or manage SLTE on a submarine cable landing in the United States.⁴⁵³ The licensee shall prohibit its customers and any further downstream customers from entering into such arrangements.

110. *Existing Licensee Certification.* We also require existing cable landing licensees to submit a certification that they will not enter into a new arrangement or extend an existing arrangement, such as for IRUs or leases for capacity, on the licensed submarine cable system, with an entity identified on the Commission's Covered List, where such arrangement would give such entity (i.e., the IRU holder or lessee) the ability to install, own, or manage SLTE on a submarine cable landing in the United States.⁴⁵⁴ The licensee shall certify that it will prohibit its customers and any further downstream customers from entering into such arrangements. For those licensees with multiple cable landing licenses, the licensee will need to certify for each submarine cable system. Licensees shall submit this certification in ICFS within sixty (60) days of the effective date of the new rules.⁴⁵⁵

(iv) Report Foreign Adversary Ownership Changes

111. We adopt a new routine condition for licensees to report foreign adversary ownership changes to protect national security. In the *2025 Submarine Cable Further Notice*, we sought comment on whether we should adopt a routine condition requiring cable landing licensees to submit a certification within thirty (30) days of any change that results in the licensee becoming owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, as defined in section 1.70001(g),⁴⁵⁶ to the extent such change does not require prior Commission approval under our rules.⁴⁵⁷ Following the release of the *2025 Submarine Cable Further Notice*, the Commission adopted a rule in the *Foreign Adversary Control Report and Order*, which requires substantially the same obligation of cable landing licensees.⁴⁵⁸ To avoid duplication, we adopt a routine condition in section 1.70007 that requires cable landing licensees to comply with section 1.80003(l)(1)(i) of the rules adopted in that proceeding.⁴⁵⁹ Section 1.80003(l)(1) states that, "[a]fter the deadline for initial attestations set forth in paragraphs (h) and (i) of this section, the following entities shall file a new attestation pursuant to paragraphs (a) and (b) of this section, as applicable, and, if affirmative, the additional disclosures required by paragraph (j) of this

⁴⁵² See *infra* Appx. A (§§ 1.70006(g), 1.70011(a)(2), 1.70011(b)(4), 1.70012(b)(7), 1.70020(b)).

⁴⁵³ See *infra* Appx. A (§ 1.70007(w)(2)). We amend section 1.70007(w) of the routine conditions to include this requirement and make administrative modifications for regulatory clarity.

⁴⁵⁴ See *infra* Appx. A (§ 1.70027).

⁴⁵⁵ See *id.*

⁴⁵⁶ 47 CFR § 1.70001(g).

⁴⁵⁷ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6606-07, para. 277-78.

⁴⁵⁸ *Foreign Adversary Control Report and Order* at *32, para. 72 (requiring a new attestation, and if affirmative, additional disclosures, by any Regulatee holding a Covered Authorization designated in Schedule A, within 30 days of the Regulatee becoming subject to foreign adversary control, to the extent such change does not require Commission approval); *id.* at *20, para. 45 (including submarine cable landing licenses within the scope of the attestation and disclosure requirements, and placing them in Schedule A); *id.* at *49, Appx. A (§ 1.80003(l)(1)(i)).

⁴⁵⁹ *Id.* at *49, Appx. A (§ 1.80003(l)(1)(i)).

section: (1) Any Regulatee holding a Covered Authorization designated in Schedule A or B, regardless of whether it has already filed an attestation; (i) Within thirty (30) days of the Regulatee becoming subject to Foreign Adversary Control, to the extent such change does not require Commission approval[.]”⁴⁶⁰ By adopting a routine condition that cross-references this requirement for cable landing licensees, we avoid any duplication in our rules.

112. The Coalition supports adoption of this requirement.⁴⁶¹ ICC recommends adopting a “knowingly or reasonableness standard” when enforcing such a routine condition so that “licensees are not held liable for the misrepresentations of foreign adversaries or their proxies.”⁴⁶² We decline ICC’s suggestion to adopt a certain standard. We expect licensees to conduct substantial due diligence to comply with this requirement. We would consider all of the facts and circumstances raised in an individual case and take into consideration the steps a licensee took in conducting substantial due diligence to ensure compliance with the rule and thus assess compliance. Our action builds upon our efforts in the *2025 Submarine Cable First Report and Order* to protect this critical infrastructure. The notification requirement will provide the Commission with additional tools to preclude or mitigate threats presented by foreign adversaries that are directly or indirectly involved in this critical submarine cable infrastructure that carries sensitive U.S. communications traffic. We therefore find that the Commission should be promptly notified of important changes where a licensee becomes subject to foreign adversary control. We also believe this requirement will not overly burden licensees because the notification will be required after such change and we expect licensees to have this information in the ordinary course of business.

113. We require a certification in an initial application for a cable landing license and an application for modification, assignment, transfer of control, or renewal or extension of a cable landing license, that the applicant will comply with the requirements of section 1.80003(l)(1)(i).⁴⁶³ We adopt this requirement as a routine condition for cable landing licensees to comply with the requirements of section 1.80003(l)(1)(i).⁴⁶⁴ To implement this routine condition for existing cable landing licensees upon the effective date of the rules, we also require that cable landing licensees submit a certification within sixty (60) days of the effective date of the new rules that they will comply with the requirements of section 1.80003(l)(1)(i).⁴⁶⁵ For those licensees with multiple cable landing licenses, the licensee will need to certify for each submarine cable system.

(v) Report Foreign Adversary Changes

114. We adopt a routine condition requiring licensees to submit a certification acknowledging any new addition to the Department of Commerce’s list of foreign adversaries and whether or not it is owned by, controlled by, or subject to the jurisdiction or direction of the new foreign adversary.⁴⁶⁶ We sought comment in the *2025 Submarine Cable Further Notice* on whether to adopt a routine condition requiring cable landing licensees to submit a certification acknowledging any new addition to the list of foreign adversaries identified in the U.S. Department of Commerce’s rule, 15 CFR § 791.4, and whether the licensee is or is not owned by, controlled by, or subject to the jurisdiction or direction of the foreign

⁴⁶⁰ *Id.*

⁴⁶¹ Submarine Cable Coalition Comments at 9.

⁴⁶² ICC Comments at 17.

⁴⁶³ See *infra* Appx. A (§§ 1.70006(h), 1.70011(a)(2), 1.70011(b)(4), 1.70012(b)(7), 1.70020(b)).

⁴⁶⁴ See *infra* Appx. A (§ 1.70007(bb)).

⁴⁶⁵ Each cable landing licensee shall submit a certification, within sixty (60) days of the effective date of the new rules, that the licensee will comply with the requirements of section 1.80003(l)(1)(i). See *infra* Appx. A (§ 1.70028). The certification shall be filed under the relevant license file number(s) in ICFS, or any successor system. *Id.*

⁴⁶⁶ *Foreign Adversary Control Report and Order* at *49, Appx. A (§ 1.80003(l)(1)(ii)).

adversary newly identified on the list of foreign adversaries under 15 CFR § 791.4.⁴⁶⁷ Following the release of the *2025 Submarine Cable Further Notice*, in a separate proceeding, the Commission adopted a rule, section 1.80003(l)(1)(ii), in the *Foreign Adversary Control Report and Order*, which requires substantially the same obligation of cable landing licensees, that we contemplated previously. To avoid duplication with the other proceeding, here, we adopt a routine condition that requires compliance with section 1.80003(l)(1)(ii) of the rules adopted in that proceeding. Section 1.80003(l)(1)(ii) states:

After the deadline for initial attestations set forth in paragraphs (h) and (i) of this section, the following entities shall file a new attestation pursuant to paragraphs (a) and (b) of this section, as applicable, and, if affirmative, the additional disclosures required by paragraph (j) of this section: . . . (ii) Within 60 days, or for small entities within 120 days, of the effective date of an addition to the U.S. Department of Commerce's list of foreign adversaries in 15 CFR 791.4 of a foreign government or foreign non-government person that has Foreign Adversary Control over the Regulatee[.]⁴⁶⁸

By adopting a routine condition that cross-references this requirement for cable landing licensees, we avoid duplication in our rules. To clarify, such certification is not required if a foreign adversary is removed from the list of foreign adversaries under 15 CFR § 791.4.⁴⁶⁹ We sought comment on these approaches in the *2025 Submarine Cable Further Notice*.⁴⁷⁰ No commenters oppose the proposal. Submarine Cable Coalition supports adoption of this requirement.⁴⁷¹

115. We require a certification in an initial application for a cable landing license and an application for modification, assignment, transfer of control, or renewal or extension of a cable landing license, that the applicant will comply with the requirements of section 1.80003(l)(1)(ii).⁴⁷² We adopt this requirement as a routine condition for cable landing licensees to comply with the requirements of section 1.80003(l)(1)(ii).⁴⁷³ To implement this routine condition for existing cable landing licensees upon the effective date of the rules, we also require that cable landing licensees submit a certification sixty (60) days of the effective date of the new rules that they will comply with the requirements of section 1.80003(l)(1)(ii).⁴⁷⁴ For those licensees with multiple cable landing licenses, the licensee will need to certify for each submarine cable system.

(vi) Report Covered List Changes

116. We adopt our proposed routine condition that requires licensees to submit a certification within sixty (60) days of the Commission announcing a new addition of covered equipment or services to the Covered List.⁴⁷⁵ The certification is required irrespective of when the license was granted and should

⁴⁶⁷ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6607, para. 278; 15 CFR § 791.4.

⁴⁶⁸ *Foreign Adversary Control Report and Order* at *49, Appx. A (§ 1.80003(l)(1)(ii)).

⁴⁶⁹ 15 CFR § 791.4.

⁴⁷⁰ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6607, para. 278.

⁴⁷¹ Submarine Cable Coalition Comments at 9.

⁴⁷² See *infra* Appx. A (§§ 1.70006(i), 1.70011(a)(2), 1.70011(b)(4), 1.70012(b)(7), 1.70020(b)).

⁴⁷³ See *infra* Appx. A (§ 1.70007(cc)).

⁴⁷⁴ Each cable landing licensee shall submit a certification, within sixty (60) days of the effective date of the new rules, that the licensee will comply with the requirements of section 1.80003(l)(1)(ii). See *infra* Appx. A (§ 1.70028). The certification shall be filed under the relevant license file number(s) in ICFS, or any successor system. *Id.*

⁴⁷⁵ See *infra* Appx. A (§ 1.70007(dd)) (requiring all licensees to submit a certification within sixty (60) days of the release of a Public Notice by the Commission or PSHSB announcing any new addition of equipment or services to

(continued....)

attest whether the licensee uses such covered equipment or services in the respective submarine cable system and provide a brief description of how such equipment or services are used.⁴⁷⁶ We proposed this routine condition in the *2025 Submarine Cable Further Notice*.⁴⁷⁷

117. This routine condition will require a certification from every licensee to both acknowledge the addition to the Covered List and certify to its use of the newly-added covered equipment or services. When a licensee certifies that its submarine cable system uses the equipment or services that were added to the Covered List, the licensee must briefly explain for what purpose such equipment or services is used in its submarine cable system. We require a certification even when the cable system does not include any such covered equipment or services, because such certification helps us confirm that the licensee is aware of the addition to the Covered List. This routine condition will ensure that all licensees remain informed of additions to the Covered List, and will permit the Commission to analyze whether a licensee's respective submarine cable system is serviced by the addition to the Covered List.

118. The record is generally supportive of this routine condition. Specifically, the Coalition indicates that it generally supports this routine condition⁴⁷⁸ and noted disagreement with the Commission's alternative proposal to require annual reporting regarding in lieu of a certification within sixty (60) days.⁴⁷⁹ The Commission agrees with the Coalition that a certification in this situation is preferable and at this time a certification would be a moderate approach to allow the Commission to obtain the information needed without overly burdening the licensees.

119. We require a certification in an initial application for a cable landing license and an application for modification, assignment, transfer of control, or renewal or extension of a cable landing license.⁴⁸⁰ The applicant shall certify that it will submit a certification, within sixty (60) days of the release of a Public Notice by the Commission or PSHSB announcing any new addition of equipment or services to the Covered List that: (1) acknowledges the addition to the Covered List, irrespective of whether the entity uses such equipment or services in its submarine cable system, and (2) includes a brief description of how and the purpose for which such equipment or services are used on the submarine cable system, if applicable. We adopt this requirement as a routine condition for all cable landing licensees.⁴⁸¹ To implement this routine condition for existing submarine cable landing licensees upon the effective date of the rules, we also require that submarine cable landing licensees submit a certification within sixty (60) days of the effective date of the new rules that they will comply with the requirements of such routine condition.⁴⁸² For those licensees with multiple cable landing licenses, the licensee will need to certify for each submarine cable system.

(vii) Notify the Commission of Address or Geographic Coordinate Changes

120. We adopt a certification and a routine condition for licensees that requires licensees to notify the Commission of any change of address or geographic coordinates concerning information

the Covered List, whether or not the licensee uses such equipment or services in its submarine cable system, and include a brief description of how such equipment or services are used on the submarine cable system if applicable).

⁴⁷⁶ See *infra* Appx. A (§ 1.70007(dd)).

⁴⁷⁷ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6607, para. 279.

⁴⁷⁸ Submarine Cable Coalition Comments at 10.

⁴⁷⁹ *Id.*

⁴⁸⁰ See *infra* Appx. A (§ 1.70006(j)).

⁴⁸¹ See *infra* Appx. A (§ 1.70007(dd)).

⁴⁸² See *infra* Appx. A (§ 1.70029). The certification shall be filed under the relevant license file number(s) in the Commission's International Communications Filing System (ICFS), or any successor system. *Id.*

provided under section 1.70005(e)(7) and (f),⁴⁸³ within thirty (30) days of the change.⁴⁸⁴ Consistent with existing requirements for an applicant for a cable landing license or modification, assignment, transfer of control, and renewal or extension of a license, under section 1.70005(e)(7) and (f), licensees must “submit a specific description of the updated information, including an updated map and geographic data in generally accepted GIS formats.”⁴⁸⁵ We sought comment on this proposal in the *2025 Submarine Cable Further Notice*.⁴⁸⁶ NASCA does not object to this routine condition but requests the deadline be “extended from 30 days to 60 days to account for the time it may take a licensee to prepare the notification, as a repair at sea likely will require the preparation of a new route position list once the repair is complete.”⁴⁸⁷

121. The Commission’s understanding of the specific locations of licensed submarine cable systems is paramount, particularly in assisting the Commission in assessing vulnerabilities in the cable system and protecting critical infrastructure from sabotage or accidental damage. Additionally, in the event of natural disasters such as earthquakes or tsunamis, or maritime accidents, the Commission would need to quickly identify potentially affected cables to assist in coordinating repairs or granting requests for Special Temporary Authority (STA) or waivers of certain Commission rules. Therefore, the Commission will adopt the proposed 30-day deadline. The Coalition is generally supportive of this routine condition, but requests that OIA create standardized and simple forms that may be filed in ICFS.⁴⁸⁸

122. We require a certification in an initial application for a cable landing license and an application for modification, assignment, transfer of control, or renewal or extension of a cable landing license that the applicant will comply with this requirement.⁴⁸⁹ We delegate to OIA, in coordination with OEA, to determine the specific file formats and data fields which will be collected and to ensure standardization of the information requested from licensees.⁴⁹⁰

(viii) Notify the Commission When License Will Not be Renewed

123. We adopt a routine condition requiring a licensee to notify the Commission within sixty (60) days prior to the date of license expiration if the licensee does not intend to seek renewal or extension of the license.⁴⁹¹ Licensees must file such notification under the relevant license file number in ICFS. If a licensee has already submitted an application to renew or extend the license or requested an STA to continue operating a submarine cable system within or in excess of sixty (60) days prior to the date of license expiration, this routine condition will be considered satisfied as such licensee will have expressed an intent to renew or extend the license. We sought comment on this proposal in light of the

⁴⁸³ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6638-39, Appx. A (§ 1.70005(e)(7), (f)).

⁴⁸⁴ See *infra* Appx. A (§§ 1.70006(k), 1.70007(y)). Such notification shall include a specific description of the updated information that includes an updated map and geographic data in generally accepted GIS formats or other formats. See *infra* Appx. A (§ 1.70006(k)).

⁴⁸⁵ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6605-06, para. 274; *id.* at 6638-39, Appx. A (§ 1.70007(e)(7), (f)).

⁴⁸⁶ *Id.* at 6605-06, para. 274.

⁴⁸⁷ NASCA Comments at 17.

⁴⁸⁸ Submarine Cable Coalition Comments at 9.

⁴⁸⁹ See *infra* Appx. A (§ 1.70006(k), 1.70011(a)(2), 1.70011(b)(4), 1.70012(b)(7), 1.70020(b)).

⁴⁹⁰ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6606, para. 274.

⁴⁹¹ See *infra* Appx. A (§ 1.70007(z)).

lack of a formal process to obtain this information.⁴⁹² The Coalition supports this routine condition and no other comments were filed,⁴⁹³ and thus we adopt this rule.

(ix) Submarine Cable System Will be Retired

124. We adopt a routine condition requiring licensees to notify the Commission within sixty (60) days prior to any retirement of the submarine cable system.⁴⁹⁴ Licensees should file such notification under the relevant license file number in ICFS. The Commission must maintain up-to-date records of the operational status of licensed submarine cable systems for national security and emergency preparedness and response purposes (for example, in the event of a natural disaster or conflict) and to verify that a licensee is in compliance with Commission rules and the terms of its license.⁴⁹⁵ We sought comment on this proposal in the *2025 Submarine Cable Further Notice*.⁴⁹⁶ The Coalition supports this routine condition and no other comments were filed,⁴⁹⁷ and thus we adopt this rule.

b. Additional Measures to Streamline and Reform Rules

125. *Streamline Coordination with Federal Agencies.* We adopt a rule to allow the Commission to share with the Committee and with relevant federal government agencies for targeted national security purposes, information that is submitted pursuant to section 1.40001⁴⁹⁸ and subpart FF,⁴⁹⁹ as amended, on a confidential basis without the pre-notification requirements of section 0.442(d).⁵⁰⁰ In the *2025 Submarine Cable First Report and Order*, we adopted a rule to allow the Commission to share with the Committee information about the submarine cable system—including the location information of cable landing stations, beach manholes, PFE, SLTE, NOCs and backup NOCs, security operations center (SOCs) and backup SOCs, and route position lists—that is filed on a confidential basis without the pre-notification procedures of section 0.442(d).⁵⁰¹ In the *2025 Submarine Cable Further Notice*, we sought comment on adopting a rule which would allow the Commission to share additional information with the

⁴⁹² *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6606, para. 275.

⁴⁹³ Submarine Cable Coalition Comment at 9.

⁴⁹⁴ See *infra* Appx. A (§ 1.70007(aa)).

⁴⁹⁵ 47 CFR § 43.82.

⁴⁹⁶ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6606, para. 276.

⁴⁹⁷ Submarine Cable Coalition Comment at 9.

⁴⁹⁸ 47 CFR § 1.40001; see *infra* section III.A.3, Appx. A (§ 1.40001).

⁴⁹⁹ In the *2025 Submarine Cable First Report and Order and FNPRM*, we redesignated the submarine cable rules under subpart FF. *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6568, 6626-55, para. 178, Appx. A.

⁵⁰⁰ 47 CFR § 0.442(d). For administrative efficiency, the new rule will be codified in section 1.70002(e) and will apply to information submitted pursuant to section 1.40001 and subpart FF, which includes information submitted in connection with an application, such as initial applications for a cable landing license; applications for modification, substantial assignment, substantial transfer of control, or renewal or extension of a license; *pro forma* assignment and transfer of control notifications; and routine conditions. See *infra* Appx. A; *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6626-6655, Appx. A. The agency will make any necessary updates to relevant systems of records and other documentation given additional data collections and data disclosures.

⁵⁰¹ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6536-37, 6639, para. 97, Appx. A (§ 1.70005(f)(3)); 47 CFR § 0.442(d). We adopted rules requiring such information in an initial application for a cable landing license and an application for modification, assignment, transfer of control, or renewal or extension of a license. *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6533-34, 6638, 6647-48, 6650-52, 6654, para. 91, Appx. A (§§ 1.70005(e)(7), 1.70011(a)-(b) and (g), 1.70012, and 1.70020)).

Committee,⁵⁰² and such same information to other federal agencies, that is submitted in applications on a confidential basis without the pre-notification requirements of section 0.442(d).⁵⁰³

126. DHS supports the proposal to share information with the Executive Branch “without prior consultation with applicants and licensees.”⁵⁰⁴ NASCA and ICC support the proposal, provided the confidential information is protected and not disseminated to other agencies that are not involved in the licensing process “without a licensee’s or an applicant’s consent.”⁵⁰⁵ On the other hand, Lockheed Martin “urges the Commission to coordinate submarine cable landing license applications with other federal agencies that authorize use of the deep seabed, such as the National Oceanic and Atmospheric Administration (‘NOAA’).”⁵⁰⁶ Microsoft supports information sharing with Executive Branch agencies involved in licensing, as well as facilitating “the sharing of risk information and threat alerts with trusted providers on a regular basis, consistent with [the National Security Memorandum on Critical Infrastructure Security and Resilience (NSM-22)].”⁵⁰⁷

127. The Commission may share information that has been submitted to it in confidence with other federal agencies when they have a legitimate need for the information and the public interest will be served by sharing the information.⁵⁰⁸ We find that the Committee has a legitimate need for confidential information that is submitted pursuant to section 1.40001⁵⁰⁹ and subpart FF,⁵¹⁰ as amended, for use in its review and assessments of applications and licenses for national security and law enforcement concerns.⁵¹¹ The confidential information subject to our new rule would include, for example,

⁵⁰² See also *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6536-37, 6638-39, 6653, para. 97, Appx. A (§§ 1.70005(f)(3)), 1.70017(d) (requiring licensees to file a copy of the Foreign Adversary Annual Report directly with the Committee).

⁵⁰³ *Id.* at 6608, paras. 281-282. We sought comment, for example, on sharing such information required in section 1.70005 and other rules that reference section 1.70005. *Id.*

⁵⁰⁴ DHS *Ex Parte* at 1.

⁵⁰⁵ NASCA Comments at 31-32; see ICC Comments at 13-14 (“As the information shared with the Commission during the regulatory process is to evaluate the applicants’ qualifications to obtain a subsea cable landing license, only agencies that participate in the licensing review process should have access to the confidential data, and only when the Commission has referred an application for review.”); ICC Reply at 10-11.

⁵⁰⁶ Lockheed Martin Reply at 1. Lockheed Martin holds two NOAA exploration licenses for USA-1 and USA-4 in the Clarion Clipperton Zone (CCZ). *Id.* at 1-2.

⁵⁰⁷ Microsoft Comments at 6, 22-23; see CISA, *National Security Memorandum on Critical Infrastructure Security and Resilience*, <https://www.cisa.gov/national-security-memorandum-critical-infrastructure-security-and-resilience> (last visited June 16, 2026).

⁵⁰⁸ See 44 U.S.C. § 3510; see also 47 U.S.C. § 154(j); *Examination of Current Policy Concerning the Treatment of Confidential Information Submitted to the Commission*, Report and Order, 13 FCC Rcd 24816, 24818, para. 2 (1998); *Examination of Current Policy Concerning the Treatment of Confidential Information Submitted to the Commission*, Notice of Inquiry and Notice of Proposed Rulemaking, 11 FCC Rcd 12406, 12414-15, 12417-18, paras. 15, 21 (1996).

⁵⁰⁹ 47 CFR § 1.40001; see *infra* section III.A.3, Appx. A (§ 1.40001).

⁵¹⁰ See *infra* Appx. A; *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6626-6655, Appx. A.

⁵¹¹ See 47 CFR § 0.442(b)(2) (“Information submitted to the Commission in confidence pursuant to 0.457(c)(2) and (3), (d) and (g) or § 0.459, or any other statute, rule or order, may be disclosed to other agencies of the Federal government upon request or upon the Commission’s own motion, provided . . . The other agency has established a legitimate need for the information”); Executive Order 13913, 85 Fed. Reg. at 19643, sec. 1. The members of the Committee are composed of the Secretary of Defense, the Secretary of Homeland Security, the head of any other executive department or agency, or any Assistant to the President, as the President determines appropriate, and the Attorney General, who serves as the Chair. *Id.*, 85 Fed. Reg. at 19643-44, sec. 3(b), (c). The advisors to the

(continued....)

information submitted in connection with a submarine cable application, including where the information is provided through an application or following the grant of an application consistent with certifications made by an applicant or licensee including compliance with routine conditions.⁵¹² We also find that other relevant federal agencies, as discussed below,⁵¹³ have a legitimate need for such confidential information for targeted national security purposes where sharing of the information is consistent with an agency's function to protect U.S. national security and/or to protect the security, integrity, and resilience of submarine cable infrastructure, if needed. This includes but is not limited to an agency's use of the information for its national security functions or for mitigation of spatial conflicts and risks of damage to existing and prospective submarine cables. The confidential information subject to our new rule would include, for example, specific confidential geographic location information that is submitted under section 1.70005(e)(7).⁵¹⁴ We find that the public interest would be served by the sharing of such information for these targeted national security purposes.

128. First, we expand the scope of section 1.70005(f)(3)⁵¹⁵ by adopting a rule that will allow the Commission to share with the Committee any information that is submitted pursuant to section 1.40001⁵¹⁶ and subpart FF,⁵¹⁷ as amended, on a confidential basis without the pre-notification requirements of section 0.442(d).⁵¹⁸ We find that Executive Order 13913 provides a basis to share such information with the Committee by establishing that the members and advisors of the Committee have a legitimate need for such information.⁵¹⁹ As we stated in the *2025 Submarine Cable Further Notice*, the policy of Executive Order 13913 is to ensure the "[t]he security, integrity, and availability of United States telecommunications networks [that] are vital to United States national security and law enforcement interests."⁵²⁰ Further, in this regard, Executive Order 13913 authorizes the Committee to

Committee are composed of the Secretary of State, the Secretary of the Treasury, the Secretary of Commerce, the Director of the Office of Management and Budget, the United States Trade Representative, the Director of National Intelligence, the Administrator of General Services, the Assistant to the President for National Security Affairs, the Assistant to the President for Economic Policy, the Director of the Office of Science and Technology Policy, the Chair of the Council of Economic Advisers, and any other Assistant to the President, as the President determines appropriate. *Id.*, 85 Fed. Reg. at 19644, sec. 3(d).

⁵¹² See *infra* Appx. A; *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6626-6655, Appx. A.

⁵¹³ See *infra* para. 129.

⁵¹⁴ In the *2025 Submarine Cable First Report and Order*, we adopted rules prescribing that information under section 1.70005(e)(7) and the exact location information of the wet segment as it approaches the shore, the submarine cable as it reaches the beach manhole, and the dry segment including the cable landing station(s), such as where the SLTE is located and/or from where it is operated, will be withheld from public inspection. 47 CFR § 0.457; *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6536, 6638-39, para. 96, Appx. A (§ 1.70005(f)(2)). In the *2025 Submarine Cable First Report and Order*, we also adopted a rule prescribing that cybersecurity and physical security risk management plans provided under section 1.70005(m) shall be treated as presumptively confidential. *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6547, 6640, para. 121, Appx. A (§ 1.70005(m)).

⁵¹⁵ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6536-37, 6639, para. 97, Appx. A (§ 1.70005(f)(3)).

⁵¹⁶ 47 CFR § 1.40001; see *infra* section III.A.3, Appx. A (§ 1.40001).

⁵¹⁷ See *infra* Appx. A; *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6626-6655, Appx. A.

⁵¹⁸ 47 CFR § 0.442(d); see *supra* note 500.

⁵¹⁹ See Executive Order 13913, 85 Fed. Reg. at 19643, sec. 1.

⁵²⁰ *Id.* Under section 8 of Executive Order 13913, the Committee "may seek information from applicants, licensees, and any other entity as needed" in furtherance of its reviews and assessments of applications and licenses. *Id.* at 19646, sec. 8.

review not only license applications but also existing licenses.⁵²¹ We find that the sharing of such confidential information is relevant to the Committee's national security and law enforcement reviews consistent with its function.

129. In addition, we find that there are federal agencies beyond the Committee that have a legitimate need for confidential information that is submitted pursuant to section 1.40001⁵²² and subpart FF,⁵²³ as amended, for targeted national security purposes, if needed, as discussed above. We find that DOJ, DHS, and DOD and Committee advisors each have a legitimate need for such confidential information where sharing of the information is consistent with the agencies' respective function to protect U.S. national security and/or to protect the security, integrity, and resilience of submarine cable infrastructure. Pursuant to our new rule, and consistent with this legitimate need, the Commission may for example share such confidential information with DOJ, DHS, and DOD. We also find, for example, that federal agencies that regulate other marine infrastructure and activities—including deep sea mining,⁵²⁴ offshore renewable energy projects,⁵²⁵ oil and natural gas development,⁵²⁶ dredging and coastal replenishment,⁵²⁷ and other matters⁵²⁸—have a legitimate need for such confidential information, such as

⁵²¹ *Id.*; 2025 Submarine Cable First Report and Order and FNPRM, 40 FCC Rcd at 6608, para. 282.

⁵²² 47 CFR § 1.40001; *see infra* section III.A.3, Appx. A (§ 1.40001).

⁵²³ *See infra* Appx. A; 2025 Submarine Cable First Report and Order and FNPRM, 40 FCC Rcd at 6626-6655, Appx. A.

⁵²⁴ For example, the Deep Seabed Hard Mineral Resources Act (DSHMRA) charges NOAA with the responsibility for issuing to U.S. companies licenses for exploration and permits for commercial recovery of polymetallic nodules containing manganese, nickel, cobalt, and copper from the deep seabed in areas beyond national jurisdiction. NOAA, *Deep Seabed Hard Minerals Mining* (last updated June 2, 2026), <https://oceanservice.noaa.gov/deep-seabed-mineral-resources/deep-seabed-mining/>.

⁵²⁵ *See, e.g.*, FCC, *Activities Related to Undersea Cables*, (last updated Oct. 3, 2016) (*Activities Related to Undersea Cables*), <https://www.fcc.gov/activities-related-undersea-cables>; CSRIC IV Report on Protection of Submarine Cables Through Spatial Separation (CSRIC IV Report) at 5-7, 30-42 (December 3, 2014). For example, the Federal Energy Regulatory Commission (FERC), among other things, licenses non-federal hydropower projects, which includes marine and hydrokinetic (MHK) projects. *See Activities Related to Undersea Cables*; FERC, *What FERC Does* (last updated June 18, 2025), <https://www.ferc.gov/what-ferc-does>; FERC, *Hydropower—Commission's Responsibilities* (last updated Mar. 16, 2026), <https://www.ferc.gov/industries-data/hydropower>; FERC, *Hydrokinetic Projects* (last updated June 11, 2026), <https://www.ferc.gov/licensing/hydrokinetic-projects> (defining hydrokinetic projects as “[p]rojects that generate electricity from waves or directly from the flow of water in ocean currents, tides, or inland waterways”); *see 2024 Submarine Cable NPRM*, 39 FCC Rcd at 12802-03, para. 141.

⁵²⁶ For example, under the Outer Continental Shelf Lands Act of 1953, as amended, the Bureau of Ocean Energy Management (BOEM) authorizes leases, easements and rights of way for oil and natural gas development and other marine minerals such as sand and gravel for coastal restoration activity. *Activities Related to Undersea Cables*; BOEM, *Oil and Gas Energy*, <https://www.boem.gov/oil-and-gas-energy> (last visited June 16, 2026); *see 2024 Submarine Cable NPRM*, 39 FCC Rcd at 12802-03, para. 141.

⁵²⁷ *See* BOEM, *Marine Minerals*, <https://www.boem.gov/marine-minerals> (last visited June 16, 2026); U.S. Army Corps of Engineers, *Dredging*, <https://www.iwr.usace.army.mil/Missions/Coasts/Tales-of-the-Coast/Corps-and-the-Coast/Navigation/Dredging/> (last visited June 16, 2026); CSRIC IV Report at 32-33 (stating that “[t]he Army Corps of Engineers and the Bureau of Ocean Energy Management of the U.S. Department of the Interior (‘BOEM’) frequently authorize sand and gravel dredging in the U.S. territorial sea and OCS.”); *see 2024 Submarine Cable NPRM*, 39 FCC Rcd at 12802-03, para. 141.

⁵²⁸ *See, e.g.*, CSRIC IV Report at 5-7, 30-42. For example, the National Marine Sanctuaries Act allows NOAA to identify, designate and protect[] areas of the marine and Great Lakes environment with special national significance due to their conservation, recreational, ecological, historical, scientific, cultural, archaeological, educational, or aesthetic qualities as national marine sanctuaries. NOAA, *Designations*, <https://sanctuaries.noaa.gov/management/designations.html> (last visited June 16, 2026). If a submarine cable system will traverse a national marine sanctuary, the cable owner must also obtain a permit from NOAA's Office of

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specific geographic location information under section 1.70005(e)(7),⁵²⁹ where sharing of such information would help to mitigate risks of damage to submarine cable infrastructure that arise from its spatial relationship to other marine infrastructure and activities. The Commission has previously recognized that “interagency coordination is very important to protect submarine cable infrastructure.”⁵³⁰ Further, Lockheed Martin states that coordination with federal agencies that authorize use of the deep seabed, such as NOAA, will facilitate “the safe deployment of secure, resilient submarine cables”⁵³¹ and “successful coexistence and avoid unnecessary operational risks.”⁵³² While NASCA and ICC oppose sharing confidential information submitted in an application with federal agencies that are not involved with the licensing process,⁵³³ we find that other federal agencies also have a legitimate need for the information for targeted national security purposes without delay, which are important and relevant not only in the licensing context but also in the deployment and protection of this critical infrastructure and promotion of U.S. national security interests.⁵³⁴

130. The rule we adopt will make clear that sharing of confidential information with other federal government agencies if necessary is subject to the requirements of the confidentiality protections contained in the Commission’s regulations⁵³⁵ and 44 U.S.C. § 3510⁵³⁶ and, in the case of the Committee,

National Marine Sanctuaries under the National Marine Sanctuaries Act. *See also Improving Outage Reporting for Submarine Cables and Enhancing Submarine Cable Outage Data*, GN Docket No. 15-206, Notice of Proposed Rulemaking, 30 FCC Rcd 10492, 10509, para. 45 (2015 *Submarine Cable Outage NPRM*); NOAA, *Policy & Planning*, <https://sanctuaries.noaa.gov/management/> (last visited June 16, 2026); *see 2024 Submarine Cable NPRM*, 39 FCC Rcd at 12802-03, para. 141.

⁵²⁹ In the *2025 Submarine Cable First Report and Order*, we adopted rules prescribing that information under section 1.70005(e)(7) and the exact location information of the wet segment as it approaches the shore, the submarine cable as it reaches the beach manhole, and the dry segment including the cable landing station(s), such as where the SLTE is located and/or from where it is operated, will be withheld from public inspection. 47 CFR § 0.457; *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6536, 6639, para. 96, Appx. A (§ 1.70005(f)(2)),

⁵³⁰ *Improving Outage Reporting for Submarine Cables and Enhanced Submarine Cable Outage Data*, GN Docket No. 15-206, Report and Order, 31 FCC Rcd 7947, 7976, para. 80 (2016) (“To this end, the International Bureau, in coordination with the Public Safety and Homeland Security Bureau, will continue to lead interagency coordination efforts to help increase transparency and information sharing among the government agencies, cable licensees, and other stakeholders and promote improved interagency coordination processes to mitigate threats to undersea cables and facilitate new projects to improve geographic diversity.”); *see also 2015 Submarine Cable Outage NPRM*, 30 FCC Rcd at 10509, para. 47. We find this approach would also improve the Commission’s current interagency coordination processes to mitigate threats to submarine cables, including spatial conflicts that may impact submarine cables.

⁵³¹ Lockheed Martin Reply at 1 (“Such coordination will facilitate the safe deployment of secure, resilient submarine cables while promoting and ensuring U.S. leadership in access to ocean minerals resources and deep seabed technologies.”).

⁵³² *Id.* at 3.

⁵³³ *See also* NASCA Comments at 31-32; *see* ICC Comments at 13-14; ICC Reply at 10-11.

⁵³⁴ We decline Microsoft’s proposal to adopt “sharing of risk information and threat alerts with trusted providers” as it is beyond the scope of this proceeding. *See* Microsoft Comments at 6, 22-23.

⁵³⁵ *See* 47 CFR §§ 0.442, 0.457, 0.459, and 0.461. The Commission’s regulations provide that confidential proprietary and commercially sensitive information will be withheld from public disclosure, subject to the public’s right to seek disclosure under the Freedom of Information Act and implementing regulations. 5 U.S.C. § 552; 47 CFR §§ 0.457(d), 0.459(d).

⁵³⁶ 44 U.S.C. § 3510.

section 8 of Executive Order 13913⁵³⁷ that require the Committee to keep the information confidential. Therefore, sharing of confidential information will be subject to the requirement that each of the other federal agencies comply with the confidentiality protections applicable both to the Commission and the other agency relating to the unlawful disclosure of information.⁵³⁸ We find that these confidentiality protections address commenters' concerns regarding confidentiality.⁵³⁹ We will provide notice to the parties whose information is being shared pursuant to the rule.⁵⁴⁰

131. We also delegate authority to OIA to administer and implement procedures to share with the Committee and with other federal agencies, as needed, information that is submitted on either a confidential or public basis pursuant to section 1.40001⁵⁴¹ and subpart FF,⁵⁴² as amended. OIA may adopt necessary policies for the sharing of information, including in consultation with other federal agencies.

132. *Proposals Subject to Deferral.* We defer adoption of a set of requirements discussed in the *2025 Submarine Cable Further Notice*. At this time, we defer consideration and adoption of additional measures to prioritize trusted technology in submarine cable systems beyond the efforts we are already adopting in this *Second Report and Order*.⁵⁴³ We also defer action that would impose any additional requirements regarding AI and submarine cable systems.

133. *Declining to Remove Covered Equipment and Services from Licensees' Submarine Cable Systems.* We decline to adopt the proposal to require existing licensees to remove from their submarine cable system any and all covered equipment and services, within a specified timeframe prior to the expiration of the license.⁵⁴⁴ Several commenters disagreed with the Commission's proposal, citing costs and deterrence to future investment.⁵⁴⁵ We agree with the commenters in the record that a requirement to remove covered equipment and services would be costly and disruptive, at this time. We find at this time that we can address our security concerns related to equipment and services through the other routine conditions adopted in this *Second Report and Order*.

⁵³⁷ Executive Order 13913, 85 Fed. Reg. at 19646, sec. 8 ("Information submitted to the Committee pursuant to this subsection and analysis concerning such information shall not be disclosed beyond Committee Member entities and Committee Advisor entities, except as appropriate and consistent with procedures governing the handling of classified or otherwise privileged or protected information, under the following circumstances: (a) to the extent required by law or for any administrative or judicial action or proceeding, or for law enforcement purposes; (b) to other governmental entities at the discretion of the Chair, provided that such entities make adequate assurances to the Chair that they will not further disclose the shared information, including to members of the public; or (c) to the Committee on Foreign Investment in the United States with respect to transactions reviewed by that Committee pursuant to 50 U.S.C. 4565, in which case this information and analysis shall be treated consistent with the disclosure protections of 50 U.S.C. 4565(c).").

⁵³⁸ 47 CFR § 0.442(b)(3) (citing 44 U.S.C. § 3510(b)); *2024 Submarine Cable NPRM*, 39 FCC Rcd at 12838, para. 223.

⁵³⁹ ICC Reply at 10-11; see ICC Comments at 13-14; see also NASCA Comments at 31-32.

⁵⁴⁰ See *infra* Appx. A (§ 1.70002(e)); *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6608, para. 281; see, e.g., *id.* at 6655-56, Appx. A (§ 43.82(e)) ("Sharing of circuit capacity reports with Federal agencies").

⁵⁴¹ 47 CFR § 1.40001; see *infra* section III.A.3, Appx. A (§ 1.40001).

⁵⁴² See *infra* Appx. A; *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6626-6655, Appx. A.

⁵⁴³ See *supra* sections III.A.2, see *infra* section III.A.3.

⁵⁴⁴ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6616, paras 302-304 (timeframe for removing covered equipment and services from the submarine cable system).

⁵⁴⁵ CTIA Comments at 10-13; ICC Comments at 20; ITI Comments at 4; ICC Reply at 12.

134. *Foreign Adversary Annual Report/Covered List.* To ensure, however, that the Commission has the information it needs to timely monitor and continually assess national security or other risks that may arise over the course of the license term, we adopt the approach raised in the *2025 Submarine Cable Further Notice* to require an existing licensee that has purchased, rented, leased, or otherwise obtained or utilized equipment and/or services on the Covered List and/or is using such equipment or services in the submarine cable to file a Foreign Adversary Annual Report consistent with section 1.70017.⁵⁴⁶ We make slight modifications by clarifying how this criteria includes usage of such equipment or services. We find that our targeted approach appropriately balances the burdens that would otherwise be imposed by requiring removal of covered equipment and services with the Commission's need for this relevant information in its oversight role given the licensees subject to this requirement present a potentially heightened national security risk.⁵⁴⁷

c. Other Administrative Changes

135. We adopt the proposals in the *2025 Submarine Cable Further Notice* and implement these new rules under subpart CC and subpart FF as stated in Appendix A, Final Rules. We also adopt ministerial, non-substantive changes throughout Appendix A to incorporate the new requirements and make conforming changes to existing and newly adopted rules in these subparts, including updates to cross-references.⁵⁴⁸ For example, we amend section 1.40001 of the rules by updating the citations to section 1.767 with citations to Subpart FF that will codify the newly adopted rules for initial applications for a cable landing license and applications for modification, assignment, transfer of control, and renewal or extension of a license pursuant to the *2025 Submarine Cable First Report and Order*, and thereafter section 1.767 will be removed.⁵⁴⁹ We amend sections 1.70007(u) and 1.70007(w) of the rules, respectively, to incorporate the new routine condition discussed above in section III.A.2.a.i⁵⁵⁰ and section

⁵⁴⁶ *2025 Submarine Cable First Report and Order*, 40 FCC Rcd at 6616-17, 6653-54, 6662, para. 305, Appx. A (§ 1.70017), Appx. B (§ 1.70017(b)(4)-(5)). Contrary to ICC's assertion that "national security will be protected" without adopting such a requirement because "licensees will be barred from any future uses of covered equipment," we recognize there remains a national security gap with respect to current use of covered equipment and/or services by existing licensees on this critical submarine cable infrastructure. See ICC Comments at 20-21. We also reject ICC's suggestion that requiring submission of Foreign Adversary Annual Reports by such licensees, "even if submitted confidentially," could create network security vulnerabilities by exposing "closely held business information." See *id.* at 20. ICC makes no attempt to substantiate its concern by pointing to any evidence that the Commission could not maintain the confidentiality of information submitted on a confidential basis.

⁵⁴⁷ Our approach will also ensure consistency in our rules identifying which licensees must file the Foreign Adversary Annual Report and the SLTE Foreign Adversary Annual Report. Given the national security concerns, we require any licensee that owns or operates SLTE and "[t]hat has purchased, rented, leased, or otherwise obtained or utilized equipment and/or services on the Commission's Covered List and/or is using those in the submarine cable infrastructure" to file the SLTE Foreign Adversary Annual Report. See *supra* para. 62. As discussed above, we find that any burdens imposed by requiring a limited subset of entities to submit both annual reports are outweighed by the national security benefits. See *supra* paras. 66-67.

⁵⁴⁸ We find there is good cause to adopt these changes without further notice and comment, which is unnecessary. See 5 U.S.C. § 553(b)(B).

⁵⁴⁹ *2025 Submarine Cable First Report and Order*, 40 FCC Rcd at 6624, 6626-55, para. 336, Appx. A (Subpart FF); 47 CFR § 1.40001. Consistent with this administrative modification, we restructure section 1.40001 into subsections to improve regulatory clarity. See *infra* Appx. A (§ 1.40001). For regulatory consistency with section 1.40001(b) and Subpart FF of the newly adopted rules, we also update existing references to "the executive branch" with "the Executive Branch agencies" in section 1.40001. See *infra* Appx. A (§ 1.40001); 47 CFR § 1.40001(a)(1)-(3), (b), and (c).

⁵⁵⁰ See *supra* section III.A.2.a.i.

III.A.2.a.iii,⁵⁵¹ and further restructure section 1.70007(u)(1) to improve regulatory clarity.⁵⁵² We amend section 1.70014(b) of the rules, which requires submission of applications to the U.S. Department of State, NTIA, and the Defense Information Systems Agency, by replacing the text “electronic mail addresses” and “by electronic mail” with the word “electronically.”⁵⁵³ We note that information submitted via electronic mail or other electronic means if needed would be functionally the same. We also amend section 1.70017(c)(2) of the rules requiring a Foreign Adversary Annual Report for consistency with the new certification requirements that we adopt in section 1.70006, with certain exceptions.⁵⁵⁴

3. Streamlining and Expediting Submarine Cable Applications

136. We take action to streamline and expedite the processing of submarine cable applications while still ensuring the security and integrity of submarine cable systems in partnership with the Committee Members.⁵⁵⁵ First, we establish a set of ten national security standards that, if met, will qualify a submarine cable application to be presumptively exempt from referral to the Executive Branch agencies.⁵⁵⁶ These national security standards in combination will ensure an applicant adheres to the highest level of protective measures to mitigate national security, law enforcement, foreign policy, and/or trade policy concerns. Second, we exclude from referral to the Executive Branch agencies certain renewal or extension applications where the Commission referred and the Executive Branch agencies reviewed an application previously filed by the applicant within three (3) years of the filing of the renewal or extension application.⁵⁵⁷ We find that reducing the number of applications that are referred to the Committee will provide regulatory certainty and reduce delays for applicants while decreasing administrative burdens on the U.S. government by prioritizing the review of applications that present significant national security and law enforcement concerns. Overall, our actions will promote faster

⁵⁵¹ See *supra* section III.A.2.a.iii.

⁵⁵² We move the second sentence in section 1.70007(u)(1) to the first part of section 1.70007(u), consistent with the *2025 Submarine Cable First Report and Order* and overall restructuring of section 1.70007(u). *2025 Submarine Cable First Report and Order*, 40 FCC Rcd at 6548, 6551-53, 6634, paras. 125, 131-134, Appx. A (§ 1.70007(u)(1)); 47 CFR § 1.70007(u)(1) (“ . . . No licensee shall add to its submarine cable system(s) under its respective license(s) equipment or services identified on the Covered List; except, this paragraph (u)(1) shall not apply to a licensee that is identified on the Covered List whose cable landing license was or is granted prior to November 26, 2025”).

⁵⁵³ See *infra* Appx. A (§ 1.70014(b)(1)). We restructure section 1.70014 into subsections to incorporate a new requirement in section 1.70014(b)(2) as discussed below. See *infra* section III.A.3.

⁵⁵⁴ See *infra* Appx. A (§§ 1.70017(c)(2); 1.70006); see *supra* section III.A.2.

⁵⁵⁵ For purposes of these rules, we define the term “Committee Members” to mean “the Attorney General, the Secretary of Defense, and the Secretary of Homeland Security, or their designees to the Committee for the Assessment of Foreign Participation in the United States Telecommunications Services Sector (Committee) if such designation has been made, under Executive Order 13913, dated April 4, 2020.” See *infra* Appx. A (§ 1.70001(l)). The term “Committee Members” shall also mean, in the event of a subsequent Executive Order or statute altering the Members, those therein provided. *Id.*

⁵⁵⁶ *2025 Submarine Cable First Report and Order*, 40 FCC Rcd at 6608-10, paras. 283-86 (proposing adoption of national security standard that would exclude a submarine cable application from referral to the Executive Branch agencies, if all qualifications are met). In the *2024 Submarine Cable NPRM*, the Commission discussed in detail its rules and coordination of applications with the Executive Branch agencies, including the Committee, to assess applicants and licensees for assessment of any national security, law enforcement, foreign policy, and/or trade policy concerns. *2024 Submarine Cable NPRM*, 39 FCC Rcd at 12736-38, paras. 7-8; see 47 CFR §§ 1.40001-1.40004.

⁵⁵⁷ *2025 Submarine Cable First Report and Order*, 40 FCC Rcd at 6610-11, para. 288 (seeking comment on whether an application should qualify for exclusion from referral if a prior application filed by the applicant was recently cleared by the Executive Branch agencies and granted by the Commission); see *infra* Appx. A (§ 1.40001(a)(2)(v)).

submarine cable deployment, reduce administrative and regulatory burden on both the U.S. government and licensees, and yield greater resilience in U.S. submarine cable connectivity.

137. While we adopt these national security standards to presumptively exempt certain applications from referral to the Executive Branch agencies, we acknowledge the dedication, valuable contributions, and significant work of the Executive Branch agencies in reviewing submarine cable applications for national security, law enforcement, foreign policy, and/or trade policy concerns. The Executive Branch agencies have worked diligently to assess the risks and, importantly, have entered into a number of mitigation agreements with licensees to mitigate and resolve national security and law enforcement risks associated with submarine cables landing in the United States. It is through their work that we are able to adopt high national security standards where only a select number of applications that can meet the standards will be exempted from referral to the Executive Branch agencies. The licensees whose application is exempted from referral will be expected to adhere to a subset of routine conditions to mitigate against certain risks to ensure the continued safety of submarine cables throughout the term of the license. Submarine cables are critical infrastructure, and it is a whole government approach to ensure the safety and reliability of submarine cables. Through these rules, the Commission will continue to work closely with the Committee Members under these national security standards, as we have done in the past.

138. We also recognize the efforts undertaken by the Executive Branch agencies to streamline their review of applications that were referred for assessment of national security and law enforcement concerns. NTIA recognizes that, over the past year, the Committee has independently undertaken measures to reduce the duration of its reviews and avoid any extensive delays.⁵⁵⁸ NTIA states the Executive Branch agencies have recently declined to review six applications that the Commission ordinarily might refer, further demonstrating their “commitment to achieving efficiencies in the licensing process.”⁵⁵⁹ NTIA adds that since the Commission adopted and implemented a requirement for applicants to directly file responses to Standard Questions with the Executive Branch agencies, the time that the Committee takes to begin its initial review has decreased significantly, reducing the overall application timeline.⁵⁶⁰ Since the adoption of the Standard Questions framework, six submarine cable applications have been reviewed by the Executive Branch agencies and granted by the Commission, and of those applications, the average time from referral to initial review by the Executive Branch agencies was 22 days, significantly shorter than prior to the Commission’s adoption of the Standard Questions.⁵⁶¹ We appreciate the Executive Branch agencies’ efforts to expedite their review process. Today, we adopt additional ways the Commission will continue to work closely with the Executive Branch agencies, including the Committee, that build on these streamlining efforts. At the same time, our close partnership that we strengthen today will ensure that national security and law enforcement concerns are addressed through a tailored national security exemption approach for submarine cable applications as described below.

a. Applications that are Presumptively Exempt from Referral to the Executive Branch Agencies

⁵⁵⁸ NTIA *Ex Parte* at 6.

⁵⁵⁹ *Id.* at 7.

⁵⁶⁰ *Id.*; see *Process Reform for Executive Branch Review of Certain FCC Applications and Petitions Involving Foreign Ownership*, IB Docket No. 16-155, Second Report and Order, 36 FCC Rcd 14848 (2021) (*2021 Standard Questions Report and Order*) (adopting a set of standardized national security and law enforcement questions (Standard Questions) that certain applicants and petitioners with reportable foreign ownership will be required to answer as part of the Executive Branch review process of their applications and petitions); 47 CFR § 1.40004 (“Time frames for executive branch review of applications, petitions, and/or other filings with reportable foreign ownership”).

⁵⁶¹ NTIA *Ex Parte* at 7.

139. We adopt a set of ten national security standards that, if met, will presumptively exempt a submarine cable application from referral to the Executive Branch agencies.⁵⁶² In the *2025 Submarine Cable Further Notice*, we proposed adopting a national security standard consisting of a list of qualifications that, if met, would exempt a submarine cable application from referral.⁵⁶³ Currently, section 1.40001 of the rules states that “[t]he Commission will generally refer to the [Executive Branch] applications filed for [a] . . . submarine cable landing license as well as an application to assign, transfer control of, or modify those authorizations and licenses where the applicant has reportable foreign ownership”⁵⁶⁴ Subject to certain exceptions,⁵⁶⁵ we refer submarine cable applications to the Executive Branch agencies where an applicant has a foreign owner that directly or indirectly owns 10% or more of the equity interests and/or voting interests, or a controlling interest, of the applicant.⁵⁶⁶ In the *2025 Submarine Cable Further Notice*, we explained that several comments raised concerns about the lengthy duration of the submarine cable licensing process, and we tentatively concluded that extensive delays to submarine cable applications that do not threaten national security or law enforcement interests are not in the public interest.⁵⁶⁷ We take action today to expedite deployment of submarine cables and promote the security, integrity, and resilience of this critical infrastructure by presumptively excluding from referral those submarine cable applications that meet our high national security standards.⁵⁶⁸

140. To presumptively qualify for an exemption from referral to the Executive Branch agencies, an applicant must certify that it meets the ten national security standards set forth below.⁵⁶⁹ Specifically, the applicant for a cable landing license or modification, assignment, transfer of control, or renewal or extension of a cable landing license must certify that:

- (1) it is a licensee that either has a cable landing license that was granted by the Commission after November 27, 2020⁵⁷⁰ and is conditioned on compliance with a mitigation agreement(s) or, starting in 2028, it was (within the previous five (5) years) granted a license either conditioned on compliance with a mitigation agreement(s) or pursuant to the exemption process established by this *Second Report and Order* and described in section 1.40001(b),⁵⁷¹

⁵⁶² See *infra* Appx. A (§ 1.40001(b)).

⁵⁶³ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6608-16, section IV.C. For purposes of this *Report and Order*, we use the terms “national security standards” or “standards” instead of the term “qualifications” that we used in the *2025 Submarine Cable Further Notice*.

⁵⁶⁴ 47 CFR § 1.40001(a)(1).

⁵⁶⁵ *Id.* § 1.40001(a)(2) (“The Commission will generally exclude from referral to the executive branch certain applications set out in paragraph (a)(1) of this section when the applicant makes a specific showing in its application that it meets one or more of the following categories: (i) Pro forma notifications and applications; (ii) Applications filed pursuant to §§ 1.767 and 63.18 and 63.24 of this chapter if the applicant has reportable foreign ownership and petitions filed pursuant to §§ 1.5000 through 1.5004 where the only reportable foreign ownership is through wholly owned intermediate holding companies and the ultimate ownership and control is held by U.S. citizens or entities . . .”).

⁵⁶⁶ *Id.* § 1.40001(d); *Executive Branch Process Reform Report and Order*, 35 FCC Rcd at 10938, para. 28.

⁵⁶⁷ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6609-10, paras. 284-285.

⁵⁶⁸ See *infra* Appx. A (§ 1.40001(b)).

⁵⁶⁹ At this time, we decline to adopt other standards that we proposed to adopt for purposes of presumptively exempting applications from referral to the Executive Branch agencies. See *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6610-12, 6613-15, paras. 287, 290, 293, 298.

⁵⁷⁰ See Federal Communications Commission, *Process Reform for Executive Branch Review of Certain FCC Applications and Petitions Involving Foreign Ownership*, 85 Fed Reg 76360 (Nov. 27, 2020) (Executive Branch Reform Federal Register Notice).

⁵⁷¹ See *infra* Appx. A (§ 1.40001(b)).

and it has no new 10% or greater interest holders since the most recent review by the Commission;

- (2) no cable system ownership below 5% is held by entities owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, and that the applicant/licensee has not entered into and will not enter into an agreement with foreign adversary-controlled entities to secure financing related to or affecting the submarine cable system, or strategic partnerships or mergers that might affect access to and/or the management or operation of the submarine cable system;
- (3) no senior official of the applicant or the applicant's parent company(ies) is "owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary," as that term is used in section 1.70001(g),⁵⁷² and will not perform duties with respect to the submarine cable system from a foreign adversary country, as defined in section 1.70001(f);⁵⁷³
- (4) it will prohibit its customers or any further downstream customers from entering into a new or extension of an existing arrangement, such as for IRUs or leases for capacity on the submarine cable, where such arrangement would give an entity that is "owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary," as defined in section 1.70001(g),⁵⁷⁴ the ability to install, own, or manage SLTE on the submarine cable;
- (5) it will file a report with the Commission and the Committee Members on its arrangements, such as for IRUs and/or leases for capacity within sixty (60) days of commencing service on the submarine cable and thereafter on an annual basis;
- (6) the submarine cable system will not connect directly or via a branching unit with a submarine cable that is owned or operated by an entity that is "owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary," as defined in section 1.70001(g),⁵⁷⁵ or that lands in a foreign adversary country, as defined in section 1.70001(f);⁵⁷⁶
- (7) it will adhere to enhanced cybersecurity and physical security standards;
- (8) it will report specified security incidents to the Commission and to the Committee Members in writing within seventy-two (72) hours;
- (9) it will implement heightened physical and logical security controls to secure the submarine cable system;
- (10) it will adhere to an enforcement and compliance requirement for ongoing monitoring following the grant of any license to assess compliance with all applicable routine conditions and the national security standards.

We delegate authority to OIA to develop the questions and certifications for the applications and update application forms as necessary. Though we anticipate these changes to the application forms will not be unduly burdensome for applicants, we direct OIA to further work to minimize additional burdens. We also direct OIA to consider secure protocols and security procedures as necessary and as related to the submission of personally identifiable information (PII).

141. *Certifications by All Joint Applicants.* If an application is jointly filed by multiple applicants, we require that every applicant certify to all ten national security standards to presumptively

⁵⁷² 47 CFR § 1.70001(g).

⁵⁷³ *Id.* § 1.70001(f).

⁵⁷⁴ *Id.* § 1.70001(g); *see also id.* § 1.70007(w).

⁵⁷⁵ 47 CFR § 1.70001(g).

⁵⁷⁶ *Id.* § 1.70001(f).

exempt the application from referral to the Executive Branch agencies.⁵⁷⁷ If any of the joint applicants cannot certify to, or otherwise fails to meet, all ten national security standards, the application shall not qualify to be presumptively exempt from referral. This approach is consistent with our fundamental premise that an applicant—whether a single applicant or one of multiple joint applicants—must meet all ten national security standards for the Commission to presumptively exempt an application from referral.⁵⁷⁸

142. The Commission retains the discretion to refer a submarine cable application to the Executive Branch agencies for review for national security, law enforcement, foreign policy, and/or trade policy concerns, as circumstances warrant, consistent with section 1.40001(a) of the rules.⁵⁷⁹ The exemption from referral to the Executive Branch agencies is not absolute once granted. To the extent the Commission grants a cable landing license to any licensee whose application was exempted from referral, such grant of the license will be conditioned on the licensee complying with the ten national security standards.⁵⁸⁰ We expect applicants to adhere to these high standards for the entirety of the license term. Licensees will be monitored for compliance, and the Commission will consider any violation of the national security standards and other applicable Commission rules, including violations settled by consent decree or that are non-material and/or material violations of the conditions, to be probative as to whether the Commission allows an exemption from referral for any application filed by the licensee in the future. In the event of serious violations, we may also consider referral of the license to the Executive Branch agencies and possible revocation of the license, as appropriate.⁵⁸¹ Moreover, pursuant to the rules we adopted in the *2025 Submarine Cable First Report and Order*, certain material violations of the terms of a cable landing license will result in an applicant being presumptively disqualified from obtaining any future cable landing license.⁵⁸²

143. This approach is widely supported by the record. Multiple commenters support exempting applications from referral to the Executive Branch agencies if certain qualifications are met.⁵⁸³ While some commenters disagree with specific aspects of our proposed approach,⁵⁸⁴ no commenters oppose our overall proposal.⁵⁸⁵ DHS supports the Commission's adoption of standard conditions on submarine cable licenses or, alternatively, requiring compliance with a "streamlined, standardized version

⁵⁷⁷ See *infra* Appx. A (§ 1.40001(b)).

⁵⁷⁸ 47 CFR § 1.40001(a)(1).

⁵⁷⁹ *Id.* § 1.40001(a).

⁵⁸⁰ See *infra* Appx. A (§ 1.40001(b)) (setting forth the ten national security standards).

⁵⁸¹ See *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6508-16, paras. 50-58 (adopting an informal written process in cases involving withholding or revocation and/or termination of a cable landing license).

⁵⁸² *Id.* at 6502, para. 37; 47 CFR § 1.70002(c)(1)(v).

⁵⁸³ ITI Comments at 3; CTIA Comments at 3-6; Submarine Cable Coalition Comments 10; NASCA Comments at 23; Microsoft Comments at 16; ICC Comments at 5-11; TIA Comments at 2-3, 6-7; CCPL Reply at 3-4; INCOMPAS Reply at 15-18; CTIA Reply at 2-7.

⁵⁸⁴ ITI Comments at 3 (disagreeing with proposed certification not to use foreign adversary ships for repair and maintenance, and proposed bar on board members or executive-level managers subject to the jurisdiction of a foreign adversary); ICC Comments at 6-11 (offering critiques on specific proposed qualifications for exemption); ATA Comments at 8-9 (proposing the Commission not refer certain domestic submarine cable systems to the Executive Branch agencies); Microsoft Comments at 17-19; NASCA Comments at 23-25; Submarine Cable Coalition Comments 11-17 (supporting the presumptive exemption proposal but critiquing specific proposed qualifications); INCOMPAS Reply at 16-17 (agreeing with the presumptive exemption approach but disagreeing with a few proposed qualifications).

⁵⁸⁵ DHS, FDD, and Hornbeck did not comment on this topic.

of a mitigation agreement as a standard condition” for a license.⁵⁸⁶ While we are not adopting that exact approach, we are incorporating features of recent mitigation agreements into the national security standards we adopt for presumptively exempting an application from Executive Branch referral. By following these standards, applicants are essentially voluntarily entering into mitigation by rule.

144. Several commenters express concerns that the Commission would retain the discretion to refer an application to the Executive Branch agencies even if the applicant presumptively qualifies for exemption from referral.⁵⁸⁷ Commenters also raise concerns that the Executive Branch agencies may request referral of an application even if the applicant presumptively qualifies for exemption from referral.⁵⁸⁸ The Submarine Cable Coalition, for example, urges the Commission “to provide clear additional guidance on when it will exercise such discretion” to refer an application if national security, law enforcement, foreign policy, and/or trade policy concerns warrant.⁵⁸⁹ The Submarine Cable Coalition also states that, if the Commission retains the discretion to refer an application to the Executive Branch agencies despite an applicant’s qualification for exemption, it “serves to entirely negate the purpose of the exemption.”⁵⁹⁰ Microsoft supports establishing further guidance on when the Commission will exercise its discretion to refer applications as circumstances warrant. Microsoft claims that “[s]uch guidance is important to ensure that discretionary referral does not become routine referral.”⁵⁹¹ In view of these comments in the record, we provide certain guidance below related to our referral of applications to the Executive Branch agencies.

145. *Referral of Applications that Presumptively Qualify for Exemption.* We believe that adherence to all of the ten national security standards ensures that an applicant commits to the highest level of protective measures to protect the security, integrity, and resilience of the submarine cable system. At the same time, we cannot effectively discharge our duty to protect national security by limiting the exercise of our discretion under section 1.40001 of the rules to a prescribed list of circumstances,⁵⁹² as we cannot predict with certainty what circumstances might threaten national security in the future. However, in general, where the applicant meets all of the national security standards and therefore presumptively qualifies for exemption from referral, we will refer an application to the Executive Branch agencies only in narrow and compelling circumstances that are specific to the application, taking into consideration the U.S. government’s equities in national security, law enforcement, foreign policy, and/or trade policy.⁵⁹³ As explained below, we anticipate working in

⁵⁸⁶ DHS *Ex Parte* at 2.

⁵⁸⁷ Submarine Cable Coalition Comments at 11; ICC Comments at 10-11; Microsoft Comments at 19; NASCA Comments at 26.

⁵⁸⁸ Submarine Cable Coalition Comments at 11; Microsoft Comments at 19; NASCA Comments at 26.

⁵⁸⁹ Submarine Cable Coalition Comments at 11. ICC also recommends that the Commission “draft a policy that details when review by the Team Telecom agencies is required for an applicant.” ICC Comments at 10-11.

⁵⁹⁰ Submarine Cable Coalition Comments at 11.

⁵⁹¹ Microsoft Comments at 19. NASCA states that it “would expect that such guidance would not simply reflect a standing desire on the part of the Team Telecom agencies to review every submarine cable application.” NASCA Comments at 26.

⁵⁹² 47 CFR § 1.40001.

⁵⁹³ In the 1997 *Foreign Participation Order*, the Commission stated at that time, “we expect national security, law enforcement, foreign policy and trade policy concerns to be raised only in very rare circumstances.” *Foreign Participation Order*, 12 FCC Rcd at 23919-20, para. 63. In the nearly three decades since the *Foreign Participation Order*, the national security and law enforcement environment has changed significantly, resulting in consistent reviews of submarine cable applications by the Executive Branch agencies to assess national security, law enforcement, foreign policy, and/or trade policy concerns. In contrast to the Commission’s expectation three decades ago, however, we expect that, if an applicant seeking an exemption from referral meets all of the national security standards, the application would be referred to the Executive Branch agencies only in narrow and

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partnership with the Committee or Committee Members should they find reasons, discussed below, to object to the exemption from referral to the Executive Branch agencies.

146. *Opportunity for the Committee to Object to Exemption.* To ensure that we fully consider the U.S. government's equities in national security, law enforcement, foreign policy, and/or trade policy that the Committee or Committee members may be apprised of, we provide the Committee, or any Committee Member, with a thirty (30) day period to object to the exemption of an application from referral to the Executive Branch agencies.⁵⁹⁴ As discussed below, we require an applicant seeking the exemption to provide electronically a complete copy of the application to the Committee on the day the application is filed with the Commission.⁵⁹⁵ We will place the application on an informative public notice and indicate that the applicant has requested an exemption from referral and the application was submitted to the Committee for an opportunity to object to the exemption.⁵⁹⁶ The Committee or a Committee Member may object to the exemption and request a referral to allow for further review pursuant to Executive Order 13913 but may only do this by filing in the relevant file number in ICFS within thirty (30) days of the release date of the public notice.⁵⁹⁷ In extraordinary extenuating circumstances, the Committee may request an additional thirty (30) days to complete its review and notify the Commission if it objects to the exemption and requests referral of the application pursuant to Executive Order 13913.⁵⁹⁸ To the extent the Committee requests referral of an application that presumptively qualifies for the exemption, we will refer the application in narrow and compelling circumstances and only if the Committee or a Committee Member identifies, in such ICFS filing, credible and articulable national security, law enforcement, or other concerns specific to the applicant or the cable system, along with an explanation for why Committee referral is requested, and may include filing confidential and/or classified information if appropriate.

147. We expect that referral of such applications will be infrequent and limited to select circumstances where national security, law enforcement, foreign policy, and/or trade policy concerns warrant the Commission to exercise its discretion to refer the application to the Executive Branch agencies. We anticipate that the Committee's requests for referral will not be used to routinely refer all applications that presumptively qualify for the exemption. Some examples of such circumstances could include where an applicant does not meet the national security standard, such as having new reportable foreign ownership as of the Executive Branch agencies' prior review of an application filed by such applicant; where an applicant reports foreign ownership from a country whose submarine cable regulatory

compelling circumstances. Overall, we expect that our adoption of these high security standards ensures that such applicant shall commit to the highest level of protective measures to protect the security, integrity, and resilience of critical submarine cable infrastructure.

⁵⁹⁴ See *infra* Appx. A (§ 1.70014(b)(2)(ii)).

⁵⁹⁵ The applicant seeking the exemption shall also send electronically to the Committee any major amendments or other material filings regarding the application on the day these are filed with the Commission. Along with the application or other material filing, the applicant shall certify that the application and any other material filings were sent to the Committee by attaching a service list to the application or other material filing. See *infra* Appx. A (§ 1.70014(b)(2)). We note that, even if an applicant does not request an exemption from referral, the Commission's rules require each applicant to send a complete copy of the application, or any major amendments or other material filings regarding the application, to certain identified agencies under section 1.70014(b). 47 CFR § 1.70014(b); see *infra* Appx. A (§ 1.70014(b)(1)).

⁵⁹⁶ Separate from this issuance of an informative public notice, consistent with our current practice, Commission staff will review the application for compliance with the Commission's rules and place the application on an Accepted for Filing public notice once it is acceptable for filing.

⁵⁹⁷ See Executive Order 13913, 85 Fed. Reg. at 19646-48, sec. 9. In the case of funding lapse that impacts any Committee Member's ability to review the information, this thirty (30) day period will be tolled and shall resume once funding is restored and review can continue.

⁵⁹⁸ *Id.*

environment lacks protections for national security, law enforcement, foreign policy, and/or trade policy considerations; the proposed submarine cable poses unique threats to military communications or operations; or the Committee identifies false statements or misrepresentations in the application. The Commission shall retain its existing and longstanding discretion whether or not to refer the application. With respect to applications where the applicant meets all ten national security standards adopted herein, however, the Commission expects to exercise such discretion only in the narrow and compelling circumstances described above.

148. *Standard Questions.* To assist the Committee in its review, we continue to require applicants with reportable foreign ownership to submit responses to the Standard Questions directly to the Committee at the time it files the application with the Commission, consistent with our current rules.⁵⁹⁹ In such case, the Committee may review this information as part of its overall review of the application solely for purposes of notifying the Commission within the thirty (30) day period if it objects to the exemption and requests referral of the application pursuant to Executive Order 13913.⁶⁰⁰ An applicant seeking the exemption shall not be subject to the time frames and requirements under section 1.40004 of the rules that apply to the Committee's review of referred applications, including the Tailored Questions and 120-day initial review clock,⁶⁰¹ unless or until such time the Commission determines that the application should be referred to the Committee.

149. *Submission of Applications to the Committee.* To ensure that both the Commission and the relevant Executive Branch agencies are fully and timely informed of applications that presumptively qualify for exemption from referral, we require any applicant seeking the exemption to provide a complete copy of the application, or any major amendments or other material filings regarding the application, to the Committee on the date of filing the application or other material filings with the Commission. Specifically, the applicant seeking the exemption must timely submit the application, or any major amendments or other material filings regarding the application, electronically to the following agencies that will be the points of contact for purposes of the submission: (1) U.S. Department of Justice; (2) U.S. Department of Homeland Security; (3) U.S. Department of Defense,⁶⁰² and (4) National Telecommunications and Information Administration.⁶⁰³ The applicant must certify such service on a

⁵⁹⁹ 47 CFR §§ 1.767(a)(8)(i), 63.18(p) ("Each applicant for which an individual or entity that is not a U.S. citizen holds a ten percent or greater direct or indirect equity or voting interest, or a controlling interest, in the applicant, must submit . . . Responses to standard questions, prior to or at the same time the applicant files its application with the Commission, pursuant to part 1, subpart CC, of this chapter directly to the Committee for the Assessment of Foreign Participation in the United States Telecommunications Services Sector (Committee) . . ."); *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6639, Appx. A (§ 1.70005(j)(1)).

⁶⁰⁰ Executive Order 13913.

⁶⁰¹ 47 CFR § 1.40004; *Executive Branch Process Reform Report and Order*, 35 FCC Rcd at 10946, 10955-59, paras. 49, 76-84.

⁶⁰² By Executive Order 14347 of September 5, 2025, Restoring the United States Department of War, the Secretary of Defense, the Department of Defense, and subordinate officials are authorized to use secondary titles such as "Secretary of War," "Department of War," and "Deputy Secretary of War." See Executive Order 14347, Restoring the United States Department of War, 90 Fed Reg 43893 (Sept. 10, 2025). For purposes of this *Second Report and Order and Second Further Notice*, the Commission uses "Department of Defense" and "Department of War" synonymously.

⁶⁰³ The members of the Committee are composed of the Secretary of Defense, the Secretary of Homeland Security, the head of any other executive department or agency, or any Assistant to the President, as the President determines appropriate, and the Attorney General, who serves as the Chair. Executive Order 13913, 85 Fed. Reg. at 19643-44, sec. 3(b), (c). The advisors to the Committee are composed of the Secretary of State; the Secretary of the Treasury, the Secretary of Commerce, the Director of the Office of Management and Budget, the United States Trade Representative, the Director of National Intelligence, the Administrator of General Services, the Assistant to the President for National Security Affairs, the Assistant to the President for Economic Policy, the Director of the Office

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service list attached to the application or other material filing. We delegate authority to OIA to amend the website referenced in section 1.70014 as necessary and appropriate to update contact information of the Committee for purposes of this requirement.⁶⁰⁴ We find that requiring these applicants to submit a copy of their application to the Committee through these agency points of contact will enhance transparency and ensure that the Committee is informed of applications where an applicant seeks an exemption from referral and the justifications.

(i) Applicant That is Subject to an Existing Mitigation Agreement or the Ten National Security Conditions

150. We require that, to presumptively qualify for exemption from referral, an applicant must be a licensee and certify that (1) it either has a cable landing license that was granted by the Commission after November 27, 2020 and is conditioned on compliance with a mitigation agreement or, starting in 2028, it was (within the previous five (5) years) granted a license that is conditioned on compliance with a mitigation agreement or was granted pursuant to the exemption process established by this *Second Report and Order* and described in section 1.40001(b);⁶⁰⁵ (2) there are no new individuals or entities that hold 10% or greater direct or indirect equity and/or voting interests, or a controlling interest, in the applicant⁶⁰⁶ since the most recent review by the Commission; and (3) it is in compliance with the terms of any existing mitigation agreement(s) on which any of its cable landing license(s) is conditioned. To the extent an application is filed jointly by multiple parties, we require that each applicant must meet this national security standard.

151. In the *2025 Submarine Cable Further Notice*, we proposed that, to presumptively qualify for exemption from referral, an applicant must be a licensee of a submarine cable licensed by the Commission and has operated its licensed submarine cable(s) without any incident.⁶⁰⁷ We sought comment on whether an application should qualify for exclusion from referral if a prior submarine cable application filed by the applicant was recently cleared by the Executive Branch agencies, including the Committee, and granted by the Commission.⁶⁰⁸ We also sought comment on whether to consider whether the applicant and/or its existing submarine cable system have no reportable foreign ownership, or no new reportable foreign ownership, as of the Executive Branch agencies' most recent review.⁶⁰⁹ While no

of Science and Technology Policy, the Chair of the Council of Economic Advisers, and any other Assistant to the President, as the President determines appropriate. *Id.*, 85 Fed. Reg. at 19644, Sec. 3(d).

⁶⁰⁴ 47 CFR § 1.70014(b); *see infra* Appx. A (§ 1.70014(b)(2)).

⁶⁰⁵ *See infra* Appx. A (§ 1.40001(b)). For example, an applicant may meet this requirement if it files an application on January 1, 2028, and its existing cable landing license was granted within the previous five years pursuant to the exemption process.

⁶⁰⁶ 47 CFR §§ 1.767(a)(8)(i), 63.18(h); *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6639, Appx. A (§ 1.70005(j)(1)); *see infra* Appx. A (§ 1.40001(b)(1)).

⁶⁰⁷ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6610, para. 287. Among other things, we proposed that an applicant in good standing would be, for example, one that has complied with the terms of the license(s) and has no pending or adjudicated enforcement action by the Commission and/or national security, law enforcement, or other concerns brought to the Commission's attention in the course of operating the submarine cable(s) and has no history of false statements or certifications in its dealings before the Commission related to its cable landing license(s). *Id.* We sought comment, for example, on whether to consider that an application meets this qualification if there was no referral of any issue to the Commission's Enforcement Bureau and/or no issuance of a Letter of Inquiry or subpoena at any point in the history of the cable landing license(s) or within a certain timeframe. *Id.* Separately, we proposed that, to presumptively qualify for exemption, an applicant must have consistently demonstrated the requisite character qualifications. *Id.* at 6611-12, para. 290.

⁶⁰⁸ *Id.* at 6610-11, para. 288.

⁶⁰⁹ *Id.*

commenter opposes the proposal, a few commenters suggest the Commission should adopt a tailored approach to identify an applicant in good standing, including character qualifications.⁶¹⁰

152. The standard we adopt is a tailored version of our proposal in the *2025 Submarine Cable Further Notice*. We find it necessary to require these safeguards to reduce vulnerabilities and mitigate national security and law enforcement risks. Our approach is also consistent with our objectives in this proceeding to exempt only certain qualified applicants to facilitate the deployment of submarine cables. Importantly, we find requiring that, in order to be presumptively qualified for the exemption, an applicant must be a licensee whose existing cable landing license(s) is subject to either a mitigation agreement or the national security standards adopted herein, and it has no new 10% or greater interest holders, ensures that the applicant was fully reviewed by the Executive Branch agencies for any national security and law enforcement concerns after the effective date of the *Executive Branch Process Reform Report and Order*,⁶¹¹ or the applicant previously qualified for an exemption from referral to the Executive Branch agencies. Additionally, to the extent the applicant has a mitigation agreement, our approach takes into account that the Executive Branch agencies have closely monitored and assessed the applicant's compliance with an existing mitigation agreement such that it may inform whether an applicant has complied with its licensing obligations. We thus find it appropriate to adopt a clearer and narrower version of our proposal to determine whether an applicant meets this national security standard. By narrowing the proposed standard, we also reduce duplication or inconsistency with our existing rules regarding character qualifications.⁶¹² Accordingly, we adopt targeted requirements for this national security standard to sufficiently ensure an applicant is qualified to be exempted from referral to the Executive Branch agencies provided it meets the remaining nine national security standards.

(ii) No Cable System Ownership Below 5% is Held by Entities Owned by, Controlled by, or Subject to the Jurisdiction or Direction of a Foreign Adversary, and No Agreements with Such Entities to Secure Financing or Strategic Partnerships or Mergers Affecting the Submarine Cable System

153. To presumptively qualify for exemption from referral, we require an applicant to certify in the application, and if the license is granted, the licensee must ensure that: (a) no entity holding less than 5% direct interest in the submarine cable system is “owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary,” as defined in section 1.70001(g)⁶¹³; (b) the applicant, and if the license is granted, the licensee has not entered into and will not enter into an agreement, formal or informal, with entities “owned by, controlled by, or subject to the jurisdiction or direction of a foreign

⁶¹⁰ See, e.g., CTIA Comments at 3 (“CTIA therefore supports the FNPRM’s focus on developing expedited options for applicants and licensees that are known to the Commission and do not present national security concerns.”); Submarine Cable Coalition Comments at 12 (stating that “the Commission should, as it did in the context of the ‘character presumption’ . . . ensure that minor compliance issues such as late payments, inadvertently missed deadlines, and other negligible mishaps are not presumptively disqualifying, provided that the applicant has previously corrected such minor compliance issues”); ICC Comments at 7-8 (“Among the standards considered by the Commission, a preference towards (i) recurring applicants, and commonly owned affiliated entities, in (ii) good standing with no history of character condition violations would be a brightline standard that sets clear incentives for applicants.”); NASCA Comments at 23-24 (stating, “the FNPRM’s proposal to afford streamlining to an applicant who is a submarine cable licensee that has operated its cable ‘without any incident’ is overbroad”).

⁶¹¹ See *Executive Branch Process Reform Report and Order*; Executive Branch Reform Federal Register Notice.

⁶¹² 47 CFR § 1.70002(c) (“Character presumptive disqualifying condition”). Specifically, in the *2025 Submarine Cable First Report and Order*, the Commission adopted a character presumptive disqualifying condition, by which it will consider whether an applicant has the requisite character qualifications. *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6501-04, paras. 36-41; 47 CFR § 1.70002(c).

⁶¹³ 47 CFR § 1.70001(g); *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6613, para. 294.

adversary,” as defined in section 1.70001(g),⁶¹⁴ to secure financing (such as business loans or bonds, debts, lines of credit, debt forgiveness, or in kind contributions or services) related to or affecting the submarine cable system; and (c) the applicant, and if the license is granted, the licensee has no strategic partnerships nor has entered or will enter into mergers with entities “owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary,” as defined in section 1.70001(g),⁶¹⁵ that might affect access to and/or the management or operation of the submarine cable system.⁶¹⁶ We adopt our proposal in the *2025 Submarine Cable Further Notice* with some modifications. Specifically, we proposed that, to presumptively qualify for exemption from referral, an applicant must certify that no entity holding less than 5% interest in the submarine cable system is owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, as defined in section 1.70001(g).⁶¹⁷ We also sought comment generally on whether there are any other standards that the Commission should consider to qualify an application for exemption from referral to the Executive Branch agencies.⁶¹⁸ The Submarine Cable Coalition supports the proposal to require an applicant seeking the exemption to certify that no entity holding less than 5% interest in the cable system is owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary.⁶¹⁹ While NASCA and Microsoft do not oppose this certification requirement, they state generally that the Commission should adopt certification requirements for purposes of the exemption to the extent they are “genuinely necessary” to identify applicants or applications warranting review by the Executive Branch agencies.⁶²⁰ Microsoft also “urges the Commission to ensure that such certifications are consistent with the Commission’s rules.”⁶²¹

154. We find that the national security standard we adopt herein is necessary for identifying whether or not an application warrants an exemption from referral to the Executive Branch agencies for their assessment of national security, law enforcement, or other concerns. Our rules, as amended, require that any entity that controls a cable landing station in the United States and all other entities owning or controlling 5% or greater interest in the cable system and using the U.S. points of the cable system, must apply for and become a licensee on a cable landing license.⁶²² As a result, a foreign adversary-controlled entity could hold an ownership interest in the submarine cable system but may not meet the threshold level of ownership that would require it to be an applicant for a cable landing license and be subject to review by the Commission and the Executive Branch agencies. We recognize this creates a gap in the Commission’s oversight and knowledge regarding ownership or control of this critical communications infrastructure and presents potential national security and law enforcement risks. Thus, to meet the national security standard, an applicant must demonstrate that no foreign adversary-controlled entity holds less than 5% direct interest in the U.S. and/or foreign portions of the cable system, including the U.S. and foreign cable landing stations.⁶²³ Further, we clarify that the national security standard applies to

⁶¹⁴ 47 CFR § 1.70001(g).

⁶¹⁵ *Id.*

⁶¹⁶ See *infra* Appx. A (§§ 1.40001(b)(2) (requiring such certification of applicants seeking exemption from referral), 1.70007(ii)(1) (setting out routine condition for licensees whose application is exempt from referral).

⁶¹⁷ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6613, para. 294.

⁶¹⁸ *Id.* at 6615, para. 301.

⁶¹⁹ Submarine Cable Coalition Comments at 14; see also Hornbeck Comments at 10.

⁶²⁰ Microsoft Comments at 18; NASCA Comments at 24.

⁶²¹ Microsoft Comments at 18.

⁶²² In the *2025 Submarine Cable First Report and Order and FNPRM*, we amended section 1.767(h)(1) of the rules by no longer requiring entities that merely own, and do not control, a U.S. cable landing station to become licensees. *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6527, 6529-30, paras. 78, 82-83. The amendment to the rule is not yet effective and will be codified in 47 CFR § 1.70003. *Id.* at 6637, Appx. A (§ 1.70003).

⁶²³ See *supra* para. 140.

the current and future owners that hold or would hold less than 5% direct interest in the submarine cable system. If several applicants or licensees are in a consortium, each respective applicant or licensee must meet this standard. Therefore, this national security standard is an ongoing requirement that also applies to licensees whose application was exempted from referral, and those licensees should continually monitor the interests held by owners of the cable system. In light of heightened risks presented by foreign adversary-controlled owners of a submarine cable system, we find that adopting this national security standard for purposes of presumptively exempting an application from referral is essential to protect U.S. national security interests.⁶²⁴

155. Further, beyond holding ownership interests in a submarine cable system, foreign adversary-controlled entities may also have involvement and influence over matters affecting this critical infrastructure, including its management and operation, by providing financing or through strategic partnerships with an applicant or licensee. Through our adoption of new rules in the *2025 Submarine Cable First Report and Order*, we recognized, for example, that national security concerns are raised by entities that are financed by a foreign adversary or that act in any capacity pursuant to a foreign adversary's request or direction.⁶²⁵ In particular, we adopted a presumptive disqualifying condition, application disclosure requirements, and routine conditions concerning individuals or entities that are "owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary" under section 1.70001(g),⁶²⁶ the definition of which includes any individual or entity that "acts in any other capacity at the order, request, or under the direction or control, of a foreign adversary or of an individual or entity whose activities are directly or indirectly supervised, directed, controlled, financed, or subsidized in whole or in part by a foreign adversary."⁶²⁷ We find it necessary to adopt the national security standard herein to mitigate national security and law enforcement risks raised by foreign adversary-controlled entities that may have involvement and influence, as well as opportunities for such, over matters affecting a submarine cable system by providing financing or through strategic partnerships. Moreover, as part of their review of applications, the Executive Branch agencies consistently assess whether applicants have existing (or planned) relationships/partnerships (formal or informal), funding or service contracts, directly or indirectly, with any foreign individuals, foreign entities, foreign governments, and/or any foreign government-controlled entities.⁶²⁸ To sufficiently ensure an applicant is qualified to be exempted from referral to the Executive Branch agencies, we therefore find it is essential to require that an applicant seeking an exemption must certify, and if the license granted, the licensee must ensure that it has not

⁶²⁴ See, e.g., Justin Sherman, *Cyber defense across the ocean floor: The geopolitics of submarine cable security* (Sept. 13, 2021), <https://www.atlanticcouncil.org/in-depth-research-reports/report/cyber-defense-across-the-ocean-floor-the-geopolitics-of-submarine-cable-security/#trend-1> (*The Geopolitics of Submarine Cable Security*); Greg Bryan, TeleGeography, *Protecting Internet Infrastructure with Submarine Cable Sensing*, (Oct. 2, 2025), <https://resources.telegeography.com/protecting-internet-infrastructure-submarine-cable-sensing> (*Protecting Internet Infrastructure with Submarine Cable Sensing*) (detailing the capabilities of Distributed Acoustic Sensing (DAS) technology to use submarine cables as intelligent sensors).

⁶²⁵ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6492-97, paras. 23-29 (defining an individual or entity "owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary," for purposes of the submarine cable rules); see 47 CFR § 1.70001(g)(1) (applying the term "owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary" to, among other things, "[a]ny individual or entity, wherever located, who acts as an agent, representative, or employee, or any person who acts in any other capacity at the order, request, or under the direction or control, of a foreign adversary or of an individual or entity whose activities are directly or indirectly supervised, directed, controlled, financed, or subsidized in whole or in majority part by a foreign adversary") (emphasis added).

⁶²⁶ See, e.g., *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6497-6501, 6506-08, 6537-40, 6554-55, 6569-72, paras. 30-35, 46-49, 98-104, 138, 140, 179-188.

⁶²⁷ 47 CFR § 1.70001(g)(1).

⁶²⁸ *2021 Standard Questions Report and Order*, 36 FCC Rcd at 14916-17, 14931, Attach. C (Section III: Overview of Submarine Cable System Applicants), Attach. D (Section III: Overview of Submarine Cable Owners).

entered into and will not enter into an agreement with foreign adversary-controlled entities to secure financing (such as business loans or bonds, debts, lines of credit, debt forgiveness, or in kind contributions or services) related to or affecting the submarine cable system, and that it has no strategic partnerships nor has entered or will enter into mergers with foreign adversary-controlled entities that might affect access to and/or the management or operation of the submarine cable system.

(iii) No Senior Officials Meet the Definition of “Owned by, Controlled by, or Subject to the Jurisdiction or Direction of a Foreign Adversary” or Performs Duties from a Foreign Adversary Country

156. We require that, to presumptively qualify for exemption from referral, an applicant must certify that (1) no senior official of the applicant or the applicant’s parent company(ies) meets the definition of “owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary” as that term is used in our rules,⁶²⁹ and (2) no senior official of the applicant or any of the applicant’s parent company(ies) performs or will perform duties with respect to the submarine cable system from a foreign adversary country, as defined in section 1.70001(f).⁶³⁰ Specifically, we adopt a modified version of our proposal to require that the applicant must certify in the application, and if the license is granted, the licensee must ensure that no senior official is or will be “owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary,” as defined in section 1.70001(g),⁶³¹ and that no senior official of the applicant or licensee or any of its parent company(ies) performs or will perform duties with respect to the submarine cable system from a foreign adversary country, as defined in section 1.70001(f).⁶³² The Submarine Cable Coalition supports adopting a requirement that the applicant certify no senior official of itself or its parent companies is owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary,⁶³³ while several commenters oppose it.⁶³⁴ INCOMPAS and ICC claim that citizenship or domicile restrictions on senior officials is “an imperfect proxy for security.”⁶³⁵ ITI asserts that the proposal is “too far-reaching and not well-correlated with actual security risk.”⁶³⁶ ICC claims that “licensees and applicants may have hundreds of ‘senior officials,’” depending on how the

⁶²⁹ 47 CFR § 1.70001(g); *2025 Submarine Cable First Report and Order*, 40 FCC Rcd at 6492-93, para. 23 (“For purposes of the submarine cable rules, we define an individual or entity ‘owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary’ consistent with Department of Commerce’s rule, 15 CFR § 791.2, with certain narrow modifications.”).

⁶³⁰ 47 CFR § 1.70001(f).

⁶³¹ *Id.* § 1.70001(g); *2025 Submarine Cable First Report and Order*, 40 FCC Rcd at 6615, para. 299 (proposing to require that, to presumptively qualify for exemption, an applicant must certify that no senior official of the applicant or the applicant’s parent company(ies) is owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, as defined in section 1.70001(g)). The limitation that senior officials do not perform their duties from foreign adversary countries is to help ensure that such officials do not fall under a foreign adversary’s jurisdiction or direction.

⁶³² 47 CFR § 1.70001(f); *2025 Submarine Cable First Report and Order*, 40 FCC Rcd at 6615, para. 301 (seeking comment on whether there are any other standards that the Commission should consider to qualify an application for exemption from Commission referral to the Executive Branch agencies).

⁶³³ Submarine Cable Coalition Comments at 17.

⁶³⁴ ICC Comments at 9-10; ITI Comments at 3; INCOMPAS Reply at 17; ICC Reply at 6; ITI Comments at 3. While NASCA and Microsoft do not oppose the certification requirement, they state generally that the Commission should adopt certification requirements for purposes of the exemption to the extent they are “genuinely necessary” to identify applicants or applications warranting review by the Executive Branch agencies. Microsoft Comments at 18; NASCA Comments at 24.

⁶³⁵ ICC Comments at 9-10; INCOMPAS Reply at 17; *see* ICC Reply at 6.

⁶³⁶ ITI Comments at 3.

Commission defines “senior official,” and that resources could be better spent on securing submarine cables or future deployment.⁶³⁷

157. We disagree with these arguments. We find it necessary to adopt this national security standard for applicants seeking exemption from referral to mitigate national security and law enforcement risks raised by an applicant or, if the license is granted, a licensee whose corporate leadership and/or that of its parent company(ies) is subject to control, jurisdiction, or direction by a foreign adversary. Furthermore, we find it necessary to adopt this standard to mitigate national security and law enforcement risks raised by an applicant or, if the license is granted, a licensee, whose corporate leadership or that of its parent company(ies) performs duties with respect to the submarine cable system from a foreign adversary country. Senior officials of an applicant or licensee or its parent company(ies) that perform relevant duties from foreign adversary countries pose similar risks of foreign adversaries gaining access to the critical submarine cable infrastructure as if the senior official is himself or herself “owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary.”⁶³⁸ The Commission has recognized there are substantial and serious national security and law enforcement risks associated with landing submarine cables in foreign adversary countries,⁶³⁹ given the intent and capabilities of such countries to harm U.S. interests and the vulnerabilities inherent in submarine cable infrastructure.⁶⁴⁰ We find that similar national security and law enforcement risks are raised, for example, where the corporate leadership of a licensee or its parent company(ies) controls the operation of this critical communications infrastructure from a foreign adversary country.

158. Our adoption of this national security standard is consistent with our actions in the *2025 Submarine Cable First Report and Order*. Section 1.70001(g)(4) of our new rules recognizes that an entity is owned or controlled by a foreign adversary, for example, if any individual or entity identified as subject to foreign adversary control, jurisdiction, or direction in section 1.70001(g)(1)-(3) “possesses the power, direct or indirect, whether or not exercised” through “board representation . . . contractual arrangements, formal or informal arrangements to act in concert, or other means, to determine, direct, or decide important matters affecting an entity.”⁶⁴¹ As we stated in the *2025 Submarine Cable First Report and Order*, entities that are subject to the control, jurisdiction, or direction of a foreign adversary present national security risks to critical U.S. communications infrastructure.⁶⁴² We have decided to maintain a consistent definition and usage of the term “owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary,” but recognize it is very unlikely that a senior official of an applicant or an applicant’s parent company(ies) would be “owned by” a foreign adversary.⁶⁴³ This standard follows the presumption that a foreign adversary-controlled applicant is not qualified to hold a cable landing license unless the applicant overcomes the adverse presumption.⁶⁴⁴ We also note that recent National Security Agreements (NSAs) between cable landing licensees and the Executive Branch agencies require

⁶³⁷ ICC Comments at 10.

⁶³⁸ 47 CFR § 1.70001(g).

⁶³⁹ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6505, para. 45.

⁶⁴⁰ *Id.* at 6504, para. 42.

⁶⁴¹ 47 CFR § 1.70001(g).

⁶⁴² *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6493, para. 24, n.56.

⁶⁴³ *Id.* at 6495-97, para. 29; *id.* at 6496, para. 29 (“[W]e define ‘that is owned . . . by a foreign adversary’ in subpart (4) to include both voting and equity interests, as well as controlling interests, and also define the term ‘dominant minority’ in subpart (4) as 10% or greater direct or indirect voting and/or equity interests.”).

⁶⁴⁴ *See id.* at 6497, para. 30. This standard also follows the presumption that denial of an application is warranted where an applicant seeks to land a submarine cable in a foreign adversary country unless the applicant overcomes the adverse presumption. *See id.* at 6504-06, paras. 42-45.

the licensee to submit information about its senior officials to the compliance monitoring agencies.⁶⁴⁵ We find that adopting this national security standard is important for protecting the security and integrity of this critical infrastructure and is necessary to justify an exemption of an application from referral to the Executive Branch agencies.

159. In light of ICC's comments in the record, we clarify our definition of "senior official" for purposes of the national security standard.⁶⁴⁶ Specifically, we clarify the applicability of the term "executive-level management" by defining "senior official" as a "board member or executive-level management, including an individual who performs the duties, or any of the duties, ordinarily performed by a president, vice president, secretary, treasurer, Chief Executive Officer, Chief Technical Officer, Chief Operations Officer, Chief Information Officer, and/or Chief Financial Officer, or other officer." We believe that this clarification sufficiently addresses ICC's concern.⁶⁴⁷ We note that given varying corporate governance structures, this list is illustrative and non-exhaustive. Individuals that perform duties indicative of executive-level management may be included for purposes of this certification, and the Commission may seek additional information from an applicant to verify its certification under this national security standard.

(iv) Prohibition on Customers from Entering into New or Extension of Arrangements Such as IRUs and/or Capacity Leases with Foreign Adversary-Controlled Entities that Include Their Ability to Install, Own or Manage SLTE

160. We require that, to presumptively qualify for exemption from referral, an applicant must certify in the application, and if the license is granted, the licensee must ensure that it will prohibit its customers or any further downstream customers from entering into a new or extension of an existing arrangement, such as for IRUs or leases for capacity on the submarine cable, where such arrangements would give an entity that is "owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary," as defined in section 1.70001(g),⁶⁴⁸ the ability to install, own, or manage SLTE on the submarine cable.⁶⁴⁹ In the *2025 Submarine Cable First Report and Order*, we adopted a routine condition prohibiting cable landing licensees from entering into a new or extension of an existing arrangement for IRU or leases for capacity, where such arrangement would give an entity that is "owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary," as defined in section 1.70001(g),⁶⁵⁰ the ability to install, own, or manage SLTE.⁶⁵¹ In this *Second Report and Order*, as discussed above, we adopt a similar routine condition requiring cable landing licensees to prohibit their customers or any further downstream customers from entering into new or extension of an existing arrangement, such as for IRUs or leases, with entities identified on the Covered List, where such arrangement would give such entity (i.e., the IRU holder or lessee) the ability to install, own, or manage SLTE on a submarine cable landing in the United States.⁶⁵² Here, to qualify to be presumptively exempt from referral to the Executive Branch agencies, we take a further step to prevent an applicant's or licensee's customers or any further downstream customers from entering into a new or extension of an existing arrangement, such as

⁶⁴⁵ See, e.g., Edge Cable Holdings USA, LLC, and Meta Platforms, Inc., National Security Agreement with the U.S. Department of Justice, U.S. Department of Homeland Security, and U.S. Department of Defense (Dec. 11, 2025) at 9 (on file in File No. SCL-STA-20251209-00086) (Anjana Operational STA NSA).

⁶⁴⁶ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6615, para. 299.

⁶⁴⁷ ICC Comments at 10.

⁶⁴⁸ 47 CFR § 1.70001(g).

⁶⁴⁹ See *infra* Appx. A (§§ 1.40001(b)(4), 1.70007(ii)(3)).

⁶⁵⁰ 47 CFR § 1.70001(g).

⁶⁵¹ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6506-07, 6614, paras. 46, 295.

⁶⁵² See *supra* section III.A.2.a.iii.

for IRUs or leases for capacity, where such arrangement would give a foreign adversary-controlled entity the ability to install, own, or manage SLTE on the submarine cable. Accordingly, to meet this national security standard, an entity must adopt contractual provisions in these arrangements that prohibit its customers or any further downstream customers from selling, leasing out, sharing, or swapping fiber, spectrum, or capacity to or with an entity that is “owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary,” as defined in section 1.70001(g).⁶⁵³

161. One commenter supports a version of the proposal in the *2025 Submarine Cable Further Notice*,⁶⁵⁴ while a few other commenters oppose it. The Submarine Cable Coalition generally supports the proposed restriction but only as applied to the applicant’s direct customers and to the extent “the applicant is not held liable for the actions of its customers that breach the contractual language instituted by the applicant.”⁶⁵⁵ The Submarine Cable Coalition also recommends utilizing the “contractual compliance model” of recent mitigation agreements with the Executive Branch agencies, where the applicant would use “available contractual mechanisms” to restrict its customers from such activities, provided that the applicant’s obligations are limited to institution of, and enforcement of, these available contractual mechanisms.⁶⁵⁶ Microsoft and NASCA, however, argue that the proposal raises commercial, competition, and practical concerns,⁶⁵⁷ and challenge its viability with respect to downstream customers.⁶⁵⁸ They also state that termination or suspension are the only remedies for breach of contract, but exercise of these remedies would harm other downstream customers.⁶⁵⁹

162. We agree with the Submarine Cable Coalition that the contractual compliance model reflected in recent mitigation agreements, which provide that the licensee’s contracts with customers and other third parties shall include contractual provisions governing the third party’s obligations, is an appropriate example of how an applicant or, if the license is granted, a licensee may use available contractual mechanisms to prohibit its customers from entering into the aforementioned arrangements such as for IRUs or leases for capacity.⁶⁶⁰ While we clarify that we do not apply a strict liability standard,

⁶⁵³ See *infra* Appx. A (§§ 1.40001(b)(4)(i)) (requiring a certification), 1.70007(ii)(3) (requiring a routine condition)); 47 CFR § 1.70001(g).

⁶⁵⁴ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6614, para. 295 (proposing that, to presumptively qualify for exemption from referral, “an applicant would need to certify that it will prohibit its customers from entering into new arrangements or extending existing arrangements that would be prohibited for the applicant itself,” and seeking comment on the extent to which the Commission should “consider whether the capacity sold or leased out by an applicant to another entity is, in turn, sold to, leased out, or swapped with an entity that is owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary”).

⁶⁵⁵ Submarine Cable Coalition Comments at 15.

⁶⁵⁶ *Id.* (“This would include that the applicant would certify such that the applicant itself will not enter into IRUs or leases for capacity that would give an entity owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary the ability to install, own, or manage SLTE, and that the applicant will use ‘available contractual mechanisms’ to restrict its customers from such activities, provided that the applicant’s obligations in this regard are limited to institution of, and enforcement of these available contractual mechanisms. Applicants . . . cannot be expected to take actions beyond contractual remedies such as suspension or termination for breach.”).

⁶⁵⁷ Microsoft Comments at 18; NASCA Comments at 25.

⁶⁵⁸ NASCA Comments at 25 (“The proposal would also require licensees to maintain visibility into a customer’s operations, terms and conditions, and customer base. And the proposal simply is not viable with respect to customers further downstream, as submarine cable owners and operators have no contractual privity with such customers.”); Microsoft Comments 19 (“The proposal also would require a party to have information or audit rights sufficient to assess compliance, which would involve access to competitively sensitive information. Finally, the proposal is untenable with respect to customers ‘further downstream.’”).

⁶⁵⁹ Microsoft Comments at 18-19; NASCA Comments at 25.

⁶⁶⁰ Submarine Cable Coalition Comments at 15; Anjana Operational STA NSA at 18-22; see GU Holdings Inc., Edge Cable Holdings USA, LLC, PLDT Inc., Google LLC, and Meta Platforms, Inc., National Security Agreement

(continued....)

we expect applicants and licensees to conduct substantial due diligence to ensure compliance with this requirement. We would consider all of the facts and circumstances raised in an individual case and take into consideration the steps an applicant or licensee took in conducting substantial due diligence to ensure compliance with this prohibition. We also decline to limit applying the prohibition to an applicant's or licensee's direct IRU or lease customers.⁶⁶¹ To ensure compliance with the prohibition, we expect the applicant and, if the license is granted, the licensee to adopt contractual provisions that require its direct customers, in turn, to prohibit their customers from selling, leasing out, sharing, or swapping fiber, spectrum, or capacity to or with foreign adversary-controlled entities, and so forth essentially directing all downstream customers. We find that this prohibition is necessary to address a critical national security gap and will further preclude foreign adversary-controlled entities from gaining access to and potentially exploiting this critical communications infrastructure.⁶⁶² The Commission has demonstrated success in enforcing conditions on authorizations in other contexts, including through revocation, which it may apply in enforcing these adopted standards.⁶⁶³

163. We are unpersuaded by commenters' arguments that this approach is "untenable" as this standard involves a voluntary commitment to a national security standard that an applicant or, if the license is granted, the licensee need only follow if it seeks exemption from referral to the Executive Branch agencies.⁶⁶⁴ Otherwise, an applicant is not required to certify that it will comply with this national security standard and the Commission may refer the application to the Executive Branch agencies in accordance with its existing process. Moreover, the licensees that commit to this national security standard, as noted by Submarine Cable Coalition, will have "available contractual mechanisms" to address any breach of contractual agreements.⁶⁶⁵ On balance, the benefits of the national security

with U.S. Department of Homeland Security, the U.S. Department of Justice, and the U.S. Department of Defense (Dec. 13, 2024) (on file in File No. SCL-LIC-20220715-00024) at 21-22 (Apricot NSA) (agreeing to "cooperate, through available contractual mechanisms with [compliance monitoring agencies' (CMAs)] efforts to resolve any national security, law enforcement, or Other Third Party Obligation compliance concerns," and, "if notified by the CMAs of potential non-compliance arising out of a failure to comply with the relevant Other Third Party obligations, Licensee will notify the affected Other Third Party (which will be responsible for notifying any affected downstream Other Third Party) . . . If the issue remains unresolved after that time period, Licensee shall, if required by the CMAs, suspend the Other Third Party's access or disconnect its Principal Equipment to the extent so required until the issue is resolved to the CMAs' satisfaction"); Edge Cable Holdings USA, LLC, AMCS LLC, Keppel Midgard Holdings Pte. Ltd., Keppel Midgard USA, Inc., PT Telekomunikasi Indonesia International, and Meta Platforms, Inc., National Security Agreement with the U.S. Department of Homeland Security, The U.S. Department of Justice, and the U.S. Department of Defense (Dec. 20, 2024) (on file in File No. SCL-LIC-20221209-00036) at 19-22 (Bifrost NSA).

⁶⁶¹ Submarine Cable Coalition Comments at 15.

⁶⁶² In the *2025 Submarine Cable First Report and Order*, we stated that there are serious national security and law enforcement risks where an untrustworthy actor with access, ownership, and control of submarine cable communications fiber and principal equipment, has physical presence within U.S. communications networks and "can potentially access and/or manipulate data where it is on the preferred path for U.S. customer traffic." *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6507-08, para. 49 (citing *China Telecom (Americas) Corporation*, GN Docket No. 20-109, File Nos. ITC-214-20010613-00346, ITC-214-20020716-00371, ITC-T/C-20070725-00285, Order on Revocation and Termination, 36 FCC Rcd 15966, 16027, para. 91 (2021), *aff'd*, *China Telecom (Americas) Corp. v. FCC*, 57 F.4th 256 (D.C. Cir. 2022) (*China Telecom Americas Order on Revocation and Termination*)); Executive Branch Reply at 18-19).

⁶⁶³ See, e.g., *LDC Telecommunications, Inc.*, File No. ITC-214-20080523-00238, Revocation Order, 31 FCC Rcd 11661 (EB-TCD, IB-TAD & WCB-CPD 2016) (revoking the carrier's domestic and international section 214 authorizations for failure to pay delinquent regulatory fees owed to the Commission).

⁶⁶⁴ Microsoft Comments at 19; NASCA Comments at 25; see Submarine Cable Coalition Comments at 15.

⁶⁶⁵ Submarine Cable Coalition Comments at 15. We note that Microsoft and NASCA recommend adopting a rule-based framework that incorporates standard mitigation measures reflected in individually-negotiated mitigation

(continued....)

standard we adopt here outweigh this and any other concerns identified in the record. Significant national security and law enforcement risks are raised where an untrustworthy actor with access, ownership, and control of submarine cable communications fiber and principal equipment, has physical presence within U.S. communications networks and “can potentially access and/or manipulate data where it is on the preferred path for U.S. customer traffic.”⁶⁶⁶ Moreover, the Committee has articulated that foreign adversary-affiliated entities that own or operate SLTE pursuant to an IRU or similar legal agreement, “may effectively operate a cable” that thereby “allow[s] an adversary to intercept or misroute U.S. persons’ communications and sensitive data transiting the cable, posing a serious counterintelligence risk.”⁶⁶⁷ Given the known national security challenges and risks associated with submarine cables,⁶⁶⁸ we find that adoption of this national security standard is important for protecting the security and integrity of this critical infrastructure and is necessary to justify an exemption of an application from referral to the Executive Branch agencies.

(v) Requirement to Report Arrangements Such as for IRUs and/or Capacity Leases After the Cable Commences Service and Thereafter on an Annual Basis

164. We adopt a requirement that, to presumptively qualify for exemption from referral, the applicant must certify, and if a license is granted, the licensee must comply with a routine condition that it will provide the Commission and the Committee Members with information regarding the aforementioned arrangements, such as for IRUs and/or leases for capacity on the submarine cable,⁶⁶⁹ within sixty (60) days of commencing service on the submarine cable and thereafter on an annual basis. In the *2025 Submarine Cable Further Notice*, we sought comment on how we can assess whether applicants have taken measures to enforce any contractual provisions to prohibit customers from entering into arrangements such as for IRUs or leases for capacity that would give a foreign adversary-controlled

agreements with the Executive Branch agencies. See Microsoft Comments at 19; NASCA Comments at 25. While we do not adopt standard mitigation rules at this time, we note that the national security standard we adopt here, for purposes of presumptively exempting an application from referral, is reflective of a requirement in recent mitigation agreements with the Executive Branch agencies. See *supra* para. 143.

⁶⁶⁶ *China Telecom Americas Order on Revocation and Termination*, 36 FCC Rcd at 16027, para. 91; see *2025 Submarine Cable First Report and Order*, 40 FCC Rcd at 6507-08, para. 49; Executive Branch Reply at 18-19.

⁶⁶⁷ Committee *Ex Parte* at 2 (“The Committee had this threat in mind when it recommended that the FCC deny a proposed expansion of the ARCOS-1 cable system to add a segment between the United States and Cuba due to concerns it would advance the Cuban government’s intelligence objectives through the state-owned entity that would be an IRU customer on the new segment.”); see ARCOS-1 Recommendation at 14-15; Executive Branch Recommendation for a Partial Denial and Partial Grant of the Application for a Submarine Cable Landing License for the Pacific Light Cable Network, File Nos. SCL-LIC-20170421-00012, SCL-AMD-20171227-00025, at 15-16 (filed June 17, 2020) (“The U.S. intelligence community has previously warned of the capabilities that a foreign adversary may gain with access to large volumes of U.S. persons’ data . . . These concerns provide additional background for the Executive Branch’s concerns, as a submarine cable like PLCN landing in Hong Kong would provide additional opportunities for PRC authorities to collect U.S. communications traffic for further big data analysis. By combining personnel data with travel records, health records, and credit information, PRC intelligence services may have the capability to create in just a few years a database more detailed than any nation has ever possessed about one of its rivals.”).

⁶⁶⁸ See, e.g., U.S. Department of Homeland Security, Office of Intelligence and Analysis, *2025 Homeland Threat Assessment* at 22-25 (2025), https://www.dhs.gov/sites/default/files/2024-10/24_0930_ia_24-320-ia-publication-2025-hta-final-30sep24-508.pdf (assessing that “[w]e expect adversarial state cyber actors will continue to seek access to, or to pre-position themselves on, US critical infrastructure networks” and “[t]he PRC’s pre-positioning efforts on US critical infrastructure probably also provide its cyber actors with broad access and insight into sensitive and proprietary data across an array of US critical infrastructure networks”).

⁶⁶⁹ See *supra* section III.A.3.a.iv.

entity the ability to install, own, or manage SLTE on a submarine cable landing in the United States.⁶⁷⁰ We also sought comment on whether we should require applicants to file with the Commission copies of any arrangements for IRUs or leases for capacity, and if so, whether we should treat this information as presumptively confidential.⁶⁷¹ CTIA expresses concern that the proposal would add “filing burdens for leases of capacity” and consequently “harm the dynamic market for capacity purchases that promote the deployment of new cables.”⁶⁷² While NASCA and Microsoft oppose adoption of the underlying prohibition, they do not specifically address the proposals to assess whether applicants have taken measures to enforce contractual provisions or to require applicants to file copies of IRU and/or capacity lease arrangements with the Commission.⁶⁷³

165. First, we adopt our proposal to require licensees that were exempted from referral to file with the Commission and the Committee Members a list identifying all of their arrangements such as for IRU and/or capacity leases, including the legal name, Employer Identification Number (EIN) (if available), website, and the physical address of the headquarters of each contracting party and the type and duration of each arrangement, and provide copies of all such arrangements, within sixty (60) days of commencing service on the submarine cable. The licensee must also identify in this filing whether or not each contracting entity is “owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary,” as defined in section 1.70001(g),⁶⁷⁴ and whether or not each arrangement gives any such entity the ability to install, own, or manage SLTE on a submarine cable landing in the United States. We will treat this information as presumptively confidential.⁶⁷⁵

166. Second, we require licensees that were exempted from referral to continue filing this list and copies of all such arrangements with the Commission and the Committee Members as part of an annual report.⁶⁷⁶ The annual report must also identify any such arrangements that ended as of the licensee’s most recent annual report and identify which arrangements are new as of the most recent report. We will treat this information as presumptively confidential. Finally, we delegate authority to OIA to request, at its discretion, submission of any arrangements subject to this rule by the licensee(s) and to evaluate them for compliance with the national security standards we adopt in this *Second Report and Order*.

167. We find that requiring this ongoing reporting of arrangements such as for IRUs and leases for capacity for those licensees that were exempted from referral is necessary to protect the U.S. government’s national security equities and to ensure that those licensees are in compliance with their obligation to prohibit their customers or any further downstream customers from entering into a new or extension of an existing arrangement, such as for IRUs or leases for capacity on the submarine cable, where such arrangement would give an entity that is “owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary,” as defined in section 1.70001(g),⁶⁷⁷ the ability to install, own, or manage SLTE on the submarine cable.⁶⁷⁸ To the extent an applicant is exempted from referral to the Executive Branch agencies, the U.S. government must have continuous awareness of a submarine cable system’s operations and customers to help guard against national security-related risks arising from

⁶⁷⁰ 2025 Submarine Cable First Report and Order and FNPRM, 40 FCC Rcd at 6614, para. 296.

⁶⁷¹ *Id.* Submarine Cable Coalition expresses general support for our proposals on this topic, but did not address this specific proposal. Submarine Cable Coalition Comments at 14.

⁶⁷² CTIA Comments at 5.

⁶⁷³ NASCA Comments at 25; Microsoft Comments at 18-19; *see infra* section III.C.3.

⁶⁷⁴ 47 CFR § 1.70001(g).

⁶⁷⁵ 2025 Submarine Cable First Report and Order and FNPRM, 40 FCC Rcd at 6614, para. 296.

⁶⁷⁶ *See infra* Appx. A (§ 1.70007(ii)(10)(iii)).

⁶⁷⁷ 47 CFR § 1.70001(g).

⁶⁷⁸ *See supra* section III.A.3.a.iv.

those operations and customer relationships. This ongoing reporting requirement will preserve the U.S. government’s oversight while allowing expedited processing of applications. We also do not anticipate this requirement will be burdensome or costly as licensees likely enter into and maintain such arrangements in the ordinary course of business. Additionally, applicants may of course opt to avoid this voluntary certification and choose to navigate the standard review process with the Committee, although we note that the Committee has recently required similar filings.⁶⁷⁹

(vi) No Interconnection with Foreign Adversary Cables

168. As proposed in the *2025 Submarine Cable Further Notice*, we require that, to presumptively qualify for exemption from referral, an applicant must certify in the application, and if the license is granted, the licensee must ensure that the submarine cable system will not connect directly or via a branching unit with a submarine cable: (1) that is owned or operated by an entity that is “owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary,” as defined in section 1.70001(g),⁶⁸⁰ or (2) that lands in a foreign adversary country, as defined in section 1.70001(f).⁶⁸¹ The Submarine Cable Coalition supports this national security standard, provided the Commission defines “direct” connections as “interconnections that occur within the boundaries of the cable itself as currently defined under current Commission rules,” and excludes “indirect” connections, “such as those at foreign data centers, which are beyond the SLTE.”⁶⁸² No commenter opposed this proposal.

169. We clarify that the national security standard we adopt pertains to interconnection that occurs with a submarine cable system—which includes SLTE—but does not go beyond the SLTE in the terrestrial network. We also clarify that interconnection with a submarine cable subject to this national security standard encompasses physical interconnection at a cable landing station. Overall, we find that adoption of this national security standard is important for protecting the security and integrity of this critical infrastructure and to justify exemption of an application from referral to the Executive Branch agencies.

(vii) Adherence to Enhanced Cybersecurity and Physical Security Standards

170. We require that, to presumptively qualify for exemption from referral, an applicant must certify in the application, and if the license is granted, the licensee must ensure that it has created and will implement and update an enhanced cybersecurity and physical security plan, as proposed in the *2025 Submarine Cable Further Notice*.⁶⁸³ Specifically, an applicant seeking exemption from referral to the Executive Branch agencies must affirm, as part of the cybersecurity and physical security risk management certification required under sections 1.70005(m) and 1.70006(c),⁶⁸⁴ that such plan is structured in accordance with the National Institute of Standards and Technology (NIST) Cybersecurity Framework (CSF) (NIST CSF),⁶⁸⁵ and meets a set of established cybersecurity best practices, such as the standards and controls set forth in the Cybersecurity and Infrastructure Security Agency’s (CISA) Cybersecurity Cross-Sector Performance Goals and Objectives (CISA CPGs), or the Center for Internet

⁶⁷⁹ We note, for example, that recent mitigation agreements require the licensee to file copies of certain contracts with the compliance monitoring agencies. See, e.g., Anjana Operational STA NSA at 19 (Article 6.1(b)).

⁶⁸⁰ 47 CFR § 1.70001(g); *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6614, para. 297.

⁶⁸¹ 47 CFR § 1.70001(f); *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6614, para. 297.

⁶⁸² Submarine Cable Coalition Comments at 15-16.

⁶⁸³ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6612-13, paras. 291-92.

⁶⁸⁴ *Id.* at 6640-42, Appx. A (§§ 1.70005(m), 1.70006(c)).

⁶⁸⁵ NIST, *NIST Cybersecurity Framework 2.0* (Feb. 26, 2024), <https://nvlpubs.nist.gov/nistpubs/CSWP/NIST.CSWP.29.pdf>.

Security's Critical Security Controls (CIS Controls).⁶⁸⁶ In the *2025 Submarine Cable First Report and Order*, we did not require applicants and licensees to follow any particular framework in creating their plans, but found that a plan would presumptively satisfy our requirements if the plan is structured according to the NIST CSF and incorporates best practices such as the standards and controls set forth in the CISA CPGs or the CIS Controls.⁶⁸⁷ We now make this enhanced standard mandatory for applicants that seek exemption from referral. The standard we adopt today incorporates features of recent NSAs with the Committee that concern submarine cables.⁶⁸⁸

171. *Enhanced Cybersecurity and Physical Security Standards.* The enhanced cybersecurity and physical security rules provide administrable, widely accepted criteria to help distinguish applications suitable for streamlined processing from those that warrant scrutiny from the Executive Branch agencies, without sacrificing the flexibility of our approach to cybersecurity in the *2025 Submarine Cable First Report and Order*. The NIST CSF is designed to be adaptable to companies' needs and scale, and industry is familiar with the CSF's Core Functions.⁶⁸⁹ With respect to cybersecurity best practices, CISA's CPGs are "applicable to all sectors," including the communications sector.⁶⁹⁰ The CIS Controls provide "a blueprint for network operators to improve cybersecurity by identifying specific actions to be done in priority order based on the current state of the global cybersecurity threat."⁶⁹¹ We do not require the use of either of these sets of best practices, but instead allow applicants the flexibility to implement any established set of best practices, based on individual applicants' needs and circumstances, so long as they address each of the Core Functions of the NIST CSF, as the CISA CPGs and the CIS Controls do. As the Executive Branch agencies explained in their reply comments for the *2024 Submarine Cable NPRM*, the CISA CPGs and CIS Controls represent a "baseline" of cybersecurity measures "that all licensees can and should surpass."⁶⁹²

172. Several commenters support these enhanced cybersecurity requirements for applicants seeking exemption from referral to the Executive Branch agencies. The Submarine Cable Coalition supports enhanced cybersecurity standards as a qualifying criterion and recommends that the Commission identify a set of "widely recognized" standards and best practices "set by a qualified standards setting body, such as the National Institute of Standards & Technology (NIST) or the Cybersecurity and Infrastructure Security Agency (CISA)."⁶⁹³ The Center for Internet Security urges reliance on the CIS Controls "as a potential means of meeting this presumptive [standard] requirement," but does not suggest that other best practices could not also suffice.⁶⁹⁴ While some commenters oppose stricter cybersecurity

⁶⁸⁶ See CISA, *Cross-Sector Cybersecurity Performance Goals*, <https://www.cisa.gov/cross-sector-cybersecurity-performance-goals> (last visited June 17, 2026); Center for Internet Security, *Critical Security Controls Version 8* (*Critical Security Controls Version 8*), <https://www.cisecurity.org/controls> (last visited June 17, 2026).

⁶⁸⁷ *2025 Submarine Cable First Report and Order and FNRPM*, 40 FCC Rcd at 6542, para. 108.

⁶⁸⁸ See, e.g., Anjana Operational STA NSA at 14-16 (Article 5).

⁶⁸⁹ See, e.g., Letter from Amy Bender, Vice President Regulatory Affairs, CTIA, to Marlene Dortch, Secretary, FCC, PS Docket Nos. 22-329 et al., at 2 (Mar. 22, 2024) ("[T]he CSF is the best vehicle through which to facilitate robust cybersecurity programs: . . . It includes informative references to a range of 'standards, guidelines, and practices' to achieve the outcomes laid out in its Functions and their associated Categories and Subcategories, while recognizing that there is no one-size-fits-all approach that is appropriate for cybersecurity risk management in an area as dynamic as cybersecurity. Moreover, the CSF has international reach and understanding, which is important in an increasingly global cybersecurity environment.").

⁶⁹⁰ Christian Lowry, CISA, Section Chief of the National Risk Management Center, Alerting Security Roundtable, 1:59:54 (Oct. 30, 2023), <https://www.fcc.gov/news-events/events/2023/10/alerting-security-roundtable>.

⁶⁹¹ *Critical Security Controls Version 8*.

⁶⁹² Executive Branch Reply at 24.

⁶⁹³ Submarine Cable Coalition Comments at 13.

⁶⁹⁴ CIS Comments at 3.

requirements to presumptively qualify for exempt from referral, none offer an alternative means to ensure that applicants exempted from referral will implement a comprehensive set of accepted cybersecurity controls to protect their systems from attack. ITI also urges that “[a]ny cybersecurity obligations should be aligned with and deferential to existing federal frameworks.”⁶⁹⁵ The NIST CSF is a widely accepted framework created by a federal agency and broadly used by critical infrastructure entities, including many communications service providers, to analyze and respond to cybersecurity risk.

173. Other commenters raise concerns that were previously addressed as part of the *2025 Submarine Cable First Report and Order*. For instance, CTIA calls on the Commission to avoid imposing “a more prescriptive set of requirements for a known and trusted applicant or licensee to use the fast-track procedure” and “[i]nstead . . . maintain its harmonization with the 5G Fund Order and other federal approaches to cybersecurity.”⁶⁹⁶ But as discussed in the *2025 Submarine Cable First Report and Order*,⁶⁹⁷ requiring applicants to structure their plans in accordance with the NIST CSF and to adhere to an established set of best practices is consistent with the Commission’s approach for Universal Service Funds (USF) recipients. Our rules require 5G Fund recipients to create operational cybersecurity and supply chain risk management plans that “must reflect” the NIST CSF as well as “established cybersecurity best practices that address each of the Core Functions described in the NIST CSF, such as the standards and controls set forth in” the CISA CPGs or the CIS Controls.⁶⁹⁸ The Commission’s rules governing the receipt of USF through the Connect America Fund, Alaska Connect Fund, and Enhanced ACAM programs contain similar requirements.⁶⁹⁹ Similarly, the ICC asserts that “the responsibility of subsea cable operators should be limited to ensuring the resiliency of the subsea cables’ physical infrastructure.”⁷⁰⁰ As we explained in detail in the *2025 Report and Order*, submarine cable systems face a serious risk of logical intrusion that could result in the exfiltration of sensitive data by malicious actors.⁷⁰¹ We again reject the ICC’s narrow view of the threats to these critical communication systems.

174. *Review of Cybersecurity and Physical Security Risk Management Plans.* Licensees that were exempted from referral must still comply, upon the grant of a license, with both the enhanced requirements adopted herein and the other routine conditions regarding the cybersecurity and physical security risk management plan.⁷⁰² At the time of filing the application, the applicant shall submit the plan to the Commission and to the Committee Members. We will treat these cybersecurity and physical security risk management plans as presumptively confidential.

⁶⁹⁵ ITI Comments at 3. *See also* ICC Comments at 8 (“If the Commission does choose to impose enhanced cybersecurity standards on subsea cable operators or owners as a condition of fast track eligibility, it should ensure that any cybersecurity, supply chain, and sensitive data requirements that the Commission requires do not conflict with other agencies’ directives and account for the unique nature of subsea cable infrastructure.”).

⁶⁹⁶ CTIA Comments at 9.

⁶⁹⁷ *2025 Submarine Cable First Report and Order and FNRPM*, 40 FCC Rcd at 6543, para. 110.

⁶⁹⁸ 47 CFR § 54.1022(a), (d).

⁶⁹⁹ *See Connect America Fund: A National Broadband Plan for Our Future High-Cost Universal Service Support; ETC Annual Reports and Certifications; Telecommunications Carriers Eligible to Receive Universal Service Support; Connect America Fund – Alaska Plan; Expanding Broadband Service Through the ACAM Program*, WC Docket Nos. 10-90, 14-58, 09-197, and 16-271, and RM-11868, Report and Order, Notice of Proposed Rulemaking, and Notice of Inquiry, 38 FCC Rcd 7040, 7086-88, paras. 109-14 (2023); *Connect America Fund; Alaska Connect Fund; Connect America Fund—Alaska Plan; Universal Service Reform—Mobility Fund; ETC Annual Reports and Certifications; Telecommunications Carriers Eligible to Receive Universal Service Support*, WC Docket Nos. 10-90, 23-328, 16-271, 10-208, 14-58, 09-197, Report and Order and Further Notice of Proposed Rulemaking, 39 FCC Rcd 12099, 12175-79, paras. 181-87 (2024).

⁷⁰⁰ ICC Comments at 8.

⁷⁰¹ *2025 Submarine Cable Report and Order and FNRPM*, 40 FCC Rcd at 6544-45, para. 113.

⁷⁰² *See id.* at 6642-43, Appx. A (§ 1.70007(q)).

175. As explained above, we reject NCTA’s argument that requiring submission of cybersecurity and physical security risk management plans to the Commission, “even confidentially,” would undermine national security by exposing sensitive information.⁷⁰³

(viii) Adherence to Incident Reporting Requirement

176. In the *2025 Submarine Cable FNPRM*, the Commission sought comment on whether an applicant should be required to “certify that it will report certain incidents or breaches to the Commission, such as cyberattacks, unauthorized access, or service disruptions,” to presumptively qualify for exemption from referral to the Executive Branch agencies.⁷⁰⁴ The Commission noted that common types of mitigation agreements reached with the Committee, such as NSAs, “often contain requirements around incident and breach reporting.”⁷⁰⁵ We also sought comment on how we should define reportable incidents, the deadline for reporting, and the national security benefits that may “outweigh any burden to licensees of providing these reports.”⁷⁰⁶ Today, we adopt the proposed incident reporting certification requirements for applicants seeking exemption from referral, and adopt compliance with the incident reporting requirements as a condition of the license, if the license is granted after exemption from referral.

177. *Incident reporting requirement.* Specifically, applicants seeking exemption from referral must certify in the application, and if the license is granted, the licensee must ensure that they will report to the Commission and to the Committee Members in writing within seventy-two (72) hours if they learn of information that reasonably indicates unauthorized access to, or disruption or corruption of, a submarine cable system, its management servers, or any service, communications, or information being carried on a submarine cable system, or a significant attempt to gain unauthorized access to such system, service, communications, or information. This includes unauthorized access to, or disruption or corruption of, third-party service providers’⁷⁰⁷ systems, SLTE owners’ or operators’ systems, or IRU holders’ systems that could reasonably be expected to harm the physical or logical security of the licensee’s submarine cable system. Reportable incidents include, but are not limited to, unauthorized physical or logical access to cable facilities, including but not limited to, the cable landing station space or any NOC; unauthorized access to or disclosure of network management information; cable cuts; data compromise; or unauthorized system modification. In addition, applicants must certify that they will submit to the Commission and to the Committee Members, within fifteen (15) days of learning of the incident, a detailed written report describing in greater depth the incident identified in the initial report and their steps to remediate that incident. Finally, applicants must certify that they will submit updates to the Commission and the Committee Members, as requested by the Commission, and continue providing supplementary information until the Commission’s evaluation is complete. These requirements align closely with current NSAs and letters of agreement (LOAs) with which many existing licensees must comply as a condition of their cable landing license.⁷⁰⁸ In our assessment, only such prompt and detailed

⁷⁰³ See *supra* section III.A.1.b.ii; NCTA Comments at 7-9.

⁷⁰⁴ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6615, para. 300.

⁷⁰⁵ *Id.*

⁷⁰⁶ *Id.*

⁷⁰⁷ See 47 CFR § 1.70001(d) (defining “third-party service provider” as “an entity that is involved in providing, hosting, analyzing, repairing, and maintaining the equipment of a submarine cable system, including third-party owners and operators of network operations centers (NOCs)”). Cf. *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6547-48, para. 123 (explaining that applicants and licensees are responsible for the acts, omissions, or failures of third parties with whom the applicant or licensee has a contractual relationship, or whose acts or omissions the applicant or licensee otherwise has the ability to control, that impact the cybersecurity of the applicant’s or licensee’s systems and services).

⁷⁰⁸ See e.g., Bulikula NSA; GU Holdings, Inc., and Google LLC, National Security Agreement with the U.S. Department of Justice, U.S. Department of Homeland Security, and U.S. Department of Defense at 16-18 (Dec. 14, 2021) (on file in File No. SCL-LIC-20200827-00038) (PLCN NSA); Bifrost NSA at 17-19; Letter of Agreement

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incident reporting will ensure that the Commission and its federal partner agencies maintain situational awareness of critical national security threats to those submarine cables not subject to the Committee's review and oversight through some form of mitigation agreement.

178. *Definitions.* For purposes of this national security standard, we define “unauthorized” to mean “in a manner without permission or that exceeds authorization.”⁷⁰⁹ We further define “access” to mean “to, or the right or ability to, enter a location or physical space; or physically or logically undertake any of the following actions with respect to the submarine cable system: (1) read, divert, or otherwise obtain non-public information or technology from or about software, hardware, a system, or a network; (2) add, edit, or alter information or technology stored on or by software, hardware, a system, or a network; and (3) alter the physical or logical state of software, hardware, a system, or a network (e.g., turning it on or off, changing configuration, removing or adding components or connections).” These definitions are borrowed verbatim from recent NSAs⁷¹⁰ and are consistent with generally accepted definitions of those terms used by authoritative sources.⁷¹¹

179. *Submission of reports.* We delegate authority to PSHSB to determine how licensees that were exempted from referral to the Executive Branch agencies will submit the required incident reports, including the reporting submission and review platform and the required reporting fields, and to seek comment and adopt rules relating to such reporting for the purpose of implementing the Commission's requirement.

180. We agree with NASCA that incident reporting should be harmonized with the Executive Branch agencies' mitigation agreements, and the approach we adopt today aligns our requirements with those mitigation agreements. However, we decline to adopt NASCA's suggestion to expressly exclude non-service affecting shunt faults from incident reporting.⁷¹² Shunt faults may be indicative of accidental,

from Juli Bran, Chief Executive Officer for Trans Americas Fiber US, LLC, Trans Americas Fiber (BVI), Limited, and Trans Americas Fiber System Limited, to the Under Secretary for Strategy, Policy and Plans Office of Strategy, Policy, and Plans, U.S. Department of Homeland Security; Chief, Foreign Investment Review Section (FIRS), Deputy Chief, Compliance and Enforcement (FIRS), on behalf of the Assistant Attorney General for National Security, U.S. Department of Justice; National Security Division and Office of Foreign Investment Review, Director Under Secretary of Acquisition and Sustainment, U.S. Department of Defense at 20-21 (Mar. 26, 2024) (on file in File No. SCL-LIC-20240605-00023) (TAM-1 LOA); Letter of Agreement from Francisco Villacreses, President of Telconet Submarine Networks, S.A. (Telcosub), Marion Tomislave Topic, Gerente General (CEO), Telconet S.A., to the Under Secretary for Strategy, Policy and Plans Office of Strategy, Policy, and Plans, U.S. Department of Homeland Security; Chief, Foreign Investment Review Section (FIRS), Deputy Chief, Compliance and Enforcement (FIRS), on behalf of the Assistant Attorney General for National Security, U.S. Department of Justice, National Security Division, Director, Office of Foreign Investment Review; Under Secretary of Acquisition and Sustainment, U.S. Department of Defense at 12-13 (May 22, 2024) (on file in File No. SCL-LIC-20230921-00026) (Telcosub LOA).

⁷⁰⁹ See *infra* Appx. A (§§ 1.40001(b)(8)(iv), 1.70007(ii)(7)(v)).

⁷¹⁰ See *infra* Appx. A (§ 1.70001(i)); see, e.g., Bulikula NSA at 4; Bifrost NSA at 17-19; TAM-1 LOA at 20-21; Telcosub LOA at 12-13.

⁷¹¹ See, e.g., NIST, *NIST SP 800-82r3*, at 168 (2023), <https://nvlpubs.nist.gov/nistpubs/SpecialPublications/NIST.SP.800-82r3.pdf> (defining “unauthorized access” as when “[a] person gains logical or physical access without permission to a network, system, application, data, or other resource”); NIST, *unauthorized access*, Glossary, https://csrc.nist.gov/glossary/term/unauthorized_access (defining “unauthorized access” as “[a]ny access that violates the stated security policy” or when “[a] person gains logical or physical access without permission to a network, system, application, data, or other resource”); Merriam-Webster, *unauthorized*, <https://www.merriam-webster.com/dictionary/unauthorized> (last visited June 17, 2026) (defining “unauthorized as “not authorized” or “without authority or permission”).

⁷¹² NASCA Comments at 30. A shunt fault is a type of cable damage “caused by a short circuit when the submarine cable, whose insulation was damaged, [comes] into contact with the sea water.” In these cases, unsevered cables

(continued....)

deliberate human-induced adverse actions or natural disasters, either of which may presage additional and more severe incidents.⁷¹³ Moreover, the risk that the power feed equipment may not be able to increase a supplied current to overcome the impact of the shunt, thus potentially negatively affecting repeater and amplifier operation, or that of other submarine cable equipment that it supplies, requires that shunt faults be addressed promptly, even if the shunt has not yet resulted in impact to data transmission.⁷¹⁴ Finally, shunt faults will need repair, which may be constrained by challenges of locating the fault, the availability of repair ships, and potential geopolitical concerns.⁷¹⁵ Thus, we decline to exclude incidents that concern non-service affecting shunt faults from the incident reporting requirements we impose today. We did not receive any other comments on these proposals.

(ix) Adopt Heightened Physical and Logical Security Controls

181. To presumptively qualify for exemption from referral, we require that an applicant must certify in the application, and if the license is granted, the licensee must comply with a routine condition to implement heightened physical and logical security controls.⁷¹⁶ In the *2025 Submarine Cable Further Notice*, we proposed that, to presumptively qualify for exemption from referral, an applicant must certify that it will meet appropriate physical security standards, such as taking all practicable measures to physically secure the submarine cable system.⁷¹⁷ We also proposed that, in order to qualify for exclusion from referral, applicants must certify they will ensure that individuals who have access to the submarine cable system will be screened in accordance with the applicant's security policies. In addition, we proposed that the applicant must certify that it will exclude any company personnel, including contractors, that are citizens of a foreign adversary country, as defined in section 1.70001(f),⁷¹⁸ from physical or logical access to the submarine cable system.⁷¹⁹ Moreover, we sought comment on whether to require an applicant to certify to other measures that are common features in submarine cable related national security agreements with the Committee.⁷²⁰ The record reflects broad support for the security measures, and no commenter opposes the inclusion of physical security certifications as a requirement to be presumptively exempt from referral.⁷²¹

182. We adopt the following measures for the heightened physical and logical security controls based on our proposals in the *2025 Submarine Cable Further Notice*, including certification

may still be “operational with limited capacity.” Edmond W. W. Chan et al., *Non-Cooperative Diagnosis of Submarine Cable Faults* at 3 (2011), https://cseweb.ucsd.edu/~schulman/class/cse291_f21/docs/undersea-faults.pdf.

⁷¹³ See Stephen Drew, *Causes of Cable Faults and Repairs in Regional Seas* at 2, https://cil.nus.edu.sg/wp-content/uploads/2009/10/Causes_of_Cable_Faults_and_Repairs_in_Regional_Seas.pdf (last visited June 17, 2026).

⁷¹⁴ Rudolph Muller, *Shunt Faults on Seacom and WACS* (Mar. 13, 2020), <https://subtelforum.com/shunt-faults-on-seacom-and-wacs/>.

⁷¹⁵ Wolfgang Rain, *Problems Faced By Industry in the Repair of Damaged Submarine Telecommunications Cables Inside Maritime Jurisdictional Claims* at 1 (2009), <https://cil.nus.edu.sg/wp-content/uploads/2009/10/Wolfgang-Rain-Session-3.pdf>; Luke James, *Multiple Undersea Cable Cuts in the Red Sea, Hampering Internet Performance — International Cables Connecting Europe, Asia, and the Middle East Are Compromised*, Tom's Hardware (Sept. 7, 2025), <https://www.tomshardware.com/tech-industry/red-sea-cable-cut-takes-azure-routes-down>.

⁷¹⁶ See *infra* Appx. A (§§ 1.40001(b)(9) (certification for applicants)); 1.70007(ii)(8) (routine condition for licensees exempted from referral pursuant to § 1.40001(b)).

⁷¹⁷ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6612-13, 6615, paras. 292, 300.

⁷¹⁸ 47 CFR § 1.70001(f).

⁷¹⁹ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6615, para. 300.

⁷²⁰ *Id.*

⁷²¹ See NASCA Comments at 24; Submarine Cable Coalition Comments at 13. See also Microsoft Comments at 18 (agreeing with security qualifications but urging Commission to make sure they are “genuinely necessary to identify applicants that warrant Team Telecom review.”).

requirements for an applicant seeking exemption from referral and a routine condition for the licensee.⁷²² The applicant must certify, and if the license is granted, the licensee must ensure that it will:

- (1) meet appropriate physical security standards consistent with the Commission's rules,⁷²³ such as taking all practicable measures to physically secure the submarine cable system, including the cable landing station(s), NOC(s),⁷²⁴ beach manholes and related sites, principal equipment,⁷²⁵ and SLTEs;
- (2) not provide any individual or entity that is "owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary," as defined in section 1.70001(g),⁷²⁶ and/or an entity that is identified on the Covered List⁷²⁷ with physical and/or logical access to the submarine cable system, including but not limited to the cable landing station(s), NOC(s), beach manholes and related sites, principal equipment, and SLTEs;
- (3) not provide any individual or entity that is "owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary," as defined in section 1.70001(g),⁷²⁸ and/or an entity that is identified on the Covered List⁷²⁹ with access to sensitive U.S. records⁷³⁰ and domestic communications;⁷³¹
- (4) not provide any individual or entity located in a foreign adversary country, as defined in section 1.70001(f),⁷³² with physical or logical access to the submarine cable system, sensitive U.S. records, or domestic communications;
- (5) adopt personnel screening and vetting measures for individuals whose position could involve securing principal equipment, and/or physical and/or logical access to the submarine cable system (including but not limited to the cable landing station(s), NOC(s), beach manholes and

⁷²² 2025 Submarine Cable Report and Order and FNRPM, 40 FCC Rcd at 6608-16, paras. 283-301.

⁷²³ See *infra* Appx. A (§§ 1.40001(b)(9), 1.70007(ii)(8)).

⁷²⁴ For purposes of section 1.40001, the term "Network Operations Center" or "NOC" is defined consistent with section 1.70001(n). See *infra* Appx. A (§ 1.70001(n)).

⁷²⁵ For purposes of section 1.40001, the term "principal equipment" is defined consistent with section 1.70001(m). See *infra* Appx. A (§ 1.70001(m)).

⁷²⁶ 47 CFR § 1.70001(g).

⁷²⁷ *List of Covered Equipment and Services*.

⁷²⁸ 47 CFR § 1.70001(g).

⁷²⁹ *List of Covered Equipment and Services*.

⁷³⁰ We adopt a definition of "sensitive U.S. records" adapted from recent mitigation agreements: "an applicant's end-user billing records, Subscriber Information, personally identifiable information (PII), Sensitive Personal Data as described in 31 CFR § 800.241, internet protocol detail record (IPDRs), and information subject to disclosure to a U.S. federal or state governmental entity under the procedures set forth in 18 U.S.C. 2703(c)-(d) and 18 U.S.C. 2709, each as with respect to the submarine cable system." See *infra* Appx. A (§ 1.70001(o)); see, e.g., Anjana Operational STA NSA at 6; Bulikula NSA at 6.

⁷³¹ We adopt a definition of "domestic communications" that mirrors recent mitigation agreements: "(1) Wire Communications, as described in 18 U.S.C. 2510(1), or Electronic Communications (whether stored or not), as described in 18 U.S.C. 2510(12), from one U.S. location to another U.S. location, and (2) the U.S. portion of a Wire Communication or Electronic Communication (whether stored or not) that originates or terminates in the United States or its territories." See *infra* Appx. A (§ 1.70001(j)); see, e.g., Anjana Operational STA NSA at 4; Bulikula NSA at 4.

⁷³² 47 CFR § 1.70001(f).

- related sites, principal equipment, and SLTEs), sensitive U.S. records, and/or domestic communications;
- (6) adopt a written policy that will include, at a minimum, background investigations, public criminal records checks, or other analogous means to ascertain an individual's trustworthiness, subject to applicable law, conducted at least every five (5) years;
 - (7) ensure adherence to these requirements;
 - (8) report to the Commission and Committee Members the identities of all foreign individuals with physical and/or logical access to the submarine cable system (including but not limited to the cable landing station(s), NOC(s), beach manholes and related sites, principal equipment, and SLTEs), sensitive U.S. records, and/or domestic communications, or who secure principal equipment, within thirty (30) days of the submarine cable commencing service; and report any changes on a quarterly basis, including identifying new personnel with access and personnel who no longer have access.
 - (9) provide the Commission and the Committee Members, annually in the report described in section 1.40001(b)(10)(ii), with the submission of the names and information on: security officers, foreign participation, security policies, owners and officers, operational requirements, locations of access, principal equipment, third-party service providers,⁷³³ foreign persons or entities with access, SLTE owners and controllers, as well as any such information requested by the Commission and/or the Committee Member from the SLTE owners and operators. Authority is delegated to the Office of International Affairs, in coordination with the Public Safety and Homeland Security Bureau and the Committee Members as needed, to determine the information to be submitted and provide further guidance;
 - (10) provide advance notification of thirty (30) days to the Commission and the Committee Members and obtain the majority of the Committee Members' non-objection in writing prior to the testing, adding, or use of any sensing capability (such as distributed acoustic, thermal, seismic, or other sensing) on the submarine cable system by any person (e.g., licensee, other third party, service provider, principal equipment provider).⁷³⁴
 - (11) provide updates to its submarine cable system information to the Commission and the Committee Members annually and within thirty (30) days of the change, to include but not be limited to: (1) a network and fiber map or diagram that includes physical and logical topology, including any terrestrial backhaul from the cable landing stations to the SLTE

⁷³³ 47 CFR § 1.70001(d).

⁷³⁴ Activities requiring advanced notice include, but are not limited to: (1) The physical installation of specialized sensing hardware (e.g., Distributed Acoustic Sensing (DAS) or Distributed Temperature or Thermal Sensing (DTS) interrogators) at cable landing stations or specific cable segments, and wavelengths (if utilizing in-band Dense Wavelength Division Multiplexing (DWDM) sensing); (2) The activation or testing of integrated sensing capabilities within DWDM or Reconfigurable Optical Add-Drop Multiplexer (ROADM) systems, including State of Polarization (SOP) monitoring intended for environmental or security surveillance; (3) The deployment of inline sensors, including Scientific Monitoring and Reliable Telecommunications (SMART) repeaters; (4) Software or firmware upgrades that materially alter or expand the data collection capabilities of existing sensing equipment. The advanced notice submitted by the entity or person must include, at a minimum, the following information: (1) The specific type of sensing technology being deployed or tested (e.g., DAS, DTS, Distributed Strain Sensing (DSS), SOP, SMART), including the make and model of primary hardware (e.g., interrogator units); (2) The primary purpose of the sensing activity (e.g., cable health monitoring, seismic research, vessel tracking, third-party commercial "Sensing as a Service"); (3) The specific cable segments, landing stations, and wavelengths (if utilizing in-band DWDM sensing) involved in the operation; (4) A description of the physical phenomena being measured (e.g., acoustic vibrations, temperature, strain, polarization changes) and the expected resolution or sensitivity of the data; and (5) Whether the activity is a temporary test (including start and end dates) or a permanent integration into the network architecture.

locations or other facilities housing principal equipment of the submarine cable; (2) network and telecommunications architecture descriptions and associated descriptions of interconnection points and controlled gateways to the principal equipment; and (3) descriptions of interfaces and connections to the submarine cable system for service offload, disaster recovery, or administrative functions.

183. We believe these heightened physical and logical security controls protect submarine cable systems from national security threats and vulnerabilities. As suggested by NASCA and Microsoft, we sufficiently tailor them to ensure that an application does not warrant referral to the Executive Branch agencies.⁷³⁵ CTIA expresses concern about use of the “Covered List” as a category in these proposals, calling its use “beyond [the Covered List’s] Congressionally-directed scope.”⁷³⁶ We reject CTIA’s argument. The Covered List reflects determinations made by Congress and designated federal agencies with national security expertise that certain equipment or services produced or by provided by certain entities pose an unacceptable risk to national security.⁷³⁷ In light of these determinations and the national security concerns, we conclude that entities identified on the Covered List should not have access to the critical parts of the submarine cable system.⁷³⁸ We emphasize that this certification requirement aims to screen which applications can be safely exempted from referral to the Executive Branch agencies, and in doing so, institute features of recent mitigation agreements as a condition in the applicable rules. Incorporating important features of mitigation agreements as certification requirements enables the Commission to identify which applications would pose sufficiently low risk to national security to justify exemption from referral to the Executive Branch agencies.⁷³⁹ Importantly, we recognize that sensing technology on submarine cables is an emerging technology and a potential vulnerability for submarine cable systems and therefore include a requirement for the licensee to provide advance notice to the Commission and the Committee.⁷⁴⁰ Accordingly, we find that this national security standard will protect national security and further ensure that individuals and entities that present heightened national security concerns do not have access to Commission-licensed submarine cables.

184. Additionally, we require an applicant to certify whether it submitted Submarine Cable System Network information to the Committee to the extent it is required to respond to the Standard Questions for the instant application⁷⁴¹ and to provide this information to the Commission as part of its

⁷³⁵ NASCA Comments at 24; Microsoft Comments at 18.

⁷³⁶ CTIA Comments at 10.

⁷³⁷ *List of Covered Equipment and Services*.

⁷³⁸ This is consistent with actions taken in the Commission’s equipment authorization program as well as the Commission’s U.S. Cyber Trust Mark program. FCC, *U.S. Cyber Trust Mark*, <https://www.fcc.gov/CyberTrustMark> (last updated Apr. 14, 2026); *see generally Protecting Against National Security Threats to the Communications Supply Chain through the Equipment Authorization Program; Protecting Against National Security Threats to the Communications Supply Chain through the Competitive Bidding Program*, ET Docket No. 21-232 and EA Docket 21-233, Report and Order, Order, and Further Notice of Proposed Rulemaking, 37 FCC Rcd 13493 (2022).

⁷³⁹ Insider threats from personnel are a known threat vector for submarine cable systems, potentially leading to disruption and/or espionage. *See* Press Release, DOJ, *Florida Telecommunications and Information Technology Worker Sentenced for Conspiring to Act as Agent of the Chinese Government* (Nov. 25, 2024) <https://www.justice.gov/archives/opa/pr/florida-telecommunications-and-information-technology-worker-sentenced-conspiring-act-agent>; Press Release, DOJ, *Former Google Engineer Found Guilty of Economic Espionage and Theft of Confidential AI Technology* (Jan. 30, 2026) <https://www.justice.gov/opa/pr/former-google-engineer-found-guilty-economic-espionage-and-theft-confidential-ai-technology>.

⁷⁴⁰ *See, e.g., Protecting Internet Infrastructure with Submarine Cable Sensing* (detailing the capabilities of Distributed Acoustic Sensing (DAS) technology to use submarine cables as intelligent sensors).

⁷⁴¹ A applicant for a submarine cable application for which an individual or entity that is not a U.S. citizen holds a 10% or greater direct or indirect equity or voting interest, or a controlling interest, in the applicant, must submit

(continued....)

application.⁷⁴² We also require an applicant to certify that it will provide updates to its submarine cable system information to the Commission and the Committee Members annually and within thirty (30) days of the change. We require the licensee to provide the following information annually and within thirty (30) days of such change: (1) a network and fiber map or diagram that includes physical and logical topology, including any terrestrial backhaul from the cable landing stations to the SLTE locations or other facilities housing principal equipment of the submarine cable; (2) network and telecommunications architecture descriptions and associated descriptions of interconnection points and controlled gateways to the principal equipment; and (3) descriptions of interfaces and connections to the submarine cable system for service offload, disaster recovery, or administrative functions. We will treat this information as presumptively confidential. This information is critical for the U.S. government to have continuous awareness of the location and operations of the submarine cable system, including changes thereto, that may impact the security, integrity, and resilience of this critical communications infrastructure.⁷⁴³ We expect that licensees that are not otherwise exempted from referral and enter into mitigation agreements with the Committee would likely be required to submit similar information to the Committee as this requirement is a common feature of mitigation agreements.⁷⁴⁴ Overall, we find that this requirement is important for protecting the security and integrity of this critical infrastructure and to justify exemption of an application from referral to the Executive Branch agencies.

(x) Enforcement, Compliance, Annual Report, Third-Party Audit, and Revocation and/or Termination for Failure to Comply with National Security Standards

185. We require that, to presumptively qualify for exemption from referral, an applicant must certify in the application, and if the license is granted, the licensee must ensure that it will adhere to a routine condition that it consents to an enforcement and compliance requirement. Specifically, the applicant must certify, and if the license is granted, the licensee must ensure that it consents to reporting to, and ongoing monitoring and inspection by, the Commission and Committee Members following the grant of any license throughout the term of the cable landing license to assess its compliance with all applicable routine conditions and national security standards. We also adopt a rule that any violation of the national security standards by those licensees shall constitute grounds for an enforcement action up to and including revocation and/or termination of the cable landing license. By not referring to the

responses to the Standard Questions directly to the Committee, prior to or at the same time the applicant files its application with the Commission. 47 CFR §§ 1.767(a)(8)(i), 63.18(p).

⁷⁴² 2021 *Standard Questions Report and Order*, 36 FCC Rcd at 14922, 14935, Attach. C (Section VI: Submarine Cable System Network Overview), D (Section VI: Submarine Cable System Network Overview). The “Standard Questions for a Submarine Cable Landing License Application” and the “Standard Questions for an Application for Assignment or Transfer of Control of a Submarine Cable Landing License” require: (a) The submarine cable system network diagram/topology map showing all Cable Landing Stations, fiber termination points, Principal Equipment, Point of Presence, segments and branching units; (b) Network and telecommunications architecture descriptions and associated descriptions of interconnection points and controlled gateways to the DCI and Wet Plant; (c) Submarine cable system network operational plans, processes, and procedures; and (d) Descriptions of interfaces and connections to the submarine cable system for service offload, disaster recovery or administrative functions. *Id.*

⁷⁴³ To balance the burdens while preserving the U.S. government’s oversight, we adopt targeted information requirements that reflect information we expect many applicants already will submit to the Committee in response to the Standard Questions. Consistent with our practice, we will not require an applicant seeking an exemption to submit to the Commission all of its responses to the Standard Questions. *See Executive Branch Process Reform Report and Order*, 35 FCC Rcd at 10946-48, paras. 48-53. However, given changed circumstances and the evolving national security environment during the course of the license term, we find it necessary to require applicants seeking the exemption to provide this targeted information and certify that it will provide the Commission and the Committee with updates to the information following any grant of the license.

⁷⁴⁴ *See, e.g.*, Bulikula NSA at 8; GU Holdings Inc. and Edge Cable Holdings USA, LLC, National Security Agreement with the U.S. Department of Homeland Security, U.S. Department of Justice, and U.S. Department of Defense, at 4-5 (Dec. 2, 2021) (on file in File No. SCL-LIC-20210329-00020).

Executive Branch agencies, we reduce our ability and that of the U.S. government, to consistently monitor compliance following any grant of the license. We recognize that, in exempting an application from referral to the Executive Branch agencies, the Commission is taking a substantial step that requires trust of the licensee. Breaches of that trust, at any point in the license term, will be treated with the utmost seriousness.

186. We recognize that exempting an application from referral to the Executive Branch agencies is significant and licensees must remain in compliance for the entire term of the license. By not referring to the Executive Branch agencies, we reduce our ability, and that of the U.S. government, to consistently monitor compliance following any grant of the license. In the *2025 Submarine Cable Further Notice*, we sought comment on whether we should also require that, to presumptively qualify for exemption, an applicant must certify to other measures that are common features of NSAs with the Committee that concern submarine cables.⁷⁴⁵ We adopt these requirements—common NSA features—to preserve our oversight of such licensees and our ability to enforce the national security standards that are intended to mitigate national security, law enforcement, foreign policy, and/or trade policy concerns.

187. *Compliance Monitoring by U.S. Government Agencies.* We require that, to presumptively qualify for exemption from referral, an applicant must certify in the application and, if the licensee is granted, the licensee must adhere to a routine condition that it consents to reporting to, and ongoing monitoring and inspection by the Commission and Committee Members throughout the term of the cable landing license to assess its compliance with all applicable routine conditions and national security standards following any grant of the license.

188. *Monitoring and Inspection of Facilities and Personnel.* The Commission and/or any other relevant U.S. government agencies, including the Committee Members, shall have authority to monitor and inspect the facilities where principal equipment is located or facilities that support the operation of the submarine cable system's connections to or from the United States, including but not limited to the NOC. This includes allowing the Commission and/or the Committee Members to meet with the applicant's personnel and conduct on-site interviews and to request additional information as necessary, throughout the term of the cable landing license, to verify the implementation of and compliance with all applicable routine conditions and national security standards following any grant of the license. The Commission shall coordinate and seek to combine such inspections with Committee Members to reduce burdens on licensees. Under Executive Order 10350, the Commission may seek "such advice from any executive department or establishment of the Government as the Commission may deem necessary" prior to its grant or revocation of a cable landing license.⁷⁴⁶ We believe the assessment provided by the relevant agencies will inform the Commission's evaluation of the licensee's compliance, including whether the licensee has failed to comply with the national security standards or resolve compliance concerns and/or demonstrated lack of transparency and forthrightness with compliance monitoring by the U.S. government agencies,⁷⁴⁷ such that enforcement action including revocation and/or termination of the license is warranted.

189. *Annual Report.* We require that, to presumptively qualify for exemption from referral, an applicant must certify that it will provide an annual report to the Commission and the Committee Members, and upon request by the Commission, of its compliance with all applicable routine conditions and national security standards throughout the term of the license.

⁷⁴⁵ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6615, para. 300.

⁷⁴⁶ Executive Order 10530, sec. 5(a).

⁷⁴⁷ Additionally, we note that the Commission's rules and precedent require any holder of a Commission authorization to, among other things, make truthful and accurate statements to the Commission. 47 CFR § 1.17. If a licensee demonstrates lack of transparency and forthrightness with compliance monitoring by the Commission, such conduct may violate section 1.17 of the rules.

190. Specifically, the applicant must certify that it will submit an annual report to the Commission and the Committee Members each year on the month and day that corresponds with the date of the grant, which assesses its compliance with all applicable routine conditions and the national security standards for the prior reporting year. The report shall include updated information and identify any changes made in the reporting period to:

- (A) the names and contact information of the points of contact (POCs) and security and compliance officers;⁷⁴⁸
- (B) ownership and foreign participation information;
- (C) a list of all officers;
- (D) the locations of access for the submarine cable;
- (E) all third-party service providers, principal equipment,⁷⁴⁹ and foreign persons or entities with access;
- (F) the names and contact information of the SLTE owners and/or operators on the submarine cable, as well as any information requested by the Commission and/or the Committee Members from the SLTE owners and/or operators;
- (G) all security policies;
- (H) any operational changes and/or expansion plans for the submarine cable;
- (I) a summary of any events that occurred during the reporting period that will or reasonably could impact the effectiveness of or compliance with the national security standards; and
- (J) a certification that the licensee remains in compliance with all applicable routine conditions and national security standards or, if there were any known acts of noncompliance with the routine conditions and national security standards, a summary of such acts—whether inadvertent or intentional, with a discussion of what steps have been or will be taken to prevent such acts from occurring in the future.

191. We believe the annual report will provide the Commission and the Committee Members with a summary of all important changes regarding the submarine cable system and ensure that we have the most up-to-date information to protect the cable system. A licensee whose application was exempted from referral shall submit the annual report each year in the relevant license file number(s) in ICFS or any successor system. The licensee shall also file a copy of the annual report directly with the Committee Members.⁷⁵⁰

192. *Third-Party Audit.* We require that, to presumptively qualify for exemption from referral, an applicant must certify and adhere to a routine condition that it will adhere to a third-party audit. The Commission and/or the Committee Members may periodically and no more than biennially request a third-party audit or assessment of compliance with all applicable routine conditions and national security standards. We delegate authority to OIA, in consultation with the Committee Members, to, if it deems necessary to ensure compliance, administer audits to ensure compliance with these national security standards.

193. This includes authority to establish the qualifications and approval of third-party auditors, establishment of deadlines and submission procedures, and coordination with other U.S. government

⁷⁴⁸ See *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6643, Appx. A (§ 1.70007(s)(1)).

⁷⁴⁹ See *infra* Appx. A (§ 1.70001(m)).

⁷⁵⁰ See *infra* Appx. A (§ 1.70007(ii)(9)).

agencies as necessary. For example, a licensee may nominate a third-party auditor that will be subject to approval by OIA. OIA, in coordination with the Committee Members, will assess the qualifications and approve the auditor, if appropriate. To the extent a licensee utilizes a third-party auditor, the licensee shall fully cooperate with the third-party auditor and provide all information deemed necessary by the third-party auditor to complete the third-party audit. We note that third-party audits are a common feature of NSAs with the Committee to monitor compliance with the terms of those agreements.⁷⁵¹

194. *Security and Compliance Officer.* We require that, to presumptively qualify for exemption from referral, an applicant must identify a Security and Compliance Officer and adhere to an ongoing routine condition. The applicant, and if the license is granted, the licensee shall provide the Commission and the Committee Members with the name, title, business address, email address, and telephone number of a designated Security and Compliance Officer, who serves or will serve as the primary point of contact for license and compliance matters. This officer will be responsible for implementing and maintaining the applicant's cybersecurity and physical security risk management plans and ensuring adherence to the Commission's security and compliance requirements for the cable system. The application shall include a summary of the officer's qualifications relevant to cybersecurity, physical security, logical security, and regulatory compliance.⁷⁵² The applicant, and if the license is granted, the licensee shall notify the Commission and the Committee Members within ten (10) days of any change in the designated officer or the officer's contact information. The applicant shall agree to work, and if the license is granted, the licensee shall work with the Commission and Committee Members to resolve any national security or law enforcement concerns that the Commission or Committee may raise with respect to the Security and Compliance Officer.

195. *Violation of Routine Condition or National Security Standards.* The applicant will certify and adhere to an ongoing routine condition that it will notify the Commission and the Committee Members within seventy-two (72) hours of any violation of applicable routine conditions or national security standards, including a description of the violation and an explanation for why it occurred and a description of any steps taken to remediate the violation. Should the Commission exempt an applicant from referral to the Executive Branch agencies, it is imperative that the licensee identify any instances where there is a violation to ensure that the cable is not compromised.

196. *Enforcement Action, up to and Including Revocation and/or Termination for Violation of National Security Standards.* With respect to enforcement, a licensee's failure to comply with the national security standards or to resolve compliance concerns constitutes obstruction to the Commission's ability to conduct monitoring and inspection. A forfeiture up to the statutory maximum may be imposed pursuant to 47 U.S.C. § 503(b)(2) and section 1.80(b)(1) of the Commission's rules.⁷⁵³ To the extent that the Commission pursues an enforcement action other than revocation and/or termination proceedings, OIA will coordinate with the Enforcement Bureau. We note that the Enforcement Bureau has recently

⁷⁵¹ See, e.g., Bulikula NSA.

⁷⁵² The Security and Compliance Officer shall be a U.S. citizen who is eligible for a U.S. government security clearance at the "Secret" level or higher. The Security and Compliance Officer shall possess the appropriate senior-level corporate authority, reporting lines, independence, technical skills, and resources required to assess the cybersecurity, physical security, and logical security of submarine cable systems and to ensure compliance with the applicable Commission rules and regulations. Upon request, the applicant shall provide the Commission with the Security and Compliance Officer's PII, contact information, curriculum vitae or similar professional synopsis of the Security and Compliance Officer, and any other information requested by the Commission in a format that the Commission will identify. The Security and Compliance Officer shall have access to all records, IT networks, and personnel necessary to fulfill his or her duties.

⁷⁵³ 47 U.S.C. § 503(b)(2); 47 CFR § 1.80(b)(1).

had success coordinating with the Committee to pursue an enforcement action against a licensee that violated the terms of its NSA.⁷⁵⁴

197. A licensee's failure to comply with the national security standards or resolve compliance concerns shall constitute grounds for referral to the Committee and, potentially, for revocation and/or termination of the cable landing licensee. OIA, pursuant to its delegated authority,⁷⁵⁵ may initiate a proceeding to revoke and/or terminate the cable landing license of a licensee that fails to comply with any national security standard upon which its license is conditioned, consistent with the informal written process we adopted in the *2025 Submarine Cable First Report and Order* in cases involving revocation and/or termination of a cable landing license.⁷⁵⁶ A licensee's violation of its obligation to comply with the national security standards would call into question our ability to trust the licensee to comply with the Cable Landing License Act, our submarine cable rules, and/or national security commitments, or to otherwise protect national security interests.⁷⁵⁷ A licensee's failure to comply with any national security standard upon which its cable landing license is conditioned may also warrant termination of its license.⁷⁵⁸ Finally, we reiterate that certain material violations of terms of the national security standards, to the extent they constitute terms of a cable landing license, will result in an applicant being presumptively disqualified from obtaining any future cable landing license as set forth in section 1.70002(c).⁷⁵⁹

198. *Proposed Standards We Decline to Adopt.* We decline to adopt some of the standards that we proposed to adopt in *2025 Submarine Cable Further Notice* to presumptively exempt an application from referral to the Executive Branch agencies. We decline to adopt a proposed standard regarding submarine cable repair ships operated by foreign adversary-controlled entities,⁷⁶⁰ as we address this concern in a routine condition,⁷⁶¹ and we note multiple commenters indicated the negative impact on submarine cable repair that would result from prohibiting foreign adversary-operated cable repair ships.⁷⁶² We decline to adopt a proposed standard regarding logic-bearing hardware and software produced by persons owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary,⁷⁶³ opting instead to address these vulnerabilities in a routine condition concerning principal equipment.⁷⁶⁴ Finally, we decline to adopt our proposed requirement that an applicant seeking exemption from referral consistently demonstrate requisite character qualifications,⁷⁶⁵ as we find the issue sufficiently addressed by the character presumptive disqualifying condition in our rules.⁷⁶⁶

⁷⁵⁴ See *Marlink, Inc.*, Order, DA 25-1055 (EB Jan. 8, 2026) (enforcing a mitigation agreement via consent decree with an entity possessing international section 214 and earth station authorizations).

⁷⁵⁵ *2025 Submarine Cable First Report and Order*, 40 FCC Rcd at 6626, 6637 (§§ 0.351(a)(9), 1.70022).

⁷⁵⁶ *Id.* at 6508-16, paras. 50-58.

⁷⁵⁷ *Id.* at 6513-14, para. 55.

⁷⁵⁸ *Id.*

⁷⁵⁹ *Id.* at 6502, para. 37; 47 CFR § 1.70002(c)(1)(v).

⁷⁶⁰ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6614-15, para. 298.

⁷⁶¹ See *supra* section III.A.2.a.ii.

⁷⁶² ITI Comments at 3; ICC Comments at 15; DHS *Ex Parte* at 3; INCOMPAS Reply at 3. See *supra* section III.A.2.a.ii for discussion of the issue.

⁷⁶³ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6613, para. 293.

⁷⁶⁴ See *supra* section III.A.2.a.i.

⁷⁶⁵ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6611, para. 290.

⁷⁶⁶ *Id.* at 6501-02, para. 36; 47 CFR 1.70002(c).

b. Applications that are Excluded from Referral to the Executive Branch for Renewals or Extensions Reviewed Within the Previous Three Years

199. In addition to adopting a rule for presumptively exempting certain applications from referral, as described above,⁷⁶⁷ we adopt a rule to exclude from referral to the Executive Branch agencies an application to renew or extend a cable landing license where: (1) the applicant(s) is a cable landing licensee of the submarine cable system for which the renewal or extension application is filed; (2) the applicant(s) previously filed an application involving the same submarine cable system that the Commission referred to, and the Executive Branch agencies reviewed, within three years of the filing of the renewal or extension application; (3) there is a mitigation agreement on which the cable landing license is conditioned, and the applicant(s) certifies that it is in compliance with and will continue to comply with the terms of the mitigation agreement; (4) there are no new individuals or entities that hold 10% or greater direct or indirect equity and/or voting interests, or a controlling interest, in any applicant(s) since that prior review by the Executive Branch agencies; and (5) the applicant(s) is not owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, as defined in section 1.70001(g), and certifies that it is not subject to the presumptive disqualifying conditions in our rules.⁷⁶⁸ In the *2025 Submarine Cable Further Notice*, we sought comment on whether an application should qualify for exclusion from referral to the Executive Branch agencies if a prior submarine cable application filed by the applicant was recently cleared by the Executive Branch agencies, including the Committee, and granted by the Commission.⁷⁶⁹ We also sought comment on whether a timeframe of 18 months following any clearance by the Executive Branch agencies of such prior application sufficiently accounts for changed circumstances and an evolving national security and law enforcement environment.⁷⁷⁰ We also sought comment on considering whether the applicant and/or its existing submarine cable system have no reportable foreign ownership, or no new reportable foreign ownership, as of the Executive Branch agencies' most recent review.⁷⁷¹

200. In response to the *2024 Submarine Cable Further Notice*⁷⁷² and the *2025 Submarine Cable Further Notice*, commenters support expediting review for applicants whose prior applications were approved, and propose a streamlined process for a "frequent filer." NASCA, CTIA, ICC, and the Submarine Cable Coalition support this approach.⁷⁷³ NTIA supports a tailored approach to exclude from referral to the Committee recurring applicants that were recently cable landing licensees.⁷⁷⁴ NASCA

⁷⁶⁷ See *supra* section III.A.3.a.

⁷⁶⁸ 47 CFR §§ 1.70002(c), 1.70004(a)-(b). In the *Foreign Ownership Report and Order*, we rejected a proposal for an analogous fast-track processing for a petition for section 310(b) declaratory that would only subject new foreign investor information to review in the section 310(b) context. *Review of Foreign Ownership Policies for Broadcast, Common Carrier and Aeronautical Radio Licensees under Section 310(b)(4) of the Communications Act of 1934, as Amended*, Report and Order, 2026 WL 297818, at *8, para. 19, n.85 (2026). We find that the proposal raises distinct considerations in the submarine cable context.

⁷⁶⁹ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6610-11, para. 288.

⁷⁷⁰ *Id.*

⁷⁷¹ *Id.*

⁷⁷² *2024 Submarine Cable NPRM*, 39 FCC Rcd at 12806-07 at para. 146.

⁷⁷³ NASCA Comments at 23, 26; Submarine Cable Coalition Comments at 10; CTIA Comments at 3; ICC Comments at 5-6.

⁷⁷⁴ NTIA *Ex Parte* at 5 ("In contemplating the requirements for these filers, the Commission is meaningfully working to accelerate approval timelines for cables landing in countries aligned with U.S. digital infrastructure policies while addressing the Committee's national security and law enforcement concerns. NTIA requests that such frequent filers only be excluded from Committee review if they meet certain conditions and the Committee has not requested referral.").

recommends exempting from referral to the Executive Branch agencies those applications submitted by licensees who have been “cleared” by the Executive Branch agencies in the preceding 18 months, with or without mitigation.⁷⁷⁵ ICC, CTIA, and the Coalition support an expediting review for “trusted” or “recognized” applicants.⁷⁷⁶

201. We agree that, subject to certain conditions, an applicant(s) that has been reviewed by the Executive Branch agencies within a prescribed timeframe of a renewal application newly filed with the Commission may qualify to be excluded from referral while protecting the U.S. government’s equities in national security and law enforcement. As we stated in the *2025 Submarine Cable Further Notice*, extensive delays to submarine cable applications that do not threaten national security or law enforcement interests are not in the public interest.⁷⁷⁷ Such delays impose economic costs without national security benefits.⁷⁷⁸ Furthermore, not only do such delays not benefit national security—in fact, they may undermine national security by deterring investment in submarine cables and thus reducing the resilience of America’s submarine cable network.⁷⁷⁹ We find that this is not consistent with the America First Investment Policy Memorandum⁷⁸⁰ or the stated goals of the Commission.⁷⁸¹

202. However, we find that adequate safeguards are necessary to ensure that expedited processing of an application and exclusion from referral to the Executive Branch agencies do not create new vulnerabilities or raise national security and law enforcement risks. As a result, we exclude a narrow category of submarine cable applications that would qualify to be excluded from referral due to low or minimal risk to national security, law enforcement, foreign policy, and trade policy concerns.

203. *Previously Reviewed by Executive Branch Agencies Within Three Years of Filing.* To qualify for the exclusion, we require that the applicant(s) must be a licensee of the submarine cable system and previously filed an application involving that cable system that was reviewed by the Executive Branch agencies within three years of the filing of the renewal or extension application. To the extent there are multiple licensees of the submarine cable system, all of the licensees must have jointly filed a previous application that was reviewed by the Executive Branch agencies within three years of the instant filing. For example, if the applicant is the sole licensee of the submarine cable system, it must have previously filed an application for assignment, transfer of control, or modification of the license that was reviewed by the Executive Branch agencies within three years of the filing. If there are multiple joint applicants, each applicant must be a licensee of the submarine cable system and previously filed (as joint applicants) an application for modification of the license that was reviewed by the Executive Branch agencies within three years of the filing.

204. *Compliance with Terms of Mitigation Agreement for the Submarine Cable.* To qualify for the exclusion, the cable landing license must be conditioned on compliance with a mitigation agreement, and the applicant(s) must certify that it is in compliance, and will continue to comply, with the terms of the mitigation agreement.

205. *No New 10% or Greater Interest Holders.* To qualify for the exclusion, there must be no new individuals and/or entities that hold 10% or greater direct or indirect equity and/or voting interests, or a controlling interest, in any applicant(s) as of the application that was previously reviewed by the Executive Branch agencies within three years of the filing.

⁷⁷⁵ NASCA Comments at 26.

⁷⁷⁶ ICC Comments at 5-6; CTIA Comments at 4-5; Submarine Cable Coalition Comments at 10-11.

⁷⁷⁷ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6610, para. 285.

⁷⁷⁸ *Id.*

⁷⁷⁹ *Id.*

⁷⁸⁰ America First Investment Policy § 1.

⁷⁸¹ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6610, para. 285.

206. *Applicant is Not Owned By, Controlled By, or Subject to the Jurisdiction or Direction of a Foreign Adversary.* To qualify for the exclusion, the applicant(s) must not be “owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary,” as defined in section 1.70001(g),⁷⁸² and it must certify to this effect. Further, the applicant(s) must certify that it is not subject to the presumptive disqualifying conditions in sections 1.70002(c) and 1.70004(a) and (b) of the rules.⁷⁸³

207. Our approach protects national security interests while reducing regulatory burdens for those applicants that meet these conditions. If an applicant meets the three-year exclusion, we believe the national security risks are minimal and consistent with policy objectives of deploying submarine cable infrastructure. Our determination of whether an applicant meets each condition will be considered on a case-by-case basis and in light of the relevant facts and circumstances, including close consultation with the Committee regarding the applicant’s compliance with the existing mitigation agreement. While we can anticipate excluding these applications from referral, we will continue to monitor licensees’ compliance and will consider any violation of our rules and the terms of the cable landing license, including violations settled by consent decree or that are non-material and/or material violations of the conditions, to be probative as to whether to consider possible enforcement or revocation of the license, if necessary. Finally, as stated above, the Commission will retain the discretion to refer an application to the Executive Branch agencies for review of national security, law enforcement, foreign policy, and/or trade policy concerns, as circumstances warrant, consistent with section 1.40001(a) of the rules.⁷⁸⁴

B. Regulatory Impact Analysis

1. Need for Regulatory Action

208. The rules adopted today are necessary to enhance our national security⁷⁸⁵ and to ensure that the United States maintains its leadership position in advanced technology, including artificial intelligence (AI).⁷⁸⁶ Carrying the vast majority of transcontinental digital communications,⁷⁸⁷ submarine cables serve as the foundational backbone of the global Internet. The SLTE is the equipment on both ends of the submarine cable system that converts optical signals to electrical signals and vice versa, thereby connecting undersea transmission with terrestrial transmission of telecommunications traffic.⁷⁸⁸ Thus, an entity that owns or operates SLTE is able to affect the operation of the submarine cable system, whether or not it holds an ownership interest in the overall cable system.⁷⁸⁹ Therefore, an entity affiliated with a foreign adversary that owns or operates SLTE in the United States introduces a similar risk to national security as if the entity owned the submarine cable itself. Potential vulnerabilities in this type of

⁷⁸² 47 CFR § 1.70001(g).

⁷⁸³ *Id.* §§ 1.70002(c), 1.70004(a)-(b); 2025 *Submarine Cable Report and Order and FNPRM*, 40 FCC Rcd at 6641, Appx. A (§ 1.70006(b)).

⁷⁸⁴ 47 CFR § 1.40001; *see supra* at para. 142. Applicants seeking an exemption from referral to the Executive Branch agencies under 47 CFR § 1.40001(b) are required to send a complete copy of the application, including all certifications, or any major amendments or other material filings regarding the application to the Committee, consistent with the requirements under section 1.70014(b). *See infra* Appx. A (§ 1.70014(b)).

⁷⁸⁵ 47 U.S.C. §§ 34-35; Executive Order 10530, sec. 5(a).

⁷⁸⁶ 2025 *Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6481, para. 1; *see* Executive Order 14365.

⁷⁸⁷ *Invisible Highways*.

⁷⁸⁸ 2025 *Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6592, para. 242.

⁷⁸⁹ *Id.* at 6591-92, paras. 241-242; *see also* DHS *Ex Parte* at 2; *see* Executive Branch Reply at 15.

situation include threats of physical disruption,⁷⁹⁰ manipulation of service,⁷⁹¹ overt attacks,⁷⁹² as well as interception of unencrypted traffic.⁷⁹³ The rules adopted today will improve the Commission's oversight of this critical infrastructure.

209. In addition to addressing vulnerabilities associated with SLTE, the *Second Report and Order* addresses remaining gaps—discussed in detail in section III.B—in our regulatory framework that pertain to both existing and new licensees. For example, cable landing licensees can enter into agreements with customers for dark fiber IRUs or other leases for capacity, which is another vulnerability because IRU holders and lessees can control capacity connecting the United States with a foreign country or another location in the United States, without needing to build the underlying infrastructure.⁷⁹⁴ The growth in investment in submarine cables potentially magnifies vulnerabilities in the submarine cable system,⁷⁹⁵ making it more important to address remaining gaps.

2. Benefits

210. The rules adopted in the *Second Report and Order* build upon the concrete efforts and harmonized approach adopted in the *2025 Submarine Cable First Report and Order* by establishing a regulatory framework for SLTEs. The Commission's increased oversight of SLTEs should improve the security and resilience of submarine cable systems and mitigate threats from foreign adversaries, while minimizing undue administrative burden on trusted providers and entities. By establishing blanket licensing of current SLTE owners and operators, as well as adopting a presumptive exclusion from referral to the Executive Branch agencies for entities that meet the national security standards, the rule actions we adopt today should minimize administrative burdens on industry, while encouraging deployment of a more secure submarine cable infrastructure. Importantly, the rules should limit the ability of untrustworthy submarine cable licensees including SLTE owners and operators to undermine our nation's defense, public safety, and homeland security options, our military readiness, and our critical infrastructure. The rules should also ensure that the United States continues to lead the world in the development of AI, data centers, cloud computing, streaming, financial transactions, and the e-commerce sector.

211. The *Second Report and Order* requires SLTE owners and operators to be licensees under the Cable Landing License Act,⁷⁹⁶ and those entities that qualify, including all current SLTE owners and operators, will be given a blanket license. This blanket licensing of SLTE owners and operators should

⁷⁹⁰ Anthropic *Ex Parte* at 3 (“Adversarial SLTE or fiber owners could selectively deny service, degrade performance, or power down infrastructure supporting AI workloads.”).

⁷⁹¹ *Id.* (“Prioritization, throttling, or routing changes could degrade performance below workload requirements without complete service denial.”).

⁷⁹² *Id.* (“Operational control of SLTE infrastructure, in particular, by entities of countries identified at 15 C.F.R. 791.4 may create opportunities for active attacks that encryption alone cannot fully mitigate.”).

⁷⁹³ *Id.* (stating that “[o]wnership or operation can provide entities direct access to unencrypted traffic—and potential access to encryption keys or decrypted traffic even when link-layer encryption is deployed (as link-layer encryption, commonly deployed for data center interconnects, only protects data between SLTE endpoints),” and noting that fiber ownership facilitates physical access to fiber pairs which in turn “enables passive interception” of unencrypted traffic).

⁷⁹⁴ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6592-93, para. 243 & n.773; Executive Branch Reply at 18, n.65.

⁷⁹⁵ See e.g., CircleID, *AI Boom Spurs Record Investment in Undersea Cables Amid Geopolitical and Security Concerns* (Nov. 10, 2025), <https://circleid.com/posts/ai-boom-spurs-record-investment-in-undersea-cables-amid-geopolitical-and-security-concerns>.

⁷⁹⁶ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6591, para. 240.

greatly increase the Commission's ability to oversee and protect this critical infrastructure, while minimizing administrative burdens associated with licensing SLTE owners and operators.

212. As noted above, SLTE plays a critical role in the overall functioning of a cable system as it converts optical signals from submarine cables into electric signals that can be carried by terrestrial networks.⁷⁹⁷ The mandatory licensing of all SLTE owners and operators should increase the Commission's ability to monitor the strategic chokepoints where a large volume of traffic passes through, ensuring that foreign adversaries cannot achieve significant access and control of the United States submarine cable network. As the Commission noted in the *2024 Submarine Cable NPRM*, a foreign adversary that is not a licensee but owns or controls an SLTE on a submarine cable landing in the United States would have connectivity comparable to operating their own submarine cable to the U. S., which could present a significant threat to national security.⁷⁹⁸

213. The routine conditions adopted in the *Second Report and Order* should help ensure that SLTE owners and operators do not become a weak point in the nation's submarine cable infrastructure by, among other things, providing the Commission with detailed information critical for assessing national security vulnerabilities. At the same time, the presumptive exclusion of qualified applicants from referral to the Executive Branch agencies should reduce the administrative burden on these entities.

214. The *Second Report and Order* requires entities that meet the foreign adversary and/or character disqualifying presumptions adopted in the *2025 Submarine Cable First Report and Order*⁷⁹⁹ to apply for a license to become an SLTE owner or operator rather than blanket licensing such entities. The exclusion from blanket licensing will ensure that entities subject to disqualifying presumptions undergo the scrutiny of the application process, giving the Commission the ability to screen for potential threats.⁸⁰⁰

215. The requirement that all SLTE owners and operators develop cybersecurity and physical security risk management plans should help to ensure that SLTE owners and operators follow best practices to mitigate risk. We note, however, that to balance our goal of safeguarding critical infrastructure with the goal of reducing administrative burdens, in the *Second Report and Order*, we do not require licensees to certify the risk management plans that they must develop with the Commission.

216. Submarine cables are estimated to carry as much as 99% of intercontinental Internet traffic and serve as the backbone to global communications.⁸⁰¹ The international submarine cable network facilitates more than \$10 trillion financial transactions globally each day⁸⁰² and the volume of data carried by submarine cables is dramatically increasing, including an increasing amount of confidential and sensitive data.⁸⁰³ Even a temporary, localized disruption to data passing through submarine cables would likely result in very substantial economic losses. Although both the risk of such losses and the quantitative harms of such losses are difficult to measure, on an annual basis, we find that they are likely well in excess of the annual costs that we estimate would be associated with our rules.

⁷⁹⁷ *Id.* at 6592, para. 242 & n.766; see also Equinix, *What is a Cable Landing Station* (Oct. 15, 2024), <https://blog.equinix.com/blog/2024/10/15/what-is-a-cable-landing-station>.

⁷⁹⁸ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6530, para. 84.

⁷⁹⁹ *Id.* at 6594, para. 247.

⁸⁰⁰ These entities may continue to own and operate any current SLTEs that they have at the time these rules go into effect in order to avoid any regulatory uncertainty or disruption to submarine cable system operations that may be ultimately found eligible to hold a submarine cable landing license. See *supra* section III.A.1.b.

⁸⁰¹ *Invisible Highways*.

⁸⁰² *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6587, para. 232; Tim Stronge, *Do \$10 Trillion of Financial Transactions Flow Over Submarine Cables Each Day?* (Apr. 6, 2023), <https://blog.telegeography.com/2023-mythbusting-part-1>.

⁸⁰³ *The Geopolitics of Submarine Cable Security*.

3. Costs

217. We estimate that the actions adopted today will impose costs totaling approximately \$39.2 million in the first year and \$10.7 million in subsequent years. These costs include one-time and recurring costs that SLTE owners and operators are expected to incur as a result of becoming licensees as well as additional recurring costs that existing and new licensees would incur.

218. We estimate that there are approximately 3,136 SLTE owners and operators that will be subject to blanket licensing.⁸⁰⁴ New SLTE owners and operators that do not qualify for blanket licensing will be required to file as applicants for a cable landing license under the Cable Landing License Act. We estimate that approximately 320 SLTE owners and operators will require a new license each year,⁸⁰⁵ and that at most, one-fifth of new SLTE owners and operators would be subject to the character and/or foreign adversary presumptions that would require them to incur the cost of applying for an individual license because they would not qualify for a blanket license.⁸⁰⁶ In the *2025 Submarine Cable First Report and Order*, the Commission estimated that an application cost approximately \$54,400,⁸⁰⁷ which means that the aggregate application cost for new SLTE owners and operators that do not qualify for a blanket license would be at most \$3.5 million per year.⁸⁰⁸

219. In addition, all SLTE owners and operators will be subject to routine conditions designed to enhance transparency and security. These include the requirement to file annual circuit capacity reports, which we estimate will cost up to \$3 million per year,⁸⁰⁹ and the requirement to create, update,

⁸⁰⁴ We conservatively estimate the present number of SLTE owners as $3,136 = 16 \text{ fiber pairs per cable} \times 2 \text{ SLTE per fiber pair} \times 98 \text{ submarine cables}$, which likely overstates the impact of blanket licensing on the U.S. economy, because of cross-ownership across fiber pairs, SLTE ownership by existing submarine cable system licensees, and foreign ownership leading to costs that may predominantly fall on non-U.S. stakeholders. While a precise estimate will only be available after the one-time data collection required under the *2025 Cable Report and Order and FNPRM*, by assuming an average of 16 fiber pairs per cable, we likely further overestimate the number of SLTE owners and operators because many legacy cable systems contain only eight or fewer fiber pairs per cable and because some SLTE owners and operators may already be licensees. Brian Lavallée, *Evolution of the Submarine Cable Network* (Apr. 17, 2023), <https://www.ciena.com/insights/articles/2023/evolution-of-the-submarine-cable-network>.

⁸⁰⁵ We conservatively estimate the number of new licensees under the blanket license as $320 = 16 \text{ fiber pairs per cable} \times 2 \text{ SLTE per fiber pair} \times 10 \text{ submarine cables}$, where the number of submarine cables is based on the average annual number of applications during 2022-2024.

⁸⁰⁶ In the *2025 Submarine Cable First Report and Order and FNPRM*, we found that 10 out of a total 147 licensees would need to file the Foreign Adversary Annual Report, a requirement that subsumes the foreign adversary presumptions. *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6498, 6569-70, 6588, 6589, paras. 31, 181, 234, and 236. Based on this, we conservatively suppose that one out of ten new SLTE owners and operators would be subject to the foreign adversary presumptions and an additional one out of ten would be subject to the character presumptions that would entail the filing of an application (such that in total, $1/10 + 1/10 = 1/5$ new SLTE owners and operators would be subject to the character or foreign adversary presumption that would prevent blanket licensing).

⁸⁰⁷ *Id.* at 6589-90, para. 236. While in the *2025 Submarine Cable First Report and Order and FNPRM*, we assumed that the application cost would be borne by an average of three licensees per application, for this analysis we apply the full application cost to each licensee under the blanket license in order to arrive at a conservative estimate.

⁸⁰⁸ $\$54,400 \times 320 / 5 = \$3,481,600$. We round this amount to \$3.5 million per year.

⁸⁰⁹ We estimate a per applicant cost of \$972 based on the Commission's estimates of circuit capacity report costs as represented in previous PRA statements. Thus, the \$3 million annual cost is based on $\$972 \times 3,136 \text{ SLTE owners and operators} = \$3,048,192$, which we round to \$3 million. Note that we do not add the 320 new SLTE owners and operators to this estimate because of likely overlap between this and the initial 3,136 figure as well as due to our expectation that other owners and operators may leave the market. International Section 214 Authorizations – 47 CFR Sections 63.10-63.25, 1.40001, and 1.40003, OMB Control No. 3060-0686 Paperwork Reduction Act (PRA) Supporting Statement at 10 (Apr. 01, 2024),

(continued....)

and implement a cybersecurity and physical security risk management plan consistent with section 1.70006(c) of our rules, for a one-time cost of approximately \$28.5 million.⁸¹⁰ New licensees, whether blanket licensed or not, will likewise encounter these costs for a conservative annual cost estimate of \$2.9 million for cybersecurity and physical security risk management plan.⁸¹¹ Finally, SLTE owners and operators that meet certain criteria will be required to file an annual Foreign Adversary Annual Report, which we estimate will cost approximately \$1.3 million per year.⁸¹²

220. We estimate a cost of approximately \$51,000 per year across all licensees associated with new applicant certifications and notifications required under the adopted rules—such as changes in address or coordinates, intent not to renew, system retirement, and certifications related to foreign adversary ownership or Covered List changes.⁸¹³ We do not anticipate substantial costs associated with the remaining routine conditions. With respect to the prohibition on cable landing licensees using any equipment in the operation of the submarine cable system that is produced by any entity owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, we note that the *Second Report and Order* does not require licensees to remove covered equipment and services from existing submarine cable systems.⁸¹⁴ Moreover, we anticipate that moving forward, licensees that need to procure new equipment will be able to do so from vendors that are not owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, because the vast majority of submarine cable equipment is already supplied by other entities.⁸¹⁵ Similarly, prohibiting arrangements such as IRUs and leases for capacity with entities on the Covered List is unlikely to result in significant foregone revenue, as the majority of all submarine cable capacity is leased by entities without such ties.⁸¹⁶

https://www.reginfo.gov/public/do/PRAViewDocument?ref_nbr=202505-3060-020 (April 2024 Supporting Statement).

⁸¹⁰ In the *2025 Submarine Cable First Report and Order and FNPRM*, we estimated that creating a cybersecurity and physical security risk management plan costs approximately \$9,100. *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd 6481, para. 236. We multiply this by 3,136 to obtain our one time cost of \$28.5 million, but note that this is likely too high not only because the 3,136 figure is likely an overestimate, but also because various SLTE owners and operators may already have a cybersecurity and physical security risk management plan.

⁸¹¹ \$2.9 million $\approx$ \$9,100 $\times$ 320 SLTE owners and operators.

⁸¹² *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd 6589-90, para. 236. Filing an annual Foreign Adversary Annual Report will cost approximately \$4,100. *Id.* We conservatively estimate that approximately 1/10th of the estimated 3,136 SLTE owners and operators would need to file to obtain our annual cost of \$1.3 million ($= \$4,100 \times 3,136 \text{ SLTE owners and operators} / 10$).

⁸¹³ We estimate that preparation of the notification of intent of non-renewal of license, notification of submarine cable system retirement, certification of change in foreign adversary ownership, certification of change to the Department of Commerce's list of foreign adversaries, and certification of change to the Commission's Covered List will each require 2 hours of work by an attorney and 2 hours of work by support staff. We estimate that the cost of outside legal assistance is \$300 per hour and the cost of in-house staff is \$40 per hour, making the cost of preparing one notification or certification approximately \$680 ($(\$300 \times 2 \text{ hours}) + (\$40 \times 2 \text{ hours}) = \680). Assuming 15 filings per type per year (for a total of 75 filings), the annual cost is approximately \$51,000 ($\$680 \times 75 \text{ filings} = \$51,000$). Our cost data on wages for attorneys are based on the Commission's estimates of labor costs as represented in previous PRA statements. *April 2024 Supporting Statement* at 10.

⁸¹⁴ See *supra* section III.A.2.b.

⁸¹⁵ See Anna Blue, *Submarine Data Cables: Latest Target of the U.S.-China Rivalry* (Sept. 24, 2024), <https://jpia.princeton.edu/news/submarine-data-cables-latest-target-us-china-rivalry> (stating that "French cable maker ASN has supplied 41% and American company SubCom has supplied 21%" of all equipment to existing and planned global cables)

⁸¹⁶ Moreover, we note that this should have only limited immediate impact because in the *2025 Submarine Cable First Report and Order and FNPRM* the Commission had previously prohibited IRU and capacity leasing

(continued....)

221. Finally, the Commission has taken steps to significantly reduce compliance costs for licensees while advancing national security objectives. For example, the *Second Report and Order* adopts an exemption for wet-segment repair and maintenance, addressing the primary operational concern and preventing significant cost increases.⁸¹⁷ It also adopts a presumptive exemption framework that will generate cost savings for qualifying applicants by avoiding the expense and delay of Executive Branch referral. Applications meeting the exemption criteria will not undergo Executive Branch review, resulting in estimated annual cost savings of approximately \$98,000.⁸¹⁸

222. In sum, we estimate that the actions adopted in this *Second Report and Order* will result in a one-time cost of approximately \$28.5 million and recurring annual costs of approximately \$10.7 million.⁸¹⁹ As a result, we estimate costs of approximately \$39.2 million in the first year and \$10.7 million in subsequent years.

4. Alternative Policies

a. Alternative A – Limited or No Action

223. Under this alternative, the Commission would either decline to adopt any new rules governing Submarine Line Terminal Equipment (SLTE) owners and operators and would maintain the existing submarine cable licensing framework without modification or only take limited actions that would not entail licensing of SLTE owners and operators.⁸²⁰ First, we note that, as discussed in section III.A.1 and III.A.3, the *Second Report and Order* takes actions to streamline and expedite submarine cable applications. Second, as documented in the record, the current framework contains significant gaps—particularly the absence of direct oversight of SLTE owners and operators and the lack of uniform requirements related to the use of equipment produced by covered-list or foreign adversary entities. Maintaining the status quo would leave these gaps unaddressed, despite the rapid evolution of the submarine cable ecosystem, the increasing complexity of SLTE technology, and emerging national security risks associated with advanced undersea communications infrastructure.

224. Failure to modernize the regulatory approach would leave the submarine cable network vulnerable to otherwise avoidable security threats, reduce the Commission’s visibility into entities with operational control of critical infrastructure, and allow continued use of foreign-adversary-produced equipment without adequate oversight. Moreover, the limited-or-no-action option would fail to realize

arrangements with entities owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, as defined in section 1.70001(g), where such arrangement for IRUs or lease for capacity would give an entity the ability to install, own, or manage SLTE on a submarine cable landing in the United States. *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6506, para. 46. This existing prohibition likely already substantially reduces any IRUs and leasing arrangements with Covered List entities.

⁸¹⁷ We anticipate that, outside of the specified exception, the costs associated with identifying service providers that meet our criteria will be relatively low, given that services other than repair and maintenance are less time-sensitive and licensees should have sufficient time to identify and contract with alternative third-party providers if necessary.

⁸¹⁸ Based on data from January 1, 2023, to December 31, 2025, there were 36 applications referred to Executive Branch agencies, yielding an average of 12 referrals annually. If we assume that half of these applicants will be exempt from Executive Branch referral as a result of meeting our national security standard, and that being exempt will save 30% of their application costs, with each application costing \$54,400, the annual savings would be approximately \$98,000 (6 applications × \$54,400 × 30% = \$97,920, rounded to \$98,000).

⁸¹⁹ One-time costs consists of the \$28.5 million necessary to implement a cybersecurity and physical security risk management plan. Recurring annual costs are calculated as \$3.5 million + \$3 million + \$1.3 million + \$52,000 + \$2.9 million – \$98,000 = \$10,654,000, rounded to \$10.7 million.

⁸²⁰ In particular, some commenters suggest that SLTE owners should be subject to notification and reporting requirements without a licensing requirement. NASCA Comments at 7-14; Microsoft Comments at 7-11; INCOMPAS Reply at 3; *see also* NTIA *Ex Parte* at 3-4. Commentors also suggest limiting principles such as a trusted vendor safe harbor in any new requirements on SLTE owners and operators. CTIA Comments at 3-7; ICC Comments at 5-10; Microsoft Comments at 16-19; INCOMPAS Reply at 19-20; *see also* NTIA *Ex Parte* at 4.

potential gains in transparency, national security, and supply-chain integrity. For these reasons, we find that taking no action is not a recommended option and would be inferior to the adopted rules, which meaningfully reduce vulnerabilities while minimizing compliance burdens.

b. Alternative B – Adopt Rules Requiring SLTE Licensing and Targeted National Security Safeguards

225. Under this alternative, which we adopt, the Commission sets up a comprehensive framework requiring all SLTE owners and operators to be licensees, subject to a blanket license with exclusions for entities meeting foreign adversary or character disqualifying conditions. These rules subject SLTE owners and operators to a variety of routine conditions, which among other things, include obtaining section 214 authority to handle telecommunications to or from the United States; the filing of annual circuit capacity reports per section 43.82; creating, implementing, and updating cybersecurity and physical security risk management plans; and for entities subject to certain foreign adversary criteria, filing SLTE Foreign Adversary Annual Reports.

226. New and existing licensees will also be subject to certain prohibitions, including on use of “principal equipment” or third party services when, for instance, these are provided by any entity owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary. We note that the use of third party services is subject to a narrow exemption for wet-segment repair and maintenance to address a relative dearth of specialized cable repair ships available and the reality that problems on the submarine cable systems may occur outside the territorial waters of the United States. New and existing licensees will also be subject to various other routine conditions described in section IV of this Appendix. The adopted rules also streamline application review for lower-risk applicants by establishing ten national security standards that, if met, will qualify a submarine cable application to be presumptively exempt from referral to the Executive Branch agencies.

c. Alternative C – Adopt Rules Requiring (1) SLTE Licensing and Targeted National Security Safeguards, (2) the Removal and Replacement Covered List Equipment, and (3) the Elimination of the Wet Segment Exemption for Third-Party Service Providers

227. This alternative would differ from Alternative B, which we adopt, in two respects: (1) by requiring the removal and replacement of covered list equipment, (2) by foregoing the wet segment exemption for third-party service providers.

228. First, as discussed in section VI of this Appendix, while the *Second Report and Order* prohibits the use of principal equipment, it declined to require existing licensees to remove from their submarine cable system any and all covered equipment or services, within a specified timeframe. Although the alternative, of requiring licensees to remove and replace all existing Covered List equipment from submarine cable systems, including both dry and wet segments, might further bolster national security, doing so would likely increase compliance costs above and beyond the incremental benefit to national security. Mandatory removal of covered equipment, especially from the wet segment, would entail significant capital outlays, operational disruptions, and technical challenges. Various commenters agree, and claim that sudden, costly rip and replace mandates could deter future private investment and threatening to cede U.S. leadership in cable deployment to other nations at a critical time.⁸²¹ Instead, we expect that equipment obsolescence, coupled with the prohibition on new equipment, will lead licensees to gradually rely less on principal equipment provided by entities owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, bolstering national security without overly burdensome costs to comply with our rules.

229. As we note above, the *Second Report and Order*’s prohibition on the use of third party services is subject to a narrow exemption for wet-segment repair and maintenance. Specifically, the *Second Report and Order* provides an exemption to the use of third party services where a third-party

⁸²¹ CTIA Comments at 12; *see also* ICC Comments at 20, ICC Reply at 12.

foreign adversary, covered list, or entity that can access the cable from a foreign adversary country provides repair and maintenance to the wet segment of submarine cables. In considering whether to allow this exemption, the Commission considered the relative dearth of specialized cable repair ships and the reality that problems on the submarine cable systems may occur outside the territorial waters of the United States. As the *Second Report and Order* discusses, many commenters recommended this exception.⁸²² In particular, DHS and others contend that imposing additional restrictions on the use of available repair ships would be detrimental to the timely restoration of critical communications infrastructure.⁸²³ As such, we find that prohibiting the use of specialized foreign-affiliated repair ships owned by a foreign adversary, Covered List entity, or entity that can access the cable from a foreign adversary country would not be in the public interest and do not recommend doing so as an alternative to the rules that we adopt.

5. Justification Determination

a. Benefits Exceed Costs

230. We find that the changes being adopted in the *Second Report and Order* should generate substantial benefits to national security and the resiliency of critical communications infrastructure, and that these benefits far outweigh the moderate compliance costs. By adopting a comprehensive regulatory framework for SLTEs, implementing targeted routine conditions and certifications, and presumptively exempting qualifying applications from Executive Branch referral, the order strengthens oversight and mitigate foreign adversary risks while promoting faster deployment of submarine cables. The benefits of enhanced protection of U.S. communications networks, improved cybersecurity and physical security standards, and expedited approval of low-risk applications are substantial, but are difficult to quantify. In contrast, we estimate one-time costs of \$28.5 million and annual costs of \$10.7 million, which reflect measures to comply with licensing requirements, including costs associated with cybersecurity and compliance with routine conditions. The adopted actions are expected to have an annual effect on the economy of \$100 million or more in benefits. Therefore, we find that the benefits of strengthening oversight and protecting critical communications networks significantly outweigh the costs.

Table of Benefits and Costs

	Year	Present Value over 5 Years (3% discount)	Present Value over 5 Years (7% discount)
Benefits			
Quantitative	N/A	N/A	N/A
Qualitative	The Commission views this item as economically significant based on the benefits, i.e., having benefits exceeding \$100 million.		
Costs (\$millions)	2026	\$39.2	\$39.2
	2027	\$10.4	\$10.0
	2028	\$10.1	\$9.3
	2029	\$9.8	\$8.7
	2030	\$9.5	\$8.2
	Total	\$79.0	\$75.4

b. Highest Net-Benefit Alternative

231. Based on the record and economic analysis, Staff find that Alternative B—SLTE Licensing and Targeted National Security Safeguards—offers the greatest net benefit among the three alternatives considered. This combination of rules to bolster national security with respect to our nation's

⁸²² ITI Comments at 3; ICC Comments at 15; DHS *Ex Parte* at 3; INCOMPAS Reply at 3.

⁸²³ DHS *Ex Parte* at 3.

submarine cable systems, coupled with targeted exemptions to limit burdens on licensees recognizes the need to take action to safeguard national security while foregoing actions where the incremental cost may outweigh the incremental benefit.

IV. SECOND FURTHER NOTICE OF PROPOSED RULEMAKING

232. In this *Second Further Notice*, we build on the regulatory framework for submarine line terminal equipment (SLTE) owners and operators⁸²⁴ that we adopt in the *Second Report and Order* to execute our duties to protect national security. In the *Second Report and Order*, we take the first step to regulate SLTEs and adopt a blanket licensing framework for SLTE owners and operators. We also require SLTE owners and operators to comply with a subset of the routine conditions for cable landing licensees in section 1.70007.⁸²⁵ In this *Second Further Notice*, we seek to further prevent evolving national security risks associated with SLTEs posed by foreign adversaries. We anticipate that this *Second Further Notice*, along with results from the one-time data collection that the Commission previously adopted, will inform our consideration of further refinements to how we regulate both conventional submarine cable landing licensees (as a result of our *First Report and Order*) and SLTE owners and operators that do not already previously fall in that category and to which we issue a blanket authorization under our *Second Report and Order*.

A. Routine Conditions

233. We seek comment on the routine conditions that we should consider to improve our oversight of SLTE owners and operators given the evolving national security risks posed by foreign adversaries. While we conduct and complete the one-time collection time adopted in the *2025 Submarine Cable First Report and Order*,⁸²⁶ we seek comment specifically on whether the Commission should adopt routine conditions for cable landing licensees that are subject to our current licensing requirement, as amended in the *2025 Submarine Cable First Report and Order*,⁸²⁷ to accomplish our goal of improving oversight of SLTE owners and operators to protect national security interests related to SLTE. We seek comment on how to balance this objective with minimal burdens on these licensees. For example, what routine conditions for these licensees should the Commission adopt generally concerning SLTEs? Should the Commission require these licensees ensure that any entity that owns and/or operates SLTE on their licensed submarine cable adheres to the routine conditions that we adopt in sections III.A.1.b. and III.A.2. of this *Second Report and Order*?⁸²⁸ Should the Commission require these licensees ensure that any entity that owns and/or operates SLTE on their licensed submarine cable, including any downstream entities, adheres to any or all of the routine conditions that apply to cable landing licensees in section 1.70007, as adopted in the *Submarine Cable First Report and Order*?⁸²⁹ For example, should we require these licensees to develop, adopt, and implement contract terms or other contractual mechanisms to ensure that owners and operators of SLTE on their licensed submarine cable adhere to such routine conditions? We seek comment on whether recent mitigation agreements with the Executive Branch agencies, where the applicant would use “available contractual mechanisms” to require or restrict third

⁸²⁴ In this *Second Further Notice of Proposed Rulemaking*, we use the term “SLTE owners and operators” to refer to any entity that owns and/or operates SLTE on a submarine cable landing in the United States and that is not otherwise subject to our licensing requirement in section 1.767(h) or section 1.70003(a) and/or (b) as amended. 47 CFR § 1.767(h); *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6637, Appx. A (§ 1.70003(a) and (b)); *see supra* note 13.

⁸²⁵ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6632-35, 6642-43, Appx. A (§ 1.70007).

⁸²⁶ *Id.* at 6582-84, paras. 214-222.

⁸²⁷ *Id.* at 6632-35, 6642-43, Appx. A (§ 1.70007).

⁸²⁸ *See supra* sections III.A.1.b. and III.A.2.

⁸²⁹ *2025 Submarine Cable First Report and Order*, 40 FCC Rcd at 6632-35, 6642-43, Appx. A (§ 1.70007).

parties from certain activities,⁸³⁰ would best establish how these licensees can comply with such a requirement, or whether an alternative standardized model, if available, would be more practicable.

234. With respect to SLTE, we also seek comment on whether to consider consistent or differing routine conditions for the aforementioned licensees that (1) own and/or operate SLTE on their licensed submarine cable, or (2) owns an SLTE and either owns or leases the underlying fiber, capacity, or spectrum, or leases the SLTE and the underlying fiber, capacity, or spectrum to another entity. To the extent we consider any routine conditions, are there any timing or compliance considerations that we should also consider for these licensees and any owners and/or operators of SLTE? What, if any, would be the impact on small entities in the market that we should consider?

235. Should the Commission adopt any other routine conditions? Should the Commission also adopt as routine conditions for all cable landing licensees, including SLTE owners and operators, any or all of the national security standards that we apply in this *Second Report and Order* to those licensees whose application is exempt from referral to the Executive Branch agencies?⁸³¹ For example, should the Commission require that cable landing licensees implement and update an enhanced cybersecurity and physical security plan in accordance with the NIST CSF, and follow a set of established cybersecurity best practices, such as the standards and controls set forth in the CISA CPGs, or the CIS Controls?⁸³²

236. Should the Commission adopt a mechanism for existing licensees to opt-in to the ten national security standards in lieu of existing NSAs? For example, should the Commission allow existing licensees that can comply with the ten national security standards to opt-in to those ten national security standards in lieu of their existing NSA by filing a petition with the Commission, and if granted, their existing NSA shall be deemed terminated?

237. We also seek comment on whether an applicant with reportable foreign ownership that seeks exemption from referral should be exempt from the requirement to submit responses to the Standard Questions.⁸³³ In this *Second Report and Order*, we continue to require applicants with reportable foreign ownership that seek the exemption to submit responses to the Standard Questions directly to the Committee at the time they file the application with the Commission, consistent with our current rules.⁸³⁴ We seek comment on the burdens and any duplicative requirements for applicants that both submit responses to the Standard Questions and certify to the national security standards adopted in the *Second Report and Order*.⁸³⁵

B. Costs and Benefits

238. Through the *Further Notice*, we seek to implement additional routine requirements on licensees to achieve our goal of increased oversight of SLTEs for national security concerns. We seek comment, because we find that it is necessary to improve the security and resilience of submarine cable systems and to mitigate threats from foreign adversaries. Moreover, we believe that the cost of doing so would be approximately the same as our estimated cost in the *Second Report and Order* because SLTE owners and operators would still be subject to the same reporting and security requirements, albeit

⁸³⁰ Apricot NSA at 21-22; see Bifrost NSA at 19-22.

⁸³¹ See *supra* section III.A.3.

⁸³² See *supra* paras. 170-175.

⁸³³ 47 CFR §§ 1.767(a)(8)(i), 63.18(p) (“Each applicant for which an individual or entity that is not a U.S. citizen holds a ten percent or greater direct or indirect equity or voting interest, or a controlling interest, in the applicant, must submit . . . Responses to standard questions, prior to or at the same time the applicant files its application with the Commission, pursuant to part 1, subpart CC, of this chapter directly to the Committee for the Assessment of Foreign Participation in the United States Telecommunications Services Sector (Committee)”); see *supra* para. 148.

⁸³⁴ See *supra* para. 148; 47 CFR §§ 1.767(a)(8)(i), 63.18(p).

⁸³⁵ See *supra* section III.A.3.a.

directly or indirectly, through their contractual relationships with submarine cable system licensees. We seek comment generally on the costs and benefits. Thus, as was the case in the *Second Report and Order*, we find that were we to adopt the proposed rules, doing so would generate substantial benefits to national security and the resiliency of critical communications infrastructure, and that these benefits would far outweigh the moderate compliance costs.

V. SEVERABILITY

239. The rules adopted in this *Second Report and Order* promote the Commission's goal of expediting submarine cable deployment while protecting submarine cable infrastructure. Though complementary, each of the separate rules serves their own distinct and specific purpose to promote that goal. It is our intent that each of these rules adopted in this *Second Report and Order* shall be severable. If any of the rules are declared invalid or unenforceable for any reason, we find that the remaining portions of the regulatory framework continue to fulfill our goal of promoting faster and more efficient deployment of submarine cables while simultaneously protecting submarine cable infrastructure, and that any remaining rules not deemed invalid or unenforceable shall remain in effect and be enforced to the fullest extent permitted by law.

VI. PROCEDURAL MATTERS

240. *Regulatory Flexibility Act.* The Regulatory Flexibility Act of 1980, as amended (RFA),⁸³⁶ requires that an agency prepare a regulatory flexibility analysis for notice and comment rulemakings, unless the agency certifies that "the rule will not, if promulgated, have a significant economic impact on a substantial number of small entities."⁸³⁷ Accordingly, the Commission has prepared a Final Regulatory Flexibility Analysis (FRFA) concerning the possible impact of the rule changes contained in this *Second Report and Order* on small entities. The FRFA is set forth in Appendix B.

241. The Commission has also prepared an Initial Regulatory Flexibility Analysis (IRFA) concerning the potential impact of rule and policy change proposals on small entities in the *Second Further Notice*. The IRFA is set forth in Appendix C. The Commission invites the general public, in particular small businesses, to comment on the IRFA. Comments must be filed by the deadlines for comments on the *Second Further Notice* indicated on the first page of this document and must have a separate and distinct heading designating them as responses to the IRFA.

242. *Paperwork Reduction Act.* This *Second Report and Order* may contain new or modified information collections subject to the Paperwork Reduction Act of 1995 (PRA), 44 U.S.C. §§ 3501-3521. All such new or modified information collections will be submitted to the Office of Management and Budget (OMB) for review under section 3507(d) of the PRA. OMB, the general public, and other Federal agencies will be invited to comment on any new or modified information collections contained in this proceeding. In addition, we note that pursuant to the Small Business Paperwork Relief Act of 2002, 44 U.S.C. § 3506(c)(4), we previously sought specific comment on how the Commission might further reduce the information collection burden for small business concerns with fewer than 25 employees. In this present document, we have assessed obtaining information from applicants and licensees about their submarine cable systems, and other related information important for, and find that the impact to small entities and businesses is difficult to ascertain but will not be disproportionate to the impact on larger businesses and entities.

243. The *Second Further Notice* may contain proposed new or modified information collections. The Commission, as part of its continuing effort to reduce paperwork burdens, invites the general public and the Office of Management and Budget (OMB) to comment on any information

⁸³⁶ 5 U.S.C. §§ 601 *et seq.*, as amended by the Small Business Regulatory Enforcement and Fairness Act (SBREFA), Pub. L. No. 104-121, 110 Stat. 847 (1996).

⁸³⁷ *Id.* § 605(b).

collections contained in this document, as required by the Paperwork Reduction Act of 1995, 44 U.S.C. §§ 3501-3521. In addition, pursuant to the Small Business Paperwork Relief Act of 2002, 44 U.S.C. § 3506(c)(4), we seek specific comment on how we might further reduce the information collection burden for small business concerns with fewer than 25 employees.

244. *Ex Parte Presentations-Permit-But-Disclose.* The proceeding this *Second Further Notice* initiates shall be treated as a “permit-but-disclose” proceeding in accordance with the Commission’s *ex parte* rules.⁸³⁸ Persons making *ex parte* presentations must file a copy of any written presentation or a memorandum summarizing any oral presentation within two business days after the presentation (unless a different deadline applicable to the Sunshine period applies). Persons making oral *ex parte* presentations are reminded that memoranda summarizing the presentation must (1) list all persons attending or otherwise participating in the meeting at which the *ex parte* presentation was made, and (2) summarize all data presented and arguments made during the presentation. If the presentation consisted in whole or in part of the presentation of data or arguments already reflected in the presenter’s written comments, memoranda or other filings in the proceeding, the presenter may provide citations to such data or arguments in his or her prior comments, memoranda, or other filings (specifying the relevant page and/or paragraph numbers where such data or arguments can be found) in lieu of summarizing them in the memorandum. Documents shown or given to Commission staff during *ex parte* meetings are deemed to be written *ex parte* presentations and must be filed consistent with rule 1.1206(b). In proceedings governed by rule 1.49(f) or for which the Commission has made available a method of electronic filing, written *ex parte* presentations and memoranda summarizing oral *ex parte* presentations, and all attachments thereto, must be filed through the electronic comment filing system available for that proceeding, and must be filed in their native format (e.g., .doc, .xml, .ppt, searchable .pdf). Participants in this proceeding should familiarize themselves with the Commission’s *ex parte* rules.

245. *Providing Accountability Through Transparency Act.* Consistent with the Providing Accountability Through Transparency Act, Public Law 1189, a summary of this *Further Notice* will be available on <https://www.fcc.gov/proposed-rulemakings>.

246. *OPEN Government Data Act.* The OPEN Government Data Act⁸³⁹ requires agencies to make “public data assets” available under an open license and as “open Government data assets,” *i.e.*, in machine-readable, open format, unencumbered by use restrictions other than intellectual property rights, and based on an open standard that is maintained by a standards organization.⁸⁴⁰ This requirement is to be implemented “in accordance with guidance by the Director” of the OMB.⁸⁴¹ The term “public data asset” means “a data asset, or part thereof, maintained by the Federal Government that has been, or may be, released to the public, including any data asset, or part thereof, subject to disclosure under [the Freedom of Information Act (FOIA)].”⁸⁴² A “data asset” is “a collection of data elements or data sets that may be grouped together,”⁸⁴³ and “data” is “recorded information, regardless of form or the media on which the data is recorded.”⁸⁴⁴

⁸³⁸ 47 CFR § 1.1200 *et seq.*

⁸³⁹ Congress enacted the OPEN Government Data Act as Title II of the Foundations for Evidence-Based Policymaking Act of 2018, Pub. L. No. 115-435 (2019), §§ 201-202.

⁸⁴⁰ 44 U.S.C. §§ 3502(20), (22) (definitions of “open Government data asset” and “public data asset”), 3506(b)(6)(B) (public availability).

⁸⁴¹ See OMB Memorandum M-25-05, *Phase 2 Implementation of the Foundations for Evidence-Based Policymaking Act of 2018: Open Government Data Access and Management Guidance* (Jan. 15, 2025).

⁸⁴² 44 U.S.C. § 3502(22).

⁸⁴³ 44 U.S.C. § 3502(17).

⁸⁴⁴ 44 U.S.C. § 3502(16).

247. *Filing Requirements—Comments and Replies.* Pursuant to sections 1.415 and 1.419 of the Commission's rules, 47 CFR §§ 1.415, 1.419, interested parties may file comments and reply comments in response to the *Further Notice* on or before the dates indicated on the first page of this document. Comments may be filed using the Commission's Electronic Comment Filing System (ECFS). See *Electronic Filing of Documents in Rulemaking Proceedings*, 63 FR 24121 (1998).

- Electronic Filers: Comments may be filed electronically using the Internet by accessing the ECFS: <https://www.fcc.gov/ecfs/>.
- Paper Filers: Parties who choose to file by paper must file an original and one copy of each filing.
 - Filings can be sent by hand or messenger delivery, by commercial courier, or by the U.S. Postal Service. All filings must be addressed to the Secretary, Federal Communications Commission.
 - Hand-delivered or messenger-delivered paper filings for the Commission's Secretary are accepted between 8:00 a.m. and 4:00 p.m. by the FCC's mailing contractor at 9050 Junction Drive, Annapolis Junction, MD 20701. All hand deliveries must be held together with rubber bands or fasteners. Any envelopes and boxes must be disposed of before entering the building.
 - Commercial courier deliveries (any deliveries not by the U.S. Postal Service) must be sent to 9050 Junction Drive, Annapolis Junction, MD 20701.
 - Filings sent by U.S. Postal Service First-Class Mail, Priority Mail, and Priority Mail Express must be sent to 45 L Street NE, Washington, DC 20554.

248. *People with Disabilities.* To request materials in accessible formats for people with disabilities (braille, large print, electronic files, audio format), send an email to fcc504@fcc.gov or call the Consumer & Governmental Affairs Bureau at 202-418-0530 (voice).

249. *Congressional Review Act.* The Commission has determined, and the Administrator of the Office of Information and Regulatory Affairs, Office of Management and Budget, concurs, that this rule is major under the Congressional Review Act, 5 U.S.C. 804(2). The Commission will send a copy of this Report and Order to Congress and the Government Accountability Office pursuant to 5 U.S.C. § 801(a)(1)(A).

250. *Availability of Documents.* Comments, reply comments, and *ex parte* submissions will be available for public inspection during regular business hours in the FCC Reference Center, Federal Communications Commission, 45 L Street NE, Washington, DC 20554. These documents will also be available via ECFS. Documents will be available electronically in ASCII, Microsoft Word, and/or Adobe Acrobat.

251. *Further Information.* For further information, contact Svantje Swider of the Office of International Affairs, at 202-418-0772 or Svantje.Swider@fcc.gov.

VII. ORDERING CLAUSES

252. IT IS ORDERED that, pursuant to sections 1, 4(i), 4(j), 201-255, 303(r), 403, 413 of the Communications Act of 1934, as amended, 47 U.S.C. §§ 151, 154(i), 154(j), 201-255, 303(r), 403, 413, and the Cable Landing License Act of 1921, 47 U.S.C. §§ 34-39, and Executive Order No. 10530, section 5(a) (May 12, 1954) reprinted as amended in 3 U.S.C. § 301, this Report and Order and Notice of Proposed Rulemaking IS HEREBY ADOPTED.⁸⁴⁵

253. IT IS FURTHER ORDERED that this *Second Report and Order and Second Further*

⁸⁴⁵ Pursuant to Executive Order 14215, 90 Fed. Reg. 10447 (Feb. 20, 2025), this regulatory action has been determined to be significant under Executive Order 12866, 58 FR 51735 (Oct. 4, 1993).

Notice of Proposed Rulemaking SHALL BE EFFECTIVE 60 days after publication in the Federal Register, except that the amendments to sections 1.40001, 1.70003, 1.70006, 1.70007(u), (w)(2), (y) through (ii), 1.70011, 1.70012, 1.70014, 1.70017, 1.70018, 1.70020, 1.70025, 1.70026, 1.70027, 1.70028, and 1.70029, which may contain new or substantively modified information collections, will not become effective until the Office of Management and Budget completes review of any information collections that the Office of International Affairs determines is required under the Paperwork Reduction Act. The Commission directs the Office of International Affairs to announce the effective date for sections 1.40001, 1.70003, 1.70006, 1.70007(u), (w)(2), (y) through (ii), 1.70011, 1.70012, 1.70014, 1.70017, 1.70018, 1.70020, 1.70025, 1.70026, 1.70027, 1.70028, and 1.70029, by notice in the Federal Register and by subsequent Public Notice.

254. IT IS FURTHER ORDERED that the Office of the Managing Director, Performance Program Management, SHALL SEND a copy of this Second Report and Order and Second Further Notice of Proposed Rulemaking in a report to be sent to Congress and the Government Accountability Office pursuant to the Congressional Review Act, see 5 U.S.C. § 801(a)(1)(A).

255. IT IS FURTHER ORDERED that the Commission's Office of the Secretary SHALL SEND a copy of this Second Report and Order and Second Further Notice of Proposed Rulemaking, including the Final and Initial Regulatory Flexibility Analyses, to the Chief Counsel for Advocacy of the Small Business Administration (SBA) Office of Advocacy.

FEDERAL COMMUNICATIONS COMMISSION

Marlene H. Dortch
Secretary

APPENDIX A**Final Rules**

For the reasons discussed in the document above, the Federal Communications Commission amends 47 CFR part 0 as follows:

PART 0 – COMMISSION ORGANIZATION

1. The authority citation for part 0 continues to read as follows:

Authority: 47 U.S.C. 151, 154(i), 154(j), 155, 225, 409, and 1754, unless otherwise noted.

2. Amend § 0.351 by adding paragraph (a)(16) to read as follows:

§ 0.351 Authority delegated.

(a) * * *

(16) Authority is delegated to OIA, in consultation with the Public Safety and Homeland Security Bureau, the Committee Members as defined in § 1.70001(l), and other federal agencies, as needed, to adopt necessary policies and procedures to make determinations regarding submarine cable licensing and policy matters, including through clarifications, declaratory rulings, and further guidance.

* * * * *

PART 1 – PRACTICE AND PROCEDURE

3. The authority citation for part 1 continues to read as follows:

Authority: 47 U.S.C. chs. 2, 5, 9, 13; 28 U.S.C. 2461 note; 47 U.S.C. 1754, unless otherwise noted.

Subpart CC—Review of Applications, Petitions, Other Filings, and Existing Authorizations or Licenses with Reportable Foreign Ownership By Executive Branch Agencies for National Security, Law Enforcement, Foreign Policy, and Trade Policy Concerns

4. Delayed indefinitely, amend § 1.40001 by revising paragraph (a)(1) and adding paragraph (a)(2)(v):

§ 1.40001 Executive branch review of applications, petitions, other filings, and existing authorizations or licenses with reportable foreign ownership.

(a) * * *

(1) The Commission will generally refer to the Executive Branch agencies applications filed for an international section 214 authorization and submarine cable landing license as well as an application to assign, transfer control of, or modify those authorizations and licenses where the applicant has reportable foreign ownership and petitions for section 310(b) foreign ownership rulings for broadcast, common carrier wireless, and common carrier satellite earth station licenses pursuant to Subpart FF and §§ 63.18 and 63.24 of this chapter, and 1.5000 through 1.5004.

(2) * * *

(v) Applications filed pursuant to § 1.70020 of this chapter where:

(A) The applicant(s) is a cable landing licensee of the submarine cable system for which the renewal or extension application is filed;

(B) The applicant(s) previously filed an application involving the same submarine cable system that was referred to and reviewed by the Executive Branch agencies within three years of the filing of the renewal or extension application. To the extent there are multiple licensees of the submarine cable system, all of the licensees must have jointly filed a previous application that was

reviewed by the Executive Branch agencies within three years of the instant filing;

(C) There is a mitigation agreement on which the cable landing license is conditioned, and the applicant(s) certifies that it is in compliance and will continue to comply with the terms of the mitigation agreement;

(D) There are no new individuals or entities that hold ten percent or greater direct or indirect equity and/or voting interests, or a controlling interest, in any applicant(s) since that prior review by the Executive Branch agencies; and

(E) The applicant(s) is not owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, as defined in § 1.70001(g), and certifies that it is not subject to the presumptive disqualifying conditions in §§ 1.70002(c) and 1.70004(a) and (b).

* * * * *

5. Delayed indefinitely, further amend § 1.40001 by redesignating paragraphs (b) through (d) as paragraphs (c) through (e), adding new paragraph (b), and revising redesignated paragraphs (c) through (e) to read as follows:

* * * * *

(b) To presumptively qualify for exemption from referral to the Executive Branch agencies, an applicant, or in the case of an application jointly filed by multiple applicants, each joint applicant, must certify that it meets the national security standards set forth below in an application for a cable landing license or modification, assignment, transfer of control, or renewal or extension of a cable landing license:

(1) The applicant must be a licensee and certify that:

(i) It either has a cable landing license that was granted by the Commission after November 27, 2020 and is conditioned on compliance with a mitigation agreement or, starting in 2028, it was granted (within the previous five (5) years) a license that is conditioned on compliance with a mitigation agreement or was granted pursuant to the exemption process as described in § 1.40001(b);

(ii) There are no new individuals or entities that hold 10% or greater direct or indirect equity and/or voting interests, or a controlling interest, in the applicant since the most recent review by the Commission; and

(iii) It is in compliance with the terms of any existing mitigation agreement(s) on which any of its cable landing license(s) is conditioned.

(2) The applicant must certify that:

(i) No entity holding less than 5% direct interest in the submarine cable system is owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, as defined in § 1.70001(g);

(ii) The applicant has not entered into and will not enter into an agreement, formal or informal, with entities owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, as defined in § 1.70001(g), to secure financing (such as business loans or bonds, debts, lines of credit, debt forgiveness, or in kind contributions or services) related to or affecting the submarine cable system; and

(iii) The applicant has no strategic partnerships nor has entered or will enter into mergers with entities owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, as defined in § 1.70001(g), that might affect access to and/or the management or operation of the submarine cable system.

(3) The applicant must certify that:

- (i) No senior official of the applicant or the applicant's parent company(ies) meets the definition of "owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary," as defined in § 1.70001(g), and
- (ii) No senior official of the applicant or any of the applicant's parent company(ies) performs or will perform duties with respect to the submarine cable system from a foreign adversary country, as defined in § 1.70001(f).
- (iii) For purposes of this paragraph (b)(3), the term "senior official" is defined as a board member or executive-level management, including an individual who performs the duties, or any of the duties, ordinarily performed by a president, vice president, secretary, treasurer, Chief Executive Officer, Chief Technical Officer, Chief Operations Officer, Chief Information Officer, and/or Chief Financial Officer, or other officer.
- (iv) Individuals that perform duties indicative of executive-level management may be included for purposes of this certification, and the Commission may seek additional information from an applicant to verify its certification under this national security standard.

(4) The applicant must certify that it will prohibit its customers or any further downstream customers from entering into a new or an extension of an existing arrangement, such as for indefeasible rights of use (IRUs) or leases for capacity on the submarine cable, where such arrangement would give an entity that is owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, as defined in § 1.70001(g), the ability to install, own, or manage SLTE on the submarine cable.

- (i) The applicant must also certify that it will adopt contractual provisions in the arrangements described in this paragraph (b)(4) that prohibit its customers or any further downstream customers from selling, leasing out, sharing, or swapping fiber, spectrum, or capacity to or with an entity that is owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, as defined in § 1.70001(g).

(ii) [Reserved]

(5) The applicant must certify that it will:

- (i) File with the Commission and the Committee Members, as the term is defined in § 1.70001(l) and used hereafter in this section, a list identifying all of its arrangements described in paragraph (b)(4) of this section and provide copies of all such arrangements within sixty (60) days of commencing service on the submarine cable, consistent with the requirements of § 1.70007(ii)(4), and
- (ii) Continue filing the information in paragraph (b)(5)(i) and copies of all such arrangements with the Commission and the Committee Members as part of an annual report, consistent with the requirements of § 1.70007(ii)(4).

(6) The applicant must certify that the submarine cable system will not connect directly or via a branching unit with a submarine cable:

- (i) That is owned or operated by an entity that is owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, as defined in § 1.70001(g), or
- (ii) That lands in a foreign adversary country, as defined in § 1.70001(f).

(7) The applicant must certify that it has created and will implement and update an enhanced cybersecurity and physical security risk management plan.

(i) The applicant must affirm, as part of the cybersecurity and physical security risk management certification required under §§ 1.70005(m) and 1.70006(c), that such plan is structured in accordance with the National Institute of Standards and Technology (NIST) Cybersecurity Framework (CSF) (NIST CSF), and meets a set of established cybersecurity best practices, such as the standards and controls set forth in the Cybersecurity and Infrastructure Security Agency's (CISA) Cybersecurity Cross-Sector Performance Goals and Objectives (CISA CPGs), or the Center for Internet Security's Critical Security Controls.

(ii) The applicant shall submit this plan to the Commission and the Committee Members at the time of filing the application. The cybersecurity and physical security risk management plans provided under this subsection shall be treated as presumptively confidential.

(8) The applicant must certify that it will:

(i) Report to the Commission and to the Committee Members in writing within seventy-two (72) hours if it learns of information that reasonably indicates unauthorized access to, or disruption or corruption of, a submarine cable system, its management servers, or any service, communications, or information being carried on a submarine cable system, or a significant attempt to gain unauthorized access to such system, service, communications, or information. This includes unauthorized access to, or disruption or corruption of, third-party service providers' (as defined in § 1.70001(d)) systems, SLTE owners' or operators' systems, or IRU holders' systems that could reasonably be expected to harm the physical or logical security of the submarine cable system. Reportable incidents include, but are not limited to, unauthorized physical or logical access to cable facilities, including but not limited to, the cable landing station space or any NOC, as defined in § 1.70001(n); unauthorized access to or disclosure of network management information; cable cuts; data compromise; or unauthorized system modification.

(ii) Submit to the Commission and Committee Members, within fifteen (15) days of learning of the incident a detailed written report describing in greater depth the incident identified in the initial report and its steps to remediate that incident.

(iii) Submit updates to the Commission and the Committee Members, as requested by the Commission, and continue providing supplementary information until the Commission's evaluation is complete.

(iv) For purposes of this section 1.40001, the term "unauthorized" is defined as in a manner without permission or that exceeds authorization. The term "access" is defined consistent with § 1.70001(i).

(9) The applicant must certify that it will implement heightened physical and logical security controls. For purposes of this section, the terms "domestic communications," "principal equipment," "Network Operations Center" (or "NOC"), "sensitive U.S. records" are defined consistent with § 1.70001(j), (m), (n), (o). Information provided pursuant to this subsection shall be treated as presumptively confidential. Specifically, the applicant must certify that it will implement heightened physical and logical security controls that:

(i) Meet appropriate physical security standards consistent with the Commission's rules in this paragraph (b)(9), such as taking all practicable measures to physically secure the submarine cable system, including the cable landing station(s), NOC(s), beach manholes and related sites, principal equipment, and Submarine Line Terminal Equipment (SLTEs);

(ii) Not provide any individual or entity that is owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, as defined in § 1.70001(g), and/or an

entity that is identified on the Covered List that the Commission maintains on its website pursuant to the Secure and Trusted Communications Networks Act of 2019 (Secure Networks Act), 47 U.S.C. 1601 through 1609, with physical and/or logical access to the submarine cable system, including but not limited to the cable landing station(s), NOC(s), beach manhole(s) and related sites, principal equipment, and SLTEs;

(iii) Not provide any individual or entity that is owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, as defined in § 1.70001(g), and/or an entity that is identified on the Covered List with access to sensitive U.S. records and domestic communications;

(iv) Not provide any individual or entity located in a foreign adversary country, as defined in § 1.70001(f), with physical or logical access to the submarine cable system, sensitive U.S. records, or domestic communications;

(v) Adopt personnel screening and vetting measures for individuals whose position could involve securing principal equipment and/or physical and/or logical access to the submarine cable system (including but not limited to the cable landing station(s), NOC(s), beach manholes and related sites, principal equipment, and SLTEs), sensitive U.S. records, and/or domestic communications;

(vi) Adopt a written policy that will include, at a minimum, background investigations, public criminal records checks, or other analogous means to ascertain an individual's trustworthiness, subject to applicable law, conducted at least every five (5) years;

(vii) Ensure adherence to these requirements;

(viii) Report to the Commission and Committee Members the identities of all foreign individuals with physical and/or logical access to the submarine cable system (including but not limited to the cable landing station(s), NOC(s), beach manholes and related sites, principal equipment, and SLTEs), sensitive U.S. records, and/or domestic communications, or who secure principal equipment, within thirty (30) days of the submarine cable commencing service; and report any changes on a quarterly basis, including identifying new personnel with access and personnel who no longer have access;

(ix) Provide the Commission and the Committee Members annually in the report described in paragraph (b)(10)(iii) of this section, with the submission of the names and information on: security officers, foreign participation, security policies, owners and officers, operational requirements, locations of access, principal equipment, third-party service providers (as defined in § 1.70001(d)), foreign persons or entities with access, SLTE owners and controllers, as well as any such information requested by the Commission and/or the Committee Member from the SLTE owners and operators. Authority is delegated to the Office of International Affairs, in coordination with the Public Safety and Homeland Security Bureau and the Committee Members as needed, to determine the information to be submitted and provide further guidance;

(x) Provide advance notification of thirty (30) days to the Commission and the Committee Members and obtain the majority of the Committee Members' non-objection in writing prior to the testing, adding, or use of any sensing capability (such as distributed acoustic, thermal, seismic, or other sensing) on the submarine cable system by any person (e.g., licensee, other third party, service provider, principal equipment provider).

(A) Activities requiring advanced notice include but are not limited to:

(1) The physical installation of specialized sensing hardware (e.g., Distributed Acoustic Sensing (DAS) or Distributed Temperature or Thermal Sensing (DTS) interrogators) at cable landing stations or

specific cable segments, and wavelengths (if utilizing in-band Dense Wavelength Division Multiplexing (DWDM) sensing);

(2) The activation or testing of integrated sensing capabilities within DWDM or Reconfigurable Optical Add-Drop Multiplexer (ROADM) systems, including State of Polarization (SOP) monitoring intended for environmental or security surveillance;

(3) The deployment of inline sensors, including Scientific Monitoring and Reliable Telecommunications (SMART) repeaters;

(4) Software or firmware upgrades that materially alter or expand the data collection capabilities of existing sensing equipment.

(B) The advanced notice submitted by the entity or person must include, at a minimum, the following information:

(1) The specific type of sensing technology being deployed or tested (e.g., DAS, DTS, Distributed Strain Sensing (DSS), SOP, SMART), including the make and model of primary hardware (e.g., interrogator units);

(2) The primary purpose of the sensing activity (e.g., cable health monitoring, seismic research, vessel tracking, third-party commercial "Sensing as a Service");

(3) The specific cable segments, landing stations, and wavelengths (if utilizing in-band DWDM sensing) involved in the operation;

(4) A description of the physical phenomena being measured (e.g., acoustic vibrations, temperature, strain, polarization changes) and the expected resolution or sensitivity of the data; and

(5) Whether the activity is a temporary test (including start and end dates) or a permanent integration into the network architecture; and

(xi) Provide updates to its submarine cable system information to the Commission and the Committee Members annually and within thirty (30) days of the change, to include but not limited to:

(A) A network and fiber map or diagram that includes physical and logical topology, including any terrestrial backhaul from the cable landing stations to the SLTE locations or other facilities housing principal equipment of the submarine cable;

(B) Network and telecommunications architecture descriptions and associated descriptions of interconnection points and controlled gateways to the principal equipment; and

(C) Descriptions of interfaces and connections to the submarine cable system for service offload, disaster recovery, or administrative functions.

(10) The applicant must certify that it consents to reporting to, and ongoing monitoring and inspection by, the Commission and the Committee Members throughout the term of the cable landing license to assess its compliance with all applicable routine conditions and national security standards. The applicant must also certify that it consents to:

(i) Monitoring and inspection of the applicant's facilities where principal equipment, as defined in § 1.70001(m), is located or that support the operation of the submarine cable system's connections to or from the United States, including but not limited to the NOC,

as defined in § 1.70001(n), by the Commission and/or any other relevant U.S. government agencies, including the Committee Members;

(ii) Allowing the Commission and/or the Committee Members to meet with the applicant's personnel and conduct on-site interviews and to request additional information as necessary, throughout the term of the cable landing license, to verify the implementation of and compliance with all applicable routine conditions and national security standards;

(iii) Providing the Commission and Committee Members with an annual report, and upon request by the Commission, of its compliance with all applicable routine conditions and national security standards throughout the term of the license. The report shall include updated information and identify any changes made in the reporting period to:

(A) The names and contact information of the points of contact (POCs) and security and compliance officers;

(B) Ownership and foreign participation information;

(C) A list of all officers;

(D) The locations of access for the submarine cable;

(E) All third-party service providers, principal equipment, as defined in § 1.70001(m), and foreign persons or entities with access;

(F) The names and contact information of the SLTE owners and/or operators on the submarine cable, as well as any information requested by the Commission and/or the Committee Members from the SLTE owners and/or operators;

(G) All security policies;

(H) Any operational changes and/or expansion plans for the submarine cable;

(I) A summary of any events that occurred during the reporting period that will or reasonably could impact the effectiveness of or compliance with the national security standards; and

(J) A certification that the licensee remains in compliance with all applicable routine conditions and national security standards or, if there were any known acts of noncompliance with the routine conditions and national security standards, a summary of such acts—whether inadvertent or intentional, with a discussion of what steps have been or will be taken to prevent such acts from occurring in the future.

(K) The annual report shall be submitted each year in the relevant license file number(s) in ICFS, or any successor system. A copy of the annual report shall be filed directly with the Committee Members;

(iv) Allowing the Commission and/or the Committee Members to periodically, and no more than biennially, request a third-party audit or assessment of compliance with all applicable routine conditions and national security standards;

(v) Providing the Commission and the Committee Members with the name, title, business address, email address, and telephone number of a designated Security and Compliance Officer, who serves or will serve as the primary point of contact for license and compliance matters. This officer will be responsible for implementing and maintaining the applicant's cybersecurity and physical security risk management plans and ensuring adherence to the Commission's security and compliance requirements for the cable

system. The application shall include a summary of the officer's qualifications relevant to cybersecurity, physical security, and regulatory compliance.

(A) The Security and Compliance Officer shall be a U.S. citizen who is eligible for a U.S. government security clearance at the "Secret" level or higher. The Security and Compliance Officer will possess the appropriate senior-level corporate authority, reporting lines, independence, technical skills, and resources required to assess the cybersecurity, physical security, and logical security of submarine cable systems and to ensure compliance with the applicable Commission rules and regulations.

(B) The applicant shall notify the Commission and the Committee within ten (10) days of any change in the designated officer or the officer's contact information. The applicant shall agree to work with the Commission and Committee Members to resolve any national security or law enforcement concerns that the Commission or Committee may raise with respect to the Security and Compliance Officer; and

(vi) Notifying the Commission and the Committee Members within seventy-two (72) hours of any violation of applicable routine conditions or national security standards, including a description of the violation, an explanation for why it occurred, and a description of any steps taken to remediate the violation.

(c) The Commission will consider any recommendations from the Executive Branch agencies on pending application(s) for an international section 214 authorization or cable landing license(s) or petition(s) for foreign ownership ruling(s) pursuant to §§ 1.5000 through 1.5004 or on existing authorizations or licenses that may affect national security, law enforcement, foreign policy, and/or trade policy as part of its public interest analysis. The Commission will evaluate concerns raised by the Executive Branch agencies and will make an independent decision concerning the pending matter.

(d) In any such referral pursuant to paragraph (a) of this section, or when receiving information pursuant to paragraph (b) of this section or when considering any recommendations pursuant to paragraph (c) of this section, the Commission may disclose to relevant Executive Branch agencies, subject to the provisions of 44 U.S.C. 3510, any information submitted by an applicant, petitioner, licensee, or authorization holder in confidence pursuant to § 0.457 or § 0.459 of this chapter. Notwithstanding the provisions of § 0.442 of this chapter, notice will be provided at the time of disclosure.

(e) As used in this subpart, "reportable foreign ownership" for applications filed pursuant to Subpart FF and §§ 63.18 and 63.24 of this chapter means any foreign owner of the applicant that must be disclosed in the application pursuant to § 63.18(h); and for petitions filed pursuant to §§ 1.5000 through 1.5004, "reportable foreign ownership" means foreign disclosable interest holders pursuant to § 1.5001(e) and (f).

* * * * *

Subpart FF—Cable Landing Licenses

6. Amend § 1.70001 by adding paragraphs (i) through (p) to read as follows:

§ 1.70001 Definitions.

* * * * *

(i) *Access*. The term "Access" as used in this subpart means to, or the right or ability to, enter a location or physical space; or physically or logically undertake any of the following actions with respect to the submarine cable system:

(1) Read, divert, or otherwise obtain non-public information or technology from or about software, hardware, a system, or a network;

(2) Add, edit, or alter information or technology stored on or by software, hardware, a system, or a network; and

(3) Alter the physical or logical state of software, hardware, a system, or a network (e.g., turning it on or off, changing configuration, removing or adding components or connections).

(j) *Domestic communications*. The term “Domestic Communications” as used in this subpart means:

(1) Wire Communications, as described in 18 U.S.C. 2510(1), or Electronic Communications (whether stored or not), as described in 18 U.S.C. 2510(12), from one U.S. location to another U.S. location, and

(2) The U.S. portion of a Wire Communication or Electronic Communication (whether stored or not) that originates or terminates in the United States or its territories.

(k) *Domestic communications infrastructure*. The term “Domestic Communications Infrastructure” or “DCI” as used in this subpart means:

(1) Any portion of a submarine cable system that is physically located in the United States or its territories, up to and including the SLTE, including (if any) transmission, switching, bridging, and routing equipment, and any associated software (with the exception of commercial-off-the-shelf (COTS) software used for common business functions) used by or on behalf of the licensee(s) to provide, process, direct, control, supervise, or manage Domestic Communications; and

(2) Any “Network Operations Center” or “NOC,” as defined in paragraph (n) of this section.

(l) *Committee members*. The term “Committee Members” as used in this subpart means the Attorney General, the Secretary of Defense, and the Secretary of Homeland Security, or their designees to the Committee for the Assessment of Foreign Participation in the United States Telecommunications Services Sector (Committee) if such designation has been made, under Executive Order 13913, dated April 4, 2020. The term “Committee Members” shall also mean, in the event of a subsequent Executive Order or statute altering the Members, those therein provided.

(m) *Principal equipment*. The term “principal equipment” as used in this subpart means the primary electronic components of the submarine cable system that supports it end-to-end and any other such equipment, whether physical or providing logic-bearing service, that performs the functions described in this definition that licensees of a submarine cable system may use in the normal course of business. This includes, but is not limited to, the following paragraphs (m)(1) through (16). Authority is delegated to the Office of International Affairs (OIA), in consultation with the Public Safety and Homeland Security Bureau (PSHSB) and other federal agencies as needed, to adopt necessary policies and procedures to make determinations on specific categories of such equipment, including through clarifications, declaratory rulings, and further guidance.

(1) Domestic Communications Infrastructure, as defined in paragraph (k) of this section;

(2) Wet Infrastructure, as defined in paragraph (p) of this section;

(3) Servers, routers, switches, repeaters,

(4) SLTE;

(5) System supervisory equipment (SSE);

(6) Signal modulators and amplifiers;

(7) Power feed equipment (PFE);

(8) Tilt and shape equalizer units (TEQ/SEQ);

(9) Optical distribution frames (ODF);

(10) Branching units (BU);

- (11) Optical splitters (OS);
- (12) Switches;
- (13) Multiplexers;
- (14) Optical carrier network (OCx) equipment, as applicable;
- (15) Fiber optic cables; and
- (16) All equipment (including hardware, software, and firmware) and Network Management Systems used to support, operate, manage, monitor, secure, maintain, analyze, administer, and provision the cable system.

(n) *Network operations center*. The term “Network Operations Center” (or “NOC”) as used in this subpart means the physical and logical locations, facilities, service providers, and personnel performing network management, supporting, operating, managing, monitoring, securing, maintaining, analyzing, administering, and provisioning the submarine cable system.

(o) *Sensitive U.S. records*. The term “sensitive U.S. records” as used in this subpart means an applicant’s end-user billing records, Subscriber Information, personally identifiable information (PII), Sensitive Personal Data as described in 31 CFR § 800.241, internet protocol detail record (IPDRs), and information subject to disclosure to a U.S. federal or state governmental entity under the procedures set forth in 18 U.S.C. 2703(c)-(d) and 18 U.S.C. 2709, each as with respect to the submarine cable system.

(p) *Wet infrastructure*. The term “Wet Infrastructure” as used in this subpart means hardware components installed and residing on the wet link portion of the submarine cable system, including fiber optic cables, repeaters, branching units (BUs), and routers (if any). Wet Infrastructure includes all the components used to define the topology of the wet link portion of the submarine cable system.

7. Amend § 1.70002 by adding paragraph (e) to read as follows:

§ 1.70002 General requirements.

* * * * *

(e) The Commission may disclose to the Committee, Committee Members, and relevant Federal Government agencies information that is submitted pursuant to § 1.40001 and Subpart FF of this chapter. Where such information has been submitted in confidence pursuant to § 0.457 or § 0.459 of this chapter, such information may be shared subject to the provisions of § 0.442 of this chapter with the Committee and with relevant Federal Government agencies for targeted national security purposes where sharing of the information is consistent with an agency’s function to protect U.S. national security and/or to protect the security, integrity, and resilience of submarine cable infrastructure. Notwithstanding the provisions of § 0.442(d)(1) of this chapter, notice will be provided at the time of disclosure.

8. Delayed indefinitely, revise § 1.70003 to read as follows:

§ 1.70003 Applicant/licensee requirements.

(a) *Applicants/licensees*. Except as otherwise required by the Commission, the following entities, at a minimum, shall be applicants for, and licensees on, a cable landing license:

- (1) Any entity that controls a cable landing station in the United States; and
- (2) All other entities owning or controlling a five percent (5%) or greater interest in the cable system and using the U.S. points of the cable system.

(b) *Blanket license*. Any entity that owns and/or operates or would own and/or operate Submarine Line Terminal Equipment (SLTE) on a submarine cable landing in the United States after [effective date of amendatory instruction 8], shall be a licensee on a cable landing license. Except as otherwise specified in paragraph (c) of this section, a blanket license shall be granted to any such entity that is not required to be an applicant for and licensee on the cable landing license under paragraphs (a)(1) or (a)(2) of this section

or is not otherwise a licensee on the cable landing license prior to [effective date of amendatory instruction 8].

(1) The blanket license is subject to the routine conditions in § 1.70007(a)(1) through (3), (d), (m), (n), and (gg)-(hh).

(2) [Reserved]

(c) **Exclusion from blanket license.** The blanket license set forth in paragraph (b) of this section excludes any entity seeking to own or operate new SLTE on any submarine cable landing in the United States, after [effective date of amendatory instruction 8], that is subject to the character presumptive disqualifying condition in § 1.70002(c) and/or subject to the foreign adversary presumptive disqualifying condition in § 1.70004(a).

(1) An entity excluded from the blanket license pursuant to paragraph (c) of this section may file an application seeking to own and/or operate new SLTE on a submarine cable landing in the United States. An application filed by such entity will be subject to the presumptive disqualifying conditions in §§ 1.70002(c) and/or 1.70004(a), which the Commission reserves the discretion to apply on a cable-by-cable basis where warranted.

(2) Authority is delegated to the Office of International Affairs (OIA) to develop, in consultation with the Committee, application forms or provide alternative instructions and guidelines as necessary with regard to those entities subject to paragraph (c) of this section that seek to own and/or operate new SLTE on a submarine cable landing in the United States. OIA shall notify the Committee of any applications submitted pursuant to this paragraph (c)(2).

9. Delayed indefinitely, amend § 1.70006 by adding paragraphs (e) through (k) to read as follows:

§ 1.70006 Certifications.

* * * * *

(e) That no principal equipment, as defined in § 1.70001(m), that is produced (including any major stage of the process through which the device is made, including manufacturing, assembly, design, and development) by any entity owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, as defined in § 1.70001(g), will be used or added, whether by the licensee or any other entity, on the submarine cable system.

(f) That the applicant will not use any third-party service provider, as defined in § 1.70001(d), to provide services relating to the submarine cable system, that is:

(1) An entity owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, as defined in § 1.70001(g);

(2) An entity identified on the Covered List that the Commission maintains on its website pursuant to the Secure Networks Act, 47 U.S.C. 1601-1609; and/or

(3) An entity that can access the submarine cable system from a foreign adversary country, as defined in § 1.70001(f).

(4) This paragraph (f) shall not apply to a licensee that is an entity identified on the Covered List. This paragraph (f) shall not apply where any entity identified in paragraphs (f)(1)-(3) of this section is involved in providing repair and maintenance to the wet segment of a Commission-licensed submarine cable.

(g) That the applicant will not enter into a new arrangement or extend an existing arrangement, such as for Indefeasible Rights of Use (IRUs) or leases for capacity on the submarine cable system, with an entity identified on the Covered List that the Commission maintains on its website pursuant to the Secure Networks Act, 47 U.S.C. 1601-1609, where such arrangement would give such entity (i.e., the IRU holder or lessee) the ability to install, own, or manage Submarine Line Terminal Equipment (SLTE) on a

submarine cable landing in the United States. The applicant shall also certify that, if a license is granted, it will prohibit its customers and any further downstream customers from entering into such arrangements.

(h) That the applicant will comply with the requirements of § 1.80003(l)(1)(i) of this chapter.

(i) That the applicant will comply with the requirements of § 1.80003(l)(1)(ii) of this chapter.

(j) That the applicant will submit a certification, within sixty (60) days of the release of a Public Notice by the Commission or the Public Safety and Homeland Security Bureau announcing any new addition of equipment or services to the Covered List that the Commission maintains on its website pursuant to the Secure Networks Act, 47 U.S.C. 1601-1609, that:

- (1) Acknowledges the addition to the Covered List, irrespective of whether the entity uses such equipment or services in its submarine cable system, and
- (2) Includes a brief description of how and the purpose for which such equipment or services are used on the submarine cable system, if applicable.

(k) That the applicant will notify the Commission of any change of address or geographic coordinates concerning information provided under § 1.70005(e)(7) and (f), within thirty (30) days of the change, including a specific description of the updated information that includes an updated map and geographic data in generally accepted GIS formats or other formats.

10. Amend § 1.70007 by revising paragraphs (u) and (w) to read as follows:

§ 1.70007 Routine conditions.

* * * * *

(u) No licensee shall add to its submarine cable system(s) under its respective license(s) equipment or services identified on the Covered List that the Commission maintains on its website pursuant to the Secure Networks Act, 47 U.S.C. 1601-1609; except, this part of paragraph (u) shall not apply to a licensee that is identified on the Covered List whose cable landing license was or is granted prior to November 26, 2025.

(1) A licensee whose application for a cable landing license is filed and granted after November 26, 2025, shall not use equipment or services identified on the Covered List on its submarine cable system under the license.

(i) A licensee whose modification application to add a new segment is filed and granted after November 26, 2025, shall not use equipment or services identified on the Covered List on the new segment and the new landing point.

(ii) [Reserved]

(2) [Reserved]

(i) [Reserved]

(ii) [Reserved]

* * * * *

(w) The licensee shall not:

(1) Enter into a new or extension of an existing arrangement for Indefeasible Rights of Use (IRUs) or leases for capacity on submarine cable systems landing in the United States, where such arrangement for IRUs or lease for capacity would give an entity that is owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, as defined in § 1.70001(g), the ability to install, own, or manage SLTE on a submarine cable landing in the United States, unless so authorized by the Commission.

(i) A licensee may petition the Commission for waiver of the condition; however, any

waiver of the condition would be granted only to the extent the licensee demonstrates by clear and convincing evidence that a new or extension of an existing arrangement for IRUs or lease for capacity subject to this subpart would serve the public interest and would present no risks to national security or that the national security benefits of granting the waiver would substantially outweigh any risks.

(ii) [Reserved]

(2) [Reserved]

* * * * *

11. Delayed indefinitely, further amend § 1.70007 by revising paragraph (u) and by adding paragraphs (u)(2), (w)(2), and (y) through (ii) to read as follows:

§ 1.70007 Routine conditions.

* * * * *

(u) * * * No principal equipment, as defined in § 1.70001(m), that is produced (including any major stage of the process through which the device is made, including manufacturing, assembly, design, and development) by any entity owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, as defined in § 1.70001(g), shall be added, whether by the licensee or any other entity, to a Commission-licensed submarine cable system.

* * * * *

(2) A licensee whose application for a cable landing license is filed and granted after [effective date of the amendatory instruction 11], shall ensure that no principal equipment, as defined in § 1.70001(m), that is produced (including any major stage of the process through which the device is made, including manufacturing, assembly, design, and development) by any entity owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, as defined in § 1.70001(g), is used or added, whether by the licensee or any other entity, on its licensed submarine cable system.

(i) A licensee whose modification application to add a new segment is filed and granted after [effective date of the amendatory instruction 11], shall ensure that no principal equipment, as defined in § 1.70001(m), that is produced (including any major stage of the process through which the device is made, including manufacturing, assembly, design, and development) by any entity owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, as defined in § 1.70001(g), is used on or added to the new segment(s) and/or landing station(s) of the submarine cable system, whether by the licensee or any other entity.

(ii) [Reserved]

* * * * *

(w) * * *

(2) Enter into a new arrangement or extend an existing arrangement, such as for IRUs or leases for capacity on the licensed submarine cable system, with an entity identified on the Covered List that the Commission maintains on its website pursuant to the Secure Networks Act, 47 U.S.C. 1601-1609, where such arrangement would give such entity (i.e., the IRU holder or lessee) the ability to install, own, or manage SLTE on a submarine cable landing in the United States. The licensee shall prohibit its customers and any further downstream customers from entering into such arrangements.

* * * * *

(y) The licensee shall notify the Commission of any change of address or geographic coordinates concerning information provided under § 1.70005(e)(7) and (f), within thirty (30) days of the change.

The licensee must submit a specific description of the updated information, including an updated map and geographic data in generally accepted GIS formats or other formats. Authority is delegated to the Office of International Affairs, in coordination with the Office of Economics and Analytics, to determine the specific file formats and data fields which will be collected and to ensure standardization of the information requested from the licensee.

(z) The licensee must notify the Commission, within sixty (60) days prior to the date of the expiration of the cable landing license, if the licensee does not intend to seek renewal or extension of the license. The notification shall be filed under the relevant license file number in the Commission's International Communications Filing System (ICFS), or any successor system. This requirement will be met if a licensee submits an application to renew or extend the license or requests Special Temporary Authority to continue operating the submarine cable system within or earlier than sixty (60) days prior to the date of license expiration.

(aa) The licensee must notify the Commission, within sixty (60) days prior to any retirement of its submarine cable system, of the planned retirement of the submarine cable system. The notification shall be filed under the relevant license file number in the Commission's International Communications Filing System (ICFS), or any successor system.

(bb) The licensee shall comply with the requirements of § 1.80003(l)(1)(i) of this chapter.

(cc) The licensee shall comply with the requirements of § 1.80003(l)(1)(ii) of this chapter.

(dd) The licensee must submit a certification, within sixty (60) days of the release of a Public Notice by the Commission or the Public Safety and Homeland Security Bureau announcing any new addition of equipment or services to the Covered List that the Commission maintains on its website pursuant to the Secure Networks Act, 47 U.S.C. 1601-1609, that:

(1) Acknowledges the addition to the Covered List, irrespective of whether the entity uses such equipment or services in its submarine cable system, whether or not the licensee uses such equipment or services in its submarine cable system, and

(2) Includes a brief description of how and the purpose for which such equipment or services are used on the submarine cable system, if applicable.

(ee) No licensee shall enter into a new or extension of an existing arrangement with any third-party service provider for the provision of services relating to the submarine cable system that is identified in paragraphs (ee)(1)(i) through (iii) of this section, except as otherwise specified in paragraph (ee)(1)(iv).

(1) A licensee whose application for a cable landing license is filed and granted after [effective date of amendatory instruction 11] shall not use a third-party service provider, as defined in § 1.70001(d), to provide services relating to submarine cable, that is identified in paragraphs (ee)(1)(i) through (iii) of this section, except as otherwise specified in paragraph (ee)(1)(iv).

(i) An entity owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, as defined in § 1.70001(g);

(ii) An entity identified on the Covered List that the Commission maintains on its website pursuant to the Secure Networks Act, 47 U.S.C. 1601-1609; and/or

(iii) An entity that can access the submarine cable system from a foreign adversary country, as defined in § 1.70001(f).

(iv) This paragraph (ee) shall not apply to a licensee that is an entity identified on the Covered List. This paragraph (ee) shall not apply where any entity described in

paragraphs (ee)(1)(i)-(iii) of this section is involved in providing repair and maintenance to the wet segment of a Commission-licensed submarine cable.

(2) [Reserved]

(ff) Within thirty (30) days of initiating a service by a third-party service provider that is identified in § 1.70007(ee)(1)(i)-(iii) for the repair and maintenance of the wet segment of the licensed submarine cable, the licensee must file a letter certifying as to the information in paragraphs (ff)(1) through (9) of this section. The letter must be signed by an officer of the licensee and may be filed on a confidential basis. The licensee shall file the letter under the relevant license file number in the Commission's International Communications Filing System (ICFS), or any successor system.

(1) The name and address of the third-party service provider and link to the company website, if available;

(2) The name of the licensed cable system and the segment for which the service was provided;

(3) Identify the location where the service was provided, including if the service was provided at sea or from a certain country or if service was remotely provided;

(4) The start and end date of the repair and/or maintenance service or estimated end date and a description of the service provided, including whether the service was due to an emergency or routine maintenance;

(5) Whether the third-party service provider is owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, as defined in § 1.70001(g), is an entity identified on the Covered List that the Commission maintains on its website pursuant to the Secure Networks Act, 47 U.S.C. 1601-1609, and/or is an entity that can access the submarine cable from a foreign adversary country, as defined in § 1.70001(f);

(6) The country of organization of the third-party service provider;

(7) Identify the foreign adversary country, as defined in § 1.70001(f), from where the entity can access the submarine cable, if applicable;

(8) Whether the ship or vessel was produced in a foreign adversary country, as defined in § 1.70001(f); and

(9) Whether the crew of the ship or vessel at the time that the service was provided consisted of any national of a foreign adversary country, as defined in § 1.70001(f), and the number of crew.

(gg) A licensee subject to § 1.70003 and criteria under § 1.70018 shall submit an SLTE Foreign Adversary Annual Report every year consistent with the requirements under § 1.70018.

(hh) A licensee subject to § 1.70003(b) must create, implement, and update a cybersecurity and physical security risk management plan applicable to its SLTE operations. The cybersecurity and physical security risk management plan shall meet basic requirements consistent with paragraphs (hh)(1) through (3) of this section.

(1) The plan must describe how the entity takes or will take reasonable measures to employ its organizational resources and processes to ensure the confidentiality, integrity, and availability of its systems and services that could affect its provision of communications services through the SLTE portion of the submarine cable system;

(2) The plan must identify the cyber risks that the entity faces, the controls it uses or plans to use to mitigate those risks, and how it ensures that these controls are applied or will be applied effectively to its operations; and

(3) The plan must address both logical and physical access risks, as well as supply chain risks.

(4) The licensee shall submit cybersecurity and physical security risk management plans to the

Commission upon request. The Office of International Affairs, in coordination with the Public Safety and Homeland Security Bureau, may request, at their discretion, submission of such cybersecurity and physical security risk management plans and evaluate them for compliance with paragraph (hh) of this section. The cybersecurity and physical security risk management plans provided under this paragraph (hh) shall be treated as presumptively confidential.

(ii) A licensee whose application was exempted from referral to the Executive Branch agencies pursuant to § 1.40001(b), shall comply with the national security standards, as set forth in paragraphs (ii)(1) through (9) of this section, upon which the cable landing license is conditioned. A licensee's failure to comply with these national security standards or resolve compliance concerns shall constitute grounds for revocation and/or termination of the cable landing license.

(1) The licensee shall ensure that:

(i) No entity holding less than 5% direct interest in the submarine cable system is owned by, controlled, or subject to the jurisdiction or direction of a foreign adversary, as defined in § 1.70001(g);

(ii) The licensee has not entered into and will not enter into an agreement, formal or informal, with entities owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, as defined in § 1.70001(g), to secure financing (such as business loans or bonds, debts, lines of credit, debt forgiveness, or in kind contributions or services) related to or affecting the submarine cable system; and

(iii) The licensee has no strategic partnerships nor has entered or will enter into mergers with entities owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, as defined in § 1.70001(g), that might affect access to and/or the management or operation of the submarine cable system.

(2) The licensee shall ensure that:

(i) No senior official of the licensee or the licensee's parent company(ies) meets the definition of "owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary," as defined in § 1.70001(g), and

(ii) No senior official of the licensee or any of the licensee's parent company(ies) performs or will perform duties with respect to the submarine cable system from a foreign adversary country, as defined in § 1.70001(f).

(iii) For purposes of complying with this paragraph (ii)(2), the licensee shall rely on the definition and terms set forth in § 1.40001(b)(3).

(3) The licensee shall ensure that it will prohibit its customers or any further downstream customers from entering into a new or extension of an existing arrangement, such as for IRUs or leases for capacity on the submarine cable, where such arrangement would give an entity that is owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, as defined in § 1.70001(g), the ability to install, own, or manage SLTE on the submarine cable.

(i) To meet this national security standard, the licensee shall adopt contractual provisions in the arrangements described in this paragraph (ii)(3) that prohibit its customers or any further downstream customers from selling, leasing out, sharing, or swapping fiber, spectrum, or capacity to or with an entity that is owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, as defined in § 1.70001(g).

(ii) [Reserved]

(4) The licensee shall:

(i) File with the Commission and the Committee Members, as the term is defined in § 1.70001(l) and used hereafter in this section, a list identifying all of its arrangements

described in paragraph (iii)(3) of this section, including the legal name, Employer Identification Number (EIN) (if available), website, and the physical address of the headquarters of each contracting party and the type and duration of each arrangement, and provide copies of all such arrangements within sixty (60) days of commencing service on the submarine cable. The licensee must also identify in this filing whether or not each contracting entity is “owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary,” as defined in § 1.70001(g), and whether or not each arrangement gives any such entity the ability to install, own, or manage SLTE on a submarine cable landing in the United States.

(ii) Continue filing the information in paragraph (ii)(4)(i) and copies of all such arrangements with the Commission and the Committee Members as part of an annual report required under paragraph (ii)(9)(iii) of this section. The annual report must also identify any such arrangements that ended as of the licensee’s most recent annual report and identify which arrangements are new as of the most recent report.

(iii) The information provided under this section shall be treated as presumptively confidential.

(iv) Authority is delegated to OIA to request, at its discretion, submission of any arrangements subject to paragraph (ii)(4) of this section by the licensee(s) and to evaluate them for compliance with the national security standards in this section 1.70007(ii).

(5) The licensee shall ensure that the submarine cable system will not connect directly or via a branching unit with a submarine cable:

(i) That is owned or operated by an entity that is owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, as defined in § 1.70001(g), or

(ii) That lands in a foreign adversary country, as defined in § 1.70001(f).

(6) The licensee shall ensure that it has created and will implement and update an enhanced cybersecurity and physical security risk management plan consistent with the requirements set out in § 1.40001(b)(7).

(i) OIA, in consultation with the Public Safety and Homeland Security Bureau (PSHSB), may require the licensee, upon request, to submit the cybersecurity and physical security risk management plan to the Commission and Committee Members to assess whether the licensee is in compliance with the national security standard. The cybersecurity and physical security risk management plans provided under this subsection shall be treated as presumptively confidential.

(ii) [Reserved]

(7) The licensee shall ensure that it will:

(i) Report to the Commission and to the Committee Members in writing within seventy-two (72) hours if it learns of information that reasonably indicates unauthorized access to, or disruption or corruption of, a submarine cable system, its management servers, or any service, communications, or information being carried on a submarine cable system, or a significant attempt to gain unauthorized access to such system, service, communications, or information being carried on a submarine cable system, or a significant attempt to gain unauthorized access to such system, service, communications, or information. This includes unauthorized access to, or disruption or corruption of, third-party service providers’ (as defined in § 1.70001(d)) systems, SLTE owners’ or operators’ systems, or IRU holders’ systems that could reasonably be expected to harm the physical or logical security of the licensee’s submarine cable system. Reportable incidents include, but are not limited to, unauthorized physical or logical access to cable facilities, including but not

limited to, the cable landing station space or any NOC, as defined in § 1.70001(n); unauthorized access to or disclosure of network management information; cable cuts; data compromise; or unauthorized system modification.

(ii) Submit to the Commission and Committee Members within fifteen (15) days of learning of the incident a detailed written report describing in greater depth the incident identified in the initial report and its steps to remediate that incident.

(iii) Submit updates to the Commission and the Committee Members, as requested by the Commission, and continue providing supplementary information until the Commission's evaluation is complete.

(iv) Authority is delegated to the Public Safety and Homeland Security Bureau to consult with the Committee Members to determine how licensees will submit the required incident reports, including the reporting submission and review platform and the required reporting fields, and to seek comment and adopt rules relating to such reporting for the purpose of implementing the Commission's requirement.

(v) For purposes of this paragraph (ii)(7), the term "unauthorized" is defined as in a manner without permission or that exceeds authorization. The term "access" is defined consistent with § 1.70001(i).

(8) The licensee shall implement heightened physical and logical security controls. For purposes of this paragraph (ii)(8), the terms "domestic communications," "principal equipment," "Network Operations Center" (or "NOC"), "sensitive U.S. records" are defined consistent with § 1.70001(j), (m), (n), (o). Information provided pursuant to this subsection shall be treated as presumptively confidential. Specifically, the licensee shall implement heightened physical and logical security controls that:

(i) Meet appropriate physical security standards consistent with the Commission's rules in this paragraph (ii)(8), such as taking all practicable measures to physically secure the submarine cable system, including the cable landing station(s), NOC(s), beach manholes and related sites, principal equipment, and SLTEs;

(ii) Not provide any individual or entity that is owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, as defined in § 1.70001(g), and/or an entity that is identified on the Covered List, that the Commission maintains on its website pursuant to the Secure and Trusted Communications Networks Act of 2019 (Secure Networks Act), 47 U.S.C. 1601 through 1609, with physical and/or logical access to the submarine cable system, including but not limited to the cable landing station(s), NOC(s), beach manhole(s) and related sites, principal equipment, and SLTEs;

(iii) Not provide any individual or entity that is owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, as defined in § 1.70001(g), and/or an entity that is identified on the Covered List with access to sensitive U.S. records and domestic communications;

(iv) Not provide any individual or entity located in a foreign adversary country, as defined in § 1.70001(f), with physical or logical access to the submarine cable system sensitive U.S. records, or domestic communications;

(v) Adopt personnel screening and vetting measures for individuals whose position could involve securing principal equipment and/or physical and/or logical access to the submarine cable system (including but not limited to: the cable landing station(s), NOC(s), beach manholes and related sites, principal equipment, and SLTEs), sensitive U.S. records, and/or domestic communications;

(vi) Adopt a written policy that will include, at a minimum, background investigations,

public criminal records checks, or other analogous means to ascertain an individual's trustworthiness, subject to applicable law, conducted at least every five (5) years;

(vii) Ensure adherence to these requirements;

(viii) Report to the Commission and Committee Members the identities of all foreign individuals with physical and/or logical access to the submarine cable system (including but not limited to the cable landing station(s), NOC(s), beach manholes and related sites, principal equipment, and SLTEs), sensitive U.S. records, and/or domestic communications, or who secure principal equipment, within thirty (30) days of the submarine cable commencing service; and report any changes on a quarterly basis, including identifying new personnel with access and personnel who no longer have access;

(ix) Provide the Commission and the Committee Members annually in the report described in paragraph (ii)(9)(iii) of this section, with the submission of the names and information on: security officers, foreign participation, security policies, owners and officers, operational requirements, locations of access, principal equipment, third-party service providers (as defined in § 1.70001(d)), foreign persons or entities with access, SLTE owners and controllers, as well as any such information requested by the Commission and/or the Committee Member from the SLTE owners and operators. Authority is delegated to the Office of International Affairs, in coordination with the Public Safety and Homeland Security Bureau and the Committee Members as needed, to determine the information to be submitted and provide further guidance;

(x) Provide advance notification of thirty (30) days to the Commission and the Committee Members and obtain the majority of the Committee Members' non-objection in writing prior to the testing, adding, or use of any sensing capability (such as distributed acoustic, thermal, seismic, or other sensing) on the submarine cable system by any person (e.g., licensee, other third party, service provider, principal equipment provider), consistent with the requirements set forth in § 1.40001(b)(9)(x); and

(xi) Provide updates to its submarine cable system information to the Commission and the Committee Members annually and within thirty (30) days of the change, to include but not limited to:

(A) A network and fiber map or diagram that includes physical and logical topology, including any terrestrial backhaul from the cable landing stations to the SLTE locations or other facilities housing principal equipment of the submarine cable;

(B) Network and telecommunications architecture descriptions and associated descriptions of interconnection points and controlled gateways to the principal equipment; and

(C) Descriptions of interfaces and connections to the submarine cable system for service offload, disaster recovery, or administrative functions.

(9) The licensee shall ensure that it consents to reporting to, and ongoing monitoring and inspection by, the Commission and the Committee Members throughout the term of the cable landing license to assess its compliance with all applicable routine conditions and national security standards. Authority is delegated to OIA, in consultation with the Committee Members, to, if it deems necessary to ensure compliance, administer audits to ensure compliance with these national security standards, including authority to establish the qualifications and approval of third-party auditors, establish deadlines and submission procedures, and coordinate with other U.S. government agencies as necessary. The licensee shall consent to:

(i) Monitoring and inspection of the licensee's facilities where principal equipment, as

defined in § 1.70001(m), is located or that support the operation of the submarine cable system's connections to or from the United States, including but not limited to the NOC, as defined in § 1.70001(n), by the Commission and/or any other relevant U.S. government agencies, including the Committee Members;

(ii) Allowing the Commission and/or the Committee Members to meet with the licensee's personnel and conduct on-site interviews and to request additional information as necessary, throughout the term of the cable landing license, to verify the implementation of and compliance with all applicable routine conditions and national security standards;

(iii) Providing the Commission and Committee Members with an annual report, and upon request by the Commission, of its compliance with all applicable routine conditions and national security standards throughout the term of the license. The report shall include updated information and identify any changes made in the reporting period to:

(A) The names and contact information of the points of contact (POCs), and security and compliance officers;

(B) Ownership and foreign participation information;

(C) A list of all officers;

(D) The locations of access for the submarine cable;

(E) All third-party service providers, principal equipment, as defined in § 1.70001(m), and foreign persons or entities with access;

(F) The names and contact information of the SLTE owners and operators on the submarine cable, as well as any information requested by the Commission and/or the Committee Members from the SLTE owners and/or operators;

(G) All security policies;

(H) Any operational changes and/or expansion plans for the submarine cable;

(I) A summary of any events that occurred during the reporting period that will or reasonably could impact the effectiveness of or compliance with the national security standards; and

(J) A certification that the licensee remains in compliance with all applicable routine conditions and national security standards or, if there were any known acts of noncompliance with the routine conditions and national security standards, a summary of such acts—whether inadvertent or intentional, with a discussion of what steps have been or will be taken to prevent such acts from occurring in the future.

(K) The annual report shall be submitted each year in the relevant license file number(s) in ICFS or any successor system. A copy of the report shall be filed directly with the Committee Members;

(iv) Allowing the Commission and/or the Committee Members to periodically, and no more than biennially, request a third-party audit or assessment of compliance with all applicable routine conditions and national security standards;

(v) Providing the Commission and the Committee Members with the name, title, business address, email address, and telephone number of a designated Security and Compliance Officer, who serves or will serve as the primary point of contact for license and compliance matters. This officer will be responsible for implementing and maintaining the licensee's cybersecurity and physical security risk management plans and ensuring

adherence to the Commission's security and compliance requirements for the cable system.

(A) The Security and Compliance Officer shall be a U.S. citizen who is eligible for a U.S. government security clearance at the "Secret" level or higher. The Security and Compliance Officer will possess the appropriate senior-level corporate authority, reporting lines, independence, technical skills, and resources required to assess the cybersecurity, physical security, and logical security of submarine cable systems and to ensure compliance with the applicable Commission rules and regulations.

(B) The licensee shall notify the Commission and the Committee within ten (10) days of any change in the designated officer or the officer's contact information. The licensee shall work with the Commission and Committee Members to resolve any national security or law enforcement concerns that the Commission or Committee may raise with respect to the Security and Compliance Officer; and

(vi) Notifying the Commission and the Committee Members within seventy-two (72) hours of any violation of applicable routine conditions or national security standards, including a description of the violation and an explanation for why it occurred, and a description of any steps taken to remediate the violation.

12. Delayed indefinitely, amend § 1.70011 by revising paragraphs (a)(2) and (b)(4) to read as follows:

§ 1.70011 Applications for modification of a cable landing license.

* * * * *

(a) * * *

(2) Certifications set forth under § 1.70006, except for § 1.70006(d) through (f). In addition to the certification set forth in § 1.70006(a), the licensee must certify that no third-party service provider, as defined in § 1.70001(d), will be used to provide services relating to the new segment(s) and/or cable landing station(s) that is an entity identified in § 1.70007(ee)(1)(i) through (iii), except as otherwise specified in § 1.70007(ee).

(i) A licensee seeking a modification of a cable landing license must certify in an application filed after [effective date of the amendatory instruction 12], that no principal equipment, as defined in § 1.70001(m), that is produced (including any major stage of the process through which the device is made, including manufacturing, assembly, design, and development) by any entity owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, as defined in § 1.70001(g), will be used on or added to the new segment(s) and/or landing station(s) of the submarine cable system, whether by the licensee or any other entity.

(ii) A licensee seeking a modification of a cable landing license must certify in the application that it has created, updated, and implemented a cybersecurity and physical security risk management plan, consistent with §§ 1.70006(c) and 1.70007(q).

* * * * *

(b) * * *

(4) Certifications set forth under § 1.70006 for the proposed new licensee, except for § 1.70006(d) through (f);

* * * * *

13. Delayed indefinitely, amend § 1.70012 by revising paragraph (b)(7) to read as follows:

§ 1.70012 Substantial assignment or transfer of control applications.

* * * * *

(b) * * *

(7) The certifications set forth in § 1.70006, except for § 1.70006(d) through (f). A licensee seeking an assignment or transfer of control must certify in the application that it has created, updated, and implemented a cybersecurity and physical security risk management plan, consistent with §§ 1.70006(c) and 1.70007(q). The application must include a certification that the assignee or the transferee and the licensee that is the subject of the transfer of control accepts and will abide by the routine conditions specified in § 1.70007.

* * * * *

14. Delayed indefinitely, amend § 1.70014 by revising paragraph (b) to read as follows:

§ 1.70014 Processing of applications.

* * * * *

(b) *Submission of application to executive branch agencies.*

(1) On the date of filing with the Commission, the applicant shall also send a complete copy of the application, or any major amendments or other material filings regarding the application by electronic mail or postal mail, to: U.S. Coordinator, EB/CIP, U.S. Department of State, 2201 C Street NW, Washington, DC 20520-5818; Office of Chief Counsel/NTIA, U.S. Department of Commerce, 14th St. and Constitution Ave. NW, Washington, DC 20230; and Defense Information Systems Agency, ATTN: OGC/DDC, 6910 Cooper Avenue, Fort Meade, MD 20755—7088, and electronically as identified on the FCC website at <https://www.fcc.gov/submarine-cables> and shall certify such service electronically or by postal mail on a service list attached to the application or other filing. Authority is delegated to the Office of International Affairs to amend this rule and to amend the referenced website herein as necessary to update contact information and the list of agencies for filing.

(2) On the date of filing with the Commission, the applicant(s) seeking exemption from referral to the Executive Branch agencies pursuant to § 1.40001(b) shall also send a complete copy of the application, or any major amendments or other material filings regarding the application, electronically to the Committee for the Assessment of Foreign Participation in the United States Telecommunications Services Sector (Committee). The applicant shall certify such service on a service list attached to the application or other material filing. Authority is delegated to the Office of International Affairs to make ministerial changes to the website referenced in paragraph 1.70014(b)(1) of this section as necessary and appropriate to update contact information of the Committee for purposes of this requirement. Specifically, the applicant must submit the application or other material filing to: U.S. Department of Justice; U.S. Department of Homeland Security; U.S. Department of Defense; and National Telecommunications and Information Administration.

(i) The application will be placed on an informative public notice stating that the applicant has requested an exemption from referral and the application was submitted to the Committee.

(ii) The Committee or any Committee Member may notify the Commission in writing by filing in the relevant file number in the International Communications Filing System (ICFS) within thirty (30) days of the release date of the public notice if it objects to the

exemption and requests referral of the application for further review pursuant to Executive Order 13913. Referral may only be requested via a filing in the relevant ICFS file number wherein the Committee or a Committee Member identifies credible and articulable national security, law enforcement, or other concerns specific to the applicant or the cable system, along with an explanation for why Committee referral is requested, and may include filing confidential and/or classified information if appropriate. In extraordinary extenuating circumstances, the Committee may request an additional thirty (30) days to complete its review and notify the Commission if it objects to the exemption and requests referral of the application pursuant to Executive Order 13913. In the case of a lapse of funding impacting any Committee Member's ability to review the information, this thirty (30) day period will be tolled and shall resume once funding is restored and review can continue. The Committee's requests for referral shall not be used to routinely refer all applications that presumptively qualify for the exemption. The Commission shall retain discretion whether or not to refer the application.

(iii) An applicant that seeks an exemption from referral pursuant to § 1.40001(b) shall comply with the requirement to file responses to standard questions pursuant to §§ 1.70005(j)(1) and 63.18(p) if applicable. Such applicant shall not be subject to the time frames and requirements of § 1.40004, unless or until such time the Commission determines that the application should be referred to the Executive Branch agencies.

15. Delayed indefinitely, amend § 1.70017 by revising the end of paragraph (b)(4), adding paragraph (b)(5), revising paragraph (c)(2), and revising paragraph (d) to read as follows:

§ 1.70017 Foreign adversary annual report for licensees.

* * * * *

(b) This annual reporting requirement applies to a licensee:

* * * * *

(4) * * * ; and/or

(5) That has purchased, rented, leased, or otherwise obtained or utilized equipment and/or services on the Covered List and/or is using such equipment or services in the submarine cable.

* * * * *

(c) * * *

(2) Certifications as set forth under § 1.70006, except for 1.70006(b), (d) through (f).

* * * * *

(d) * * * OIA shall determine the technical implementation of the Foreign Adversary Annual Report, including developing and modifying forms and instructions and administering the filing of the report, as appropriate. OIA shall establish and modify, as appropriate, the filing manner and associated deadlines for the Foreign Adversary Annual Report. OIA may, if needed, consult with the relevant Executive Branch agencies concerning the filing manner and associated deadlines for the annual reports. Licensees shall file the Foreign Adversary Annual Report pursuant to the deadlines.

* * * * *

16. Delayed indefinitely, add § 1.70018 to read as follows:

§ 1.70018 SLTE foreign adversary annual report for licensees.

(a) *Annual report.* Any licensee subject to § 1.70003(a) or (b) that owns and/or operates SLTE and meets any of the criteria under paragraph (b) of this section shall file every year an annual report in the relevant

File Number in the Commission's International Communications Filing System (ICFS), or any successor system.

(b) **Criteria for who must report.** The annual reporting requirement in this section applies to a licensee that owns or operates SLTE and:

- (1) That is owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, as defined in § 1.70001(g);
- (2) That is identified on the Covered List that the Commission maintains on its website pursuant to the Secure Networks Act, 47 U.S.C. 1601 through 1609;
- (3) That has purchased, rented, leased, or otherwise obtained or utilized equipment and/or services on the Covered List and/or is using such equipment or services in the submarine cable;
- (4) Whose authorization, license, or other Commission approval, whether or not related to the operation of a submarine cable, was denied or revoked and/or terminated or is denied or revoked and/or terminated in the future on national security and law enforcement grounds, as well as the current and future affiliates or subsidiaries of any such entity as defined in § 2.903(c) of this chapter; and/or
- (5) The submarine cable system for which the entity is licensed to operate in the United States pursuant to § 1.70003, lands in a foreign adversary country, as defined in § 1.70001(f), or the licensee's SLTE is owned in or operated from a foreign adversary country such that the operation directly or indirectly connects the United States with any foreign country.

(c) **Information contents.** The SLTE Foreign Adversary Annual Report shall include information that is current as of thirty (30) days prior to the filing deadline, as follows:

- (1) The information of the licensee as required in §§ 1.70005(a) through (d), (g), and 63.18(h);
- (2) The location(s) of the SLTE(s) that the licensee owns and/or operates;
- (3) Identify and describe whether the SLTE(s) is managed or operated by a third party; and
- (4) Identify and describe whether the licensee leases, sells, shares, or swaps fiber, capacity, or spectrum on a Commission-licensed submarine cable system, including the name of each submarine cable system.
- (5) Certifications as set forth under § 1.70006(b); and
- (6) Certification that the licensee accepts and will abide by the routine conditions in § 1.70007 upon which its cable landing license is conditioned as set forth in § 1.70003.

(d) **Filing schedule.** The Office of International Affairs (OIA) shall establish and modify, as appropriate, the filing deadlines for the SLTE Foreign Adversary Annual Report. OIA shall consult with the Committee Members, and if needed, other relevant Executive Branch agencies concerning the filing deadlines for the SLTE Foreign Adversary Annual Report. OIA shall determine the technical implementation of the SLTE Foreign Adversary Annual Report, including developing and modifying forms and instructions and administering the filing of the report, as appropriate. OIA, in consultation with the Committee Members if needed, shall develop, implement, and modify the SLTE Foreign Adversary Annual Report as necessary. Licensees shall file the SLTE Foreign Adversary Annual Report pursuant to the deadlines.

- (1) A licensee that owns and/or operates SLTE on a submarine cable landing in the United States must submit both the Foreign Adversary Annual Report under § 1.70017 and the SLTE Foreign Adversary Annual Report under this section if it meets any of the criteria set out in § 1.70017(b) and in § 1.70018(b).
- (2) [Reserved]

(e) **Filing with the committee.** Licenses shall file a copy of the SLTE Foreign Adversary Annual Report directly with the Committee Members, as defined in § 1.70001(l).

17. Delayed indefinitely, amend § 1.70020 by revising paragraph (b) to read as follows:

§ 1.70020 Renewal and extension applications.

* * * * *

(b) The application must include the information and certifications required in §§ 1.70002(b) through (c), 1.70004, 1.70005 except as specified herein, and 1.70006, except for 1.70006(d) through (f). A licensee seeking a renewal or extension of a cable landing license must certify in the application that it has created, updated, and implemented a cybersecurity and physical security risk management plan, consistent with §§ 1.70006(c) and 1.70007(q).

* * * * *

18. Delayed indefinitely, add § 1.70025 to read as follows:

§ 1.70025 Foreign adversary equipment certification for cable landing licensees.

Each cable landing licensee shall submit a certification, within sixty (60) days of [effective date of amendatory instruction 18], that no principal equipment, as defined in § 1.70001(m), that is produced (including any major stage of the process through which the device is made, including manufacturing, assembly, design, and development) by any entity owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, as defined in § 1.70001(g), will be added, whether by the licensee or any other entity, to its licensed submarine cable system.

(a) The certification shall be filed under the relevant license file number(s) in the Commission's International Communications Filing System (ICFS), or any successor system.

(b) For those licensees with multiple cable landing licenses, the licensee will need to certify for each submarine cable system.

19. Delayed indefinitely, add § 1.70026 to read as follows:

§ 1.70026 Prohibited third-party service providers for cable landing licensees.

(a) Each cable landing licensee shall submit a certification, within sixty (60) days of [effective date of amendatory instruction 19], that it will not enter into a new or extension of an existing arrangement with any third-party service provider, as defined in § 1.70001(d), for the provision of services relating to the submarine cable system that is identified in paragraphs (a)(1) through (3) of this section, except as otherwise specified in paragraph (a)(4):

(1) An entity owned by, controlled by, or subject to the jurisdiction or direction of a foreign adversary, as defined in § 1.70001(g);

(2) An entity identified on the Covered List that the Commission maintains on its website pursuant to the Secure Networks Act, 47 U.S.C. 1601-1609; and/or

(3) An entity that can access the submarine cable system from a foreign adversary country, as defined in § 1.70001(f).

(4) This paragraph (a) shall not apply to a licensee that is an entity identified on the Covered List. This paragraph (a) shall not apply where any entity identified in paragraphs (a)(1)-(3) of this section is involved in providing repair and maintenance to the wet segment of a Commission-licensed submarine cable; provided, the licensee must comply with § 1.70007(ff) as necessary.

(b) The certification shall be filed under the relevant license file number(s) in the Commission's International Communications Filing System (ICFS), or any successor system.

(c) For those licensees with multiple cable landing licenses, the licensee will need to certify for each submarine cable system.

20. Delayed indefinitely, add § 1.70027 to read as follows:

§ 1.70027 Prohibited infeasible rights of use for cable landing licensees.

Each cable landing licensee shall submit a certification, within sixty (60) days of [effective date of amendatory instruction 20], that it will not enter into a new arrangement or extend an existing arrangement, such as for Infeasible Rights of Use (IRUs) or leases for capacity on the licensed submarine cable system, with an entity identified on the Covered List that the Commission maintains on its website pursuant to the Secure Networks Act, 47 U.S.C. 1601-1609, where such arrangement would give the entity (i.e., the IRU holder or lessee) the ability to install, own, or manage SLTE on a submarine cable landing in the United States. The licensee shall prohibit its customers and any further downstream customers from entering into such arrangements.

(a) The certification shall be filed under the relevant license file number(s) in the Commission's International Communications Filing System (ICFS), or any successor system.

(b) For those licensees with multiple cable landing licenses, the licensee will need to certify for each submarine cable system.

21. Delayed indefinitely, add § 1.70028 to read as follows:

§ 1.70028 Foreign adversary certifications for cable landing licensees.

Each cable landing licensee shall submit a certification, within sixty (60) days of [effective date of amendatory instruction 21], that the licensee will comply with the requirements of § 1.80003(1)(1)(i) and (ii) of this chapter.

(a) The certification shall be filed under the relevant license file number(s) in the Commission's International Communications Filing System (ICFS), or any successor system.

(b) For those licensees with multiple cable landing licenses, the licensee will need to certify for each submarine cable system.

22. Delayed indefinitely, add § 1.70029 to read as follows:

§ 1.70029 Changes to covered list certifications for cable landing licensees.

Each cable landing licensee shall certify, within sixty (60) days of [effective date of amendatory instruction 22], that the licensee will submit a certification, within sixty (60) days of the release of a Public Notice by the Commission or the Public Safety and Homeland Security Bureau announcing any new addition of equipment or services to the Covered List that the Commission maintains on its website pursuant to the Secure Networks Act, 47 U.S.C. 1601-1609, that:

(a) Acknowledges the addition to the Covered List, irrespective of whether the entity uses such equipment or services in its submarine cable system, and

(b) Includes a brief description of how and the purpose for which such equipment or services are used on the submarine cable system, if applicable.

(c) The certification shall be filed under the relevant license file number(s) in the Commission's International Communications Filing System (ICFS), or any successor system.

(d) For those licensees with multiple cable landing licenses, the licensee will need to certify for each submarine cable system.

APPENDIX B

Final Regulatory Flexibility Analysis

1. As required by the Regulatory Flexibility Act of 1980, as amended (RFA),¹ the Federal Communications Commission (Commission) incorporated an Initial Regulatory Flexibility Analysis (IRFA) in the *2025 Submarine Cable Further Notice*, released in August 2025.² The Commission sought written public comment on the proposals in the *2025 Submarine Cable Further Notice*, including comment on the IRFA. No comments were filed addressing the IRFA. This Final Regulatory Flexibility Analysis (FRFA) conforms to the RFA and it (or summaries thereof) will be published in the Federal Register.³

A. Need for, and Objectives of, the Rules

2. The *Second Report and Order* builds upon the rules adopted in the *2025 Submarine Cable First Report and Order*⁴ and represents another milestone in the Commission's ongoing effort to facilitate faster and more efficient deployment of submarine cables, while at the same time ensuring the security and integrity of this critical infrastructure. As we note in this *Second Report and Order*, submarine cables are the most consequential and critical communications infrastructure serving the United States. Submarine cables have been called "invisible highways" under the ocean and carry the vast majority of global Internet and communications traffic.⁵ According to one report, the global surge in artificial intelligence (AI) is fueling "an unprecedented wave of investment" in submarine cables, and investment in new submarine cables is projected to reach \$13 billion between 2025 and 2027, which is "nearly double the amount spent in the previous three years."⁶ However, this growth in global connections comes with risks that motivate us to recalibrate our national security approach for submarine cable systems. The rules we adopt today will ensure that the United States remains the unrivaled world leader in critical and emerging technologies such as AI.⁷ This *Second Report and Order* adopts enhanced requirements for purposes of streamlining our licensing process while improving the Commission's oversight and protecting national security. These key objectives are aligned with Executive Order 14365, as "United States leadership in Artificial Intelligence (AI) will promote United States national and economic security and dominance across many domains."⁸

¹ 5 U.S.C. §§ 601 *et seq.*, as amended by the Small Business Regulatory Enforcement and Fairness Act (SBREFA), Pub. L. No. 104-121, 110 Stat. 847 (1996).

² *Review of Submarine Cable Landing License Rules and Procedures to Assess Evolving National Security, Law Enforcement, Foreign Policy, and Trade Policy Risks*, OI Docket No. 24-523, MD Docket No. 24-524, Further Notice of Proposed Rulemaking, 40 FCC Rcd 6481, 6680, Appendix D (Initial Regulatory Flexibility Analysis) (Aug. 13, 2025) (*2025 Submarine Cable First Report and Order and FNPRM*); corrected by Erratum, <https://docs.fcc.gov/public/attachments/DOC-414544A1.pdf> (OIA and OMD Sept. 16, 2025); corrected by Second Erratum, <https://docs.fcc.gov/public/attachments/DOC-415107A1.pdf> (OIA and OMD Oct. 24, 2025).

³ 5 U.S.C. § 604.

⁴ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6626-56, Appx. A.

⁵ See generally Sachin Gaur, *Invisible highways: The vast network of undersea cables powering our connectivity* (Feb. 2, 2026), United Nations UN News, <https://news.un.org/en/story/2026/02/1166867>.

⁶ CircleID, *AI Boom Spurs Record Investment in Undersea Cables Amid Geopolitical and Security Concerns* (Nov. 10, 2025), <https://circleid.com/posts/ai-boom-spurs-record-investment-in-undersea-cables-amid-geopolitical-and-security-concerns>.

⁷ Exec. Order No. 14365 of December 11, 2025, Ensuring a National Policy Framework for Artificial Intelligence, 90 Fed. Reg. 58499 (Dec. 16, 2025) (Executive Order 14365).

⁸ *Id.*

3. In this *Second Report and Order*, we adopt rules that streamline our submarine cable licensing process while strengthening national security protections. First, we reaffirm our commitment to the security, integrity, and resilience of submarine cables by adopting a licensing requirement for entities that own and/or operate submarine line terminal equipment (SLTE). The Commission reinforces that “[t]he SLTE is among the most important equipment associated with the submarine cable system.”⁹ Second, we grant a blanket license to current and future SLTE owners and operators,¹⁰ with the exception of any entities seeking to own or operate new SLTE that would be subject to our foreign adversary and/or character presumptive disqualifying conditions. Third, we adopt a routine condition requiring licensees that own or operate SLTE and meet certain foreign adversary criteria to submit SLTE Foreign Adversary Annual Reports to the Commission. Fourth, we make targeted improvements to the submarine cable licensing rules by adopting national security-related routine conditions and certification requirements. Finally, we adopt an approach to expedite the deployment of submarine cables by presumptively excluding applications that meet certain national security standards from Commission referral to the Executive Branch agencies.

B. Summary of Significant Issues Raised by Public Comments in Response to the IRFA

4. No specific comments on the IRFA were made on the record; however, commenters addressed the potential impact of the Commission’s proposed rules in the *2025 Submarine Cable Further Notice* on small businesses or smaller players in specific industries. We summarize these comments here and analyze the impact of the Commission’s adopted rules in section F of this FRFA.

5. A commenter raised concerns about small business impacts in response to potential Commission requirements to remove and replace certain equipment in the submarine cable system, and shared observations from previous “rip and replace” requirements in other settings.¹¹ The commenter also raised concerns about potential impacts to small and medium-sized licensees that would need to determine the entities in their global supply chain that would be prohibited from being used in the “submarine cable infrastructure.”¹² Other commenters raised concerns about the burden on SLTE owners and operators to become licensees or to submit reports;¹³ submarine cable licensees to submit certifications and reports;¹⁴ and of customized existing mitigation agreements instead of standardized mitigation.¹⁵

6. The Commission responded to the concerns of commenters by not adopting some of the proposals from the *2025 Submarine Cable Further Notice* and implementing others in a modified, narrowed fashion. The Commission has considered the above-mentioned comments and has adopted alternatives, discussed in Section F below, to address some of the concerns raised.

⁹ *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6498, 6502, paras. 31, 37 (adopting foreign adversary and character presumptive disqualifying conditions).

¹⁰ In the *Second Report and Order*, we use the term “SLTE owners and operators” to refer to any entity that owns and/or operates SLTE on a submarine cable landing in the United States and is not a licensee under our current submarine cable licensing requirement in section 1.767(h) or section 1.70003(a) and/or (b) as amended. 47 CFR § 1.767(h); *2025 Submarine Cable First Report and Order and FNPRM*, 40 FCC Rcd at 6637, Appx. A (§ 1.70003(a) and (b)).

¹¹ CTIA Comment at 11-13.

¹² CTIA Comment at 16.

¹³ See e.g., TIA Comments at 8-9; NCTA Comments at 3-7.

¹⁴ See e.g., Submarine Cable Coalition Comments at 9; NASCA Comments at 15-20; Microsoft Comments at 14-15.

¹⁵ ICC Comments at 11-12; NASCA Comments at 26-31; Microsoft Comments at 20-22; INCOMPAS Reply at 18-19.

C. Response to Comments by the Chief Counsel for the Small Business Administration Office of Advocacy

7. Pursuant to the Small Business Jobs Act of 2010, which amended the RFA,¹⁶ the Commission is required to respond to any comments filed by the Chief Counsel for the Small Business Administration (SBA) Office of Advocacy, and also provide a detailed statement of any change made to the proposed rules as a result of those comments.¹⁷ The Chief Counsel did not file any comments in response to the proposed rules in this proceeding.

D. Description and Estimate of the Number of Small Entities to Which the Rules Will Apply

8. The RFA directs agencies to provide a description of, and where feasible, an estimate of the number of small entities that may be affected by the adopted rules.¹⁸ The RFA generally defines the term “small entity” as having the same meaning as the terms “small business,” “small organization,” and “small governmental jurisdiction.”¹⁹ In addition, the term “small business” has the same meaning as the term “small business concern” under the Small Business Act.²⁰ A “small business concern” is one which: (1) is independently owned and operated; (2) is not dominant in its field of operation; and (3) satisfies any additional criteria established by the SBA.²¹ The SBA establishes small business size standards that agencies are required to use when promulgating regulations relating to small businesses; agencies may establish alternative size standards for use in such programs, but must consult and obtain approval from SBA before doing so.²²

9. Our actions, over time, may affect small entities that are not easily categorized at present. We therefore describe three broad groups of small entities that could be directly affected by our actions.²³ In general, a small business is an independent business having fewer than 500 employees.²⁴ These types of small businesses represent 99.9% of all businesses in the United States, which translates to 34.75 million businesses.²⁵ Next, “small organizations” are not-for-profit enterprises that are independently owned and operated and are not dominant in their field.²⁶ While we do not have data regarding the number of non-profits that meet that criteria, over 99 percent of nonprofits have fewer than 500 employees.²⁷ Finally, “small governmental

¹⁶ Small Business Jobs Act of 2010, Pub. L. No. 111-240, 124 Stat. 2504 (2010).

¹⁷ 5 U.S.C. § 604 (a)(3).

¹⁸ *Id.* § 604(5).

¹⁹ *Id.* § 601(6).

²⁰ *Id.* § 601(3) (incorporating by reference the definition of “small-business concern” in the Small Business Act, 15 U.S.C. § 632). Pursuant to 5 U.S.C. § 601(3), the statutory definition of a small business applies “unless an agency, after consultation with the Office of Advocacy of the Small Business Administration and after opportunity for public comment, establishes one or more definitions of such term which are appropriate to the activities of the agency and publishes such definition(s) in the Federal Register.”

²¹ 15 U.S.C. § 632.

²² 13 CFR § 121.903.

²³ 5 U.S.C. § 601(3)-(6).

²⁴ See SBA, Office of Advocacy, *Frequently Asked Questions About Small Business* (July 23, 2024), https://advocacy.sba.gov/wp-content/uploads/2024/12/Frequently-Asked-Questions-About-Small-Business_2024-508.pdf.

²⁵ *Id.*

²⁶ 5 U.S.C. § 601(4).

²⁷ See SBA, Office of Advocacy, *Small Business Facts, Spotlight on Nonprofits* (July 2019), <https://advocacy.sba.gov/2019/07/25/small-business-facts-spotlight-on-nonprofits/>.

jurisdictions” are defined as cities, counties, towns, townships, villages, school districts, or special districts with populations of less than fifty thousand.²⁸ Based on the 2022 U.S. Census of Governments data, we estimate that at least 48,724 out of 90,835 local government jurisdictions have a population of less than 50,000.²⁹

10. The rules adopted in the *Second Report and Order* will apply to small entities in the industries identified in the chart below by their six-digit North American Industry Classification System (NAICS)³⁰ codes and corresponding SBA size standard.³¹ Based on currently available U.S. Census data regarding the estimated number of small firms in each identified industry, we conclude that the adopted rules will impact a substantial number of small entities. Where available, we also provide additional information regarding the number of potentially affected entities in the identified industries below.

Table 1. 2022 U.S. Census Bureau Data by NAICS Code

Regulated Industry (Footnotes specify potentially affected entities within a regulated industry where applicable)	NAICS Code	SBA Size Standard	Total Firms³²	Total Small Firms³³	% Small Firms
Wired Telecommunications Carriers ³⁴	517111	1,500 employees	3,403	3,027	88.95%
Wireless Telecommunications Carriers (except Satellite) ³⁵	517112	1,500 employees	1,184	1,081	91.30%
All Other Telecommunications ³⁶	517810	\$40 million	1,673	1,007	60.19%
Computer Infrastructure Providers, Data Processing,	518210	\$40 million	12,054	8,895	73.79%

²⁸ 5 U.S.C. § 601(5).

²⁹ See U.S. Census Bureau, 2022 Census of Governments –Organization, <https://www.census.gov/data/tables/2022/econ/gus/2022-governments.html>, tables 1-11.

³⁰ The North American Industry Classification System (NAICS) is the standard used by Federal statistical agencies in classifying business establishments for the purpose of collecting, analyzing, and publishing statistical data related to the U.S. business economy. See www.census.gov/NAICS for further details regarding the NAICS codes identified in this chart.

³¹ The size standards in this chart are set forth in 13 CFR § 121.201, by six digit NAICS code.

³² U.S. Census Bureau, "Selected Sectors: Employment Size of Firms for the U.S.: 2022." Economic Census, ECN Core Statistics Economic Census: Establishment and Firm Size Statistics for the U.S., Table EC2200SIZEEMPfirm, 2025; "Selected Sectors: Sales, Value of Shipments, or Revenue Size of Firms for the U.S.: 2022." Economic Census, ECN Core Statistics Economic Census: Establishment and Firm Size Statistics for the U.S., Table EC2200SIZEREVfirm, 2025.

³³ *Id.*

³⁴ Affected Entities in this industry include Competitive Local Exchange Carriers (CLECs), Interexchange Carriers (IXCs), and Operators of Common Carrier Non-Common Carrier Undersea Cable Systems,

³⁵ Affected Entities in this industry includes Wireless Broadband Internet Access Service Providers.

³⁶ Affected Entities in this industry includes Internet Service Providers (Non-Broadband).

Regulated Industry (Footnotes specify potentially affected entities within a regulated industry where applicable)	NAICS Code	SBA Size Standard	Total Firms ³²	Total Small Firms ³³	% Small Firms
Web Hosting, and Related Services					

Table 2. Telecommunications Service Provider Data

2024 Universal Service Monitoring Report Telecommunications Service Provider Data ³⁷ (Data as of December 2023)	SBA Size Standard (1500 Employees)		
Affected Entity	Total # FCC Form 499A Filers	Small Firms	% Small Entities
Competitive Local Exchange Carriers (CLECs) ³⁸	3,729	3,576	95.90
Interexchange Carriers (IXCs)	113	95	84.07
Wireless Telecommunications Carriers (except Satellite) ³⁹	585	498	85.13

E. Description of Economic Impact and Projected Reporting, Recordkeeping and Other Compliance Requirements for Small Entities

11. The RFA directs agencies to describe the economic impact of adopted rules on small entities, as well as projected reporting, recordkeeping and other compliance requirements, including an estimate of the classes of small entities which will be subject to the requirement and the type of professional skills necessary for preparation of the report or record.⁴⁰

12. This *Second Report and Order* requires SLTE owners and operators to comply with new routine conditions, including the filing of annual circuit capacity reports. Additionally, any licensee that owns or operates SLTE and meets certain foreign adversary criteria must file an annual SLTE Foreign Adversary Annual Report. The *Second Report and Order* also imposes several new routine conditions on cable landing licensees, such as prohibiting the use or addition of principal equipment on the submarine cable system that is produced by foreign adversary entities; prohibiting the use of third-party service providers to provide services relating to the submarine cable system that is a foreign adversary-controlled entity, an entity identified on the Covered List, or an entity that can access the submarine cable system from a foreign adversary country; and prohibiting licensees, the licensees' customers, or any further

³⁷ Federal-State Joint Board on Universal Service, Universal Service Monitoring Report at 26, Table 1.12 (2024), <https://docs.fcc.gov/public/attachments/DOC-408848A1.pdf>.

³⁸ Affected Entities in this industry include all reporting local competitive service providers.

³⁹ Affected Entities in this industry include all reporting wireless carriers and service providers.

⁴⁰ 5 U.S.C. § 604(a)(5).

downstream customers from entering into a new arrangement or extending an existing arrangement, such as for IRUs or leases for capacity, on the licensed submarine cable systems with any entity identified on the Covered List. Further, the *Second Report and Order* sets out routine conditions for licensees that include reporting requirements, such as reporting foreign adversary ownership changes; requiring licensees to submit a certification acknowledging any new addition to the Department of Commerce's list of foreign adversaries and whether or not the licensee is owned by, controlled by, or subject to the jurisdiction or direction of the new foreign adversary; requiring a certification acknowledging a new addition of covered equipment or services to the Covered List and certify to its use of the newly-added covered equipment or services; requiring licensees to notify the Commission of changes to addresses or geographic coordinates; requiring licensees to notify the Commission within sixty (60) days prior to the date of license expiration if the licensee does not intend to seek renewal or extension of the license; and requiring licensees to notify the Commission within sixty (60) days prior to any retirement of the submarine cable system. Finally, licensees whose application was exempted from referral to the Executive Branch agencies will be required to comply with national security standards, including ongoing reporting requirements to the Commission—these requirements will apply only to those licensees that sought the exemption from referral and whose application was granted pursuant to the exemption process adopted in the *Second Report and Order*.

13. We estimate that the compliance cost for the new rules is no more than approximately \$28.5 million in one-time costs and \$10.7 million per year for licensees.⁴¹ This figure includes all additional expected costs that would be incurred as a result of the rules adopted in this *Second Report and Order*, including one-time and recurring costs that SLTE owners and operators are expected to incur as a result of becoming licensees as well as additional recurring costs that existing licensees would incur. We do not expect these costs will disproportionately affect small entities in the industry.

F. Discussion of Steps Taken to Minimize the Significant Economic Impact on Small Entities, and Significant Alternatives Considered

14. The RFA requires an agency to provide, “a description of the steps the agency has taken to minimize the significant economic impact on small entities...including a statement of the factual, policy, and legal reasons for selecting the alternative adopted in the final rule and why each one of the other significant alternatives to the rule considered by the agency which affect the impact on small entities was rejected.”⁴²

15. The Commission has taken steps to significantly reduce compliance costs for licensees while advancing national security objectives. In response to commenter input, we reduced the regulatory burden on the industry by declining to adopt a requirement to remove and replace certain equipment from the submarine cable system.⁴³ In the alternative, we impose a licensing requirement on SLTE owners and operators, but grant a blanket license, with certain exceptions, in part to minimize administrative burdens on regulated entities. We also defer consideration and adoption of the proposal to require SLTE owners and operators to comply with additional routine conditions for SLTE owners and operators and reserve the option to consider doing so after the benefit of the one-time information collection. We note that the SLTE Foreign Adversary Annual Report requirement is applicable to only a limited subset of licensees.

16. As noted above, commenters highlighted the need to tailor requirements to actual risks, particularly as they relate to prohibiting foreign adversary-affiliated third-party service providers for time-sensitive operations. In response, we adopt an exception for wet-segment repair and maintenance, addressing the primary operational concern and preventing significant cost increases. We also adopt a national security exemption process that will generate cost savings for qualifying applicants and impose no costs on other applicants by avoiding the expense and delay of Executive Branch referral of

⁴¹ See *supra* section III.B.3 (discussing specific costs associated with the licensing process).

⁴² 5 U.S.C. § 604(a)(6).

⁴³ NASCA Comment at 18; CTIA Comment at 10-13; ICC Comment at 20; CTIA Reply at 11-12; ICC Reply at 12.

applications. Those applications that meet the national security standards adopted in the *Second Report and Order* will be exempt from referral to the Executive Branch agencies, which would result in cost-savings.

G. Report to Congress

17. The Commission will send a copy of the *Second Report and Order*, including this Final Regulatory Flexibility Analysis, in a report to Congress pursuant to the Congressional Review Act.⁴⁴ In addition, the Commission will send a copy of the *Second Report and Order*, including this Final Regulatory Flexibility Analysis, to the Chief Counsel for the SBA Office of Advocacy and will publish a copy of the *Second Report and Order*, and this Final Regulatory Flexibility Analysis (or summaries thereof) in the Federal Register.⁴⁵

⁴⁴ 5 U.S.C. § 801(a)(1)(A).

⁴⁵ *Id.* § 604(b).

APPENDIX C

Initial Regulatory Flexibility Analysis

1. As required by the Regulatory Flexibility Act of 1980, as amended (RFA),¹ the Federal Communications Commission (Commission) has prepared this Initial Regulatory Flexibility Analysis (IRFA) of the policies and rules proposed in the *Second Further Notice of Proposed Rulemaking (Second Further Notice)* assessing the possible significant economic impact on a substantial number of small entities. The Commission requests written public comments on this IRFA. Comments must be identified as responses to the IRFA and must be filed by the deadlines for comments specified on the first page of the *Second Further Notice*. The Commission will send a copy of the *Second Further Notice*, including this IRFA, to the Chief Counsel for Advocacy of the Small Business Administration (SBA).² In addition, the *Second Further Notice* and IRFA (or summaries thereof) will be published in the Federal Register.³

A. Need for, and Objectives of, the Proposed Rules

2. In this *Second Further Notice*, seek comment specifically on whether the Commission should adopt routine conditions for cable landing licensees that are subject to our current licensing requirement, as amended in the *2025 Submarine Cable First Report and Order*, to accomplish our goal of improving oversight of SLTE owners and operators to protect national security interests related to SLTE. We seek comment on how to balance this objective with minimal burdens on these licensees. For example, we seek comment on what routine conditions for these licensees the Commission should adopt generally concerning SLTEs. We seek comment on whether the Commission should require these licensees to ensure that any entity that owns and/or operates SLTE on their licensed submarine cable adheres to the routine conditions that we adopt in the *Second Report and Order*. In addition, we seek comment on whether the Commission should also adopt as routine conditions for all cable landing licensees, including SLTE owners and operators, any or all of the national security standards that we apply in this *Second Report and Order* to those licensees whose application is exempt from referral to the Executive Branch agencies. We also seek comment on whether an applicant with reportable foreign ownership that seeks exemption from referral should be exempt from the requirement to submit responses to the Standard Questions.⁴ Finally, we seek comment on the costs and benefits of the proposed rules and any alternatives, including the impact of the proposed rules on small entities and alternative approaches.

B. Legal Basis

3. The proposed action is authorized pursuant to sections 1, 4(i), 4(j), 201-255, 303(r), 403, and 413 of the Communications Act of 1934, as amended, 47 U.S.C. §§ 151, 154(i), 154(j), 201-255, 303(r), 403, and 413, and the Cable Landing License Act, 47 U.S.C. §§ 34-39, and Executive Order No. 10530, section 5(a), (May 12, 1954) reprinted as amended in 3 U.S.C. § 301.

C. Description and Estimate of the Number of Small Entities to Which the Rules Will Apply

4. The RFA directs agencies to provide a description of, and where feasible, an estimate of the number of small entities that may be affected by the adopted rules.⁵ The RFA generally defines the term “small entity” as having the same meaning as the terms “small business,” “small organization,” and

¹ 5 U.S.C. §§ 601 *et seq.*, as amended by the Small Business Regulatory Enforcement and Fairness Act (SBREFA), Pub. L. No. 104-121, 110 Stat. 847 (1996).

² *Id.* § 603(a).

³ *Id.*

⁴ 47 CFR §§ 1.767(a)(8)(i), 63.18(p).

⁵ 5 U.S.C. § 604.

“small governmental jurisdiction.”⁶ In addition, the term “small business” has the same meaning as the term “small business concern” under the Small Business Act.⁷ A “small business concern” is one which: (1) is independently owned and operated; (2) is not dominant in its field of operation; and (3) satisfies any additional criteria established by the SBA.⁸ The SBA establishes small business size standards that agencies are required to use when promulgating regulations relating to small businesses; agencies may establish alternative size standards for use in such programs, but must consult and obtain approval from SBA before doing so.⁹

5. Our actions, over time, may affect small entities that are not easily categorized at present. We therefore describe three broad groups of small entities that could be directly affected by our actions.¹⁰ In general, a small business is an independent business having fewer than 500 employees.¹¹ These types of small businesses represent 99.9% of all businesses in the United States, which translates to 34.75 million businesses.¹² Next, “small organizations” are not-for-profit enterprises that are independently owned and operated and are not dominant in their field.¹³ While we do not have data regarding the number of non-profits that meet that criteria, over 99 percent of nonprofits have fewer than 500 employees.¹⁴ Finally, “small governmental jurisdictions” are defined as cities, counties, towns, townships, villages, school districts, or special districts with populations of less than fifty thousand.¹⁵ Based on the 2022 U.S. Census of Governments data, we estimate that at least 48,724 out of 90,835 local government jurisdictions have a population of less than 50,000.¹⁶

6. Rules adopted in response to the *Second Further Notice* would apply to small entities in the industries identified in the chart below by their six-digit North American Industry Classification System (NAICS)¹⁷ codes and corresponding SBA size standard.¹⁸ Based on currently available U.S. Census data regarding the estimated number of small firms in each identified industry, we conclude that

⁶ *Id.* § 601(6).

⁷ *Id.* § 601(3) (incorporating by reference the definition of “small-business concern” in the Small Business Act, 15 U.S.C. § 632). Pursuant to 5 U.S.C. § 601(3), the statutory definition of a small business applies “unless an agency, after consultation with the Office of Advocacy of the Small Business Administration and after opportunity for public comment, establishes one or more definitions of such term which are appropriate to the activities of the agency and publishes such definition(s) in the Federal Register.”

⁸ 15 U.S.C. § 632.

⁹ 13 CFR § 121.903.

¹⁰ 5 U.S.C. § 601(3)-(6).

¹¹ See SBA, Office of Advocacy, *Frequently Asked Questions About Small Business* (July 23, 2024), https://advocacy.sba.gov/wp-content/uploads/2024/12/Frequently-Asked-Questions-About-Small-Business_2024-508.pdf.

¹² *Id.*

¹³ 5 U.S.C. § 601(4).

¹⁴ See SBA, Office of Advocacy, *Small Business Facts, Spotlight on Nonprofits* (July 2019), <https://advocacy.sba.gov/2019/07/25/small-business-facts-spotlight-on-nonprofits/>.

¹⁵ 5 U.S.C. § 601(5).

¹⁶ See U.S. Census Bureau, 2022 Census of Governments –Organization, <https://www.census.gov/data/tables/2022/econ/gus/2022-governments.html>, tables 1-11.

¹⁷ The North American Industry Classification System (NAICS) is the standard used by Federal statistical agencies in classifying business establishments for the purpose of collecting, analyzing, and publishing statistical data related to the U.S. business economy. See www.census.gov/NAICS for further details regarding the NAICS codes identified in this chart.

¹⁸ The size standards in this chart are set forth in 13 CFR § 121.201, by six digit NAICS code.

rules adopted in response to the *Second Further Notice* would impact a substantial number of small entities. Where available, we also provide additional information regarding the number of potentially affected entities in the identified industries below.

Table 1. 2022 U.S. Census Bureau Data by NAICS Code

Regulated Industry (Footnotes specify potentially affected entities within a regulated industry where applicable)	NAICS Code	SBA Size Standard	Total Firms¹⁹	Total Small Firms²⁰	% Small Firms
Wired Telecommunications Carriers ²¹	517111	1,500 employees	3,403	3,027	88.95%
Wireless Telecommunications Carriers (except Satellite) ²²	517112	1,500 employees	1,184	1,081	91.30%
All Other Telecommunications ²³	517810	\$40 million	1,673	1,007	60.19%
Computer Infrastructure Providers, Data Processing, Web Hosting, and Related Services	518210	\$40 million	12,054	8,895	73.79%

Table 2. Telecommunications Service Provider Data

2024 Universal Service Monitoring Report Telecommunications Service Provider Data ²⁴ (Data as of December 2023)	SBA Size Standard (1500 Employees)		
Affected Entity	Total # FCC Form 499A Filers	Small Firms	% Small Entities
Competitive Local Exchange	3,729	3,576	95.90

¹⁹ U.S. Census Bureau, "Selected Sectors: Employment Size of Firms for the U.S.: 2022." Economic Census, ECN Core Statistics Economic Census: Establishment and Firm Size Statistics for the U.S., Table EC2200SIZEEMPfirm, 2025; "Selected Sectors: Sales, Value of Shipments, or Revenue Size of Firms for the U.S.: 2022." Economic Census, ECN Core Statistics Economic Census: Establishment and Firm Size Statistics for the U.S., Table EC2200SIZEREVfirm, 2025.

²⁰ *Id.*

²¹ Affected Entities in this industry include Competitive Local Exchange Carriers (CLECs), Interexchange Carriers (IXCs), and Operators of Common Carrier Non-Common Carrier Undersea Cable Systems,

²² Affected Entities in this industry includes Wireless Broadband Internet Access Service Providers.

²³ Affected Entities in this industry includes Internet Service Providers (Non-Broadband).

²⁴ Federal-State Joint Board on Universal Service, Universal Service Monitoring Report at 26, Table 1.12 (2024), <https://docs.fcc.gov/public/attachments/DOC-408848A1.pdf>.

2024 Universal Service Monitoring Report Telecommunications Service Provider Data ²⁴ (Data as of December 2023)	SBA Size Standard (1500 Employees)		
Affected Entity	Total # FCC Form 499A Filers	Small Firms	% Small Entities
Carriers (CLECs) ²⁵			
Interexchange Carriers (IXCs)	113	95	84.07
Wireless Telecommunications Carriers (except Satellite) ²⁶	585	498	85.13

D. Description of Economic Impact and Projected Reporting, Recordkeeping and Other Compliance Requirements for Small Entities

7. The RFA directs agencies to describe the economic impact of proposed rules on small entities, as well as projected reporting, recordkeeping and other compliance requirements, including an estimate of the classes of small entities which will be subject to the requirements and the type of professional skills necessary for preparation of the report or record.²⁷ As described in the *Second Further Notice*, the Commission may require licensees to ensure that any entity that owns and/or operates SLTE on their licensed submarine cable, including any downstream entities, adheres to any or all of the routine conditions that apply to cable landing licensees in section 1.70007. Licensees may need to engage in necessary recordkeeping to ensure and, if necessary, demonstrate compliance with the rules.

E. Discussion of Significant Alternatives Considered That Minimize the Significant Economic Impact on Small Entities

8. The RFA directs agencies to provide a description of any significant alternatives to the proposed rules that would accomplish the stated objectives of applicable statutes, and minimize any significant economic impact on small entities.²⁸ The discussion is required to include alternatives such as: “(1) the establishment of differing compliance or reporting requirements or timetables that take into account the resources available to small entities; (2) the clarification, consolidation, or simplification of compliance and reporting requirements under the rule for such small entities; (3) the use of performance rather than design standards; and (4) an exemption from coverage of the rule, or any part thereof, for such small entities.”²⁹

As described in the *Second Further Notice*, we consider and seek comment on the potential impact and burdens our proposed rules would generally have on submarine cable applicants and licensees, including owners of SLTE, some of whom may be small entities. As part of our proposals, we discuss alternative options that could potentially reduce the impacts and burdens with respect to small entities and more generally for entities subject to the Commission’s submarine cable rules.

²⁵ Affected Entities in this industry include all reporting local competitive service providers.

²⁶ Affected Entities in this industry include all reporting wireless carriers and service providers.

²⁷ 5 U.S.C. § 603(b)(4).

²⁸ *Id.* § 603(c).

²⁹ *Id.* § 603(c)(1)-(4).

APPENDIX D**List of Commenters, Reply Commenters, and Ex Parties****FNPRM Comments**

Alaska Telecom Association

Center for Internet Security, Inc.

CTIA

Foundation for the Defense of Democracies

Hornbeck Offshore Services, LLC

International Connectivity Coalition

Information Technology Industry Council

Microsoft Corporation

North American Submarine Cable Association

NCTA

Submarine Cable Coalition

TIA

FNPRM Reply Comments

Center for Cybersecurity Policy & Law

Crosslake Fiber USA LP

CTIA

International Connectivity Coalition

INCOMPAS

Lockheed Martin Corporation

NCTA

Ex Parties

Anthropic

Charter Communications, Inc.

International Connectivity Coalition

NASCA

NCTA

U.S. Department of Commerce, National Telecommunications and Information Administration

U.S. Department of Homeland Security, Office of Strategy, Policy & Plans

U.S. Department of State, Under Secretary for Economic Affairs

**STATEMENT OF
CHAIRMAN BRENDAN CARR**

Re: *Review of Submarine Cable Landing License Rules and Procedures to Assess Evolving National Security, Law Enforcement, Foreign Policy, and Trade Policy Risks*, Report and Order and Further Notice of Proposed Rulemaking, OI Docket No. 24-523 (June 25, 2026).

Our Build America Agenda has been focused on accelerating the buildout of secure, next-gen infrastructure. And for the most part, Americans can see that infrastructure as they go about their daily lives. You can see cell towers. You can see fiber hanging from utility poles. And you can even see low earth orbit satellites—if you know what you are looking for. But we rely heavily on a network of undersea cables that most of us never think about.

Undersea cables are the unsung heroes of the global internet—carrying up to 99% of global internet traffic. And it is American providers that are leading the world in this segment of the market. American companies dominate the laying, owning, and operating of these cables, as well as the provisioning of the equipment that makes them run. But there is even more we can do to supercharge this industry.

Accelerating submarine cable construction will mean faster and more resilient Internet services for Americans, especially as AI fuels ever greater connectivity demands, and it will also enable our businesses to sell additional services abroad. At the same time, submarine cables face greater threats than ever: bad actors seek access to the sensitive data and communications that run on these cables, and threats from cyber or physical disruptions only grow.

The rules we adopt today strike the right balance. We presumptively exempt cable applications from extensive and time-consuming reviews, but only if such applicants can certify to stringent security standards and agree to ongoing oversight and monitoring. The message is simple: adopt strong national security standards, and get a glide path to application approval.

One other security point of note in these rules. For the first time ever, we are directly licensing owners and operators of what is called Submarine Line Terminal Equipment (SLTE). SLTE is the essential equipment at the endpoints of submarine cables that connect the undersea portion with terrestrial networks. It is also probably the most vulnerable part of the cable system. Our rules today will enhance oversight of SLTE by the FCC and our national security and law enforcement partners.

For their work on this item, I want to thank Tom Sullivan, Denise Coca, Desiree Hanssen, Gabrielle Kim, Hayley Steffen, Svantje Swider, Brenda Villanueva, Justin Cain, Ken Carlberg, Rebecca Clinton, Gregory Haledjian, Leon Kenworthy, and Aleks Yankelevich.

**STATEMENT OF
COMMISSIONER OLIVIA TRUSTY**

Re: *Review of Submarine Cable Landing License Rules and Procedures to Assess Evolving National Security, Law Enforcement, Foreign Policy, and Trade Policy Risks*, Report and Order and Further Notice of Proposed Rulemaking, OI Docket No. 24-523, MD Docket No. 24-524, (June 25, 2026).

The United States connects to the world through more than 90 submarine cable systems. These cables form a critical part of our communications infrastructure, carrying the vast majority of international internet traffic and supporting everything from communications and banking, to cloud computing, media distribution, artificial intelligence, and more. Any disruption or sabotage affecting these systems could have significant consequences for our economic and national security and U.S. technological leadership.

In my international engagements over the past year, submarine cables have been frequently cited as both a major area of investment and an emerging point of strategic vulnerability. And so, I welcome today's Report and Order for proactively recognizing that the security and resilience of our submarine cable ecosystem extend to the terrestrial facilities and equipment that connect these systems to our communications networks. By establishing a framework that addresses submarine line terminal equipment and related security considerations, we are taking a measured step toward ensuring that our regulatory approach reflects today's technological environment and threat landscape.

In addition to strengthening national security, this item appropriately streamlines the cable licensing process, improving regulatory efficiency for applicants. Security and deployment are not competing objectives. Indeed, the United States benefits economically and strategically when we can facilitate the rapid construction of trusted infrastructure while ensuring that appropriate safeguards are in place against evolving threats. The streamlined review mechanisms adopted here can help provide greater certainty to applicants, encourage investment, and reduce unnecessary delays, all while preserving rigorous review where circumstances warrant it.

Looking ahead, I welcome the Further Notice and look forward to reviewing additional input from stakeholders on whether routine conditions can further mitigate national security risks and improve oversight of SLTEs. Throughout this proceeding, we should remain attentive to both the costs and benefits of any new requirements and ensure that our rules promote innovation, competition, and resilience.

I thank the staff of the Office of International Affairs for their hard work on this item.